

acronym

EDO Board Prep Study Guide



LCDR Victor Lee, USN, PMP

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Contents

LIST OF FIGURES	XVII
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LIST OF TABLES	XIX
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1 ORGANIZATION	1
1.1 Command Chains and Governance	1
1.1.1 Foundations and Goldwater-Nichols	1
1.1.2 Operational v.s. Administrative Chains	1
1.1.3 DoW and DoN Components	3
1.1.4 Strategic Direction (NSS and NDS)	3
1.1.5 SECNAV Principal Advisors	4
1.1.6 Acquisition Governance (Department of the Navy)	4
1.1.7 ASN (RD&A) Organization	5
1.1.8 OPNAV Organization and CNO Principal Assistants	8
1.1.9 Fleet Forces, TYCOMs, and Numbered Fleets	8
1.1.10 Echelons and Enterprise Construct	9
1.1.11 Approving Authorities	9
1.2 Technical Authority and Engineering Agents	9
1.2.1 Definition of technical authority	9
1.2.2 Ultimate technical authority	10
1.2.3 Responsibilities of technical warrant holders	10
1.2.4 Technical authority interfaces	10
1.2.5 Need for technical authority	11
1.2.6 Technical authorities and warrant holders	11
1.2.7 NAVSEA warranting structure (overview)	12
1.2.8 Resolving waterfront technical issues	12
1.2.9 Approving authorities	13
1.2.10 Engineering Agents (EAs)	13
1.2.11 Types of Engineering Agents	13
1.2.12 Technical Direction Agent (TDA)	13
1.2.13 Design Agent (DA)	14
1.2.14 System Integration Agent (SIA)	14
1.2.15 Acquisition Engineering Agent (AEA)	14
1.2.16 In-Service Engineering Agent (ISEA)	14
1.2.17 Engineering agent assignment examples	14
1.2.18 Summary check	15

1.3	NAVSEA Organization and Warfare Centers	15
1.3.1	Mission, priorities, and vision	15
1.3.2	Major functions and scope	15
1.3.3	Corporate overview	16
1.3.4	Organizational management approaches	16
1.3.5	Program management relationships	16
1.3.6	Directorates and major commands	17
1.3.7	Program Executive Offices (PEOs) affiliated with NAVSEA	19
1.3.8	Warfare Centers (alphabetical)	19
1.4	NAVWAR Enterprise	22
1.4.1	Team NAVWAR overview	22
1.4.2	Mission	22
1.4.3	NAVWAR directorates (competencies)	22
1.4.4	Fleet Readiness Directorate (FRD)	23
1.4.5	Echelon III activities and core competencies	24
1.4.6	Affiliated program executive offices	25
1.5	Naval Warfare Centers	26
1.5.1	Roles of the Warfare Centers	26
1.5.2	Reporting relationships	26
1.5.3	Warfare center missions	27
1.5.4	NAVWAR activities	27
1.5.5	NAVAIR warfare centers and divisions	28
1.5.6	NAVSEA warfare centers and divisions	28
1.5.7	Technical capability focus by division	32
1.5.8	Warfare center organization	32
1.5.9	NAVSEA warfare center customers, products, and services	33
1.5.10	Office of Naval Research and Naval Research Laboratory	34
1.5.11	Summary check	34
2	PPBE	35
2.1	PPBE (Planning, Programming, Budgeting, and Execution)	35
2.1.1	Role of the PPBE process	35
2.1.2	PPBE overview	35
2.1.3	PPBE timeline and the DAS	35
2.1.4	Future Years Defense Program (FYDP)	37
2.1.5	FYDP structure	37
2.1.6	Planning phase	38
2.1.7	Programming phase	38
2.1.8	Navy programming process	38
2.1.9	POM resources	39
2.1.10	Navy POM exercise	40
2.1.11	POM example (DDG 1000 combat systems)	40
2.1.12	Programming versus budgeting	40
2.1.13	Programming phase key documents	41
2.1.14	Budgeting phase key events and documents	41

2.1.15	Execution phase	42
2.1.16	Phases of PPBE review	42
2.1.17	Summary check	42
2.2	Field Activity Financial Management	43
2.2.1	Cost categories	43
2.2.2	Financial management systems	43
2.2.3	Activity examples	44
2.2.4	General Fund operations	44
2.2.5	Appropriated vs reimbursable funds for mission-funded activities	44
2.2.6	General Fund budgeting cycle (EOB)	44
2.2.7	What is the NWCF?	44
2.2.8	NWCF cycle of operations	45
2.2.9	Stabilized labor rates (SLR)	45
2.2.10	Operating results: NOR and AOR	45
2.2.11	NWCF budget timeline	45
2.2.12	Funding documents and cost stages	46
2.2.13	Carryover	46
2.2.14	Project orders (PO)	46
2.2.15	Other funding documents	46
2.2.16	Summary check	46
2.3	Congressional Enactment	47
2.3.1	Constitutional basis for appropriations	47
2.3.2	Key terms	47
2.3.3	Congressional roles and responsibilities	48
2.3.4	Congressional enactment process	49
2.3.5	Budget Resolution	49
2.3.6	Authorization	50
2.3.7	Appropriations	50
2.3.8	Appeals to congressional marks	51
2.3.9	Continuing Resolution (CR)	51
2.3.10	Sequestration	51
2.3.11	Summary check	51
2.4	Program Funding and Execution	52
2.4.1	Program Funding	52
2.4.2	Budget Execution	57
2.5	Cost Estimating	60
2.5.1	Life-cycle cost composition	60
2.5.2	Total ownership cost (TOC)	62
2.5.3	Cost estimating methods	62
2.5.4	Cost estimating products and players	63
2.5.5	Cost estimating products	63
2.5.6	Typical CARD elements	64
2.5.7	Learning curve theory	64
2.5.8	Escalation	64
2.5.9	Will cost / should cost	65

2.5.10	Summary check	65
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3 CONTRACTING AND SOLICITATION 66

3.1 Intro to Contracting Fundamentals 66

3.1.1	Why Contracts Are Needed	66
3.1.2	Essential Elements of a Contract	66
3.1.3	Government Relationship to Contractors	66
3.1.4	Federal Acquisition Regulation System	67
3.1.5	Types of Contracting Officers	67
3.1.6	KO and PM Roles and Responsibilities	67
3.1.7	Differences Between the PM and the KO	68
3.1.8	Who's Responsible?	68
3.1.9	Advantages of Competition	69
3.1.10	Competition in Contracting Act (CICA)	69
3.1.11	Contracting Terms	70
3.1.12	Determining Responsibility	70
3.1.13	Determining Responsiveness	70
3.1.14	Summary	71

3.2 Solicitation Preparation 71

3.2.1	Contracting Process Overview	71
3.2.2	Pre-Solicitation Phase	71
3.2.3	Statement of Objectives and Performance Work Statement	72
3.2.4	Pre-Solicitation Communication and Market Research	72
3.2.5	Market Research Purpose	73
3.2.6	IPT Roles in Market Research	73
3.2.7	Methods of Contracting	73
3.2.8	Contract Types Overview	73
3.2.9	Fixed-Price Contracts	73
3.2.10	Fixed-Price Incentive (Firm Target) Example	74
3.2.11	Fixed-Price Incentive Practical Exercise	75
3.2.12	Cost-Reimbursement Contracts	75
3.2.13	Cost-Plus-Incentive-Fee Example	76
3.2.14	Incentives and Award Fees	76
3.2.15	Fixed-Price v.s. Cost-Reimbursement Summary	77
3.2.16	Contract Type by Acquisition Phase	77
3.2.17	Risk and Contract Types	78
3.2.18	Practical Exercise: Contract Type Selection	78
3.2.19	Indefinite-Delivery Contracts	78
3.2.20	Other Contract Types	78
3.2.21	Socioeconomic Programs and Set-Asides	78
3.2.22	Small Business Innovation Research	79
3.2.23	Other Transaction	79
3.2.24	Data Rights Overview	79
3.2.25	Factors in Determining Data Rights	80
3.2.26	Solicitation, Evaluation, and Award Phase	80

3.2.27	Uniform Contract Format Essentials	80
3.2.28	Big-Picture Flow	81
3.2.29	Summary	81
3.3	Source Selection Process	81
3.3.1	Overview	81
3.3.2	Source Selection Plan	81
3.3.3	Basis for Award and Best Value	82
3.3.4	Lowest Price Technically Acceptable	82
3.3.5	Tradeoff Process	82
3.3.6	Source Selection Steps	82
3.3.7	Source Selection Organization	82
3.3.8	Roles and Responsibilities	83
3.3.9	Interactions with Contractors	83
3.3.10	Guidance on Exchanges	83
3.3.11	Fact-Finding and Analysis	83
3.3.12	Preparing for Fact-Finding	84
3.3.13	Negotiation Preparation and Objectives	84
3.3.14	Negotiation Skills	84
3.3.15	Keep the End Goal in Mind	84
3.3.16	Contract Award and Protests	84
3.3.17	Summary	85
3.4	Cost and Price Evaluation	85
3.4.1	Summary	85
3.4.2	Fair and Reasonable Price Determination	86
3.4.3	Cost or Pricing Data Requirements	86
3.4.4	Cost and Price Analysis	86
3.4.5	Field Pricing Support	86
3.4.6	Contractor Financial Health	86
3.4.7	Direct and Indirect Costs	87
3.4.8	Indirect Cost Pools, Bases, and Rates	87
3.4.9	Cost Allowability	88
3.4.10	Fully Burdened Rate	88
3.4.11	Forward Pricing Rates	88
3.4.12	Practitioner Steps	88
3.4.13	Checklist	89
3.5	Source Selection Practical	89
3.5.1	Summary	89
3.5.2	Request for Proposal Format	90
3.5.3	DoW Source Selection Process	90
3.5.4	Source Selection Plan	90
3.5.5	Program Manager Roles	90
3.5.6	Evaluation Factors, Subfactors, and Standards	90
3.5.7	Evaluation Standards and Rating Scales	91
3.5.8	Exercise: CGW(X) Source Selection	91

3.6	Contract Administration	92
3.6.1	Summary	92
3.6.2	Role in the Contracting Process	93
3.6.3	Administration Organizations	93
3.6.4	Key Personnel and Relationships	93
3.6.5	PMO and CAO Coordination	94
3.6.6	Cash Flow	94
3.6.7	Contract Changes and Modifications	94
3.6.8	NECP/ECP Approval Levels	94
3.6.9	Constructive Changes and Unauthorized Commitments	95
3.6.10	Privity of Contract	95
3.6.11	Disputes and Alternative Dispute Resolution	95
3.6.12	Termination Types and Notices	95
3.6.13	Commercial Item Definitions	95
3.6.14	Government Obligation to Pay	95
3.7	Earned Value Management (EVM)	96
3.7.1	What EVM is	96
3.7.2	Key Components of EVM	96
3.7.3	When to Use EVM	96
3.7.4	EVM Compliance	97
3.7.5	EVM Principal Players	97
3.7.6	PMB	98
3.7.7	EVM Reviews and Reports	99
3.7.8	EVM Data Analysis	101
3.8	EVM Exercise	102
3.8.1	Summary	102
3.8.2	Exercise Inputs	103
3.8.3	Calculation Checklist	103
3.8.4	Interpretation Prompts	103
4	DEFENSE ACQUISITIONS	104
4.1	Acquisition Policy and Players	104
4.1.1	Summary	104
4.1.2	Rules and Regulations	104
4.1.3	Acquisition-Related Law	104
4.1.4	Federal Government Regulations	105
4.1.5	Acquisition Policy Documents	105
4.1.6	Adaptive Acquisition Framework	105
4.1.7	Defense Acquisition System Focus	106
4.1.8	Key Acquisition Reform Initiatives	107
4.1.9	Risk Factor Impact	107
4.1.10	Affordability and Trade Space	108
4.1.11	Decision Support Systems	108
4.1.12	Major Institutions of Defense Acquisition	109
4.1.13	Defense Industry Landscape	109

4.1.14	Organizational Structures	109
4.1.15	Defense Trends	109
4.1.16	Acquisition Players (DoWD 5000.01 Definitions)	109
4.1.17	Office of the Secretary of War Decision Makers	110
4.1.18	Intelligence Community Touchpoints	110
4.1.19	Department of the Navy Decision Makers	111
4.1.20	Acquisition Categories	111
4.1.21	Program Reporting Requirements	111
4.1.22	Current Navy Acquisition Issues	111
4.1.23	Summary Highlights	112
4.2	Acquisition Milestones and Phases	112
4.2.1	Summary	112
4.2.2	Introduction: DAS and Urgent Needs	112
4.2.3	DAS Structure: Milestones, Phases, Decision Points	113
4.2.4	Milestone Review Information Requirements	115
4.2.5	Entrance and Exit Criteria	115
4.2.6	Acquisition Program Baseline (APB) and Trade Space	115
4.2.7	Program Deviations	115
4.2.8	Program Deviation Actions	115
4.2.9	JCIDS Relationship to the DAS	116
4.2.10	Materiel Development Decision (MDD)	116
4.2.11	Materiel Solution Analysis (MSA)	116
4.2.12	Analysis of Alternatives (AoA)	116
4.2.13	Acquisition Strategy	117
4.2.14	International Acquisition and Exportability	117
4.2.15	Evolutionary v.s. Single-Step Acquisition	117
4.2.16	Key Performance Parameters	117
4.2.17	Milestone A	117
4.2.18	Technology Maturation and Risk Reduction (TMRR)	118
4.2.19	Capability Development Document Validation	118
4.2.20	Configuration Steering Boards	118
4.2.21	Development RFP Release Decision	118
4.2.22	Milestone B	119
4.2.23	Engineering and Manufacturing Development	119
4.2.24	Milestone C	119
4.2.25	Production and Deployment	119
4.2.26	Operations and Support	119
4.2.27	Ships Are Different	120
4.2.28	Navy 2-Pass / 7-Gate Review	120
4.2.29	Scenario Drills (Entry-Point Decisions)	120
4.2.30	Quick Review	120
5	REQUIREMENTS	121
5.1	Joint Capabilities Integration & Development System	121
5.1.1	Summary	121

5.1.2	<i>Decision Support Systems</i>	121
5.1.3	<i>Capabilities-Based Assessment (CBA)</i>	121
5.1.4	<i>CBA Phases</i>	122
5.1.5	<i>CBA Recommended Solutions</i>	122
5.1.6	<i>DOTMLPF-P Elements</i>	122
5.1.7	<i>Capability Documents</i>	123
5.1.8	<i>Initial Capabilities Document (ICD)</i>	123
5.1.9	<i>Capability Development Document (CDD)</i>	123
5.1.10	<i>CDD Update and Legacy CPD</i>	123
5.1.11	<i>JCIDS Within the Acquisition Framework</i>	124
5.1.12	<i>Key Players</i>	124
5.1.13	<i>Joint Staff J-6 (C4/Cyber)</i>	125
5.1.14	<i>Importance of Interoperability</i>	125
5.1.15	<i>IT Acquisition Requirements</i>	125
5.1.16	<i>Validation Authority</i>	125
5.1.17	<i>Document Review and Staffing</i>	125
5.1.18	<i>Quick Review</i>	126
5.2	Research & Development	126
5.2.1	<i>Summary</i>	126
5.2.2	<i>R&D Perspective and Posture</i>	126
5.2.3	<i>Using Commercial Technology</i>	127
5.2.4	<i>R&D in the Acquisition Framework</i>	127
5.2.5	<i>Role of Science & Technology</i>	127
5.2.6	<i>FFRDCs and UARCs</i>	127
5.2.7	<i>Technology Readiness Levels</i>	127
5.2.8	<i>RDT&E Budget Activities (0601–0607)</i>	128
5.2.9	<i>IRL and SRL</i>	128
5.2.10	<i>Advanced Technology Demonstrations (ATDs)</i>	128
5.2.11	<i>Joint Concept Technology Demonstrations (JCTDs)</i>	128
5.2.12	<i>Small Business Innovation Research</i>	129
5.2.13	<i>Quick Review</i>	129
5.3	Risk Management & Problem Solving	129
5.3.1	<i>Summary</i>	129
5.3.2	<i>What Is Acquisition Risk?</i>	130
5.3.3	<i>General Sources of Acquisition Risk</i>	130
5.3.4	<i>APB and Risk Management</i>	130
5.3.5	<i>Risk Management Model</i>	130
5.3.6	<i>Risk Identification Inputs</i>	130
5.3.7	<i>Risk Mitigation Techniques</i>	131
5.3.8	<i>Risk Handling Options</i>	131
5.3.9	<i>Risk Monitoring</i>	131
5.3.10	<i>Risk Management Terminology</i>	131
5.3.11	<i>Risk Management Software Tools</i>	132
5.3.12	<i>Opportunity Management</i>	132
5.3.13	<i>Issue Management</i>	132

5.3.14	Trade Study Fundamentals	132
5.3.15	Generic Problem Solving Model	132
5.3.16	Cause and Effect (Fishbone) Diagram	132
5.3.17	The 5 Whys	132
5.3.18	Multi-Voting	133
5.3.19	Multi-Attribute Utility Theory (MAUT)	133
5.3.20	Quick Review	133
5.4	Environmental Requirements and Responsibilities	133
5.4.1	Summary	133
5.4.2	National Environmental Policy Act (NEPA)	134
5.4.3	What Is New with NEPA	134
5.4.4	When NEPA Review Is Not Required	134
5.4.5	Determining the Level of NEPA Review	134
5.4.6	DoW as a Single Federal Agency for CATEX	135
5.4.7	Other Laws, Statutes, and Executive Orders Integrated with NEPA	135
5.4.8	NEPA Process Outcomes	135
5.4.9	Environmental Planning Outside the United States	135
5.4.10	Environment, Safety, and Occupational Health (ESOH)	136
5.4.11	ESOH Requirements	136
5.4.12	ESOH Law Summary	136
5.4.13	Clean Air Act (CAA)	136
5.4.14	Clean Water Act (CWA)	137
5.4.15	Clean Water Act Jurisdiction Update	137
5.4.16	Resource Conservation and Recovery Act (RCRA)	137
5.4.17	Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA)	137
5.4.18	Toxic Substances Control Act (TSCA)	137
5.4.19	Endangered Species Act (ESA)	138
5.4.20	Marine Mammal Protection Act (MMPA)	138
5.4.21	Cultural Resources	138
5.4.22	Emergency Planning and Community Right-to-Know Act (EPCRA)	138
5.4.23	Workplace and Employee Safety	138
5.4.24	DoW Policy	138
5.4.25	Defense Acquisition Program Requirements	139
5.4.26	Programmatic ESOH Evaluation (PESHE)	139
5.4.27	Quick Review	139
5.5	Software Acquisition Environment	139
5.5.1	Summary	139
5.5.2	Computer Basics	140
5.5.3	Programming Language Categories	140
5.5.4	The Importance of Software	140
5.5.5	Software-Intensive System Definition	140
5.5.6	Classifications of Software-Intensive Systems	141
5.5.7	Software-Intensive System Summary	141
5.5.8	Software Management Policies and Practices	141
5.5.9	Clinger-Cohen Act (CCA) of 1996	141

5.5.10	<i>Clinger-Cohen Act Requirements</i>	142
5.5.11	<i>Commercial Off-The-Shelf Software</i>	142
5.5.12	<i>DoW Instruction Provisions</i>	142
5.5.13	<i>Business Capability Acquisition Cycle</i>	142
5.5.14	<i>Software Items</i>	143
5.5.15	<i>Interoperability and Architecture</i>	143
5.5.16	<i>Quick Review</i>	143
5.6	Software Acquisition Management	143
5.6.1	<i>Summary</i>	143
5.6.2	<i>Common Issues in Software-Intensive Systems</i>	144
5.6.3	<i>Best Practices</i>	144
5.6.4	<i>Software Cost Distribution</i>	144
5.6.5	<i>Planning Phase</i>	144
5.6.6	<i>Acquisition Strategy Planning</i>	144
5.6.7	<i>Contracting and Solicitation Planning</i>	145
5.6.8	<i>Cost Estimating</i>	145
5.6.9	<i>Execution Phase</i>	145
5.6.10	<i>Systems Engineering Linkage</i>	145
5.6.11	<i>Software Development Activities</i>	145
5.6.12	<i>Software Development Models</i>	146
5.6.13	<i>Agile Overview</i>	146
5.6.14	<i>Project Management Methodologies</i>	146
5.6.15	<i>Software Process and Maturity</i>	146
5.6.16	<i>Selecting a Software Developer</i>	147
5.6.17	<i>CMMI Maturity Levels</i>	147
5.6.18	<i>Defense Innovation Board Ten Commandments of Software</i>	147
5.6.19	<i>Metrics Selection Considerations</i>	148
5.6.20	<i>Software Measurement Metrics Categories</i>	148
5.6.21	<i>Software Support</i>	148
5.6.22	<i>Post-Deployment Software Support</i>	148
5.6.23	<i>PDSS Best Practices</i>	148
5.6.24	<i>Quick Review</i>	149
5.7	Cybersecurity Awareness	149
5.7.1	<i>Summary</i>	149
5.7.2	<i>What Is Cybersecurity?</i>	149
5.7.3	<i>Consequences of Cybersecurity Failure</i>	150
5.7.4	<i>Driving Emphasis for Cybersecurity</i>	150
5.7.5	<i>Cyber-Related Organizations</i>	150
5.7.6	<i>Intelligence Community Support</i>	151
5.7.7	<i>Cybersecurity in the Acquisition Process</i>	151
5.7.8	<i>Risk Management Framework Overview</i>	151
5.7.9	<i>RMF Step 1: Categorize the System</i>	151
5.7.10	<i>RMF Step 2: Select Security Controls</i>	152
5.7.11	<i>RMF Step 3: Implement Security</i>	152
5.7.12	<i>RMF Step 4: Assess Security Controls</i>	152

5.7.13	RMF Step 5: Authorize the System	152
5.7.14	RMF Step 6: Monitor Security Controls	152
5.7.15	Cyber Hygiene	152
5.7.16	EDO Role in Cybersecurity	153
5.7.17	CYBERSAFE Program	153
5.7.18	Defense-in-Depth Functional Implementation Architecture	153
5.7.19	Quick Review	153
5.8	Systems Engineering Overview	153
5.8.1	Summary	153
5.8.2	Introduction to Systems Engineering	154
5.8.3	DoW Policy on Systems Engineering	154
5.8.4	Characteristics of Good Design	154
5.8.5	Integrated Product and Process Development	155
5.8.6	Systems Engineering Disciplines	155
5.8.7	System Engineering Plan	155
5.8.8	Systems Engineering Process Model	155
5.8.9	Systems Engineering "V" Model	155
5.8.10	Eight Technical Processes	156
5.8.11	Eight Technical Management Processes	156
5.8.12	Systems Engineering Process Inputs and Outputs	156
5.8.13	Standards and Specifications	157
5.8.14	Program-Unique Specifications	157
5.8.15	Government and Contractor Roles	157
5.8.16	Quick Review	157
5.9	SE Analysis & Control: Work Breakdown Structure	157
5.9.1	Summary	157
5.9.2	Introduction	158
5.9.3	Basic Role of the WBS	158
5.9.4	WBS as a Management Tool	158
5.9.5	WBS and the SE Process	158
5.9.6	WBS Hierarchy	159
5.9.7	WBS Guidance	159
5.9.8	WBS Types	159
5.9.9	Program WBS	159
5.9.10	Contract WBS	159
5.9.11	Quick Review	160
5.10	SE Analysis & Control: Configuration Management & Technical Reviews	160
5.10.1	Summary	160
5.10.2	Configuration Management	160
5.10.3	Why CM Matters	160
5.10.4	Configuration Items	161
5.10.5	Considerations for Designating CIs	161
5.10.6	CM Functional Components	161
5.10.7	IPPD and CM	161
5.10.8	Commercial Item Impacts	161

5.10.9	Configuration Control	162
5.10.10	Configuration Baselines	162
5.10.11	Specifications, CM Planning, and Baselines	162
5.10.12	Interface Control	162
5.10.13	Technical Data Management	162
5.10.14	Configuration Management Strategy	163
5.10.15	Technical Reviews Purpose	163
5.10.16	Major Technical Reviews	163
5.10.17	Specifications, Baselines, and Reviews	163
5.10.18	General Principles for Reviews	164
5.10.19	Steps to Effective Design Reviews	164
5.10.20	Quick Review	164
5.11	Acquisition Logistics	164
5.11.1	Summary	164
5.11.2	Defining Acquisition Logistics	165
5.11.3	Role of Acquisition Logistics	165
5.11.4	Acquisition Logistics Policy	165
5.11.5	Policy Implementation: PSM and LCSP	165
5.11.6	RAM Definitions	166
5.11.7	Acquisition Logistics and RAM	166
5.11.8	RAM Metrics	166
5.11.9	RAM Techniques	166
5.11.10	Design to Minimize Failures	166
5.11.11	Support Costs and Life-Cycle Cost	167
5.11.12	Logistics-Related Concepts	167
5.11.13	Performance-Based Logistics	167
5.11.14	PBL Metrics and Contracting Strategy	167
5.11.15	Supportability Analysis	167
5.11.16	Product Support Analysis	168
5.11.17	Supportability and the Acquisition Life Cycle	168
5.11.18	Supportability Issues and Impact	168
5.11.19	Product Support Business Model	168
5.11.20	12-Step Product Support Strategy Process	169
5.11.21	Life-Cycle Sustainment Plan	169
5.11.22	LCSP Development by Milestone	169
5.11.23	12 Integrated Product Support Elements	169
5.11.24	IPS Element Highlights	170
5.11.25	Logistics and Program Planning	171
5.11.26	Fielding and Deployment	171
5.11.27	Post-Production Support	171
5.11.28	Quick Review	171
5.12	Test & Evaluation	171
5.12.1	Board Prep Summary	171
5.12.2	Definition and Relationship to Verification and Validation	172
5.12.3	Statutory Requirements and Key Roles	173

5.12.4	Developmental Test Activities	174
5.12.5	Live Fire Test and Evaluation	174
5.12.6	Operational Test Phases	175
5.12.7	Fundamental Test and Evaluation Terms	175
5.12.8	Critical Technical Parameters and Technical Performance Measures	175
5.12.9	Test and Evaluation Master Plan	175
5.12.10	Modeling and Simulation	176
5.12.11	Navy Overlays and Integration	176
5.12.12	Fiscal and PPBE Touchpoints	176
5.12.13	Assumptions and Uncertainties	176
5.13	Ship Trials	177
5.13.1	Summary	177
5.13.2	Ship Trial Requirements	177
5.13.3	Key Terms	177
5.13.4	Key Players and Responsibilities	178
5.13.5	Surface Ship Construction Trials	178
5.13.6	Post Delivery Test and Trials	178
5.13.7	Final Contract Trials	178
5.13.8	Shock Trials	179
5.13.9	Post-Shakedown Availability	179
5.13.10	Special Trials	179
5.13.11	Submarine Trials Timeline (New Construction)	179
5.13.12	Post-Industrial Availability Trials	179
5.13.13	Post-Sea Trials Certification	180
5.13.14	Submarine New Construction vs. Repair	180
5.13.15	Ship Program OT&E	180
5.13.16	Quick Review	180
6	MAINTENANCE	181
6.1	Fleet Maintenance Assets	181
6.1.1	Summary	181
6.1.2	Organizational (O) Level Maintenance	181
6.1.3	Intermediate (I) Level Maintenance	181
6.1.4	Depot (D) Level Maintenance	182
6.1.5	Maintenance Trends	182
6.1.6	Maintenance Organizations	182
6.1.7	Afloat Maintenance Activities	182
6.1.8	Tender Repair Organization (Typical)	182
6.1.9	Submarine Support Facilities	183
6.1.10	Naval Shipyards	183
6.1.11	Ship Repair Facility (Japan)	183
6.1.12	Supervisor of Shipbuilding (SUPSHIP)	183
6.1.13	Major Platform Private Shipyards	183
6.1.14	Regional Maintenance Centers	184
6.1.15	Funding and Reporting Chains	184

6.1.16	<i>Responsibilities by Organization</i>	184
6.1.17	<i>Workforce Composition and Training</i>	184
6.1.18	<i>Quick Review</i>	185
6.2	Navy Modernization Program	185
6.2.1	<i>Summary</i>	185
6.2.2	<i>Background and Need for Modernization</i>	185
6.2.3	<i>Goals of Modernization and Definitions</i>	185
6.2.4	<i>Goals and Attributes of the NMP</i>	186
6.2.5	<i>Modernization Funding</i>	186
6.2.6	<i>Legacy Alterations and SHIPALT</i>	186
6.2.7	<i>Legacy SHIPALT Funding (FMP)</i>	186
6.2.8	<i>Alteration Equivalent to Repair (AER)</i>	187
6.2.9	<i>Legacy Documentation</i>	187
6.2.10	<i>Planning Yards</i>	187
6.2.11	<i>NMP Enhancements</i>	187
6.2.12	<i>NDE Entitled Process and Ship Change Document</i>	187
6.2.13	<i>SCD Initiation and Submission</i>	188
6.2.14	<i>Approval Thresholds</i>	188
6.2.15	<i>NDE-NM Capabilities</i>	188
6.2.16	<i>Public Law 102-396</i>	188
6.2.17	<i>Quick Review</i>	188
6.3	Fleet Maintenance Policy and Implementation	189
6.3.1	<i>Summary</i>	189
6.3.2	<i>Fleet Maintenance Policy</i>	189
6.3.3	<i>Influences on Maintenance Policy</i>	189
6.3.4	<i>Maintenance Principles</i>	190
6.3.5	<i>Maintenance Philosophy</i>	190
6.3.6	<i>Depot Maintenance Framework</i>	190
6.3.7	<i>CNO Availability Scheduling and Approval</i>	190
6.3.8	<i>Public-Private Split and Assignment Considerations</i>	191
6.3.9	<i>Budget and Special Cases</i>	191
6.3.10	<i>Types of Availabilities</i>	191
6.3.11	<i>Maintenance Strategies</i>	192
6.3.12	<i>Optimized Fleet Response Plan</i>	192
6.3.13	<i>Quick Review</i>	192
6.4	AIT Fundamentals and Lessons Learned	193
6.4.1	<i>Summary</i>	193
6.4.2	<i>Alteration Installation Team</i>	193
6.4.3	<i>Purpose and Advantages</i>	193
6.4.4	<i>Roles and Responsibilities</i>	193
6.4.5	<i>Need for RMMCO</i>	194
6.4.6	<i>Requirements</i>	194
6.4.7	<i>Planning</i>	194
6.4.8	<i>Memorandum of Agreement</i>	195
6.4.9	<i>Execution</i>	195

6.4.10	Lessons Learned	195
6.4.11	Quick Review	196
6.5	Waterfront Organizations, Work Controls, and Safety	196
6.5.1	Summary	196
6.5.2	Waterfront Context	196
6.5.3	Naval Nuclear Propulsion Program	196
6.5.4	SUBSAFE and Deep Submergence Systems	197
6.5.5	Industrial Ship Safety Manuals	197
6.5.6	Work Authorization and Control	198
6.5.7	Tag-Outs in Maintenance	198
6.5.8	Quick Review	198
6.6	Battle Damage Assessment and Repair	199
6.6.1	Summary	199
6.6.2	Need for BDA/R	199
6.6.3	Guiding Documents and WARP	199
6.6.4	BDA/R Continuum	199
6.6.5	Disposition Factors	200
6.6.6	Maritime Support Plan Force Packages	200
6.6.7	Expeditionary Repair Capabilities	200
6.6.8	Command and Control	200
6.6.9	Contracting and Funding	201
6.6.10	Quick Review	201
6.7	CNO Availability Planning	201
6.7.1	Balancing Requirements, Resources, and Readiness	201
6.7.2	Availability Work Package Development	201
6.7.3	Planning Teams and Integration Forums	202
6.7.4	Risk Controls and Board-Ready Talking Points	202
6.8	CNO Availability Execution	203
6.8.1	Project Teams and Responsibilities	203
6.8.2	Execution Phases	203
6.8.3	Governance, Quality, and Work Control	204
6.8.4	Lessons Learned	205
7	CIVILIAN PERSONNEL	206
7.1	Civilian Personnel Fundamentals	206
7.1.1	Why CIVPERS management matters	206
7.1.2	Workforce shaping and classification	206
7.1.3	Equal Employment Opportunity anchors	206
7.1.4	Employee relations essentials	207
7.1.5	Within-grade increases and GS step timing	207
7.1.6	Performance v.s. conduct pathways	207
7.1.7	Labor relations touchpoints	208

Appendices	211
A PLATINUM CARD	211
B KEY ROLES IN ACQUISITION AND MODERNIZATION	216
B.1 Key Roles in Acquisition and Modernization	216
B.2 Combatant Commands (Reference)	223
C EDO DISTRIBUTION	224
C.1 EDO Billet Distribution (Nov 2025 Main Slate)	224
C.2 EDO Flag Officers (snapshot)	229
D COMMUNITY ROSTERS AND JOB PYRAMIDS	231
D.1 Cannon Cocker	231
D.2 IWE	231
D.2.1 Roster (IWE Round-Up, 12 Sep 2025)	231
E CNO STRATEGIC MESSAGING	237
E.1 CNO 34 Day One Message (Foundry–Fleet–Fight)	237
E.2 CNO 34 C-Notes and Charge of Command	239
E.2.1 Executive summary of priorities	239
E.2.2 Message texts	240
F CURRENT EVENTS	248
F.1 Current Events Relevant to EDOs and Acquisition	248
F.1.1 Project Overmatch and Digital Modernization	248
F.1.2 EDO Community Updates	248
F.1.3 Acquisition Policy and Industrial Base Highlights	249
F.2 Shipbuilding and Sustainment Updates	249
F.2.1 Columbia-Class (SSBN) Delays	249
F.2.2 Amphibious Warship Block Buy (LPD-17)	250
F.2.3 Shipyard Infrastructure Optimization Program (SIOP) Status	250
REFERENCES	251
LIST OF ACRONYMS	259

List of Figures

1.1	Title 10 Chain of Command	2
1.2	Organization command structure	3
1.3	Acquisition Governance Chain of Command	5
1.4	ASN (RD&A) organization chart	6
1.5	Technical Authority v.s. Program Authority	9
1.6	NAVSEA Organization Chart	18
1.7	Geographic locations of Navy Warfare Center	21
1.8	NAVWAR Organizational Chart	23
1.9	NIWC Pacific locations	24
1.10	NIWC Atlantic locations	25
2.1	PPBE timeline across fiscal years	36
2.2	Timeframes of the Navy PPBE process	36
2.3	Concurrent program and budget review	41
2.4	Congressional Enactment Timeline	49
2.5	Appropriations life-cycle	53
2.6	Product improvement funding decision tree	56
2.7	Life-cycle cost composition	61
2.8	Life-cycle cost over time	62
3.1	Fixed-price contract types	74
3.2	Cost-reimbursement contract types	76
3.3	Contract type by acquisition phase	77
3.4	Direct v.s. Indirect Costs	87
3.5	Performance Measurement Baseline (PMB) “S”-Curve	98
3.6	PMB Development Flow	98
3.7	Earned Value Management (EVM) Variances	101
4.1	Adaptive Acquisition Framework	106
4.2	Major Capability Acquisition	107
4.3	Cost, Schedule, Performance	108
4.4	Trade Space, Performance v.s. Cost	108
4.5	Major Capability Acquisition Phases	114

5.1	Joint Capabilities Integration and Development System (JCIDS) to Defense Acquisition System (DAS) Relationship	122
5.2	JCIDS Within the DAS	124
5.3	Major Capability Acquisition (MCA) Test and Evaluation (T&E) Touchpoints	172
5.4	Department of War (DoW) T&E organization	173
6.1	CNO availability planning timeline	202
6.2	Nuclear waterfront team	203
A.1	Platinum Card: Life Cycle Cost Composition	211
A.2	Platinum Card: Cost Estimating Requirements	212
A.3	Platinum Card: PPBE Planning Phase	212
A.4	Platinum Card: Concurrent Program/Budget Review	213
A.5	Platinum Card: Below Threshold Reprogramming	213
A.6	Platinum Card: Resource Allocation Process	214
A.7	Platinum Card: Congressional Enactment Timeline	214
A.8	Platinum Card: Funding for Product Improvements	215
A.9	Platinum Card: Appropriation Life Cycle	215
D.1	Cannon Cocker roster	232
D.2	Cannon Cocker pyramid	233
D.3	IWE job pyramid	234
D.4	IWE roster (NIWC Pacific)	235
D.5	IWE roster (NSFA)	236

List of Tables

I	SECNAV principal advisors	4
II	ASN (RD&A) leadership	7
III	ASN (RD&A) DASNs	7
IV	CNO principal assistants	8
V	NAVSEA Warfare Centers	19
VI	NAVWAR Directorates	22
VII	Warfare Center Reporting Relationships	26
VIII	Warfare Center Technical Capabilities	32
IX	NAVSEA Warfare Center Reimbursable Funding	33
X	Navy Resource Sponsors	39
XI	N9 Warfare Systems Directorates	39
XII	POM Resource Example	40
XIII	Programming versus Budgeting	40
XIV	Activity Examples	44
XV	Authorization Subcommittees	50
XVI	Appropriations	52
XVII	Appropriation Accounts	53
XVIII	Funding Policies	54
XIX	Appropriations by Phase	55
XX	Appropriation Summary	57
XXI	Appropriation Subdivisions	60
XXII	Estimating Methods by Phase	63
XXIII	Cost Players and Products	63
XXIV	CARD Elements	64
XXV	PM vs KO	68
XXVI	KO and PM Responsibilities	68
XXVII	Fixed-price v.s. Cost-reimbursement	77
XXVIII	RFP Format Overview	90
XXIX	CGW(X) Subfactor Standards	92
XXX	Contract Administration Organizations	93

XXXI CNO availability execution phases 204

XXXII GS within-grade increase waiting periods 207

XXXIIIDifferentiating performance and conduct issues 208

XXXIVEDO billet distribution by community, location, and billet rank (November 2025 main slate) 224

1 Organization

1.1 Command Chains and Governance

1.1.1 Foundations and Goldwater-Nichols

Constitutional basis. The Constitution establishes three branches of government: Article I (Congress) authorizes raising and supporting armies, providing and maintaining a navy, and declaring war; Article II vests civilian control in the President as Commander in Chief; Article III creates the judiciary [1].

Pre-1986 context. Service leaders historically carried both force-provider and force-commander responsibilities. The National Security Act of 1947 formalized the Joint Chiefs and created the National Military Establishment, and the 1949 amendment renamed it the Department of War [1].

Goldwater-Nichols (1986). The Act strengthened the Chairman of the Joint Chiefs of Staff (CJCS) as the principal military adviser, increased Combatant Commander (CCDR) authority, and institutionalized jointness in operations, education, and budgeting [1, 2].

1.1.2 Operational v.s. Administrative Chains

Operational chain (OPCON). The operational chain runs President → Secretary of War (SECWAR) → CCDRs; Operational Control (OPCON) authorities flow through that chain, and Service chiefs are not in the operational chain of command [3, 4].

Administrative chain (ADCON). Administrative Control (ADCON) aligns readiness and resourcing: Service Secretaries and chiefs *man, train, and equip* forces; for the Navy this runs through Secretary of the Navy (SECNAV) and Chief of Naval Operations (CNO) down to Systems Commands (SYSCOMs) and operating forces [1, 5].

Figure 1.1 shows the Title 10 chain of command. Figure 1.2 shows the Navy chain from the President to Echelon III commands.

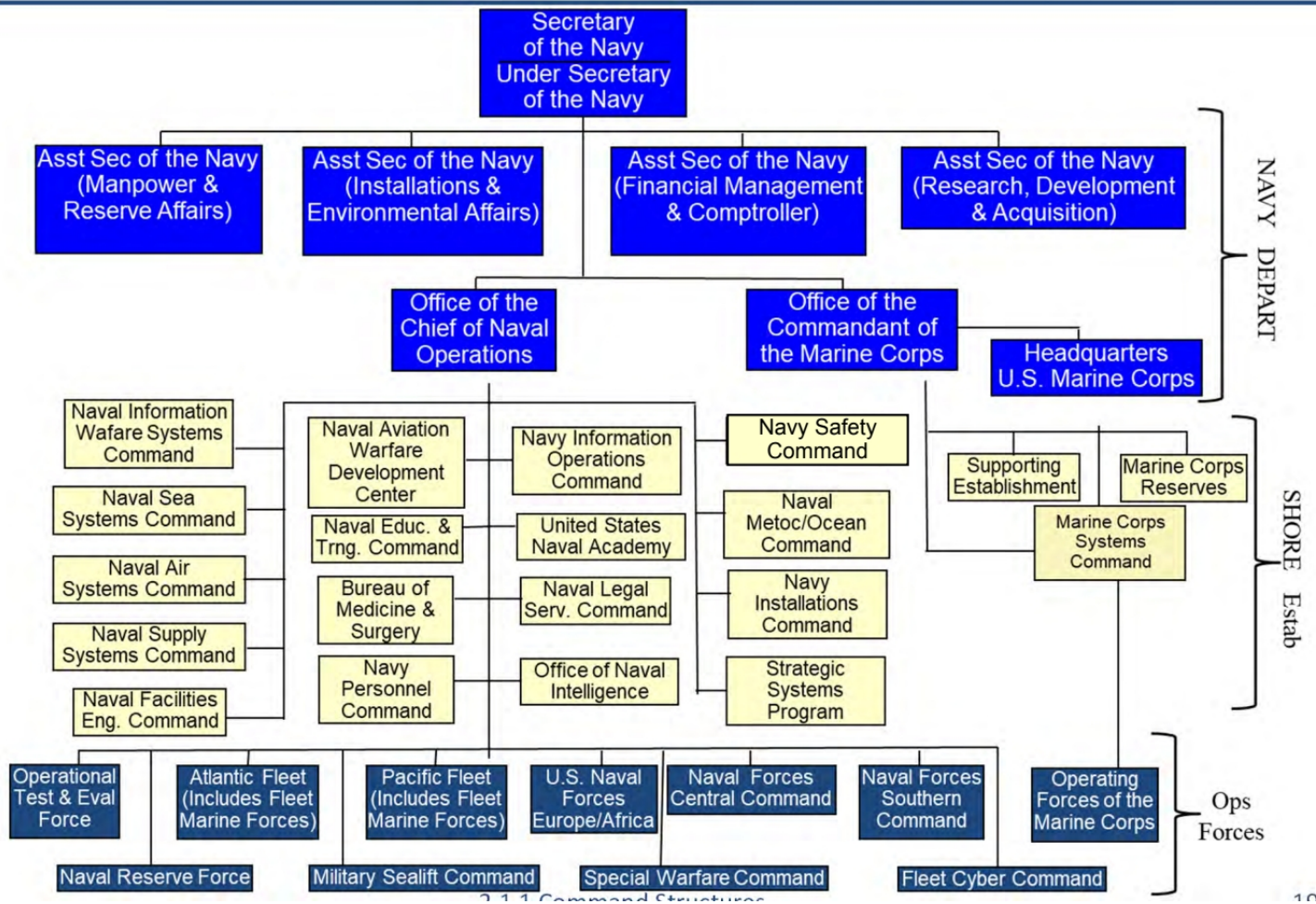


Figure 1.1. Title 10 Chain of Command. Source: 2.1.1. Command Structures, 2025 [1]

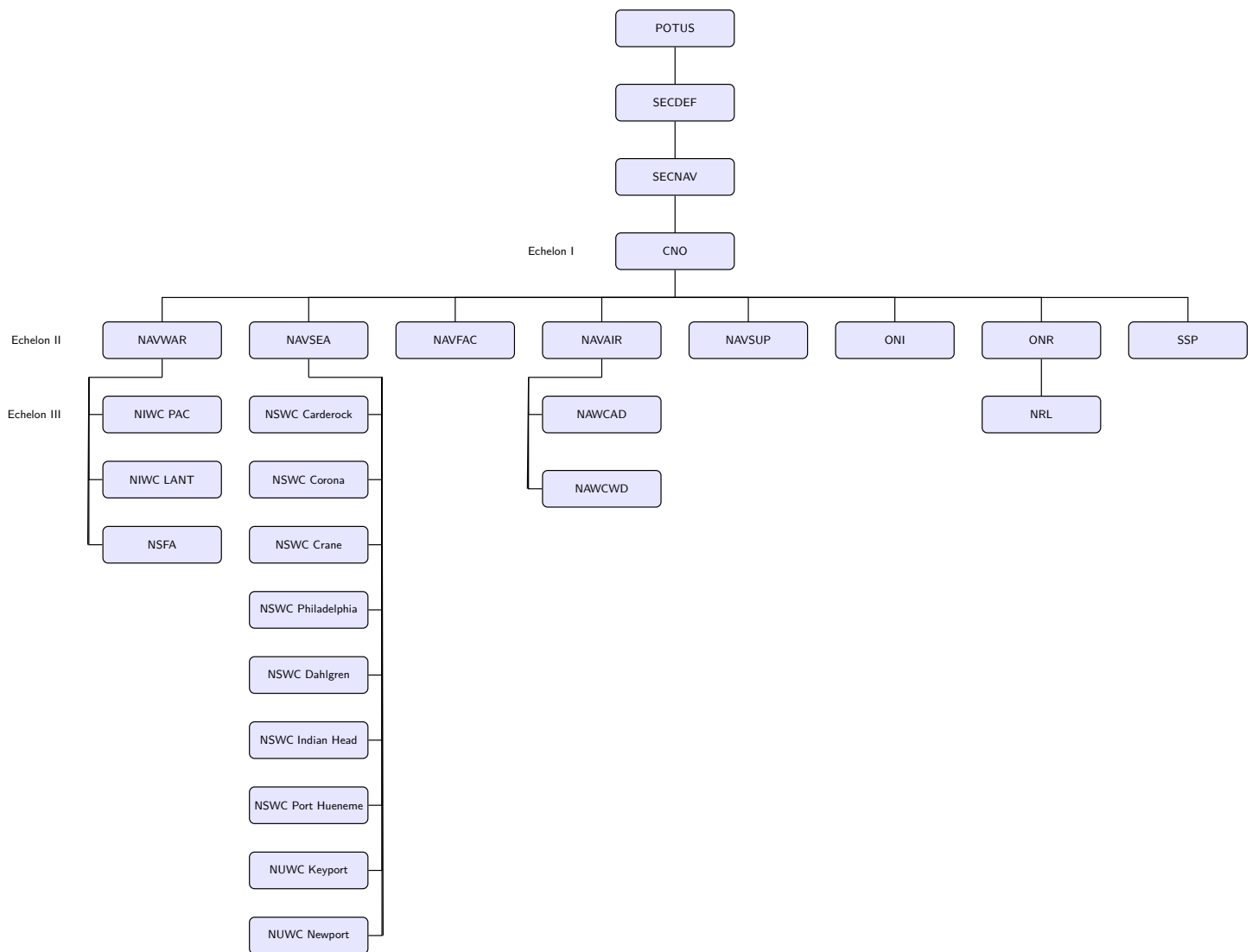


Figure 1.2. Organization command structure from the President through Echelon III. Source: 2.1.1. Command Structures, 2025 [1]

1.1.3 DoW and DoN Components

DoW components. Core elements include the Office of the Secretary of War (OSW), Joint Staff, Military Departments, Unified Combatant Commands (CCMDs), Defense Agencies (e.g., Missile Defense Agency (MDA)), and DoW Field Activities [1].

DoN components. The Department of the Navy (DON) includes the Secretariat (SECNAV and principal advisors), CNO/ Office of the Chief of Naval Operations (OPNAV) staff, the Shore Establishment (SYSCOMs and field activities), and the Operating Forces [1].

1.1.4 Strategic Direction (NSS and NDS)

The National Security Strategy (NSS) sets national-level priorities; the National Defense Strategy (NDS) translates them into defense priorities, posture, and force-development guidance. The 2022 NDS emphasizes defending the homeland, deterring

strategic attacks, deterring aggression while prepared to prevail, and building a resilient joint force and defense ecosystem; it advances these priorities through integrated deterrence, campaigning, and building enduring advantage. Current as of 2026-01-11 [6, 7].

1.1.5 SECNAV Principal Advisors

TABLE I: SECNAV PRINCIPAL ADVISORS

Office	Focus and responsibilities
Under Secretary of the Navy	Leads the Secretariat and serves as the principal advisor to the Secretary of the Navy for all Department of the Navy matters.
Assistant Secretary of the Navy (Manpower and Reserve Affairs)	Manpower policy, personnel readiness, quality of life, and workforce programs across the Navy and Marine Corps.
Assistant Secretary of the Navy (Installations and Environment)	Real property, housing, facilities, environmental protection, and BRAC processes.
Assistant Secretary of the Navy (Financial Management and Comptroller)	Budget formulation and execution; principal financial advisor and comptroller for the Department of the Navy.
Assistant Secretary of the Navy (Research, Development and Acquisition)	Acquisition policy, program oversight, and life-cycle management for Navy and Marine Corps systems.

Source: 2.1.1. Command Structures, 2025 [1]

The Assistant Secretary of the Navy for Research, Development and Acquisition (ASN(RD&A)) is the DON Component Acquisition Executive (CAE) and the Navy Acquisition Executive, with authority and accountability for acquisition policy and program oversight [8].

1.1.6 Acquisition Governance (Department of the Navy)

Policy authority. ASN(RD&A) is the Service Acquisition Executive (SAE) for the DON and sets policy for Program Executive Offices (PEOs) and Direct Reporting Program Managers (DRPMs) [8, 9].

Matrix execution. PEOs hold program authority; SYSCOMs (Naval Sea Systems Command (NAVSEA), Naval Information Warfare Systems Command (NAVWAR), Naval Air Systems Command (NAVAIR)) provide Technical Authority (TA) warrants and workforce; Naval Warfare Centers (NWCs) deliver research, development, test, and engineering support [8].

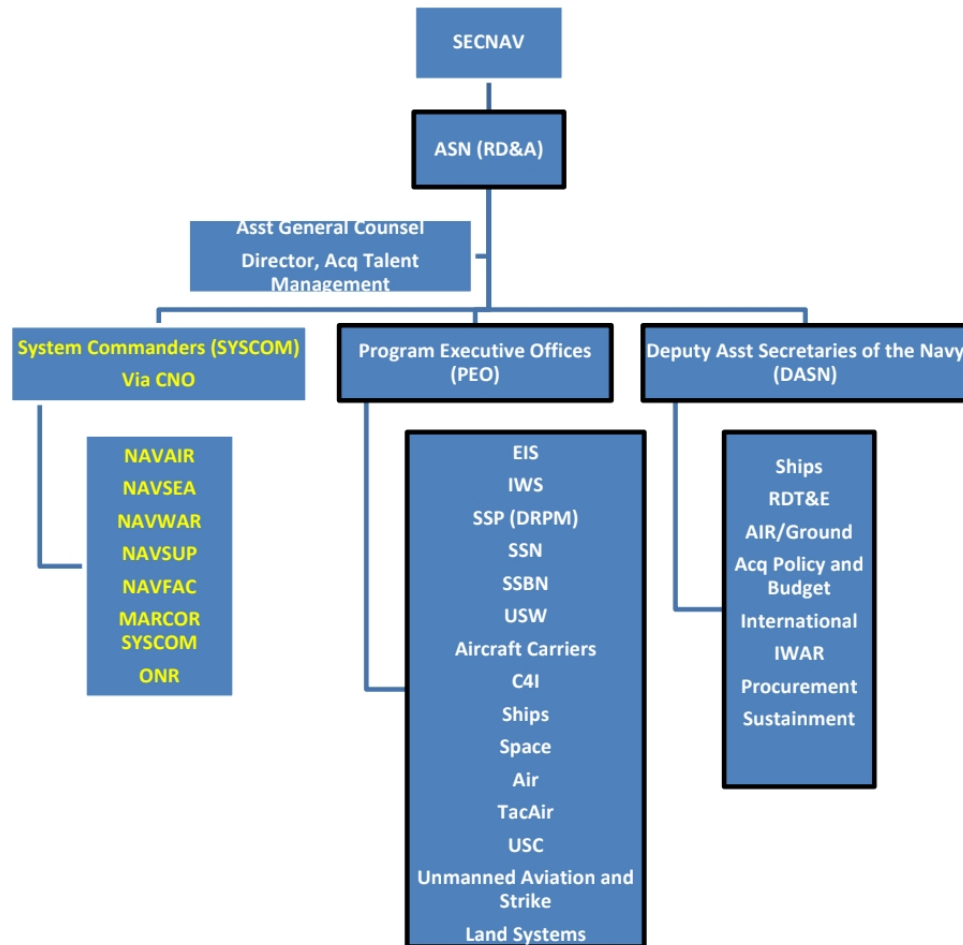
Flag/PEO billets (current).

EDO-led today: ASN(RD&A)’s Principal Military Deputy (PMILDEP) (Vice Admiral (VADM) Seiko Okano), Commander, Naval Information Warfare Systems Command (COMNAVWAR) (Rear Admiral (Upper Half) (RADM) J. Kurt Rothenhaus), Program Executive Office, Ships (PEO Ships) (RADM Brian Metcalf), Program Executive Office, Aircraft Carriers (PEO CVN) (RADM Casey Moton), and Program Executive Office, Attack Submarines (PEO SSN) (RADM Jonathan Rucker) anchor TA and acquisition governance for the community [10, 11, 12, 13, 14].

Non-EDO leaders (awareness): NAVSEA 08 is currently ADM William J. Houston (Submarine officer), Program Executive Office, Integrated Warfare Systems (PEO IWS) is RDML Thomas J. Dickinson (Surface Warfare Acquisition Professional), Program Executive Office, Manpower, Logistics and Business IT (PEO MLB) is RDML Kevin P. Biehn (Surface Warfare Acquisition Professional), NAVSEA 05 is RDML Jay A. Seif (Submarine Acquisition Professional), and Program Executive Office, Unmanned and Small Combatants (PEO USC) is filled by an SES (formerly RDML Kevin R. Smith) [15].

(Appendix C.2: See Appendix C.2 for the current flag billet roster and non-EDO billets.)

Figure 1.3 shows the Navy acquisition governance chain of command.



2.1.1 Command Structures

Figure 1.3. Acquisition Governance Chain of Command. Source: 2.1.1. Command Structures, 2025 [1]

1.1.7 ASN (RD&A) Organization

Current as of 2025-12-18, the ASN(RD&A) team is led by Mr. Jason L. Potter (Performing the Duties) with PMILDEP VADM Seiko Okano supporting Department of the Navy acquisition governance. Figure 1.4 shows the current office alignment, and

Tables II and III capture roles and responsibilities for the ASN(RD&A), PMILDEP, and Deputy Assistant Secretary of the Navys (DASNs).

Focus areas. Open systems, DevSecOps, cyber-resilient systems, Artificial Intelligence and Machine Learning (AI/ML), and continuous improvement in acquisition business models and execution [1].

Stakeholders. The Department of the Navy workforce, Congress, the public, industry and academia, international partners, and interagency partners [1].

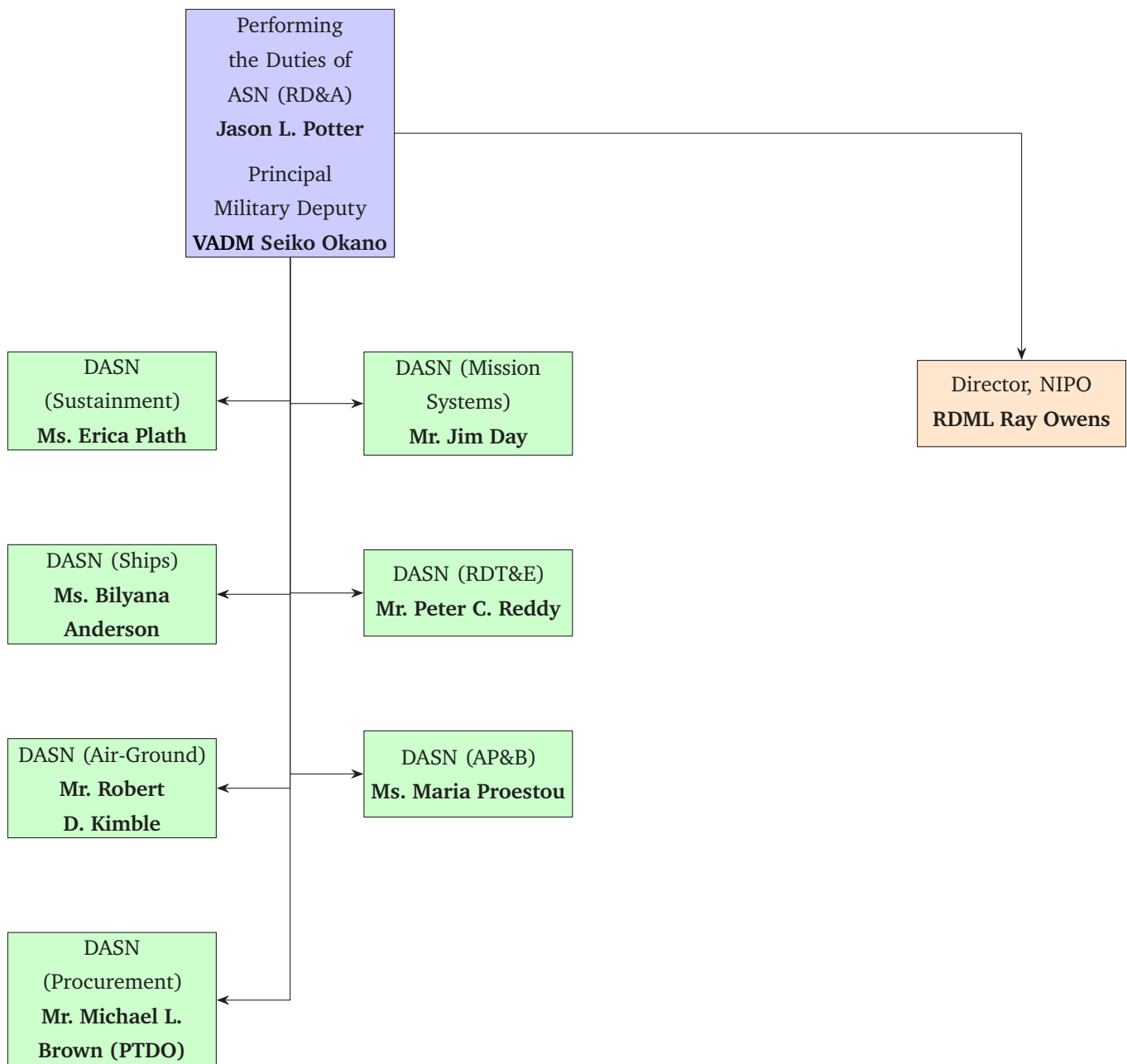


Figure 1.4. ASN (RD&A) organization chart (current as of 2025-12-18). Source: ASN (RDA) Organization Chart, 2025 [16]

Table II lists the ASN(RD&A) and PMILDEP roles.

TABLE II: ASN (RD&A) LEADERSHIP ROLES

Role	Person	Roles and responsibilities
Performing the Duties of ASN (RD&A)	Jason L. Potter	Serves as the DON SAE with authority and accountability for acquisition functions, policy, and program oversight; represents the DON to OSD and Congress; and acts as Milestone Decision Authority for ACAT IC programs.
PMILDEP	VADM Seiko Okano	Provides senior military advice to the ASN (RD&A), helping manage DON research, development, and acquisition activities and delivering operational perspective across the enterprise.

Source: ASN (RDA) Organization Chart, 2025 [16]

Table III summarizes the DASNs portfolio leads and their responsibilities.

TABLE III: DEPUTY ASSISTANT SECRETARIES OF THE NAVY (ASN (RD&A))

Office	Person	Roles and responsibilities
DASN (Sustainment)	Ms. Erica Plath	Principal advisor on sustainment; leads the enterprise Naval Sustainment System framework, sets sustainment policy, reviews program performance, and modernizes infrastructure to reduce costs and strengthen the supply chain.
DASN (Ships)	Ms. Bilyana Anderson	Principal advisor for aircraft carriers, surface ships, and submarines; monitors NAVSEA and PEOs for ships and submarines; and advises on the shipbuilding industrial base, ship disposal, and donation.
DASN (Air-Ground Programs)	Mr. Robert D. Kimble	Principal advisor for aircraft, ground systems, cruise missiles, and air-launched weapons; oversees programs managed by PEO (Air), Tactical Aircraft, Unmanned Aviation, Joint Strike Fighter, and Land Systems.
DASN (Procurement)	Mr. Michael L. Brown (PTDO)	Leads the DON contracting community; serves as the DON Competition Advocate General; establishes contracting, services acquisition, and government property policy; and drives improvements to the procurement system.
DASN (Mission Systems)	Mr. Jim Day	Principal advisor for C4I, enterprise IT, and business systems; dual-hatted as the DON CIO Chief Technology Officer; and provides acquisition oversight for PEO C4I, PEO Digital, and PEO MLB.
DASN (RDT&E)	Mr. Peter C. Reddy	Principal advisor for Navy science, technology, advanced RDT&E, and system prototype programs; leads the Department Chief Systems Engineer and the Deputy for Test and Evaluation.

Continued on next page

TABLE III: DEPUTY ASSISTANT SECRETARIES OF THE NAVY (ASN (RD&A)) (Continued)

Office	Person	Roles and responsibilities
DASN (AP&B)	Ms. Maria Proestou	Principal advisor for acquisition policy (including Earned Value Management), the PPBE process, and Congressional affairs; directs Navy ACAT program analyses; manages the ASN (RD&A) information system; and oversees corporate operations.
Director, NIPO	RDML Ray Owens	Leads NIPO in managing and implementing international security assistance programs, cooperative development, and technology security policy to build integrated capability with allies and partners.

Source: ASN (RDA) Organization Chart, Deputy Assistant Secretary of the Navy (Ships), Deputy Assistant Secretary of the Navy (Research, Development, Test and Evaluation), Deputy Assistant Secretary of the Navy (Air-Ground Programs), Deputy Assistant Secretary of the Navy (Acquisition Policy and Budget), Navy International Programs Office (NIPO), Deputy Assistant Secretary of the Navy (Information Warfare), Deputy Assistant Secretary of the Navy (Procurement), Deputy Assistant Secretary of the Navy (Sustainment), 2025, 2025, 2025, 2025, 2025, 2025, 2025, 2025, 2025, 2025 [16, 17, 18, 19, 20, 21, 22, 23, 24]

1.1.8 OPNAV Organization and CNO Principal Assistants

OPNAV role. OPNAV is the CNO's staff within the administrative chain, responsible for translating naval policy, requirements, and resourcing guidance into executable direction across the Fleet and Shore Establishment [1, 5].

TABLE IV: CNO PRINCIPAL ASSISTANTS (N-CODES)

N-code	Primary responsibilities
N1	Manpower, personnel, training, and education policy and readiness.
N2/N6	Information warfare, intelligence, cyber, command and control, and related information capabilities.
N3/N5	Operations, plans, and strategy; joint operations and campaign planning.
N4	Readiness and logistics, including supply, ordnance, energy, and mobility.
N7	Warfighting development, concepts, and integration.
N8	Integration of capabilities and resources; PPBE resourcing and assessment.
N9	Warfare systems requirements and resourcing across major warfighting domains.

Source: 2.1.1. Command Structures, 2025 [1]

1.1.9 Fleet Forces, TYCOMs, and Numbered Fleets

USFF mission. U.S. Fleet Forces (USFF) executes the Prepare the Force and Provide the Force functions, generating ready forces for CNO and CCDRs, and delivering trained, equipped forces to operational commanders [1, 25].

Type Commanders (TYCOMs). Type Commanders (TYCOMs) supervise specific categories of forces and balance readiness, manning, training, and equipment; they are in the administrative chain of command [1].

Numbered Fleets. Numbered Fleet Commanders report to the appropriate CCDRs; 2nd, 3rd, and 4th Fleets are home-ported in the U.S., 5th, 6th, and 7th Fleets are forward-based, and 10th Fleet operates in cyberspace [1].

1.1.10 Echelons and Enterprise Construct

Echelons. The CNO is Echelon I; commands reporting to the CNO are Echelon II; commands reporting to Echelon II are Echelon III, and so on [1].

Enterprise construct. Requirements are set by warfighters; providers (PEOs, SYSCOMs, and warfare centers) design, acquire, build, and maintain; resources are programmed and budgeted to deliver the capability [1].

1.1.11 Approving Authorities

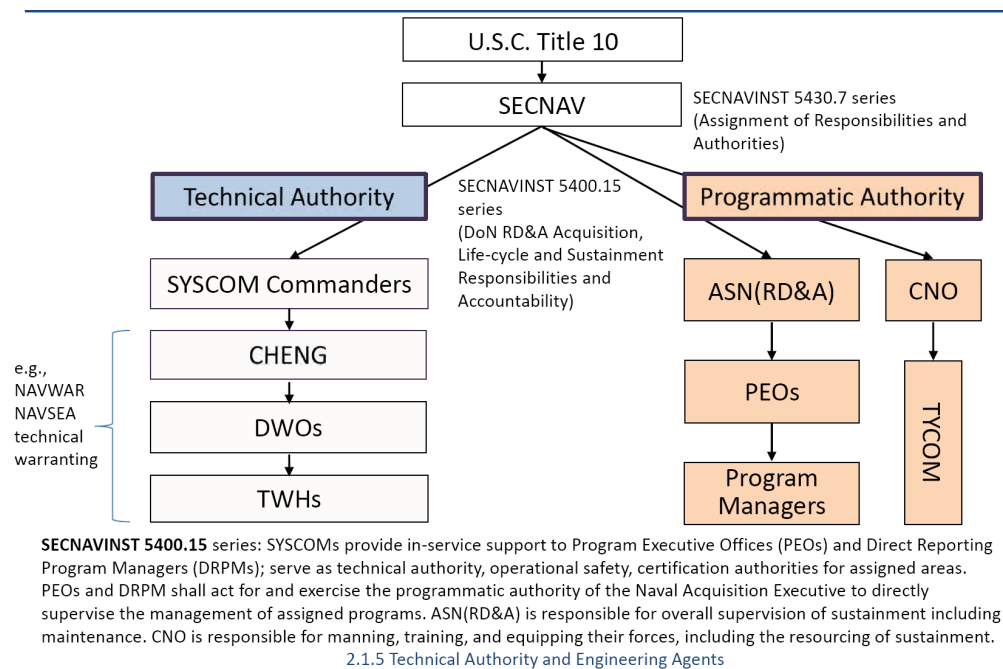


Figure 1.5. Technical Authority v.s. Program Authority alignment. Source: 2.1.5. Technical Authority and Engineering Agents, 2025 [26]

Figure 1.5 contrasts the roles of TA and Program Authority (PA) in Navy acquisition.

1.2 Technical Authority and Engineering Agents

1.2.1 Definition of technical authority

Definition. TA is the authority, responsibility, and accountability to establish, monitor, and approve technical standards, tools, and processes in conformance with higher authority policy, requirements, architectures, and standards [26].

Process focus. The exercise of TA establishes and assures adherence to technical standards and policies, providing a range of technically acceptable alternatives with risk and value assessments [26].

1.2.2 Ultimate technical authority

Inherently governmental. Technical authority is an inherently governmental function assigned to SYSCOM commanders by SECNAV [26].

Ships and most weapons systems. Commander, NAVSEA (COMNAVSEA) is the ultimate technical authority for ships and most weapons systems [26].

C4ISR, cybersecurity, and IT. Commander, NAVWAR (COMNAVWAR) is the ultimate technical authority for Command, Control, Communications, Computers, Intelligence, Surveillance, and Reconnaissance (C4ISR), cybersecurity, and Information Technology (IT) systems [26].

Policy basis. Title 10 and SECNAVINST 5400.15 series underpin the technical authority structure [26].

1.2.3 Responsibilities of technical warrant holders

Responsibilities of Technical Warrant Holders (TWHs) include the following technical competencies [26].

Set technical standards. Create standards and tailor them to specific program applications while balancing requirements with intended missions.

Technical area expertise. Provide expert testimony (risk assessments, technology readiness evaluations, critiques, mishap investigations, trouble reports, test plans, and test evaluation reviews).

Safe and reliable operations. Ensure safety and reliability are addressed in technical documentation and act as certification authority when required.

Effective systems engineering. Ensure engineering and technical products meet Navy needs, considering full life-cycle and system-of-systems relationships.

Unbiased technical judgment. Provide leadership and accountability for engineering decisions; promote communication so technical requirements, issues, and risks are identified early.

Stewardship. Forecast, shape, and develop the capability and capacity of engineering support networks.

Accountability and integrity. Balance speed to decision, expertise of empowered organizations, and the need to elevate significant issues.

1.2.4 Technical authority interfaces

Risk discussion. Technical decisions are part of the cost, schedule, and performance risk discussion [26].

Stakeholder balance. Stakeholders (Program Management Office (PMO), Naval Shipyard (NSY), Fleet) balance risk with technical requirements [26].

Recommendations. Technical authorities assess risk and provide recommendations and acceptable alternatives to programmatic authorities when operational or programmatic challenges arise [26].

1.2.5 Need for technical authority

USS DOLPHIN (AGSS-555) CASE

Incident. On 21 May 2002, USS Dolphin was operating 100 miles off San Diego when the ship began flooding while surfaced to recharge the battery; fires broke out and most of the crew prepared to abandon ship, but two crew members prevented total loss [26].

Technical risk. A black D-shaped sponge gasket was substituted for the specified red silicone without technical authority authorization; the Mk 54 shield side door opened in heavy seas, water entered the submarine, flooded spaces, and power was lost for de-watering [26].

WHY TECHNICAL AUTHORITY IS REQUIRED

Disciplined processes. Develop and employ consistent, disciplined, collaborative engineering processes that provide safe, reliable, effective, integrated, timely, and affordable products for the Navy [26].

Standards and tools. Establish, monitor, and approve standards, tools, and processes to provide risk-based solutions to the Fleet [26].

Core process oversight. Oversee technology development, systems engineering, cost estimating, and test and evaluation [26].

Technical infrastructure. Operate and sustain the most efficient technical infrastructure to support acquisition, fielding, and in-service support [26].

Senior support. Support ASN(RD&A) and CNO analysis of mission areas, systems, and requirements [26].

1.2.6 Technical authorities and warrant holders

TECHNICAL AUTHORITIES

Chief Systems Engineer (CSE). Facilitates, collaborates, and coordinates with Technical Domain Managers within their warranted area to ensure proper oversight of technical authority (for example, ballistic missile defense, C4ISR, space) [26].

Technical Domain Manager (TDM). Provides deep technical expertise to programs and activities (marine engineering, structures, fluid mechanics) [26].

Senior Technical Authority (STA). Certifies sufficient risk mitigation and maturity for critical systems to proceed past Milestone B; Title 10 USC §8669b requires SECNAV to establish an STA for each naval vessel class; STAs are dual-hatted as CSE Deputy Warranting Officers [26].

TECHNICAL WARRANT HOLDERS

Ship Design Manager (SDM). Manages systems engineering and design efforts for assigned platforms (in-service, new construction, future design) [26].

Systems Integration Manager (SIM). Assists SDMs in systems engineering integration of complex warfare systems into platforms (for example, ASW or DDG 51/CG 47 combat systems) [26].

Cost Engineering Manager (CEM). Ensures independent cost engineering and estimating for Navy programs (CVN, submarines, surface platforms) [26].

Technical Area Expert (TAE). Navy expert in the assigned product technical area (propulsion, missiles, shock, combat systems) [26].

Technical Process Owner (TPO). Provides definition and documentation for assigned technical processes [26].

Waterfront Chief Engineer (WFCHENG). Leads and focuses technical efforts of SYSCOMs from the waterfront (NSY, regional maintenance centers, Supervisor of Shipbuildings (SUPSHIPS), NAVWAR) [26].

1.2.7 NAVSEA warranting structure (overview)

Leadership. COMNAVSEA; NAVSEA Chief Engineer (SEA 05); Deputy Warranting Officers [26].

Deputy Warranting Officer domains. Cost Engineering and Industrial Analysis (SEA 05C); Explosive Ordnance Engineering (SEA 05E); Warfare Systems Engineering, Littoral and Mine Warfare (SEA 05M); Surface Ship Design and Systems Engineering (SEA 05D); Integrated Warfare Systems Engineering (SEA 05H); Undersea Warfare Systems Engineering (SEA 05N); Ship Integrity and Performance Engineering (SEA 05P); Readiness and Logistics (SEA 05R); Submarine and Submersible Design and Systems Engineering (SEA 05U); Aircraft Carrier Design and Systems Engineering (SEA 05V); Surface Warfare Systems Engineering (SEA 05W); Marine Engineering (SEA 05Z) [26].

Warrant holders. Ship Design Managers, Waterfront CHENGs, Warfare Systems Engineers, Technical Area Experts, Technical Process Owners, and Cost Engineering Managers [26].

Engineering agents. Engineering agents execute delegated technical tasks in support of warrant holders [26].

1.2.8 Resolving waterfront technical issues

Departure from specification (DFS). Use the DFS process with the lead technical authority (LTA) and align to the current ship's maintenance project (CSMP) [26].

Resolve at the lowest level. Conflicts within the technical community, or between technical authority and other stakeholders, are resolved at the lowest level with meaningful discussions about risk [26].

Get to yes safely. Avoid saying no when possible, avoid analysis paralysis, and use engineering judgment when data is not available; clearly explain why an operational restriction is needed [26].

Provide alternatives. The technical community provides reasons and alternatives; if stakeholders still disagree, issues are elevated up the chain of command for adjudication [26].

Underway authority. The ship's Commanding Officer (CO) retains technical authority while underway to support mission accomplishment [26].

1.2.9 Approving authorities

Policy chain. U.S.C. Title 10, SECNAVINST 5430.7 series, and SECNAVINST 5400.15 series define assignment of responsibilities and authorities [26].

SYSCOM role. SYSCOMs provide in-service support to PEOs and direct reporting program managers; they serve as technical authority and operational safety and certification authorities for assigned areas [26].

Programmatic authority. PEOs and direct reporting program managers exercise programmatic authority for assigned programs on behalf of the Naval Acquisition Executive [26].

Sustainment oversight. ASN(RD&A) is responsible for overall supervision of sustainment; CNO is responsible for manning, training, and equipping forces, including sustainment resourcing [26].

1.2.10 Engineering Agents (EAs)

Definition. Engineering Agents (EAs) are organizations (government or private contractor) with responsibilities delegated by assigning documents and tasking for functions within their assigned technical area, system, or mission [26].

Lifecycle support. EAs provide technical services to TWHs, program managers, and Fleet customers throughout a system's life-cycle [26].

1.2.11 Types of Engineering Agents

Five types. Technical Direction Agent (TDA), Design Agent (DA), Systems Integration Agent (SIA), Alteration Engineering Agent (AEA), and In-Service Engineering Agent (ISEA) [26].

Lifecycle coverage. Engineering agents exercise acquisition responsibilities across the acquisition life-cycle [26].

1.2.12 Technical Direction Agent (TDA)

Responsibilities. Develop and analyze engineering concepts; develop system specifications; evaluate design agent proposals; assist in developing the test and evaluation master plan (TEMP) [26].

Purpose. Assist in establishing initial program concepts, performance specifications, Research, Development, Test, and Evaluation (RDT&E), and alternative technical approaches [26].

1.2.13 Design Agent (DA)

Responsibilities. Develop initial and complete engineering design and prototypes; prepare technical data; prepare maintenance support documentation; review engineering change proposals and waivers or deviations for impact on design, performance, safety, producibility, maintainability, life-cycle cost, training, and interfaces [26].

Purpose. Translate performance specifications into engineering specifications for the ship and its systems [26].

1.2.14 System Integration Agent (SIA)

Responsibilities. Ensure equipment and software compatibility; advise the system manager of interface problems; coordinate with other system managers; support TDA in T&E as required; review engineering change proposals for impact on interfaces [26].

Purpose. Ensure compatibility of all elements that make up a system and its interface requirements [26].

1.2.15 Acquisition Engineering Agent (AEA)

Responsibilities. Review technical manuals and Maintenance Requirement Cards (MRCs) for accuracy; analyze and report production costs and issues; assist in developing maintenance concepts and criteria for all levels of maintenance [26].

Purpose. Provide logistics support prior to production or major modification improvement programs [26].

1.2.16 In-Service Engineering Agent (ISEA)

Responsibilities. Support and provide life-cycle maintenance; recommend corrections to deficiencies in all areas of life-cycle support; manage configuration of equipment; provide engineering assistance to the Fleet [26].

Purpose. Delegated functions for overall engineering, test, maintenance, and logistics of in-service equipment [26].

1.2.17 Engineering agent assignment examples

The following examples are not an all-inclusive list [26].

MK 31 RAM Guided Missile Weapon System. PMO: PEO IWS 11; TDA: JHU/APL; DA: Raytheon Missile Systems; AEA: NSWC Port Hueneme Division; SIA: JHU/APL; SSA: Raytheon Missile Systems; ISEA: NSWC Port Hueneme Division [26].

Diesel engines. PMO: NAVSEA 05Z21; TDA: –; DA: NSWC Philadelphia Division; AEA: NSWC Philadelphia Division; SIA: NSWC Philadelphia Division; SSA: NSWC Philadelphia Division; ISEA: NSWC Philadelphia Division [26].

AN/SLQ-25 Nixie torpedo decoy. PMO: PEO IWS 5; TDA: NUWC Newport Division; DA: Boeing; AEA: NUWC Newport Division; SIA: –; SSA: NUWC Newport Division; ISEA: NUWC Newport Division [26].

Assignment and funding. Programmatic authorities select, assign, task, and fund engineering agents; private sector engineering agents are tasked and funded via contractual vehicles [26].

Scope definition. The Engineering Agent Responsibilities Document (EARD) defines scope and limits of technical responsibilities [26].

Acronym notes. JHU/APL = Johns Hopkins University Applied Physics Laboratory; NSWC PHD = Naval Surface Warfare Center Port Hueneme Division; NSWC PD = Naval Surface Warfare Center Philadelphia Division; NUWC ND = Naval Undersea Warfare Center Newport Division; SSA = Software Support Agent [26].

1.2.18 Summary check

Definition of technical authority. Authority, responsibility, and accountability to establish, monitor, and approve technical products and processes in conformance with higher authority policy, requirements, architectures, and standards [26].

Ultimate technical authority for ships and weapon systems. COMNAVSEA [26].

Ultimate technical authority for C4ISR, cyber, and IT. COMNAVWAR [26].

Five engineering agent types. Technical Direction Agent, Design Agent, System Integration Agent, Acquisition Engineering Agent, In-Service Engineering Agent [26].

Six technical warrant holder types. Ship Design Manager, Systems Integration Manager, Cost Engineering Manager, Technical Area Expert, Technical Process Owner, Chief Engineer [26].

1.3 NAVSEA Organization and Warfare Centers

1.3.1 Mission, priorities, and vision

Mission. Design, build, deliver, and maintain ships, submarines, and systems reliably, on time, and on cost for the United States Navy. NAVSEA is the force behind the fleet, with the primary mission of life-cycle engineering of ships and ship systems [27].

Mission priorities. Deliver combat power, transform digital capabilities, and build a team to compete and win [27].

Vision. “Expand the advantage” by ensuring the United States Navy can protect and defend America, operating with a modern industrial base, serving as a world-class employer of choice, and setting the value-added standard for acquisition, engineering, business, and maintenance [27].

1.3.2 Major functions and scope

Major functions. Oversee core processes for acquisition, in-service support, weapon systems, IT, engineering systems, cybersecurity systems, demilitarization, and disposal. Core functions include cost estimating, technical development and readiness assessment, systems engineering, manufacturing, integrated logistics, maintenance and modernization, and comptroller/legal/contracting support services [27].

Assigned ships and systems. Surface ships, aircraft carriers, submarines, submersibles, Hull, Mechanical, and Electrical (HM&E) systems, combat systems, ordnance, chemical/biological/radiological defense material, and towing/salvage equipage [27].

Technical authority. Exercises technical and certification authority across ships and ship systems [27].

1.3.3 Corporate overview

Organization. Headquarters command staff and directorates at Washington Navy Yard provide policy, guidance, oversight, and support across financial management, contracting, logistics/maintenance/industrial operations, engineering, undersea warfare, corporate operations, IT, legal support, and security. NAVSEA includes 42 field activities and 30+ detachments (naval shipyards, regional maintenance centers, SUPSHIPS, warfare centers, and other field activities) [27].

Budget. Approximately \$64B (Fiscal Year (FY) 2023), about one-fourth of the Navy budget [27].

People. 86,886 civilian and military personnel [27].

Acquisition scope. 150+ acquisition programs across NAVSEA and seven affiliated PEOs [27].

1.3.4 Organizational management approaches

Functional organization. Expertise grouped by discipline (e.g., engineering, contracting, logistics), emphasizing depth and standardization [27].

Product/project organization. Resources organized around a specific platform or product line to drive ownership, schedule focus, and rapid decisions [27].

Matrix organization. Functional resources support projects as needed; NAVSEA and affiliated PEOs operate as a matrix to balance technical authority with program execution [27].

1.3.5 Program management relationships

PEO reporting. PEOs report to the ASN(RD&A) for acquisition matters and to Commander, Naval Sea Systems Command (COMNAVSEA) for in-service support and modernization [27].

Ship Program Manager (SPM) and Participating Acquisition Resource Manager (PARM). The SPM owns platform acquisition and life-cycle management; the PARM manages acquisition and life-cycle support for major subsystems (e.g., combat systems) [27].

Ship Acquisition Program Manager (SHAPM) and Ship Lifecycle Manager (SLM). SHAPM focuses on acquisition for the ship/submarine platform; SLM manages in-service life-cycle responsibilities for the platform [27].

Ship Project Directive (SPD). The SPD is the contract-like agreement between the platform manager (SPM or SHAPM/SLM) and the PARM; it may be fulfilled by a 7300 document [27].

1.3.6 Directorates and major commands

NAVSEA headquarters staff code (SEA) 01 — Comptroller. Provides financial management accountability for NAVSEA, executes 1301/1517 authorities, manages the chart of accounts and allocations for headquarters and PEO appropriated funds, serves as the Budget Submitting Office (BSO), and owns enterprise financial management processes and closeout actions [27].

SEA 02 — Contracts. Serves as contracting officer support to NAVSEA, PEOs, and Program Managers (PMs), including new construction (SEA 022), HM&E/ocean engineering and regional maintenance (SEA 024), surface ship systems (SEA 025), and undersea/electronic surveillance/special operations (SEA 026) [27].

SEA 03 — Cyber Engineering and Digital Transformation. NAVSEA cybersecurity technical authority (with NAVWAR as lead SYSCOM); provides infrastructure and support services for programs and developers, including cybersecurity guidance, IT services, and digital transformation across the enterprise [27].

SEA 04 — Industrial Operations. Exercises management control of naval shipyards, sets NAVSEA logistics policy, provides programmatic logistics support to PMs/PEOs/DRPMs, manages logistics RDT&E, and audits quality assurance performance. SUPSHIPS execute shipbuilding contracts on-site, overseeing cost, schedule, and quality and providing contracting, engineering, quality assurance, and resource management services [27].

SEA 05 — Naval Systems Engineering. Provides technical authority for ship design, integration, certification, and system engineering; resolves cross-platform performance issues; leads concept development and technology insertion strategy; and manages the engineering/science workforce across NAVSEA [27].

SEA 06 — Sustainment. Reestablished in 2024 to consolidate logistics and sustainment support functions and improve fleet readiness through integrated sustainment policy and execution [27].

SEA 07 — Undersea Warfare. Dual-hatted as Program Executive Office, SSBN (PEO SSBN); provides life-cycle support to in-service submarine and undersea forces, including Submarine Safety Program (SUBSAFE) and deep submergence systems (PMS 07Q) and logistics/product support management (PMS 07L) [27].

Team Submarines. A submarine-centric enterprise that unites research, acquisition, and life-cycle support across PEO SSN, PEO SSBN, Program Executive Office, Undersea Warfare Systems (PEO UWS), and related integration offices (including the Australia, United Kingdom, and United States security partnership (AUKUS) direct reporting program office) to remove stovepipes and improve submarine force readiness [27].

SEA 08 — Nuclear Propulsion. Manages all technical matters for naval reactors; triple-hatted as Deputy Commander for Nuclear Propulsion (SEA 08), Director of Naval Nuclear Propulsion (OPNAV 00N), and Deputy Administrator for Naval Reactors within the National Nuclear Security Administration [27].

SEA 09 — Safety and Regulatory Compliance. Consolidates explosives safety, weapon systems safety, industrial/occupational safety, environmental compliance, and radiological controls (excluding Naval Reactors systems) to align safety oversight and reporting [27].

SEA 10 — Total Force and Corporate Operations. Provides enterprise operations support for NAVSEA directorates, field activities, and PEOs, including manpower/budget management, corporate planning, acquisition support, Foreign Military Sales (FMS)

and security assistance, human resources/ Equal Employment Opportunity (EEO), facilities, directives, security, and customer services [27].

SEA 21 – Surface Ship Maintenance, Modernization and Sustainment. Manages in-service surface ship modernization and sustainment for non-nuclear ships, including PMS 321, PMS 326, PMS 339, PMS 421, PMS 443, PMS 451, SEA 21I, and the Surface Maintenance Engineering Planning Program (SURFMEPP) activity [27].

Note

Directorate names and alignments are subject to change; use the official NAVSEA organization chart for the current structure.

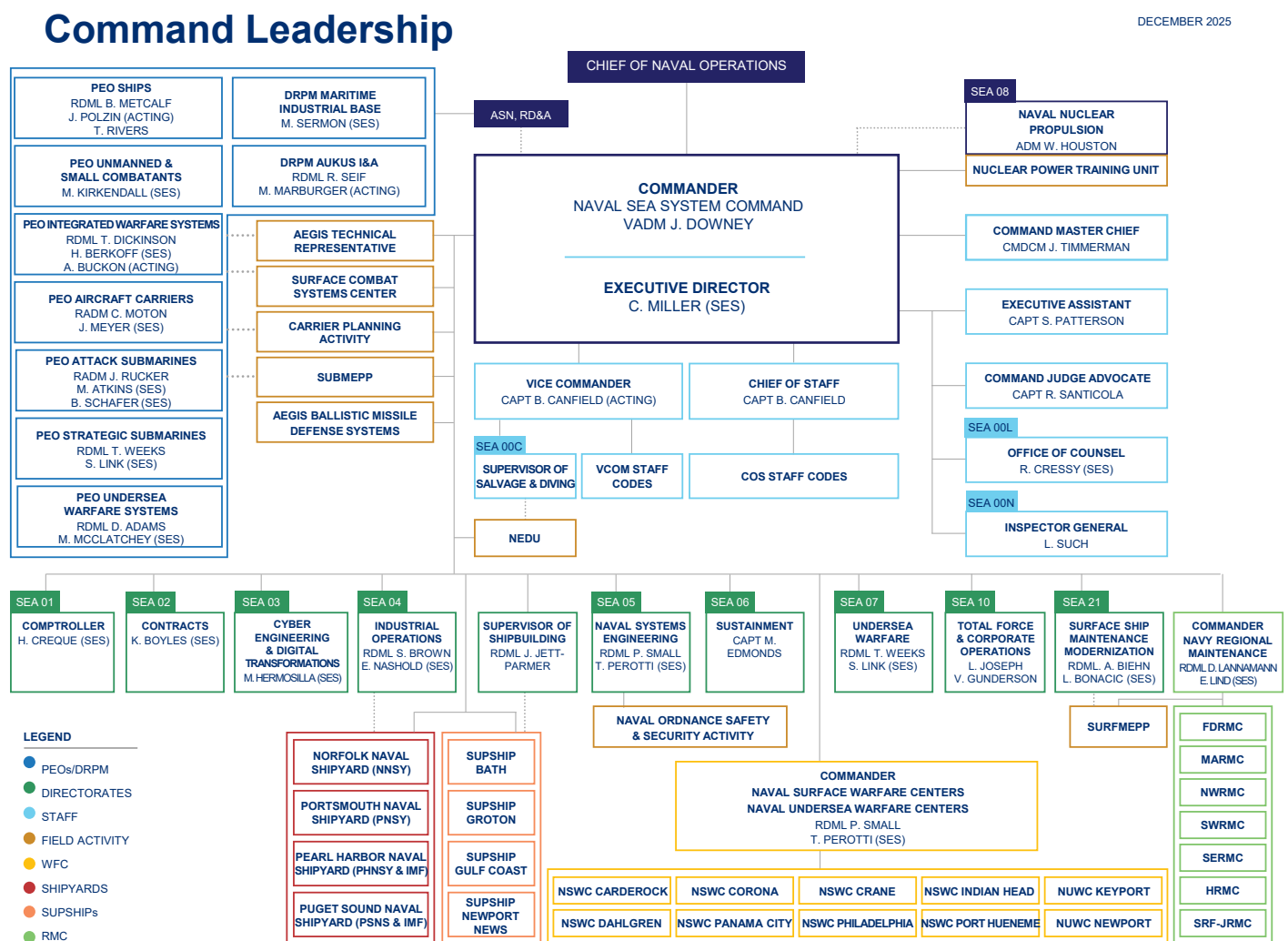


Figure 1.6. NAVSEA Organization Chart, December 2025. Source: NAVSEA Organization Chart (December 2025), 2025 [15]

1.3.7 Program Executive Offices (PEOs) affiliated with NAVSEA

- PEO (role).** Directs multiple acquisition programs and major system portfolios; reports to ASN(RD&A) for acquisition matters and to COMNAVSEA for in-service support. PMs report to the PEO and Milestone Decision Authority (MDA) for program execution [27].
- PEO Ships.** Manages acquisition for surface combatants (destroyers and next-generation destroyer programs), amphibious ships (Landing Helicopter Dock (LHD)/ Landing Helicopter Assault (LHA)/ Landing Platform Dock (LPD)), and auxiliary/support ships, plus related activities including FMS and the Electric Ships Office [27].
- PEO USC.** Delivers unmanned maritime systems, mine warfare systems, and small surface combatants such as Littoral Combat Ship (LCS) and the Constellation-class frigate, emphasizing rapid delivery to the fleet [27].
- PEO SSN.** Focal point for attack submarine design, construction, and in-service support (e.g., VIRGINIA-class new construction and in-service programs, advanced undersea systems, and Submarine Maintenance Engineering Planning Program (SUB-MEPP)) [27].
- PEO SSBN.** Manages COLUMBIA-class ballistic missile submarine design, construction, and in-service support, plus OHIO-class service life extension [27].
- PEO UWS.** Oversees submarine combat, weapons, acoustic, electromagnetic, surveillance, communications, training, and safety systems to improve undersea warfighting and cybersecurity across submarine platforms [27].
- PEO IWS.** Responsible for surface ship combat systems (combat management, sensors, missiles, launchers, electronic warfare, gun systems), open-architecture integration, and field activities such as the Aegis Technical Representative and Surface Combat Systems Center [27].
- PEO CVN.** Manages carrier RDT&E, design, construction, mid-life refueling/overhauls, and life-cycle support, including PMS 312 (in-service), PMS 378 (CVN 78), and PMS 379 (CVN 79/80) [27].

1.3.8 Warfare Centers (alphabetical)

Table V lists NAVSEA Warfare Centers with locations and descriptions. Figure 1.7 shows the geographic locations of NWCs. For the Engineering Duty Officer (EDO) board, most recommend drawing the US to show where the NWCs are located. The other option is to list them out, but a map is more visual.

TABLE V: NAVSEA WARFARE CENTERS WITH LOCATIONS AND DESCRIPTIONS.

Center	Location	Description
NSWC Carderock	West Bethesda, MD	Carderock Division is the U.S. Navy’s state-of-the-art <i>research, engineering, modeling, and test center for ships and ship systems</i> ; the Navy and maritime communities rely on it for advanced platforms, analytics, and cost-conscious performance improvements.

Continued on next page

TABLE V: NAVSEA WARFARE CENTERS WITH LOCATIONS AND DESCRIPTIONS. (Continued)

Center	Location	Description
NSWC Corona	Corona, CA	NSWC Corona Division is the Navy's independent <i>assessment agent</i> , leading NAVSEA <i>data analytics</i> and providing transparency for warfighting readiness, fleet LVC training integration, and metrology/calibration accuracy.
NSWC Crane	Crane, IN	NSWC Crane provides technical engineering solutions and total lifecycle leadership for many of the systems that protect and enable the Warfighter. Every decision we make, technology we create or business relationship we foster is performed with the fighting man and woman in mind. NSWC Crane has concentrated its resources and core competencies in the 3 mission areas which best support the Warfighter. The mission areas are <i>Strategic Mission</i> , <i>Electromagnetic Warfare</i> , and <i>Expeditionary Warfare</i> .
NSWC Dahlgren	Dahlgren, VA	The Naval Surface Warfare Center Dahlgren Division originally established itself as the major testing area for naval guns and ammunition. Today, it continues to provide the military with the <i>development and integration of warfare systems</i> for the warfighter, warfighting and the future fleet.
NSWC Indian Head	Indian Head, MD	As a field activity of the Naval Sea Systems Command, and part of the Navy's Science and Engineering Establishment, NSWC IHD is the Navy's premier facility for <i>ordnance, energetics and explosive ordnance disposal solutions</i> . We support the warfighter of today and tomorrow through discoveries that anticipate the next generation's future needs.
NSWC Panama City	Panama City, FL	The mission of NSWC, Panama City Division is to conduct research, development, test and evaluation, and in-service support of <i>mine warfare systems, mines, naval special warfare systems, diving and life support systems, amphibious and expeditionary maneuver warfare systems</i> , and other missions that occur primarily in coastal (littoral) regions.
NSWC Philadelphia	Philadelphia, PA	Provide research, development, test and evaluation, acquisition support, engineering, systems integration, in-service engineering and fleet support with cyber-security, comprehensive logistics, and life-cycle savings through commonality for <i>surface and undersea vehicle machinery, ship systems, equipment and material</i> .
NSWC Port Hueneme	Port Hueneme, CA	<i>Integrate, Test, Evaluate, and Provide Life-Cycle Engineering and Product Support for Warfare Systems.</i>
NUWC Keyport	Keyport, WA	Keyport's mission is focused on developing and applying advanced technical capabilities to test, evaluate, field, and maintain undersea warfare systems and related defense assets. These advanced technical capabilities directly support the full spectrum of Navy undersea programs.
NUWC Newport	Newport, RI	The Naval Undersea Warfare Center Division Newport provides research, development, test and evaluation, engineering, analysis, and assessment, and fleet support capabilities for submarines, autonomous underwater systems, and offensive and defensive undersea weapon systems, and stewards existing and emerging technologies in support of undersea warfare.

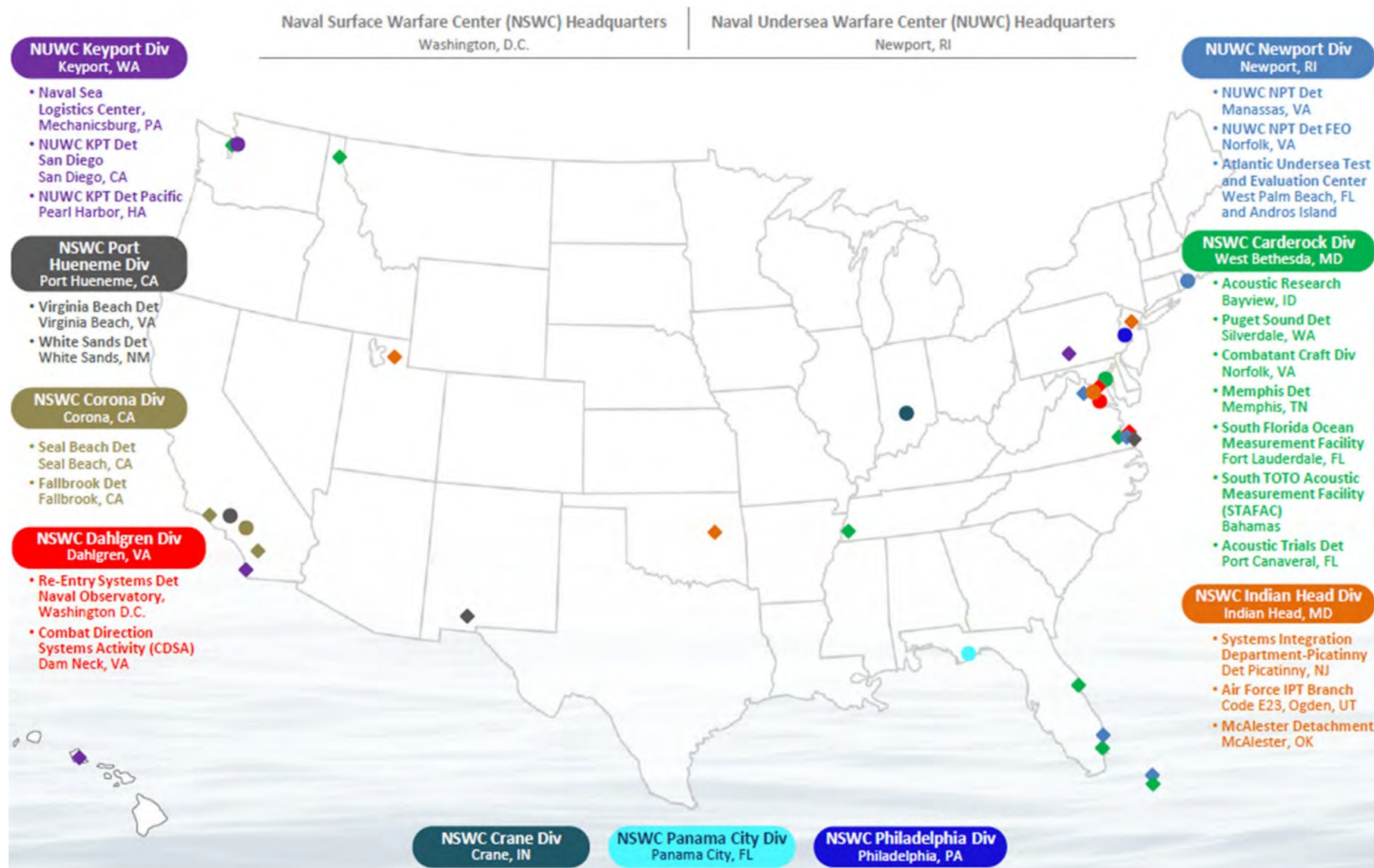


Figure 1.7. Geographic locations of Navy Warfare Centers. Source: NAVSEA Organization Chart (December 2025), 2.1.4. Naval Warfare Centers, 2025, 2025 [15, 28].

1.4 NAVWAR Enterprise

1.4.1 Team NAVWAR overview

Organization. The NAVWAR enterprise consists of the NAVWAR systems command (Echelon II), three affiliated PEOs (Program Executive Office, Command, Control, Communications, Computers, and Intelligence (PEO C4I), Program Executive Office, Digital and Enterprise Services (PEO Digital), PEO MLB), and three Echelon III activities: Naval Information Warfare Center Atlantic (NIWC LANT), Naval Information Warfare Center Pacific (NIWC PAC), and the NAVWAR Space Field Activity (NSFA) [29].

Team NAVWAR locations. More than 11,000 employees support fleet concentration areas and deployed operations world-wide [29].

1.4.2 Mission

Mission statement. Identify, develop, deliver, and sustain information warfighting capabilities and services that enable naval, joint, coalition, and other national missions from seabed to space, while providing research and development, systems engineering, test and evaluation, technical, in-service, and support services to PEOs across program life cycles [29].

1.4.3 NAVWAR directorates (competencies)

Table VI summarizes the NAVWAR directorates and their core functions. Figure 1.8 shows the organizational structure of the NAVWAR enterprise.

TABLE VI: NAVWAR DIRECTORATES AND CORE FUNCTIONS.

Code	Core functions
1.0 Comptroller	Financial management and cost estimating; chief financial advisor to NAVWAR leadership; directs PPBE inputs for NAVWAR and PEO programs.
2.0 Contracts	Acquisition contracting for ACAT and non-ACAT programs; contracting policy and strategic initiatives; cradle-to-grave contract support from RDT&E through sustainment and phase-out.
3.0 Counsel	Command legal support, intellectual property, environmental law, civilian personnel law, and acquisition legal support.
4.0 Logistics & Fleet Support	Programmatic logistics support to PMs and PEOs; develops and maintains NAVWAR logistics policy and procedures.
5.0 Chief Engineer	Technical authority for IT systems on ships, submarines, and shore installations; cybersecurity technical authority; resolves cross-platform system performance issues; manages the engineering/science workforce.
6.0 Program Management	Acquisition policy, process, and tools; acquisition workforce management; program management support and staffing.
7.0 Science & Technology	Research and applied science; forecasting, assessment, and technology transition.

Continued on next page

TABLE VI: NAVWAR DIRECTORATES AND CORE FUNCTIONS. (Continued)

Code	Core functions
8.0 Corporate Operations	Resource management and tracking; human resources (HRO), manpower, facilities, knowledge management, corporate strategy, enterprise IT policy, and Inspector General functions.

Source: 2.1.3. NAVWAR Enterprise, 2025 [29]

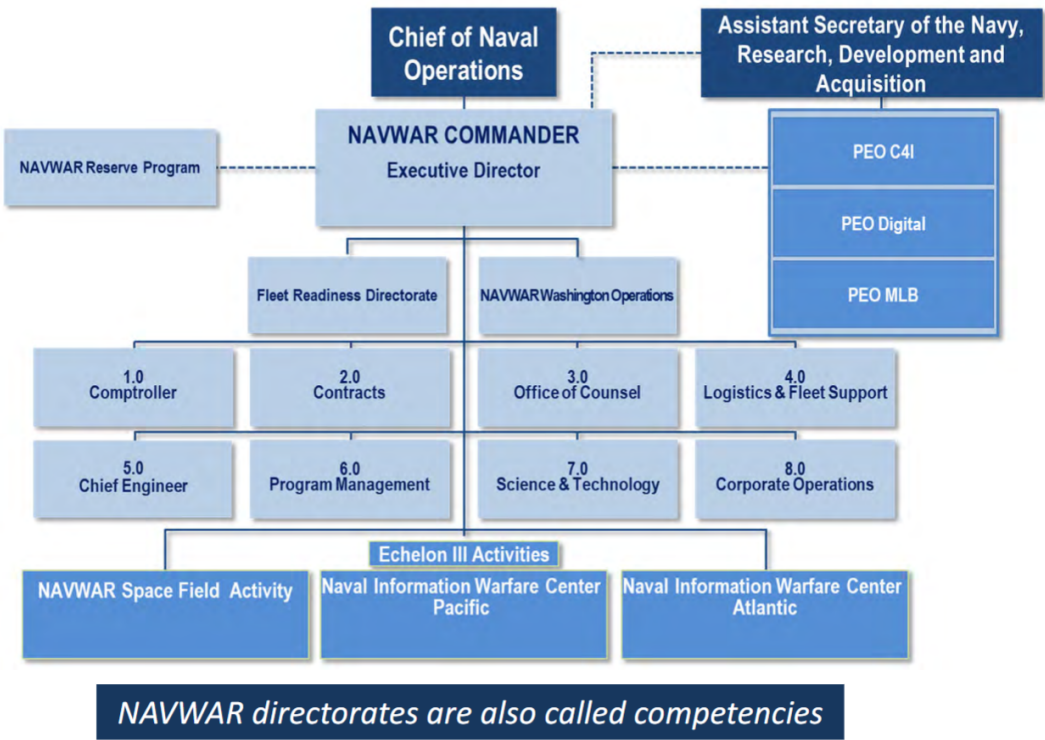


Figure 1.8. NAVWAR Organizational Chart. Source: 2.1.3. NAVWAR Enterprise, 2025 [29]

1.4.4 Fleet Readiness Directorate (FRD)

- Fleet single point of entry.** External engagement with TYCOMs, Fleet commanders, SYSCOMs, regional maintenance centers, naval shipyards, NAVWAR directorates, and external PMOs; leads installation, fleet support, and cyber readiness [29].
- NAVWAR accountability hub.** Internal coordination with Naval Information Warfare Centers (NIWCs), NAVWAR directorates, and Program Management Warfare Offices (PMWs) (100s, 700s) [29].
- Execution rigor.** Contracts with industry for afloat/ashore support, coordinates software loading and testing in CNO availabilities, and synchronizes hardware/software repair, patching, and sustainment [29].
- Branches.** FRD-100 (Fleet Support) and FRD-200 (Fleet Installations) [29].

1.4.5 Echelon III activities and core competencies

NIWC PACIFIC

Mission. Conduct research, development, prototyping, engineering, test and evaluation, installation, and sustainment of integrated C4ISR, cyber, and space systems across all warfighting domains [29].

Technology areas. Cyber operations; command and control communications and networks; production, installation, and in-service engineering; intelligence, surveillance, reconnaissance and information operations; science and technology; marine mammal programs; autonomous unmanned systems [29].

Key capability areas. Full life-cycle engineering for information warfare; cloud-based digital development with Development, Security, and Operations (DevSecOps) and digital twins; rapid prototyping and delivery; Artificial Intelligence (AI)/data science; applied electromagnetics and photonics; offensive/defensive cyber; positioning, navigation, and timing labs; and unique test facilities including San Clemente Island and integrated data-link test beds [29].



Figure 1.9. NIWC Pacific locations. Source: 2.1.3. NAVWAR Enterprise, 2025 [29]

NIWC ATLANTIC

Mission. Deliver information warfare solutions that protect national security, including communications systems, networking, cyber operations, intelligence and decision support applications, business systems, and information security [29].

Five departments. Fleet C4I and readiness; expeditionary warfare; enterprise systems; shore C2ISR and integration; science and technology [29].

Key capability areas. Surface ship and submarine C4I test and integration, cyber forensics and vulnerability assessment, enterprise data centers, satellite communications production and installation, electromagnetic interference testing, global distance support, air traffic control systems, and electronic security systems [29].



Figure 1.10. NIWC Atlantic locations. Source: 2.1.3. NAVWAR Enterprise, 2025 [29]

NAVAL SPACE FORCE ACTIVITY (NSFA)

Mission. Lead the United States (U.S.) Navy's participation in the National Reconnaissance Office (NRO) by providing naval warfare and acquisition expertise, coordinating naval space RDT&E with national reconnaissance programs, and enabling fleet use of national space capabilities [29].

Responsibilities. Facilitate interaction between the DON and NRO; coordinate research, development, and acquisition activities that support space-based intelligence collection [29].

1.4.6 Affiliated program executive offices

PEO MLB. DON manpower, logistics, and business IT acquisition agent; delivers MyNavy HR IT, Navy ERP financials, logistics IT, applications services, data transformation, and enterprise systems/innovation support portfolios [29].

PEO Digital. DON enterprise-wide IT acquisition agent; portfolios include naval enterprise networks, special networks and intelligence mission applications, naval commercial cloud services, special access program networks, enterprise IT strategic sourcing, and Marine Corps supporting establishment systems [29].

PEO C4I. Delivers command and control, intelligence sharing, terminals, and integration programs through capability development offices (PMW 120/130/150/160/170) and platform integration offices (PMW 740/750/760/770/790) to provide affordable, integrated, and interoperable Command, Control, Communications, Computers, and Intelligence (C4I) capability to the fleet [29].

1.5 Naval Warfare Centers

Warfare centers provide critical technical expertise to ensure current and future program success and fleet readiness [28].

1.5.1 Roles of the Warfare Centers

- Industry will not do. Not profitable or accepts too much liability.
- Industry should not do. Technical authority and certification work (for example, shock tests).
- Industry cannot do. Specialized facilities such as ranges and unique equipment.
- Program success. Provide technical advice and engineering leadership to make naval technical programs successful.
- Capability development. Help determine and develop the capabilities the Navy and Marine Corps need as trusted technical advisors.
- Quality and safety. Verify quality, safety, and effectiveness of platforms and systems through rigorous systems engineering.
- Urgent needs. Design, develop, and field solutions for urgent operational fleet needs.
- Warfighter bridge. Translate warfighter needs into technical requirements.

1.5.2 Reporting relationships

Warfare centers and divisions align under the Secretary of War and Under Secretary for Acquisition through the CNO (acquisition and fleet support) and the Navy Acquisition Executive ASN(RD&A) (tech base) [28].

TABLE VII: WARFARE CENTER REPORTING RELATIONSHIPS BY ORGANIZATION.

Organization	Reporting units
NAVWAR (Naval Information Warfare Systems Command)	NIWC Atlantic, NIWC Pacific, NAVWAR Space Field Activity (NSFA).
NAVAIR (Naval Air Systems Command)	Naval Air Warfare Center Aircraft Division (NAWCAD); Naval Air Warfare Center Weapons Division (NAWCWD).
NAVSEA (Naval Sea Systems Command)	Naval Surface Warfare Center (NSWC) divisions: Dahlgren, Corona, Crane, Carderock, Port Hueneme, Philadelphia, Panama City, Indian Head EOD Technology; Naval Undersea Warfare Center (NUWC) divisions: Keyport, Newport; Naval Sea Logistics Center (NSLC).
NAVFAC (Naval Facilities Engineering Systems Command)	Engineering and Expeditionary Warfare Center (EXWC).
Office of Naval Research (ONR)	Naval Research Laboratory (NRL).

Source: 2.1.4. Naval Warfare Centers, 2025 [28]

1.5.3 Warfare center missions

Full-spectrum role. The Navy's full-spectrum RDT&E, engineering, and fleet support centers for platforms, vehicles, systems, and facilities associated with a particular warfare area.

NAVWAR. C4I systems and information assurance.

NAVAIR. Aircraft and aircraft systems.

NAVSEA. Ships and ship systems.

NAVFAC. Facilities.

1.5.4 NAVWAR activities

NIWC PACIFIC

Locations. Everett, WA, with activity in Italy and Bahrain [28].

Mission. Navy's premier RDT&E laboratory supporting C4ISR; supports the development, acquisition, and fielding of leading-edge C4ISR systems for Navy, joint, and allied customers [28].

NIWC ATLANTIC

Mission. Primary NAVWAR provider for joint and homeland security C4ISR solutions; developer and employer of life-cycle logistics support solutions in a web-enabled portal environment; Navy provider of critical engineering and acquisition expertise for Navy and joint commands; rapid integrator of C4ISR technology providing interoperability to the Navy, federal agencies, and the joint warfighter [28].

Other locations. CONUS: Fayetteville, NC; Pax River, MD; Kings Bay, GA; Mayport, FL; Groton, CT; National Capital Region; Hampton Roads, VA; Charleston, SC (HQ); Tampa, FL; New Orleans, LA (SOCOM focus). OCONUS: Stuttgart, Germany; Naples, Italy; Bahrain [28].

Focus. Enterprise IT solutions and cradle-to-grave support of C4ISR systems [28].

NAVWAR SPACE FIELD ACTIVITY (NSFA)

Background. Established to coordinate naval space research activities within the NRO [28].

Mission. Provide line management staffing of naval space research at NRO [28].

Responsibilities. Facilitate interaction between the DON and NRO; coordinate all naval space research, development, and acquisition functions and activities [28].

1.5.5 NAVAIR warfare centers and divisions

NAWC AIRCRAFT DIVISION (NAWCAD)

Location. Patuxent River, MD; detachments at Lakehurst, NJ and Orlando, FL [28].

Mission. The Navy's principal RDT&E, engineering, and fleet support activity for naval aircraft, engines, avionics, aircraft support systems, aircraft launch and recovery, and ship, shore, and air operation [28].

Technical leadership areas. Airworthiness and engineering analysis; trainers and training development; Test Pilot School; test ranges; carrier support and aircraft launch and recovery equipment (ALRE); propulsion systems [28].

NAWC WEAPONS DIVISION (NAWCWD)

Location. China Lake and Point Mugu, CA [28].

Mission. Provide Navy and Marine Corps warriors with effective, affordable, integrated warfare systems and life-cycle support to ensure battlespace dominance [28].

Technical leadership areas. Perform RDT&E, logistics, and in-service support for guided missiles, free-fall weapons, targets, support equipment, crew systems, and electronic warfare; operate the Navy's western land and sea range test and evaluation complex; integrate weapons and avionics on tactical aircraft [28].

1.5.6 NAVSEA warfare centers and divisions

NAVAL SURFACE WARFARE CENTER (NSWC)

Location. Headquarters at Washington, DC [28].

Mission. Provide the right technology, the right capabilities, and the specialized research and development facilities to support all aspects of surface warfare [28].

Technical leadership areas. Ships and ship systems; surface ship combat systems; littoral warfare systems; Navy strategic weapon systems; ordnance; homeland and force protection; surface warfare logistics and maintenance; force level warfare systems [28].

NSWC CARDEROCK DIVISION

Location. West Bethesda, MD [28].

Mission. Provides RDT&E, fleet support, and in-service engineering for surface and undersea vehicle hull, mechanical and electrical systems (HM&E) and propulsors; provides logistics R&D [28].

Technical leadership areas. Hydromechanics (hull form, resistance measurement, prop design, maneuvering, seakeeping analysis); surface and submarine survivability; ship and submarine electromagnetic and optical signatures [28].

Life-cycle focus. Early life-cycle [28].

NSWC CORONA DIVISION

Location. Corona, CA [28].

Mission. Gauges the warfighting capacity of ships and aircraft, from unit to battlegroup level, by assessing the suitability of design, the performance of equipment and weapons, and the adequacy of training [28].

Technical leadership areas. Fleet exercise assessments; weapons and combat systems performance analysis; missile flight analysis; data collection, processing, reduction and display; trend and failure pattern analysis; test systems availability assessment; metrology systems engineering; material readiness assessment [28].

Life-cycle focus. Entire life-cycle [28].

NSWC CRANE DIVISION

Location. Crane, IN [28].

Mission. Advance multi-domain systems within electronic warfare, strategic systems hardware, and special and expeditionary warfare; conduct RDT&E, acquisition, and in-service engineering across the entire life-cycle [28].

Technical leadership areas. Electronic warfare systems RDT&E, acquisition, and sustainment; special warfare and expeditionary system hardware; strategic systems hardware; infrared countermeasures, pyrotechnic RDT&E, and life-cycle support; advanced electronics and energy systems; sensors and surveillance systems [28].

Life-cycle focus. Entire life-cycle [28].

NSWC DAHLGREN DIVISION

Location. Dahlgren, VA [28].

Mission. Research, develop, test and evaluate, analyze, engineer, integrate, and certify complex naval warfare systems related to surface warfare, strategic systems, combat and weapons systems [28].

Technical leadership areas. Surface ship combat systems software engineering (theater air defense, Aegis combat system, DDG 1000); certifies each strike group for interoperability; develop and certify targeting and fire control systems for Trident submarines [28].

Life-cycle focus. Early life-cycle [28].

NSWC DAHLGREN DIVISION DAM NECK ACTIVITY

Location. Dam Neck, VA [28].

Reporting. Echelon V command reporting to NSWC Dahlgren [28].

Command. EDO CDR command; O-5 command [28].

Technical leadership areas. Software development and maintenance for surface combat systems (non-Aegis); joint testing and training through links with Norfolk Naval Base, Dahlgren, Pax River, and Wallops Island [28].

Life-cycle focus. Post-production. Formerly CDSA Dam Neck [28].

NSWC INDIAN HEAD EXPLOSIVE ORDNANCE DISPOSAL TECHNOLOGY DIVISION (IHEODTECHD)

Location. Indian Head, MD [28].

Mission. Research, develop, test, evaluate, manufacture, and provide in-service support of energetics and energetic systems; provide warfighters with technology to detect, locate, access, identify, render safe, recover, exploit, and dispose of explosive threats [28].

Technical leadership areas. Energetics research, detonation science, chemical and physical characterization; weapons product development; ordnance test and evaluation; NAVSEA lead for weapon and combat systems packaging, handling, storage, and transportation; support the Joint Explosive Ordnance Disposal (EOD) technician; counter radio-controlled improvised explosive device electronic warfare (CREW) science and technology; only US source and DoW facility for many types of propellant and high-energy chemicals; one of two solvent-less extrusion plants in the US; model and scale-up warheads [28].

Life-cycle focus. Entire life-cycle [28].

NSWC PANAMA CITY DIVISION

Location. Panama City, FL [28].

Mission. Conduct RDT&E and in-service support of mine countermeasure systems, naval sea mine systems, naval special warfare systems, diving and life support systems, amphibious and expeditionary maneuver warfare systems, and other systems that occur primarily in coastal (littoral) regions [28].

Technical leadership areas. Mine warfare; LCS mission packages; expeditionary maneuver warfare; assault craft vehicles; diving and life support systems; unmanned systems (air and ground); chemical and biological individual protection; special warfare [28].

Life-cycle focus. Entire life-cycle [28].

NSWC PHILADELPHIA DIVISION

Location. Philadelphia, PA [28].

Mission. Provides RDT&E, fleet support, and in-service engineering for surface and undersea vehicle hull, mechanical and electrical systems (HM&E) and propulsors; provides logistics R&D [28].

Technical leadership areas. Surface and submarine machinery R&D (power systems, ship automation control, dynamics and silencing, shipboard energy availability and conservation, and electrical machinery integration); machinery ISEA for propulsion, electric and mechanical systems; Integrated Propulsion System (IPS) development; control systems and HM&E cybersecurity [28].

Life-cycle focus. Post-production [28].

NSWC PORT HUENEME DIVISION

Location. Port Hueneme, CA [28].

Mission. Provide test and evaluation, in-service engineering, and integrated logistics support for surface warfare combat systems and ordnance of the Navy surface fleet [28].

Technical leadership areas. Surface missile launcher systems; UNREP test site and fleet support; Self Defense Test Ship (SDTS); surface ship combat systems; land-based and at-sea T&E [28].

Life-cycle focus. Post-production [28].

NAVAL UNDERSEA WARFARE CENTER (NUWC)

Location. Headquarters in Newport, RI [28].

Mission. The Navy's full-spectrum RDT&E, engineering, and fleet support center for submarines, autonomous underwater systems, and offensive and defensive weapons systems associated with undersea warfare [28].

Technical leadership areas. Undersea warfare modeling and analysis; submarine combat and combat control systems; surface ship and submarine sonar systems; submarine electronic warfare; submarine unique on-board communication systems and communication nodes; undersea ranges; submarine electromagnetic, electro-optic and non-acoustic effects reconnaissance, and search and tracking systems; undersea vehicle active and passive signatures (except HM&E); submarine vulnerability and survivability (except HM&E); torpedoes and torpedo countermeasures [28].

NUWC KEYPORT DIVISION

Location. Keyport, WA [28].

Mission. Provide advanced technical capabilities for test and evaluation, in-service engineering, maintenance and industrial base support, fleet material readiness, and obsolescence management for undersea warfare [28].

Technical leadership areas. Test and evaluation and training (National UUV Test and Evaluation Center (NUTEC), 3D undersea warfare tracking range, range alternatives); life-cycle systems supportability (fielded equipment, systems, subsystems); fleet material readiness (material support, modernization, prototype development, testing); depot level torpedo repair and product proofing [28].

Life-cycle focus. Post-production [28].

NUWC NEWPORT DIVISION

Location. Newport, RI [28].

Mission. Provide the technical foundation which enables the conceptualization, RDT&E, fielding, modernization, and maintenance of systems that ensure the Navy's undersea superiority [28].

Technical leadership areas. Product-oriented research and advanced development; undersea warfare modeling and analysis; unmanned underwater vehicles (UUVs); torpedoes, torpedo launchers, and torpedo countermeasures (submarine and surface) as in-service engineering agent and design agent; operational testing support (OPTEVFOR, Combat Systems Ship's Qualification Trials (CSSQT)) – Atlantic ranges; operate Atlantic Undersea Test and Evaluation Center (AUTEC); submarine cybersecurity [28].

Life-cycle focus. Early life-cycle [28].

1.5.7 Technical capability focus by division

TABLE VIII: TECHNICAL CAPABILITIES BY WARFARE CENTER DIVISION.

Division	Technical capability focus
NSWC Carderock	17 TCs in naval architecture and marine engineering for surface and undersea vehicles and associated ship systems.
NSWC Corona	8 TCs in performance assessment of weapons and combat systems from unit to force level.
NSWC Crane	10 TCs in electronic warfare, special warfare weapons and devices, and strategic systems components and hardware.
NSWC Dahlgren	29 TCs in surface ship weapons system development and integration, missile defense, strategic systems, and joint and homeland defense.
NSWC Indian Head	10 TCs in energetic systems and energetic materials focused on ordnance disposal technology and counter-IED tools.
NSWC Panama City	12 TCs for mine warfare systems and other littoral warfare systems, including mines, special warfare systems, and diving and life support systems.
NSWC Philadelphia	13 TCs for surface and undersea vehicle machinery, ship systems, equipment and material, including cybersecurity and life-cycle commonality.
NSWC Port Hueneme	10 TCs for surface ship T&E, in-service engineering and logistics, and integration of weapons and combat systems as primary interface with the surface fleet.
NUWC Keyport	16 TCs for undersea warfare test and evaluation, in-service systems integration and supportability, and industrial base maintenance and material support.
NUWC Newport	20 TCs for undersea warfare systems development and integration for sensors, weapons, vehicles, payloads, communications, training, and combat systems.

Source: 2.1.4. Naval Warfare Centers, 2025 [28]

1.5.8 Warfare center organization

Leadership. Warfare Center Board of Directors; NSWC and NUWC Commander and Executive Director; NSWC and NUWC staff [28].

Division leadership. Each NSWC/NUWC division has a Commanding Officer, Technical Director, and Senior Civilian [28].

Dam Neck Activity. NSWC Dahlgren Dam Neck Activity includes a Commanding Officer and Senior Civilian; O-5 command [28].

NSLC. Naval Sea Logistics Center (Mechanicsburg) reports within the warfare center enterprise [28].

1.5.9 NAVSEA warfare center customers, products, and services

Science and Technology (S&T). Basic research; national and global scientific leadership; patents [28].

Research and Development (R&D). Applied research; modeling and simulation; technical risk assessments; rapid prototyping; analysis of alternatives; human systems integration [28].

Test and Evaluation (T&E). Sensor, system, and missile performance; quality, reliability, and evaluation; environmental testing; tests at ranges and major facilities; comparative testing; metrology and test, measurement and diagnostic equipment (TDME) [28].

Product delivery. Technology refresh; modernization and alterations; technology and obsolescence management; product assembly; integrated logistics support; information assurance and cyber security [28].

Fleet support. Element and combat system certification; systems training; distance support; onboard tech assists; depot maintenance repairs; quantitative fleet feedback and pre-deployment certification [28].

FY21 reimbursable funding mix: Fleet support 42%, product delivery 28%, RDT&E 26%, and S&T 4% [28].

TABLE IX: NAVSEA WARFARE CENTER REIMBURSABLE
FUNDING BY CUSTOMER (FY21, CURRENT
YEAR DOLLARS).

Customer category	FY21 reimbursable (\$M)
Naval (includes USCG)	6,182
Other DoW	851
Other Federal	32
Non-Federal (WFPP)	37

Source: 2.1.4. Naval Warfare Centers, 2025 [28]

Other DoW examples. Missile Defense Agency (MDA) Navy and AEGIS integration; COCOM naval systems integration; SOCOM naval capabilities; joint range operations (Navy ranges); battleforce interoperability; joint EO/IR (Navy joint lead); CBRD (Navy joint lead); joint counter-IED (Navy joint lead); nuclear deterrence (naval integration); Army/Navy watercraft (Navy joint lead); Army/Air Force energetics JPEO [28].

Other Federal examples. DHS insensitive munitions (Navy cognizant); NASA global and ballistics interoperability; DOE nuclear reactor integration [28].

Non-Federal examples. Work with private parties – direct government-furnished equipment and material, and T&E for Navy OEMs and primes [28].

Navy Other includes OPNAV/CNO, NAVSUP, NETWARCOM, NELO, ONI, MSC, CNSWC, and multiple small-dollar Navy customer tasking; NAVSEA Other includes SEA08, Diving and Salvage, NEBO, SEA03, and small-dollar reimbursable support [28].

1.5.10 Office of Naval Research and Naval Research Laboratory

OFFICE OF NAVAL RESEARCH (ONR)

Leadership. Typically headed by a Navy two-star; mostly civilian staff; reports to ASN (RD&A) [28].

Research channels. Science and technology; Naval Research Laboratory; ONR Global (fleet, international, and S&T community information sharing); Naval Reserve S&T Program; Commercial Technology Transition Office (CTTO) for rapid transitions [28].

NAVAL RESEARCH LABORATORY (NRL)

Location and reporting. Washington, DC; headed by an O-6; reports to ONR [28].

Mission. The Navy's full-spectrum corporate laboratory to conduct broad-based multi-disciplined scientific research and advanced technology development for maritime applications of new and improved materials, techniques, equipment, systems, and ocean, atmospheric, and space sciences [28].

Technical leadership areas. Primary in-house research for physical, engineering, space, and environmental sciences; broad-based exploratory and advanced development for anticipated Navy needs; broad multi-disciplinary support to the Naval Warfare Centers [28].

Life-cycle focus. Early life-cycle [28].

1.5.11 Summary check

Warfare centers report to. Respective SYSCOMs (NAVWAR, NAVAIR, NAVSEA, NAVFAC) [28].

Warfare center divisions report to. Respective warfare centers (NSWC and NUWC) [28].

NRL mission. Research and advanced technology development for future Navy and maritime applications [28].

NRL reports to. ONR [28].

NUWC Keyport leadership areas. USW life-cycle support, fleet material readiness, and UUV test and evaluation [28].

NSWC Port Hueneme leadership areas. Surface missile and launcher systems and UNREP technology [28].

2 PPBE

2.1 PPBE (Planning, Programming, Budgeting, and Execution)

2.1.1 Role of the PPBE process

Why PPBE exists. The DoW uses Planning, Programming, Budgeting and Execution (PPBE) to identify fiscal needs and allocate resources across the Services and DoW agencies.

Scale. Annual budget exceeds \$885B and supports about 3 million active duty and civilian employees.

Balancing act. Weighs competing requirements for limited funds while reconciling internal priorities and external direction from Office of Management and Budget (OMB) and Congress.

Output. The end product is the DoW portion of the President's Budget.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.2 PPBE overview

Planning. Predict the strategic environment and define the capabilities it requires.

Programming. Allocate resources to missions and integrate programs to minimize shortfalls and duplication.

Budgeting. Produce an annual budget for Congress that links missions to requested funding.

Execution. Operate in the real world and make adjustments.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.3 PPBE timeline and the DAS

PPBE is calendar-driven, while the DAS is event-driven. Once a program is initiated, PPBE resource allocations can reshape DAS execution plans. Figure 2.1 shows the PPBE timeline across multiple fiscal years [30].

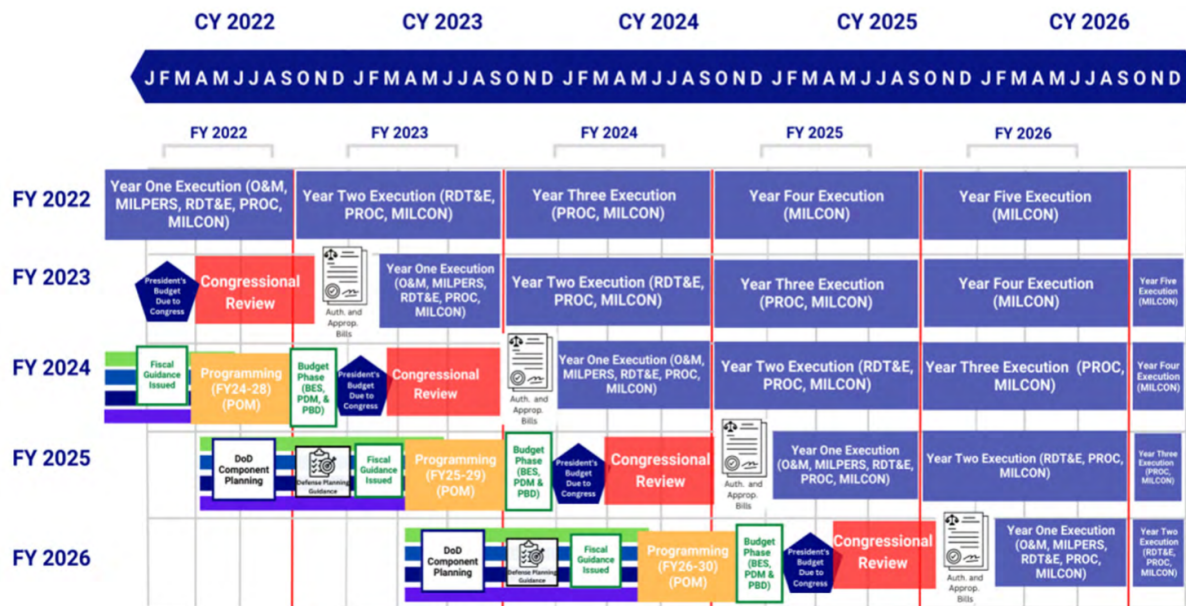
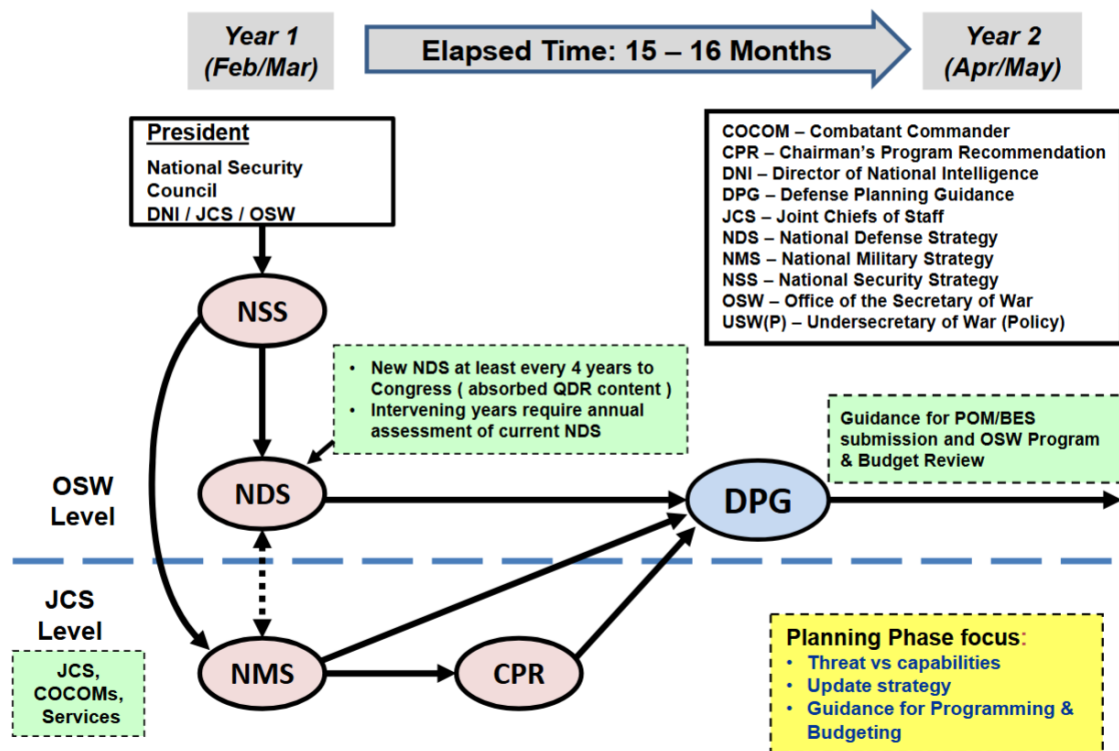


Figure 2.1. PPBE timeline across fiscal years. Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

Figure 2.2 shows the Navy PPBE timeframes from the DAU Platinum Card.

PPBE - PLANNING - LED BY USD (P)



3.1.1 PPRF

Figure 2.2. Timeframes of the Navy PPBE process. Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.4 Future Years Defense Program (FYDP)

Definition. The DoW's internal database for tracking resource allocations.

Navy access. The Navy uses the Program Budget Information System (PBIS) for controlled access.

Time horizon. Prior Year (PY), Current Year (CY), Budget Year (BY), plus four out-years (POM) and additional force-structure-only years.

Purpose. Track DoW funds, force structure, and personnel strength throughout PPBE.

Source: 3.1.1. *PPBE (Planning, Programming, Budgeting, and Execution)*, 2025 [30]

2.1.5 FYDP structure

The Future Years Defense Program (FYDP) lets users identify, sort, and display DoW plans by three dimensions: Major Force Program, appropriation, and component/agency [30].

MAJOR FORCE PROGRAMS

Twelve MFPs. The FYDP organizes data into 12 Major Force Programs (MFPs).

Combat vs support. Six MFPs are combat force programs and six are support programs.

Source: 3.1.1. *PPBE (Planning, Programming, Budgeting, and Execution)*, 2025 [30]

APPROPRIATIONS

Appropriation categories are the major funding classes by which Congress provides funds for all federal agencies, including the DoW [30].

COMPONENT OR AGENCY

The FYDP tracks funding for each military service and other DoW agencies; each data set may include multiple appropriations and MFPs [30].

PROGRAM ELEMENTS

PE codes. Resources are assigned to an MFP using unique Program Element (PE) codes.

Granularity. PEs can be as narrow as a single platform or as broad as strategic planning.

Multiple appropriations. A single PE can include multiple appropriation types (for example, procurement plus Operation and Maintenance, Navy (OMN) for sustainment).

Source: 3.1.1. *PPBE (Planning, Programming, Budgeting, and Execution)*, 2025 [30]

2.1.6 Planning phase

Lead. Led by Under Secretary of War for Policy (USW(P)) with inputs from CJCS, CCMDs, and OSW staff.

Key products. Chairman's Program Recommendation (CPR) and Defense Planning Guidance (DPG).

Focus. Threat versus capability gaps, strategy updates, and guidance for programming and budgeting.

Source: 3.1.1. *PPBE (Planning, Programming, Budgeting, and Execution)*, 2025 [30]

PLANNING PHASE KEY DOCUMENTS

CPR. CJCS coordinates with the Joint Requirements Oversight Council (JROC) and CCMDs to identify priorities for DPG input; signed by CJCS.

DPG. Drafted by USW(P) and signed by SECWAR; provides force-structure and resource priorities for program development and is the end product of the planning phase.

Source: 3.1.1. *PPBE (Planning, Programming, Budgeting, and Execution)*, 2025 [30]

2.1.7 Programming phase

POM development. Each department and DoW agency creates a Program Objective Memorandum (POM) that allocates resources across programs over five years starting with the budget year.

OSW program review. OSW conducts a program review; Cost Assessment and Program Evaluation (CAPE) adjudicates issues and CJCS signs the Chairman's Program Assessment (CPA).

Decision. Deputy SECWAR issues a Program Decision Memorandum (PDM) approving POMs as modified by the review.

Source: 3.1.1. *PPBE (Planning, Programming, Budgeting, and Execution)*, 2025 [30]

2.1.8 Navy programming process

Top-down fiscal guidance. Fiscal controls flow from OMB to OSW, DON, OPNAV, resource sponsors, and then programs.

Bottom-up POM. Units propose resources; OPNAV Integration of Capabilities and Resources (N8) integrates sponsor submissions into the Navy tentative POM; DON integrates Navy and USMC inputs and SECNAV signs the DON POM.

Issues. Proposed changes from previous funding levels are tracked and adjudicated as issues.

Source: 3.1.1. *PPBE (Planning, Programming, Budgeting, and Execution)*, 2025 [30]

RESOURCE SPONSORS

TABLE X: NAVY RESOURCE SPONSOR RESPONSIBILITIES.

Sponsor	Primary focus
N1	Manpower, personnel, training, and education.
N2/N6	Information warfare.
N3/N5	Navy warfare development.
N4	Afloat and ashore readiness.
N8	Integration of capabilities and resources (leads POM balance).
N9	Warfare systems.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

RESOURCE SPONSOR N9

Role. N9 advocates the largest portion of Navy Total Obligational Authority (TOA) each year, integrating expeditionary, surface, undersea, and air warfare requirements with associated systems, manpower, training, and readiness.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

TABLE XI: N9 WARFARE SYSTEMS DIRECTORATES.

Directorate	Focus
N9I	Warfare Integration Directorate.
N95	Navy Expeditionary Combat Command.
N96	Naval Surface Force.
N97	Naval Submarine Force.
N98	Naval Air Systems Command.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.9 POM resources

Allocation. Future resources are allocated to buy programs that deliver planning phase capabilities across the FYDP.

Resource types. Quantities, end strength, and money.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

TABLE XII: EXAMPLE OF POM RESOURCE TYPES FOR ONE FISCAL YEAR (F/A-18).

Resource type	Quantity	Unit cost	Subtotal
Aircraft quantity	3	\$75,000K each	\$225,000K
End strength	25	\$120K each	\$3,000K
Flight hours	3,000	\$5K per hour	\$15,000K
Total			\$243,000K

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.10 Navy POM exercise

Baseline and new requirements. Start with the current funded program of record, add new strategic requirements, and create offsets to balance the tentative POM.

Integration. N8 integrates resource sponsor inputs into the Navy tentative POM and the DON POM.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.11 POM example (DDG 1000 combat systems)

Stakeholders. Resource sponsor OPNAV N96E, ship PM (PMS 500), and combat systems PM (PEO IWS 9.0).

Content. Detailed POM slides across four program elements over five fiscal years, covering cybersecurity through spares.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.12 Programming versus budgeting

TABLE XIII: PROGRAMMING VERSUS BUDGETING.

	Programming	Budgeting
Purpose	Balanced allocation of limited resources within DoW	Communicate DON and DoW intent outside DoW and inform the President’s Budget
Process	OSW-developed; differs by Service	Constitutionally derived; mostly common across Services
Timeframe	Budget year plus four out-years (FYDP)	Budget year only (first year of FYDP)

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

Figure 2.3 illustrates the concurrent program and budget review cycle.

PPBE - CONCURRENT PROGRAM/BUDGET REVIEW

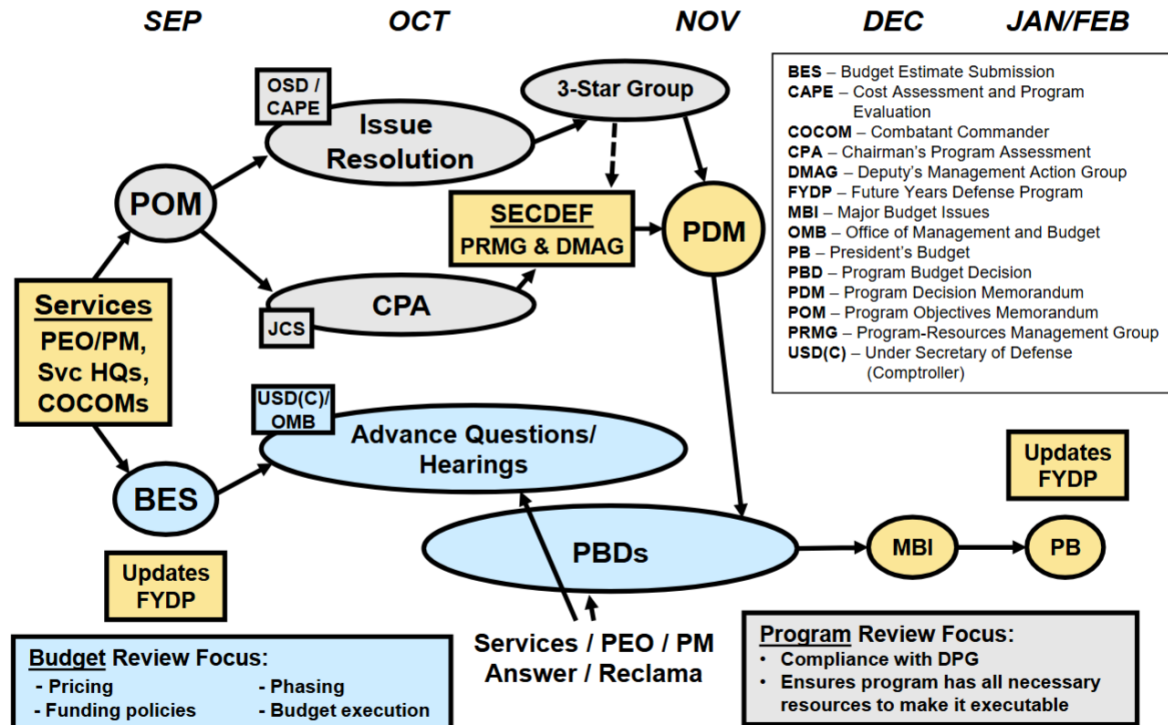


Figure 2.3. Concurrent program and budget review. Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.13 Programming phase key documents

POM. Time-phased resource allocation to support the DPG; reviewed for compliance with DPG and the National Military Strategy (NMS); signed by Service Secretaries (SECNAV for the Navy).

PDM. SECWAR direction that summarizes decisions and approves the component POM as modified by the program and budget review; issued by the Deputy SECWAR.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.14 Budgeting phase key events and documents

Budget Estimate Submission (BES). Services submit Budget Estimate Submission (BES) or Budget Change Proposals in appropriation format; signed by Service Secretaries.

Budget hearings. Joint OSW and OMB hearings with advance questions on programs.

Program Budget Decisions (PBDs). Program Budget Decisions (PBDs) direct budget adjustments; Services prepare reclamas; signed by the Deputy SECWAR.

Major Budget Issues (MBI). Major Budget Issue (MBI) provide the last chance to raise issues to OSW before the President's Budget (PB).

President's Budget (PB). PB is submitted to Congress (nominally the first Monday in February).

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

PBDs AND RECLAMAS

PBD origin. Issued by USW(FM&C) analysts after review of the POM/BES and budget hearing responses.

Reclama. Draft PBDs are vetted for comment; affected parties submit reclamas with operational impacts and business case justification.

Final decision. USW(FM&C) recommends to the Deputy SECWAR, who signs the final PBDs.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.15 Execution phase

Purpose. Assess programs of record against actual performance and adjust plans and budgets to minimize near-term financial risk.

Activities. Mid-year review, reprogramming, supplemental appropriations, and financial closeout.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.16 Phases of PPBE review

Planning. Identifies capabilities and defines national defense policies, objectives, and strategies; products are CPR and DPG.

Programming. Allocates resources and translates planning into time-phased requirements; products are POM and PDM.

Budgeting. Reviews proper budget justification and execution; products are BES, PBDs, and the DoW portion of the PB.

Execution. Concurrent with program and budget review; develops performance metrics and adjusts resources to meet desired performance.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.1.17 Summary check

Four phases. Planning, Programming, Budgeting, Execution.

Planning products. CPR and DPG.

Signatures. CPR signed by CJCS; DPG signed by SECWAR; POM/BES signed by Service Secretaries; PDM/PBDs signed by Deputy SECWAR.

FYDP building blocks. PEs identify functional or organizational entities and their resources.

Source: 3.1.1. PPBE (Planning, Programming, Budgeting, and Execution), 2025 [30]

2.2 Field Activity Financial Management

2.2.1 Cost categories

Direct costs. Costs directly attributable to a project (for example, materials, labor, and travel tied to a specific job) [31].

Indirect costs. Costs that cannot be attributed to a single project (for example, security, executive salaries, and shared services) [31].

Note

Direct costs typically include labor, material, and Other Direct Cost (ODC); indirect costs include overhead and General and Administrative (G&A) [31].

2.2.2 Financial management systems

Mission funded (General Fund). Appropriated funds flow down the chain of command to execute mission needs; the goal is to budget adequate resources without excess [31].

Working capital funded (NWCF). A reimbursable system where activities are not directly appropriated; they recover costs from customers and aim to break even over time [31].

Note

General Fund activity management is a “checking account” model; Navy Working Capital Fund (NWCF) is a “credit card” model. Some NWCF commands have mission-funded units, but funds cannot be mixed [31].

2.2.3 Activity examples

TABLE XIV: MISSION-FUNDED VS NWCF ACTIVITY EXAMPLES

Mission funded (General Fund)	NWCF activities
• Naval Shipyards, Regional Maintenance Centers, Ship Repair Facilities • Supervisors of Shipbuilding, Program Executive Offices • Systems commands (HQ only) • Operating forces (fleet commanders, TYCOMs, ships) • Most other activities (e.g., EDO School)	• SYSCOM Echelon III activities (NAVSUP FLCs; NAVAIR/NAVSEA/NAVWAR warfare centers; NAVFAC facility engineering commands and expeditionary warfare centers; Naval Research Laboratory) • Military Sealift Command • Depot maintenance (non-ship): Fleet Readiness Centers (aircraft), Marine Corps depots

Source: 3.1.5. Field Activity Financial Management, 2025 [31]

2.2.4 General Fund operations

Appropriation flow. Assistant Secretary of the Navy (Financial Management and Comptroller) (ASN(FM&C)) (Echelon I) allocates funds to Echelon II BSOs; BSOs distribute allotments and Expense Operating Budgets (EOBs). Echelon III field activities issue allowances and Operating Targets (OPTARs) to subordinate units at Echelon IV [31].

2.2.5 Appropriated vs reimbursable funds for mission-funded activities

Appropriated funds. Pay for mission labor (civilian salaries), mission non-labor (materials, travel, contracts), and all indirect costs (overhead) [31].

Reimbursable funds. Used when a mission-funded activity performs work for a customer; reimbursements cover direct labor and other direct costs, but not indirect costs [31].

2.2.6 General Fund budgeting cycle (EOB)

1. Mid-year review of the current year budget [31].
2. Answer budget data calls [31].
3. Submit next year's (future) budget [31].
4. Marks and reclaims (summer review) [31].
5. Sept/Oct: end of current FY, start of next FY; receive EOB and execute [31].

2.2.7 What is the NWCF?

Definition. NWCF is a reimbursable operation that provides goods or services to customers and recovers the full cost of output [31].

Criteria to join. Output costs must be identifiable, customers must be known, and the advantages and disadvantages of the buyer-seller relationship must be evaluated [31].

2.2.8 NWCF cycle of operations

1. Congress provides corpus to begin operations [31].
2. The NWCF activity receives a reimbursable work request via a funding document [31].
3. The activity performs work; direct and indirect costs are financed by the corpus [31].
4. Costs are priced using stabilized rates held constant during execution [31].
5. The customer is billed for costs incurred; payment reimburses the corpus [31].

2.2.9 Stabilized labor rates (SLR)

Purpose. Stabilized Labor Rate (SLR) reimburses NWCF activities for work performed and is established during the budget process to recover full costs, prior period gains/losses, and approved capital surcharges [31].

Formula.

$$\text{SLR} = \frac{\text{Direct labor} + \text{Indirect (overhead/G\&A)} + \text{AOR recoupment}}{\text{Direct hours}}$$

Components. Direct labor, indirect expenses (including G&A), and Accumulated Operating Result (AOR) recoupment to achieve break-even [31].

2.2.10 Operating results: NOR and AOR

Net Operating Result (NOR). Current-year profit or loss based on revenue minus expenses [31].

AOR. Cumulative gains and losses since inception; AOR is managed at Navy level and used to set rates [31].

Rate adjustment. Gains reduce rates two years out; losses increase rates two years out to drive AOR toward zero in the budget year [31].

2.2.11 NWCF budget timeline

Feb–Apr. Internal budget formation at the activity level [31].

Apr–May. Activity budgets consolidate to activity group and submit to the BSO [31].

May–Jun. BSO submits the activity group budget to Financial Management Budget (OPNAV) (FMB) [31].

Jul–Aug. FMB submits the activity group budget to DoW for the BES [31].

Sep. DoW submits to Congress [31].

Feb. President signs the budget (first Monday in February); rates are set 18–24 months in advance [31].

2.2.12 Funding documents and cost stages

Reimbursable vs direct cite. Reimbursable work charges costs to the NWCF corpus and then bills the customer; direct cite (commercial contracts only) charges the customer's line of accounting directly [31].

Cost stages. Committed (funding document received), obligated (contract awarded), costed (work performed/material received) [31].

2.2.13 Carryover

Definition. Dollar value of reimbursable work ordered and funded but not yet completed at FY end [31].

Formula. Carryover = Available balance (cash) + commitments + obligations (costed transactions excluded) [31].

Rules. Some carryover is required to start the new FY; excess carryover can trigger congressional marks and future budget reductions [31].

2.2.14 Project orders (PO)

Specificity. Description of work and period of performance must be specific and produce a tangible end product [31].

Timing. Work may extend past fund expiration but not beyond cancellation; Project Orders (POs) cannot be issued solely to extend funds and scope cannot expand after expiration [31].

51/49 rule. At least 51% of reimbursable work must be performed in-house; no more than 49% can be out-house [31].

Restrictions. POs are reimbursable only and limited to DoW activities; they extend the cited funds beyond expiration and carry additional restrictions [31].

2.2.15 Other funding documents

Military Interdepartmental Purchase Request (MIPR). Transfers funds between military organizations for supplies or services; can be accepted on a direct cite or reimbursable basis [31].

Interdepartmental Purchase Request (IPR). Used when requiring and performing activities are from different departments (outside DoW); cannot cite the Project Order statute but may cite Economy Act or other statutory authorities [31].

FS Form 7600B. Treasury G-Invoicing form for reimbursable Intragovernmental Transactions (IGTs); applicable to manual or electronic submissions and not limited to Economy Act or Project Order authorities [31].

2.2.16 Summary check

NWCF success. Financial success means revenue and expenses break even over time (AOR near zero) and pricing remains affordable [31].

SLR components. Direct labor, indirect costs, and AOR recoupment [31].

Document choice. A mission-funded activity using OMN in August for work starting in September should use a PO because the work completes after fund expiration [31].

2.3 Congressional Enactment

2.3.1 Constitutional basis for appropriations

Article I authority. Congress provides for the common defense and general welfare and controls the Treasury.

Section 8.

“The Congress shall have power to... provide for the Common Defense... and general welfare...”

Section 9.

“No money shall be drawn from Treasury, but in consequence of Appropriations made by law...”

Appropriations. All funding to operate the federal government is appropriated by Appropriations Acts.

[32]

2.3.2 Key terms

WHAT IS A BUDGET?

Definition. A financial plan for accomplishing an organization’s objectives.

Management tool. An instrument of planning, decision making, and management control.

Priorities. A statement of priorities and fiscal policy.

[32]

BUDGET DEFINITIONS

Budget authority. Authority granted by appropriation law to enter obligations that will result in immediate or future outlays.

Commitment. Administrative reservation of funds, usually by the local comptroller, in anticipation of a future obligation.

Obligation. Legal reservation of funds to make a future payment of money.

Expenditure. Charge against available funds resulting from a voucher, claim, or other document approved by competent authority.

Outlay. Occurs when the vendor cashes the expenditure check and money flows from the Treasury to the vendor or supplier.

[32]

AUTHORIZATION VERSUS APPROPRIATION

Authorization. A statute providing DoW legal authority to do something (for example, procure a ship or conduct operations). It authorizes or modifies programs and sets spending ceilings, but does not provide funding; drafted by House Armed Services Committee (HASC)/ Senate Armed Services Committee (SASC).

Appropriation. A statute providing Budget Authority (BA) for federal agencies; drafted by House Appropriations Committee (HAC)/ Senate Appropriations Committee (SAC).

Rule. Defense programs must have authorization to conduct activities and appropriated funding to pay for them.

[32]

2.3.3 Congressional roles and responsibilities

PERSONAL VERSUS PROFESSIONAL STAFF

Personal staff. Employees of individual members of Congress; provide constituent support and policy expertise with limited DoW interaction.

Professional staff members (PSMs). Committee staff who review the President's Budget down to the program element; the primary congressional interface with DoW; PMs engage directly with PSMs.

[32]

OVERSIGHT AND ANALYSIS

GAO. Congress's chief investigator, auditor, and program evaluator.

CBO. Supports Budget and Appropriations Committees; analyzes the President's Budget, revenues, and outlays.

CRS. Provides confidential, impartial research and analysis for Congress.

[32]

KEY COMMITTEES

Budget Committees. House Budget Committee (HBC)/ Senate Budget Committee (SBC) craft the annual Budget Resolution.

Armed Services Committees. HASC/SASC craft the National Defense Authorization Act (NDAA).

Appropriations Committees. HAC/SAC craft annual Appropriations Bills.

Conferences. Joint House/Senate meetings reconcile differences; members appointed by Speaker and Senate Majority Leader.

[32]

2.3.4 Congressional enactment process

- Budget Resolution.** Blueprint that sets top-line spending ceilings for 20 major government functions.
- Authorization Act.** Approves programs, quantities, end strength, and policy (NDAA).
- Appropriations Act.** Provides BA (legal authority to spend).

[32]

CONGRESSIONAL ENACTMENT TIMELINE

Figure 2.4 shows the budget resolution, authorization, and appropriations flow across the fiscal year.

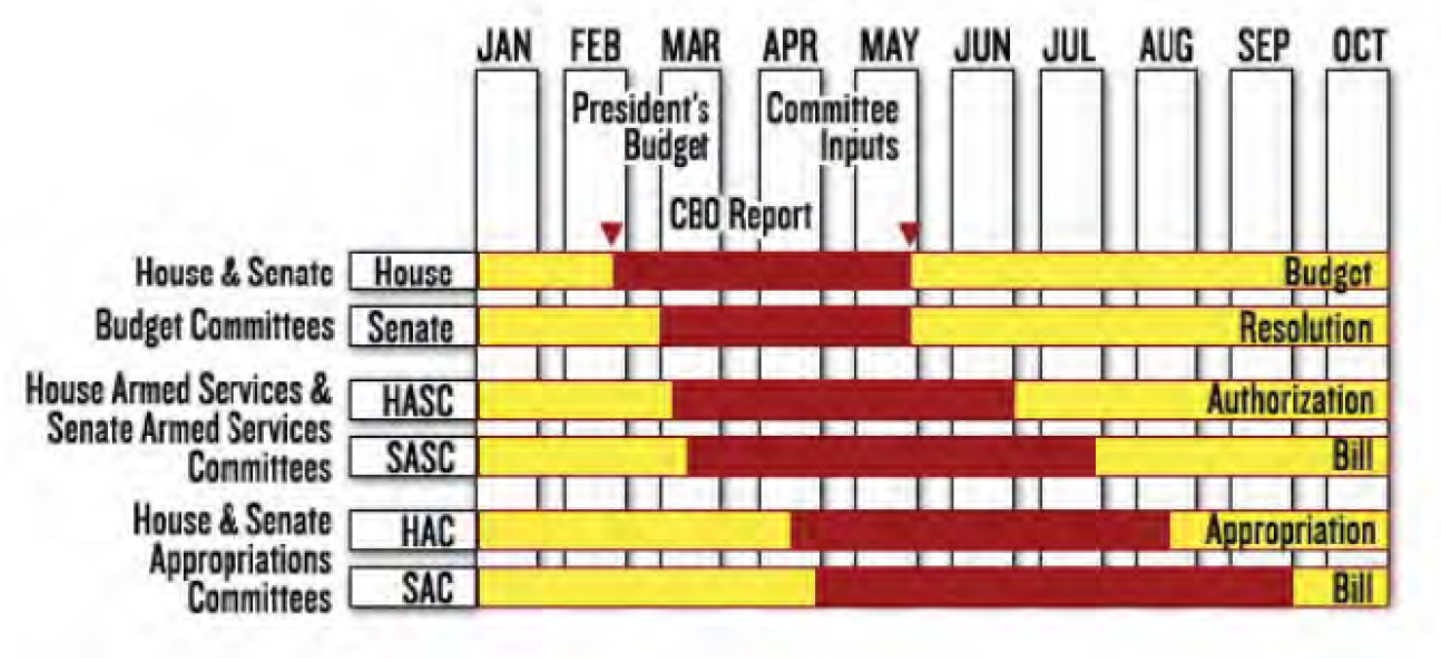


Figure 2.4. Congressional Enactment Timeline. Source: 3.1.2. Congressional Enactment, 2025 [32].

2.3.5 Budget Resolution

- Drafted by.** HBC/SBC; process established by the Budget and Impoundment Control Act of 1974.
- Purpose.** Sets spending ceilings for 20 major government functions; not a law and independent of the President’s Budget.
- Process.** CBO guidance; House and Senate develop and debate resolutions; conference resolves differences; concurrent budget resolution returned to floors.

Goal. Budget Resolution by 15 April; appropriation sub-allocations follow the ceilings.

[32]

2.3.6 Authorization

NDAA. Drafted by HASC/SASC; allows programs to be established or continued; provides authorization for each DoW appropriation account.

Annual authorization law. Program approval, procurement quantities, personnel end strength, funding ceilings, and policy updates.

[32]

AUTHORIZATION SUBCOMMITTEES

TABLE XV: HASC AND SASC SUBCOMMITTEES.	
HASC	SASC
Tactical Air and Land Forces	Cybersecurity
Military Personnel	Emerging Threats and Capabilities
Oversight and Investigations	Personnel
Readiness	Readiness and Management Support
Seapower and Projection Forces	Seapower
Strategic Forces	Strategic Forces
Emerging Threats and Capabilities	

Source: 3.1.2. Congressional Enactment, 2025 [32]

2.3.7 Appropriations

Committees. HAC/SAC; 12 annual appropriations bills to operate the federal government.

Subcommittees. Each bill has its own subcommittee; bills may be combined into consolidated or omnibus acts.

Timing. Hearings kick off around March; committees should follow authorizer guidance.

[32]

HAC/SAC SUBCOMMITTEES

List. Agriculture, Rural Development, Food and Drug Administration; Commerce, Justice, Science; Defense; Energy and Water Development; Financial Services and General Government; Homeland Security; Interior and Environment; Labor, Health and

Human Services, Education; Legislative Branch; Military Construction and Veterans Affairs; State and Foreign Operations; Transportation, Housing and Urban Development.

Navy focus. Most Navy interaction is with the Defense subcommittees (HAC-D/SAC-D).

[32]

2.3.8 Appeals to congressional marks

Definition. An appeal requests reconsideration of congressional adjustments (authorization or appropriation) to dollars, quantities, manpower, or language.

Committee routing. Appeal to the next committee in the phase (for example, SASC, SAC, or the conference committee).

Dollar rule. Appeal to the dollar amount closest to the President's Budget; generally to the higher of the two prior marks unless it exceeds the President's position.

[32]

2.3.9 Continuing Resolution (CR)

Definition. Special stopgap appropriations that keep government operating when annual appropriations are not enacted on time.

Typical rules. Operate at current rates; new programs cannot start unless specified; funding limited to last year's levels or current committee marks.

Impacts. Restrictive apportionment, limited obligation rates, and cost/schedule risk; shipbuilding may receive specific anomalies.

[32]

2.3.10 Sequestration

Definition. Automatic spending cuts through withdrawal of funding for certain government programs.

Roles. CBO estimates statutory caps and sequestration risk; OMB determines if sequestration is required and its size.

[32]

2.3.11 Summary check

Three steps. Budget Resolution (top-line ceilings), Authorization (program approval and policy), Appropriations (BA).

Appropriations committees. Draft annual appropriations bills for the federal government.

Continuing Resolution. Provides stopgap funding for the federal government.

[32]

2.4 Program Funding and Execution

2.4.1 Program Funding

FINANCIAL TERMS

- Budget authority.** BA is authority granted by appropriation law to enter obligations that will result in immediate or future outlays [33].
- Commitment.** Administrative reservation of funds (usually by the local comptroller) in anticipation of a future obligation [33].
- Obligation.** Legal reservation of funds to make a future payment of money [33].
- Expenditure.** Charge against available funds resulting from a voucher, claim, or other document approved by competent authority [33].
- Outlay.** Occurs when the vendor cashes the expenditure check and money flows from the Treasury to the vendor or supplier [33].
- Credit-card analogy.** BA is the line of credit, commitment is the intent to purchase, obligation is the charge slip, expenditure is the bill/check, and outlay is the cash transfer from Treasury [33].

APPROPRIATION CATEGORIES AND OBLIGATION WINDOWS

TABLE XVI: APPROPRIATION CATEGORIES, TYPICAL USES, AND OBLIGATION WINDOWS

Category	Typical use	Obligation window
RDT&E	Research, development, test, and evaluation	2 years
Procurement	End items, modernization, and spares (e.g., APN/WPN/OPN) ^a	3 years
O&M	Operations, maintenance, training, minor construction, travel	1 year
MILPERS	Military personnel pay and allowances	1 year
MILCON	Facilities design and construction	5 years

^a SCN is a procurement appropriation with a 5-year obligation window.
Source: 3.1.3. Program Funding, 2025 [33]

DoW APPROPRIATION ACCOUNTS (DoN EXAMPLES)**TABLE XVII:** DoN APPROPRIATION ACCOUNTS (EXAMPLES)

Appropriation	Accounts
Military Personnel	MPN; RPN; MPMC
Operation and Maintenance	O&M,N; O&MNR; O&MMC
Research, Development, Test & Evaluation	RDT&E,N
Procurement	APN; WPN; SCN; OPN; PMC
Military Construction	MCN; Family Housing, Navy and Marine Corps (FH,N&MC)

Source: 3.1.3. Program Funding, 2025 [33]

APPROPRIATION LIFE-CYCLE AND EXPIRED FUNDS

Current. Funds are available for new obligations during the appropriation's obligation window (1–5 years depending on category) [33].

Expired. A 5-year period where funds are no longer available for new obligations but may be used for obligation adjustments, expenditures, and outlays [33].

Canceled. Funds are closed; remaining balances return to Treasury [33].

YEARS											
Appropriation Categories	1	2	3	4	5	6	7	8	9	10	11
O&M	Current	Expired	Expired	Expired	Expired	Expired	Canceled	Canceled	Canceled	Canceled	Canceled
RDT&E	Current	Current	Expired	Expired	Expired	Expired	Canceled	Canceled	Canceled	Canceled	Canceled
Procurement	Current	Current	Current	Expired	Expired	Expired	Canceled	Canceled	Canceled	Canceled	Canceled
Ships	Current	Current	Current	Current	Current	Expired	Canceled	Canceled	Canceled	Canceled	Canceled
MILCON	Current	Current	Current	Current	Current	Expired	Canceled	Canceled	Canceled	Canceled	Canceled
MILPERS	Current	Expired	Expired	Expired	Expired	Expired	Canceled	Canceled	Canceled	Canceled	Canceled

LEGEND		
Current	Current	Available for new obligations, obligation adjustments, expenditures, and outlays.
Expired	Expired	Available for obligation adjustments, expenditures, and outlays.
Canceled	Canceled	Unavailable for obligations, obligation adjustments, expenditures, and outlays.

Figure 2.5. Appropriations life-cycle (Current, Expired, Canceled). Source: 3.1.3. Program Funding, 2025 [33]

Expired funds example 1. In Aug 2025, FY22 Other Procurement, Navy (OPN) funds are expired (FY22–FY24 obligation window), so a Procuring Contracting Officer (PCO) cannot sign a new contract; the funds are limited to obligation adjustments, expenditures, and outlays [33].

Expired funds example 2. In Jan 2025, FY24 RDT&E funds are still current (FY24–FY25), so a PCO may sign a new contract for work starting in FY25 [33].

Note

Obligation windows: Military Personnel (MILPERS) and OMN are 1 year; RDT&E is 2 years; procurement is 3 years (Shipbuilding and Conversion, Navy (SCN) is 5); Military Construction (MILCON) is 5 years [33].

FUNDING POLICIES

Annual funding. Applies to expense appropriations (OMN, MILPERS); request BA only for the goods or services needed in a given fiscal year, with a major exception for non-severable service contracts that cross fiscal years [33].

Incremental funding. Applies to RDT&E; request funding only for work expected to be performed in the given fiscal year. The Navy is authorized to use incremental funding for SCN on certain ship programs (Nuclear-Powered Aircraft Carrier (CVN), Ballistic Missile Submarine, Nuclear (SSBN), LHA/LHD) [33].

Full funding. Applies to procurement and MILCON; annual budget requests must cover the total cost of complete, usable end items delivered within a 12-month period. If multiple end items are bought, do not budget for more items than can be delivered within 12 months; options can extend procurement across years [33].

Note

Incremental funding example: A 28-month, \$260M RDT&E effort with FY24–FY26 costs of 35%/45%/20% would request \$91M (FY24), \$117M (FY25), and \$52M (FY26) [33].

Note

Full funding practical: A Weapons Procurement, Navy (WPN) contract with deliveries accepted over two years violates full funding; fix by structuring lots or options so each lot delivers within 12 months and is funded with the year-of-delivery appropriation [33].

TABLE XVIII: FUNDING POLICY SUMMARY

Appropriation	Policy
RDT&E	Incremental (select SCN with congressional approval)
Procurement	Full
O&M	Annual
MILPERS	Annual
MILCON	Full

Source: 3.1.3. Program Funding, 2025 [33]

PROGRAM FUNDING PROFILES BY ACQUISITION PHASE

TABLE XIX: PRIMARY APPROPRIATIONS BY ACQUISITION PHASE

Phase	Primary appropriations
MSA	RDT&E (analysis and early prototypes)
TMRR	RDT&E (risk reduction, development, test)
EMD	RDT&E (build/test/qualify)
Production & Deployment	Procurement (WPN/OPN/APN/SCN)
Operations & Support	O&M

Source: 3.1.3. Program Funding, 2025 [33]

EXCEPTIONS TO FULL FUNDING

Advance procurement (long lead items). An exception to full funding for long-lead components; documented in the acquisition strategy, approved at milestone, and funded as a separate line item to protect schedules or critical skills [33].

Multiyear procurement (Multiyear Procurement (MYP)). A single contract for a specific quantity of usable end items delivered over more than one year (no more than five). Congress authorizes the full contract scope at award (NDAA), but funding and appropriations remain annual [33].

Benefits. Stability in acquisition and budgeting, productivity gains, cost growth reduction, Economic Order Quantity (EOQ) opportunities, and reluctance to cancel once in place [33].

Challenges. Termination liability if funding is not provided, inability to budget for termination liability, and political controversy (Congress and OSW) [33].

Required criteria. Savings relative to annual contracting (guidance 10%), stable requirements/design, confidence in cost estimates and production capability, and commitment to funding by Service, OSW, and Congress [33].

Initiation. Proposed in the President’s Budget; if approved, authorized by the NDAA and funded through annual appropriations on a year-by-year basis [33].

Note

DDG-51 MYP example: The FY98–FY01 and FY02–FY05 MYP contracts saved over \$1B; the FY13–FY17 MYP saved about \$1.5B and enabled a 10th ship option [33].

Other exceptions. Block Buy (BB) (fewer restrictions than MYP), cost-to-complete (prior-year completion), and incremental funding for Refueling and Complex Overhaul (RCOH) [33].

FUNDING PRODUCT IMPROVEMENTS

Phase 1: Development and testing. RDT&E when the modification enhances performance or requires independent Developmental Test (DT)/ Initial Operational Test and Evaluation (IOT&E); otherwise Procurement for in-production systems, or OMN if the system is no longer in production [33].

Phase 2: Fabrication. Procurement [33].

Phase 3: Installation. Procurement [33].

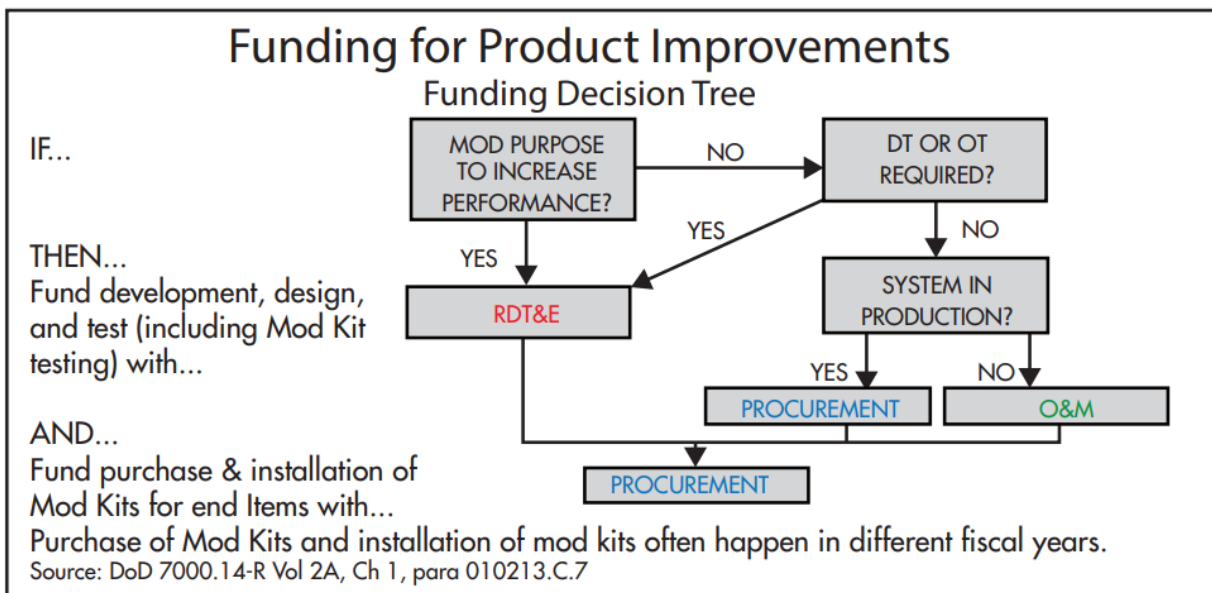


Figure 2.6. Product improvement funding decision tree. Source: 3.1.3. Program Funding, 2025 [33]

MILCON FUNDING

Program. The acquisition budget culminates in the annual Military Construction Program submitted to Congress for authorization and appropriation [33].

Threshold. MILCON is the acquisition (design and/or construction) of facilities costing more than \$4,000,000 in support of active and reserve requirements [33].

Sustainment. Maintenance and repair activities funded with OMN [33].

Modernization. Alteration or replacement of facilities to implement new standards, new functions, or components with 50+ year service life; funded with OPN [33].

Rule. It is expressly forbidden to incrementally fund a project to avoid MILCON triggers [33].

APPROPRIATION SUMMARY**TABLE XX:** APPROPRIATION ABBREVIATIONS AND OBLIGATION WINDOWS

Appropriation	Abbreviation	Obligation window (years)
Military Construction, Navy	MCN	5
Military Construction, Naval Reserve	MCNR	5
Shipbuilding & Conversion, Navy	SCN	5
Aircraft Procurement, Navy	APN	3
Weapons Procurement, Navy	WPN	3
Other Procurement, Navy	OPN	3
Research, Development, Test & Evaluation, Navy	RDT&EN	2
Operations & Maintenance, Navy	O&MN	1
Operations & Maintenance, Naval Reserve	O&MNR	1
Military Pay, Navy	MPN	1
Reserve Pay, Navy	RPN	1

Source: 3.1.3. Program Funding, 2025 [33]

SUMMARY CHECK

Policies. Annual (OMN, MILPERS); Incremental (RDT&E, select SCN); Full Funding (Procurement, MILCON) [33].

Full funding exceptions. Advance Procurement and MYP are the primary exceptions; BB, cost-to-complete, and RCOH are additional cases [33].

Product improvements. Phase 1 uses RDT&E/Procurement/OMN depending on testing and production status; Phases 2–3 use Procurement [33].

Expired funds rule. Expired funds cannot create new obligations; they are limited to obligation adjustments, expenditures, and outlays [33].

2.4.2 Budget Execution**EXECUTION TERMINOLOGY AND FLOW**

Budget authority. Authority granted by appropriation law to enter obligations that will result in immediate or future outlays [34].

Commitment. Administrative reservation of funds (usually by the local comptroller) in anticipation of a future obligation [34].

Obligation. Legal reservation of funds to make a future payment of money [34].

Expenditure. Charge against available funds resulting from a voucher, claim, or other document approved by competent authority [34].

Outlay. Occurs when the vendor cashes the expenditure check and money flows from Treasury to the vendor or supplier [34].

Reprogramming. Redirecting funds for purposes other than those contemplated at the time of appropriation; rules are based on agreements between DoW and Congress, and DoW reports reprogramming semi-annually to Congress [34].

Obligation plan. Month-by-month projection of available funds for new obligations for each fiscal year; prepared by the PMO [34].

Expenditure plan. Month-by-month projection of expenditures for each fiscal year of funding; required for all appropriation years not fully expended, even after the obligation window closes [34].

Execution flow. PMO submits a purchase request, the comptroller certifies funds (commitment), the contracting officer signs the contract (obligation), the finance office issues payment (expenditure), and the Treasury disburses cash (outlay) [34].

EXECUTION LAWS (PURPOSE, AMOUNT, TIME)

Misappropriation Act (Purpose). Funds must be used only for the purposes and programs for which the appropriation was made (31 U.S.C. 1301(a)) [34].

Anti-Deficiency Act (Amount). Prohibits obligations in excess of amounts available or apportioned; forbids obligations in advance of appropriations and requires accountability for violations (31 U.S.C. 1341 and 1517) [34].

Bona Fide Need Rule (Time). Funds must meet a bona fide need in the year of the appropriation's obligation window (31 U.S.C. 1502) [34].

Which law? Obligating funds before an appropriation act violates the Anti-Deficiency Act; using Procurement funds for an RDT&E shortfall violates the Misappropriation Act; obligating FY04 RDT&E for FY08 services violates the Bona Fide Need Rule [34].

SPEND PLANS (OBLIGATION AND EXPENDITURE)

Required for. Procurement line items, RDT&E program elements, and OMN sub-activity groups each require spend plans [34].

Obligation plan. Month-by-month projection of new obligations; prepared by the PMO [34].

Expenditure plan. Month-by-month projection of expenditures; maintained for all appropriation years not fully expended [34].

Basis. Spend plans are essential tools for managing execution and are based on the BES [34].

Failure to execute. Programs that miss obligation or expenditure goals become targets for reprogramming, risk losing funding, and face future budget adjustments [34].

REPROGRAMMING TYPES

Congressional prior approval (PA). Required for congressional special interest items, major end item quantity increases, use of transfer authority, actions above Below-Threshold Reprogramming (BTR) thresholds, and program starts/cancellations. Threshold guidance is \$15M for MILPERS, OMN, Procurement, and RDT&E. SECWAR requests approval from HAC/SAC/HASC/SASC and, when applicable, intelligence committees [34].

Congressional notification. Certain actions require notification to Congress even if they do not need prior approval [34].

Internal reprogramming (IR). Creates an audit trail for actions not requiring congressional approval; used to reclassify funds between line items or program elements without changing program substance and to execute transfer authority accounts [34].

Below-threshold reprogramming (BTR). Component-level reprogramming below congressional thresholds; controlled by comptrollers and generally does not require congressional involvement. BTR cannot change appropriation categories or execute actions requiring congressional approval [34].

Letter transfer. Used to process congressionally directed transfers (e.g., Defense Health Program to Department of Veterans Affairs) [34].

Level of control. Transfers below the appropriation's level of control are not considered reprogramming and can be approved by the program manager [34].

Note

Congress recognizes the need for flexibility in execution, but reprogramming rules are based on DoW/Congress agreements and reported to Congress semi-annually [34].

Note

Example (PA): Virginia-class submarine reprogramming realigned \$29.8M of SCN 04/08 and transferred \$10.2M (OPN 04/06) and \$9.0M (RDT&E 04/05) to SCN [34].

FUNDING CUTS AND IMPACT STATEMENTS

Impact statement. A written assessment of the effects a budget cut will have on a program [34].

Rules. Provide specific, credible impacts; use simple language and spell out acronyms; be prepared to follow through with program changes cited [34].

Contents. Operational impact (capability and delay), business case (cost growth), policy non-compliance risks, and program impact tied to operational impact and Acquisition Program Baseline (APB) deviations [34].

Note

Example rewrite: A vague staffing loss becomes a quantified operational impact (e.g., satellite launch delayed two months, reducing coverage to 65%) [34].

FUNDING CUTS: IMPACTS ON INDUSTRY

- Proposals.** Bidders may need to revise price, performance, or schedule [34].
- Workforce impacts.** Contractors may shift resources and personnel; overhead rates can rise as workload declines [34].
- Cost case.** Will-cost/should-cost analysis helps justify the current budget by showing savings already identified and implemented [34].

APPROPRIATION SUBDIVISIONS

TABLE XXI: APPROPRIATION SUBDIVISIONS AND LEVEL OF CONTROL

Appropriation	Subdivisions and level of control
RD&E	Budget activities, then program elements, then projects; Congress appropriates at the program element level.
Procurement	Budget activities, then line items; Congress appropriates at the line item level.
O&M	Budget activities, then activity groups, then sub-activity groups; Congress appropriates at the budget activity level.
MILPERS	Budget activities, then budget sub-activities; Congress appropriates at the budget activity level.
MILCON	Budget activities, then subordinate accounts, then projects; Congress appropriates at the project level.

Source: 3.1.4. Budget Execution, 2025 [34]

SUMMARY CHECK

- Execution laws.** Misappropriation Act (purpose), Anti-Deficiency Act (amount), and Bona Fide Need Rule (time) [34].
- Funding cuts.** Programs respond with impact statements; cuts do affect industry [34].

2.5 Cost Estimating

2.5.1 Life-cycle cost composition

- Flyaway/Sailaway/Rollaway cost.** Cost of procuring only the prime mission equipment (aircraft, ship, tank) [35].
- Weapon system cost.** Prime mission equipment plus support items required to deliver a functioning system (e.g., manuals, test equipment) [35].

- Procurement cost.** Weapon system cost plus support items and initial spares required to stock the supply system [35].
- Program acquisition cost.** Costs to develop, procure, and house the system, including facilities [35].
- Operating and support cost.** All costs to operate, modify, maintain, and support the system in the inventory [35].
- Disposal cost.** Demilitarization and disposal after useful life [35].

Note

Life-Cycle Cost (LCC) equals program acquisition cost plus operating and support plus disposal; Operations and Support Phase (O&S) is typically the largest share (about two-thirds) for most programs [35].

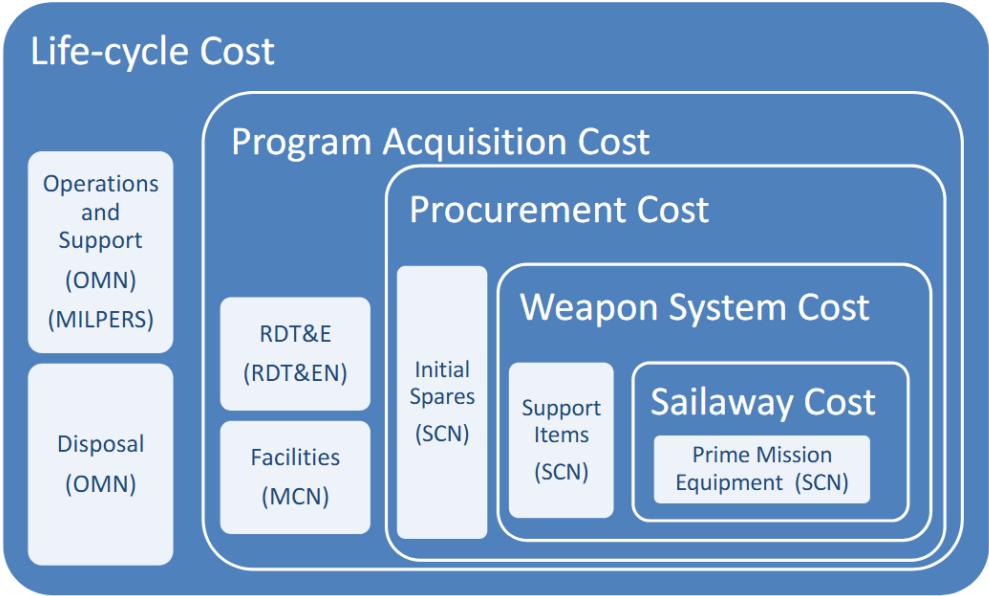


Figure 2.7. Life-cycle cost composition. Source: 3.1.6. Cost Estimating, 2025 [35]

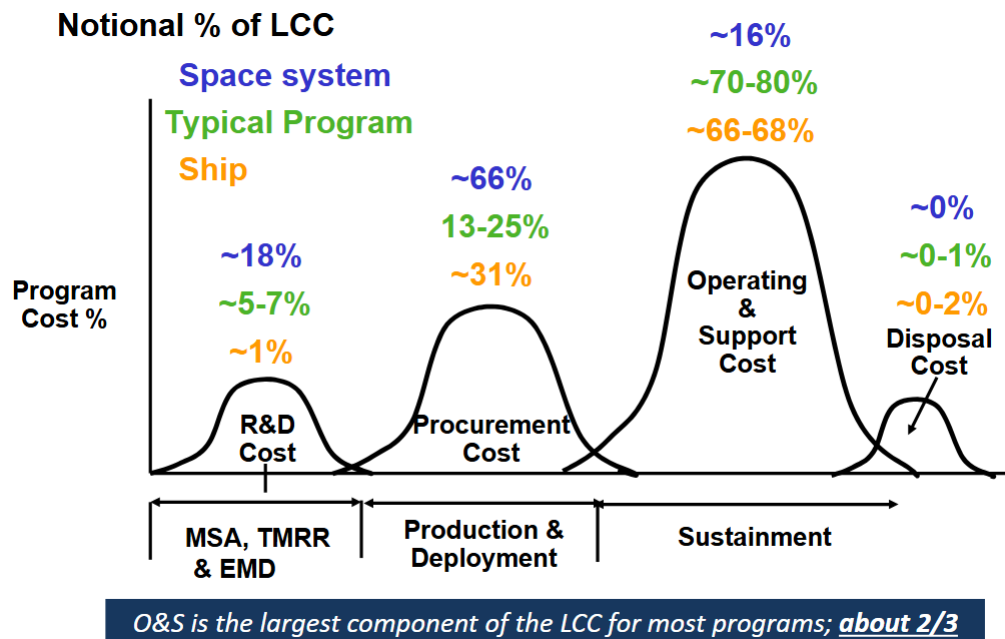


Figure 2.8. Notional life-cycle cost distribution over time. Source: 3.1.6. Cost Estimating, 2025 [35]

2.5.2 Total ownership cost (TOC)

Total Ownership Cost (TOC). TOC includes LCC plus common spares/support systems, infrastructure, and distributed indirect costs across the DoW enterprise [35].

TOC vs LCC. LCC is a subset of TOC and focuses on direct program costs; TOC seeks to allocate additional indirect and infrastructure costs to the program [35].

2.5.3 Cost estimating methods

Analogy. Compares to a similar system and adjusts for differences; used very early when data are limited [35].

Parametric (Cost Estimating Relationship (CER)). Uses statistical cost-estimating relationships (e.g., weight, speed, schedule) when key parameters are known [35].

Engineering (bottom-up). Builds from a detailed Work Breakdown Structure (WBS); most accurate but time-consuming and data-intensive [35].

Actuals (extrapolation). Uses actual costs from the same system or close predecessor; strongest in production [35].

TABLE XXII: COST ESTIMATING METHODS BY ACQUISITION

PHASE	
Phase	Most applicable methods
MSA	Analogy, Parametric
TMRR	Parametric, Engineering
EMD	Engineering, Actuals
Production & Deployment	Engineering, Actuals
Operations & Support	Actuals

Source: 3.1.6. Cost Estimating, 2025 [35]

Note

Pool example: analogy (neighbor costs), parametric (cost per square foot), engineering (detailed materials and labor), actuals (later builds in a housing development) [35].

2.5.4 Cost estimating products and players

TABLE XXIII: COST ESTIMATING PLAYERS AND PRODUCTS

Player	Product
Program Management Office / SYSCOM	CARD, economic analysis, POE
Component cost agency (e.g., NCCA)	ICE, CCE, CCP
CAPE	ICE

Source: 3.1.6. Cost Estimating, 2025 [35]

Program management office. Defines the program and develops the CARD and POE [35].

Component cost agency. Leads cost analysis independent of the acquisition decision chain; prepares Component Cost Estimate (CCE) for ACAT IC/ID programs and may serve as the Independent Cost Estimate (ICE) [35].

CAPE. Conducts or approves ICEs for ACAT ID/IC programs, participates in PPBE reviews, and advises SECWAR [35].

2.5.5 Cost estimating products

CARD. Developed by the program office; provides quantitative technical and programmatic descriptions for costing; updated for all milestone reviews (DoW Manual 5000.04 series) [35].

CCE. Developed by the component cost agency using input from the POE; reviewed by CAPE for Major Defense Acquisition Programs (MDAPs) and Major Automated Information Systems (MAISs) [35].

POE. Developed by the SYSCOM cost organization on behalf of the PMO; estimates full life-cycle resources and costs based on the CARD [35].

CCP. Reconciliation between the CCE and POE; official component cost position (DoN typically uses the POE in lieu of a CCP) [35].

ICE. Independent LCC required for ACAT I programs; conducted by an organization independent of the PMO [35].

Economic analysis. Evaluates relative costs of technical alternatives and acquisition strategies; developed by the PMO for MAISs [35].

2.5.6 Typical CARD elements

TABLE XXIV: TYPICAL CARD ELEMENTS

System and program description	Support and planning
System description and WBS	System logistics and support concepts
Subsystem descriptions and tech maturity	Hardware/software maintenance and support
Quality factors and R/M/A	Training concept and manpower requirements
Risk assessment and mitigation	Time-phased quantities and activity rates (OPTEMPO)
Operational concept and basing	Milestone schedule and acquisition strategy

Source: 3.1.6. Cost Estimating, 2025 [35]

2.5.7 Learning curve theory

Definition. When production quantity doubles, per-unit labor hours decrease by a constant percentage [35].

Drivers. Experience, uninterrupted production, consistent design, tooling improvements, and productivity focus [35].

Rule. Learning curves apply to production labor only and to repeatable processes (e.g., a 90% curve makes unit 4 labor 90% of unit 2) [35].

2.5.8 Escalation

Purpose. Escalation accounts for inflation and outlay rates to convert constant-year estimates into then-year budget dollars [35].

Indices. Raw (compound) index uses inflation only; weighted (composite) index combines inflation and outlay rates and is unique to each appropriation [35].

Source. OSW provides annual inflation and outlay rates; services compute indices for budget submissions [35].

2.5.9 Will cost / should cost

Will cost. Funded-to level without additional cost-saving initiatives [35].

Should cost. Desired cost after management initiatives; each savings opportunity must be tied to a quantifiable engineering or business change [35].

Opportunities. Learning curve gains, process improvements, contracting changes, competition, incentives, and Government-Furnished Equipment (GFE) [35].

Avoid. Straight percentage cuts or large investments with no near-term recovery [35].

2.5.10 Summary check

LCC scope. $LCC = \text{acquisition cost} + O\&S + \text{disposal (true)}$ [35].

Method selection. Early concept: analogy; preliminary design: parametric; detailed design: engineering; production run: actuals [35].

Learning curve. Applies to labor only (not material) [35].

Escalation. Convert constant-year to then-year using inflation and outlay rates [35].

3 Contracting and Solicitation

3.1 Intro to Contracting Fundamentals

3.1.1 Why Contracts Are Needed

- Establish a legal relationship between the Government and the contractor.
- Define the rights and responsibilities of each party.
- Allow changes within the terms and conditions of the legal relationship.

Note

Contracts protect both the contractor and the Government throughout the acquisition process [36].

3.1.2 Essential Elements of a Contract

Mutual assent. A contract is formed when an offer is accepted by the offeree, creating a meeting of the minds on material terms such as price, quantity, and delivery [36].

Consideration. Each party provides something of value (e.g., performance, payment, schedule relief); courts consider sufficiency and adequacy in Government contracts [36].

Capacity. Parties must be legally competent and authorized to bind their organizations; incapacity or lack of authority undermines enforceability [36].

Lawful purpose. The objective must be legal and enforceable; contracts contrary to public policy or statute are void [36].

Note

Without all elements properly satisfied, a contract may not be valid in the eyes of the court [36].

3.1.3 Government Relationship to Contractors

Transactional. Contractors seek profit while the Government demands cost, schedule, and performance results; avoid unauthorized commitments [36].

Professional. Both sides must understand the contract and work cohesively to meet requirements [36].

Collaborative. Contractors bring technical expertise, while programmatic decision-making remains inherently governmental [36].

Constrained. Ethics rules and contractual obligations govern interactions; avoid conflicts of interest [36].

3.1.4 Federal Acquisition Regulation System

- The system establishes policies and procedures for contracting and procurement across executive agencies [36].
- It consists of:
 - The Federal Acquisition Regulation (FAR).
 - The Defense Federal Acquisition Regulation Supplement (DFARS) (DoW FAR Supplement), including DoW source selection procedures.
 - Agency supplements and acquisition regulations such as Navy Marine Corps Acquisition Regulation Supplement (NMCARS), SUPSHIP Operation Manual (SOM), the NAVSEA Source Selection Guide, and the NAVSEA Contracts Handbook.

Note

Contracting officers use the FAR and its supplements to carry out the contracting process [36].

3.1.5 Types of Contracting Officers

- PCO: Handles procurement from pre-solicitation through award and signs the contract on behalf of the Government [36].
- Administrative Contracting Officer (ACO): Performs contract administration functions as assigned by the PCO (see FAR 42.302(a)) [36].
- Termination Contracting Officer (TCO): After a termination notice, negotiates an equitable settlement with the contractor [36].

Note

A single Contracting Officer (KO) can serve in all three roles depending on organizational needs and contract type [36].

3.1.6 KO and PM Roles and Responsibilities

KO responsibilities. Ensure contract performance and compliance; serve as the contract advisor for the program [36].

KO major functions. Prepare solicitations and contracts; communicate with offerors and negotiate; ensure consistency with FAR/DFARS; award, administer, modify, and terminate contracts; legally bind the Government through warranted authority [36].

PM responsibilities. Manage the program and remain accountable to the MDA for cost, schedule, and performance in accordance with the DoW 5000 series [36].

Note

The KO, PM, and their teams must understand each other’s responsibilities and governing regulations [36].

3.1.7 Differences Between the PM and the KO

TABLE XXV: DIFFERENCES BETWEEN THE PM AND THE KO		
Category	PM	KO
Authority	Tenure agreement*	War-rant**
Responsibility	Entire program	Contract
Background/Training	Technical	Business
Guiding directives	DoW 5000 series	FAR system and contract management
Organization	Program Office (IPT)	Matrix (IPT)

Source: 3.2.1. Intro to Contracting, 2025 [36]

Note

PM authority is provided by the appropriate CAE in accordance with DoW 5000 and Department of War Instruction (DoWI) 5000.66; Head Contracting Activities (HCAs) provide KOs authority via a Certificate of Appointment (Standard Form 1402) warrant. Integrated Product Team (IPT) means Integrated Product Team [36].

3.1.8 Who’s Responsible?

TABLE XXVI: CONTRACTING RESPONSIBILITIES BY ROLE	
Action	Role
Decide which vendor will be awarded the contract	KO
Conduct contract negotiations with the selected vendor	KO
Set the desired award date for the contract	PM
Set the maximum dollar amount to be awarded	PM
Monitor contractor performance	PM/KO

Continued on next page

TABLE XXVI: CONTRACTING RESPONSIBILITIES BY ROLE (Continued)

Action	Role
Make changes to the contract	KO

Source: 3.2.1. Intro to Contracting, 2025 [36]

3.1.9 Advantages of Competition

- Incentivizes lower prices for goods and services.
- Encourages innovation in transformational technologies.
- Promotes higher quality products and services.
- Enables best-value tradeoffs for performance improvements.
- Provides opportunities for capable small businesses.
- Strengthens the defense industrial base.

Note

Competition improves both value and capability outcomes [36].

3.1.10 Competition in Contracting Act (CICA)

Full and open competition. All responsible sources may compete for the requirement [36].

Exclusion of sources. Allows alternate-source strategies, small-business set-asides, and Small Business Administration (SBA) Section 8(a) actions [36].

Seven exceptions. FAR authorizes seven exceptions to full and open competition (e.g., sole source) [36].

Approval. Other-than-full-and-open competition requires an approved Justification and Approval (J&A) or Determination and Findings (D&F) per FAR Subpart 6.3; justifications must be posted to <https://sam.gov> after award [36].

SEVEN EXCEPTIONS TO FULL AND OPEN COMPETITION

1. Only one responsible source will satisfy agency requirements.
2. Unusual and compelling urgency.
3. Industrial mobilization or development of an essential capability.
4. International agreement.
5. Authorized or required by statute.

6. National security.
7. Public interest.

Note

These exceptions align with FAR 6.302 and require documentation when used [36].

3.1.11 Contracting Terms

Sole source. A contract negotiated with only one source; other-than-full-and-open competition requires justification and approval (typically a J&A using NMCARS format) [36].

Responsiveness. For sealed bidding, awards are made without discussion; the bid must conform to all Invitation for Bids (IFB) requirements [36].

Responsibility. A prospective contractor must be determined responsible, including financial health, to receive an award (applies to IFB and Request for Proposal (RFP)) [36].

Note

Tip to remember: you are responsible for your own financial health [36].

3.1.12 Determining Responsibility

The prospective contractor (offeror) must:

- Have adequate financial resources or the ability to obtain them.
- Comply with the required or proposed delivery schedule.
- Maintain a satisfactory performance record.
- Maintain a satisfactory record of integrity and business ethics.
- Possess (or obtain) the necessary organization, experience, accounting and operational controls, and technical skills.
- Have the necessary equipment or the ability to obtain it.
- Be otherwise qualified and eligible under applicable laws and regulations.

[36]

3.1.13 Determining Responsiveness

- A bid must comply in all material respects with the IFB to be considered for award.

- Example: if the offered delivery date (including mailing or transmittal time) is later than required, the bid is nonresponsive and rejected.
- Example: if the solicitation requires copper but the bidder offers tin, the bid is nonresponsive.

[36]

3.1.14 Summary

- Contracts protect the contractor and the Government by establishing a binding legal relationship.
- Essential elements are mutual assent, consideration, capacity, and lawful purpose.
- Governing documents include the FAR, DFARS, and agency supplements.
- The three KO types are PCO, ACO, and TCO.
- PMs manage the program and are accountable to the MDA; KOs ensure contract performance and compliance.
- CICA implements competition requirements, and sole-source actions require approved justification.

[36]

3.2 Solicitation Preparation

3.2.1 Contracting Process Overview

- Pre-solicitation phase (determination of need, requirements package, method of contracting).
- Solicitation, evaluation, and award phase (solicitation of sources, response and evaluation, award).
- Post-award phase (contract administration, delivery, closeout).

[37]

3.2.2 Pre-Solicitation Phase

Determination of capability need. For systems with new capabilities, the contracting process starts only after a need is identified, non-materiel solutions are ruled out, and approval is granted to pursue a materiel solution [37].

Requirements package. The package establishes the baseline for solicitation development and includes [37]:

- Management reviews and approvals.
- Certification of funds availability.

- Requirements description (specifications, Statement of Work (SOW)/ Statement of Objectives (SOO), purchase descriptions, contract data requirements).
- Special packaging and marking requirements.
- Recommended evaluation factors and criteria (team-developed).
- Inspection and acceptance requirements.
- Delivery or performance schedule.
- Special contract administration requirements.
- Special provisions or clauses (e.g., options, GFE).
- Recommended potential sources and market research results.
- Input for other-than-full-and-open competition approvals.
- Acquisition plan if the action exceeds \$10M.

Note

A contract requirements package requires substantial effort across the team [37].

3.2.3 Statement of Objectives and Performance Work Statement

SOO. A Government-prepared, high-level objectives document that is provided in the solicitation in lieu of a Government-written Performance Work Statement (PWS); offerors use it to propose the PWS [37].

PWS. Describes work in terms of required results rather than how the work is performed or hours provided; may be Government-developed or derived from an SOO [37].

Note

Example: SOO = “maintain attractive, functional groundcover”; PWS = “maintain grass between 1 and 2 inches.” [37].

3.2.4 Pre-Solicitation Communication and Market Research

- Before soliciting offers, the requirement is advertised to gauge industry interest through market research, industry days, Request for Informations (RFIs), and draft RFPs [37].
- Robust communication improves the quality of the RFP and the source selection plan by clarifying Government needs and industry capabilities [37].

3.2.5 Market Research Purpose

- Conducted throughout the acquisition life cycle to inform acquisition strategy and planning [37].
- Evaluates commercial marketplace capability and identifies potential sources [37].
- Supports price analysis and scales in depth based on urgency, dollar value, complexity, and past experience [37].
- Conducted in an IPT environment [37].

3.2.6 IPT Roles in Market Research

PM. Owns overall responsibility, develops the acquisition strategy, and ensures transparency in sources-sought and market research activities [37].

KO. Negotiates, awards, administers, and terminates contracts; determines whether the requirement can be set aside for small business; supported by contract specialists, cost analysts, and other functional experts [37].

Technical IPT. Evaluates existing commercial products and non-developmental items for applicability [37].

Cost analysts. Provide input on appropriate contract pricing information [37].

3.2.7 Methods of Contracting

Sealed bidding. Used when award can be made on price, specifications are clear, discussions are unnecessary, and there is a reasonable expectation of more than one bid. Uses an IFB and awards to the lowest priced, responsive, responsible bidder [37].

Negotiation. Used when any sealed-bidding condition is lacking (time, price information, requirements definition, or competition). May be sole source or competitive using an RFP; awards are based on evaluation criteria and discussions as needed [37].

3.2.8 Contract Types Overview

- Contract type is a key pre-solicitation decision tied to risk, requirements clarity, and profit incentives [37].
- Two broad categories: fixed-price and cost-reimbursement (cost-plus) [37].

3.2.9 Fixed-Price Contracts

- Provide for a firm price or adjustable price constrained by a ceiling or target price [37].
- Used when scope is defined, cost estimates are reliable, and the Government wants to shift cost risk to the contractor [37].

Firm-Fixed-Price (FFP). Price not subject to adjustment; contractor assumes maximum risk and responsibility for costs and profit/loss [37].

Fixed-Price with Economic Price Adjustment (FPEPA). Price adjusted up or down based on specified contingencies (often economic indices) [37].

FFP Level of Effort (LOE). Fixed dollar amount for a specified level of effort over a stated period [37].

Fixed-Price Incentive (Firm Target) (FPIF). Final price equals final cost plus adjusted profit based on a shareline formula; profit varies with cost performance and is bounded by a ceiling price [37].

Fixed-price award fee. Fixed-price with award fee based on evaluation criteria when performance cannot be measured objectively [37].

Fixed-price with prospective price redetermination. Firm fixed price for an initial period with future price redetermination for later periods [37].

Fixed-price with retroactive price redetermination. Fixed ceiling price with retroactive price redetermination after completion [37].

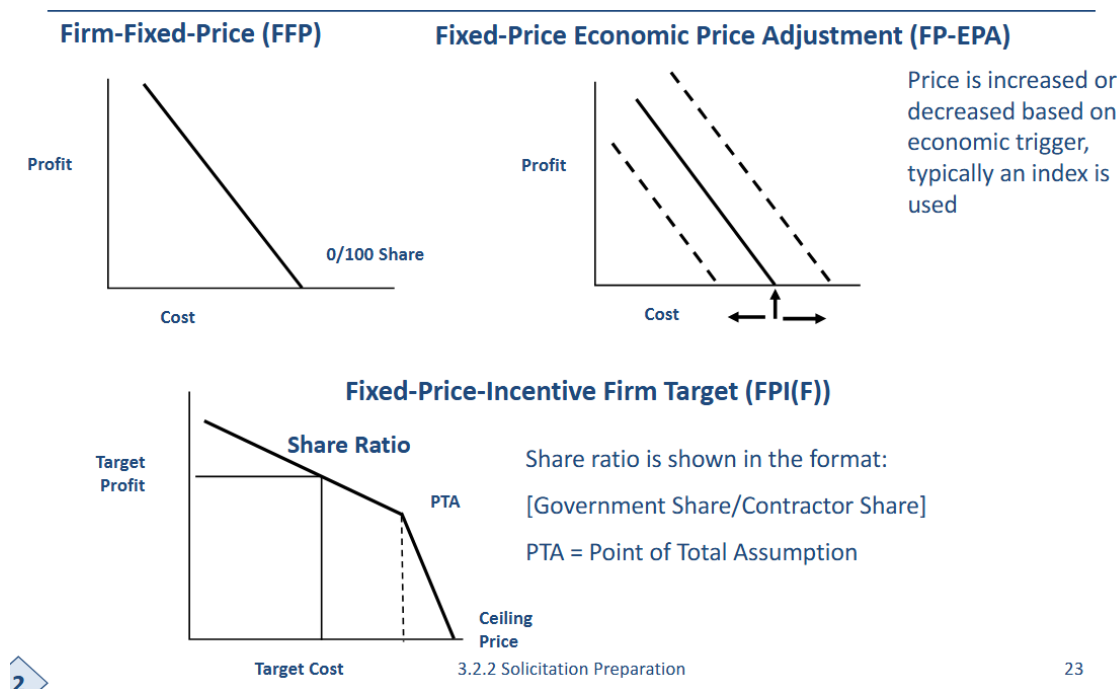


Figure 3.1. Fixed-price contract types and incentive geometry. Source: 3.2.2. Solicitation Preparation, 2025 [37].

3.2.10 Fixed-Price Incentive (Firm Target) Example

- Given: target cost 100, target fee 10, target price 110, ceiling price 130, shareline 80/20 [37].
- Overrun/underrun = actual cost - target cost [37].
- Adjusted fee = target fee $\mp$ (0.2 x overrun/underrun) [37].

- Final price = actual cost + adjusted fee (if below the ceiling) [37].

Note

Point of Total Assumption (PTA) = (ceiling price - target price) / Government share + target cost [37].

3.2.11 Fixed-Price Incentive Practical Exercise

- Actual cost \$90,000; target cost \$100,000; target fee \$10,000; target price \$110,000.
- Shareline 80 Government / 20 contractor; ceiling price \$130,000.
- Underrun = \$10,000; adjusted fee = \$10,000 + (0.2 x \$10,000) = \$12,000.
- Final price = \$90,000 + \$12,000 = \$102,000.

[37]

3.2.12 Cost-Reimbursement Contracts

- Provide for payment of allowable incurred costs within a stated ceiling; the contractor may not exceed the ceiling at its own risk [37].
- Used when scope is uncertain, costs cannot be estimated accurately, an approved accounting system exists, and Government surveillance can ensure cost control [37].
- Place cost risk on the Government and can yield lower initial contract costs [37].

Cost-Plus-Fixed-Fee (CPFF). Allowable costs plus a fixed fee; fee can change only if scope changes [37].

Cost-Plus-Incentive-Fee (CPIF). Allowable costs plus incentive fee tied to a formula based on total costs versus target costs; includes min and max fee [37].

Cost-Plus-Award-Fee (CPAF). Allowable costs plus base fee (possibly zero) and award fee [37].

Cost. Allowable costs only; no fee [37].

Cost sharing. Government pays an agreed portion of allowable costs; no fee [37].

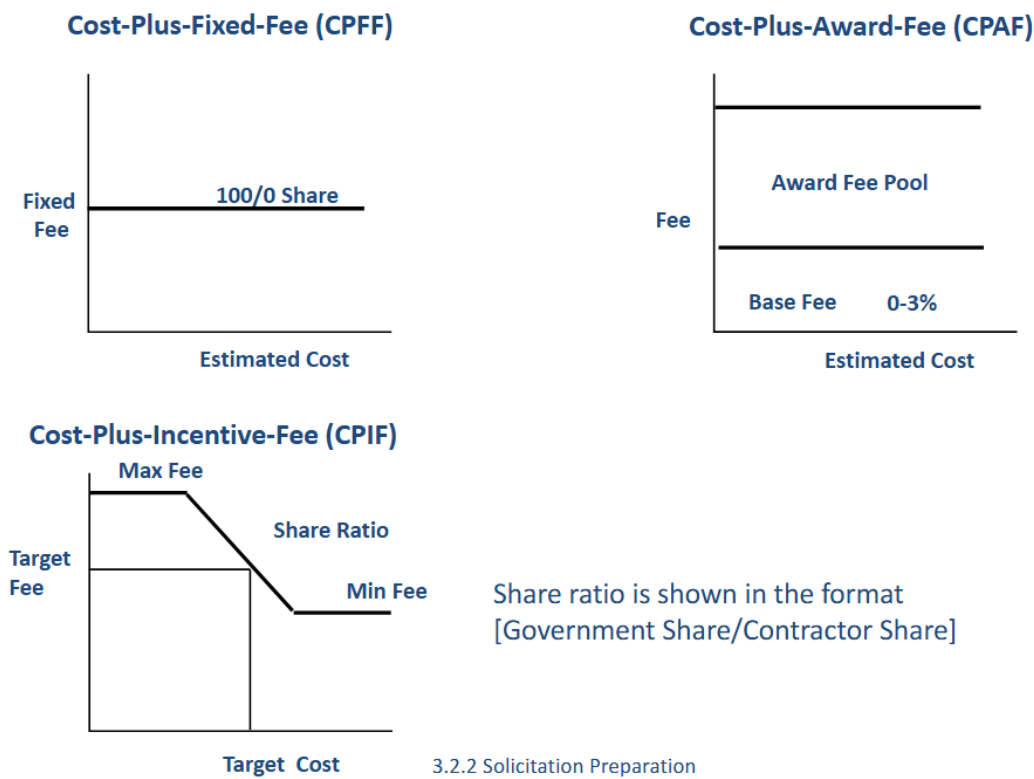


Figure 3.2. Cost-reimbursement contract types and fee structures. Source: 3.2.2. Solicitation Preparation, 2025 [37].

3.2.13 Cost-Plus-Incentive-Fee Example

- Given: target cost 1000, target fee 80, max fee 100, min fee 60, shareline 80/20 [37].
- Overrun/underrun = actual cost - target cost [37].
- Adjusted fee = target fee -/+ (0.2 x overrun/underrun) [37].
- Final price = actual cost + adjusted fee [37].

3.2.14 Incentives and Award Fees

- Incentives are driven by the requirement and can target cost, performance, schedule, award fee, options, or mixed Contract Line Item Number (CLIN) structures [37].
- Incentive contracts allow higher profit for meeting cost, performance, or schedule objectives when targets are clear and attainable [37].
- Most incentive contracts rely on cost incentives implemented via a shareline formula [37].

Special incentives. Tailored focus areas such as schedule milestones, key events, or drawing release counts; common in construction or design contracts [37].

Award fee. Subjective criteria are used when performance cannot be measured objectively; award fee may be used in fixed-price or cost-plus contracts with base fee as applicable [37].

Note

Award fee criteria examples include systems engineering milestones, successful design reviews, test completion, and certifications [37].

3.2.15 Fixed-Price v.s. Cost-Reimbursement Summary

TABLE XXVII: FIXED-PRICE V.S. COST-REIMBURSEMENT COMPARISON

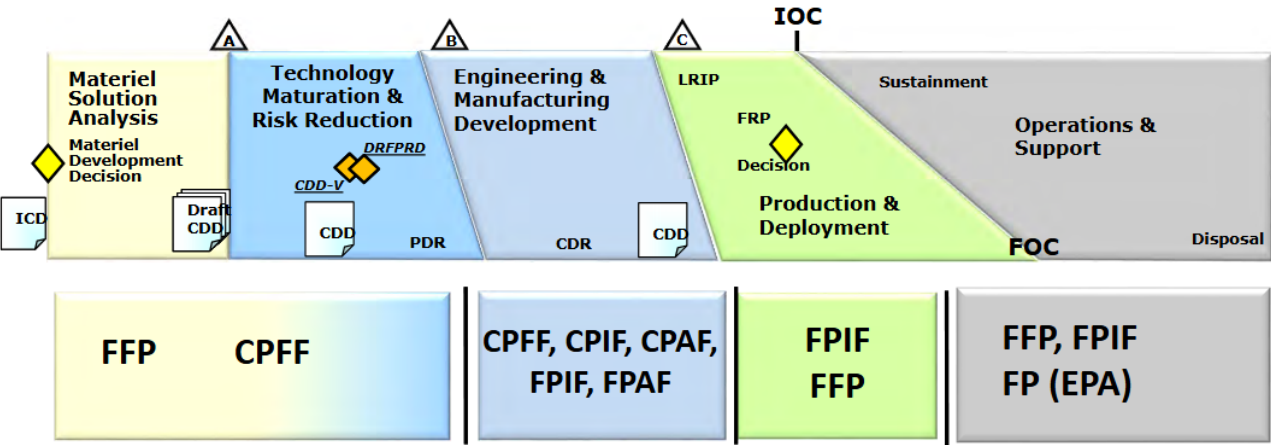
Fixed-price	Cost-reimbursement
Promised outcome: acceptable goods or services	Promised outcome: best efforts
Payment timing: after delivery (progress payments possible)	Payment timing: as costs are incurred
Cost risk to contractor: high	Cost risk to contractor: low
Cost risk to Government: low	Cost risk to Government: high

Source: 3.2.2. Solicitation Preparation, 2025 [37]

Note

A contract may include multiple contract types through the use of CLINs [37].

3.2.16 Contract Type by Acquisition Phase



CPFF= Cost-Plus-Fixed-Fee CPIF= Cost-Plus-Incentive-Fee FFP = Firm-Fixed-Price
CPAF= Cost-Plus-Award-Fee FPIF= Fixed-Price-Incentive-Firm FP (EPA) = Fixed-Price Economic Price Adjustment

Figure 3.3. Contract type by phase of the acquisition process (notional). Source: 3.2.2. Solicitation Preparation, 2025 [37].

Note

Contract type selection is influenced by program risk and requirements definition [37].

3.2.17 Risk and Contract Types

- Cost risk shifts from Government to contractor as requirements become better defined and technical risk declines [37].
- Cost-reimbursement vehicles (CPFF, CPIF, CPAF) align with higher technical uncertainty; incentive and fixed-price contracts align with defined requirements and determinable prices [37].

3.2.18 Practical Exercise: Contract Type Selection

- Long-standing contractor relationship with a clear, well-defined scope and strong cost confidence.
- First-of-class depot-level overhaul for a new submarine class with uncertain cost drivers.
- Consider the contract type you would choose as the Government and as the contractor, tying the decision to risk.

[37]

3.2.19 Indefinite-Delivery Contracts

- Used when the Government has recurring needs but is uncertain about quantities or timing; reduces lead time for task or delivery orders [37].
- Three types: definite-quantity (Indefinite-Delivery, Definite-Quantity (IDDQ)), Indefinite-Delivery, Indefinite-Quantity (IDIQ) (single or multiple award), and requirements contracts [37].

3.2.20 Other Contract Types

Time-and-Materials (T&M). Used when the extent or duration of work cannot be estimated with reasonable confidence; based on direct labor hours plus materials at cost [37].

Labor-Hour (LH). Similar to T&M, but without material charges [37].

Letter contract (Unfixed Contract Action (UCA)). Preliminary instrument authorizing immediate performance with a price ceiling when definitive contract negotiations cannot be completed in time [37].

3.2.21 Socioeconomic Programs and Set-Asides

- Small business concerns are independently owned, not dominant in their field, and meet size standards [37].
- Socioeconomic programs include small business, woman-owned, veteran-owned, service-disabled veteran-owned, Historically Underutilized Business Zone (HUBZone), and SBA 8(a) certified firms [37].

- Set-asides reserve acquisitions exclusively for small businesses and are automatic for actions between \$10K and \$250K; for actions above \$250K, set-asides are used when two or more responsible small businesses are expected and fair market prices are likely [37].
- Partial set-asides may be used for portions of multiple-award contracts, except construction [37].
- The SBA 8(a) program supports disadvantaged businesses with agency contracts and limited competition for up to nine years [37].

3.2.22 Small Business Innovation Research

- Small Business Innovation Research (SBIR) enables small businesses to develop innovative technologies for Government use and later commercialization [37].
- Large research and development organizations allocate approximately 3% of budgets to SBIR programs [37].
- Three phases: Phase I (6–12 months, \$50K–\$275K), Phase II (24 months, \$750K–\$1.8M), Phase III (commercialization with no SBIR funding) [37].

3.2.23 Other Transaction

- Other Transaction (OT) instruments are not standard contracts, grants, or cooperative agreements and provide flexible business arrangements [37].
- Used for research and development, prototypes, or models to evaluate feasibility or utility; often funded with RDT&E [37].
- Many Federal contract statutes do not apply, but procurement integrity rules and competitive practices still matter; OT decisions can be protested at the Government Accountability Office (GAO) (limited) and the Court of Federal Claims (COFC) [37].

3.2.24 Data Rights Overview

- DoW policy emphasizes acquiring only the data rights essential to meet minimum Government needs [37].
- Main categories: unlimited rights, government purpose rights, limited rights, and restricted rights [37].

Unlimited rights. Government funded the entire development; Government may use, modify, reproduce, display, release, or disclose technical data for any purpose [37].

Limited rights. Developed exclusively at contractor expense; Government may use and disclose within the Government but cannot use for manufacturing or release to third parties without permission [37].

Government purpose rights. Mixed funding; Government may use for Government purposes, with rights typically converting to unlimited after a negotiated period (normally five years) [37].

Restricted rights. Applies to noncommercial computer software; Government use is limited (single machine use, minimum backup copies, transfer within Government, limited modification) [37].

3.2.25 Factors in Determining Data Rights

- Whether the item will be competitively acquired.
- Whether repair and overhaul will be contracted out or performed in-house.
- Whether parts are commercial items or require detailed drawings (build-to-spec or build-to-print).

Note

DoW policy requires procedures that are least intrusive on contractor economic interests as practicable [37].

3.2.26 Solicitation, Evaluation, and Award Phase

- Solicitations notify industry of a contracting need and its parameters [37].
- Method of contracting determines the solicitation type: IFB for sealed bidding, RFP for negotiated procurement [37].
- IFB and RFP use the Uniform Contract Format (UCF); submitted bids and proposals are considered offers [37].
- Solicitations and pre-solicitation opportunities are publicized on <https://sam.gov>; public notice is required for contract actions expected to exceed \$25K [37].

3.2.27 Uniform Contract Format Essentials

- Part I (The Schedule) includes Sections A–H; Part II contains contract clauses (Section I); Part III lists documents and attachments (Section J); Part IV covers representations and instructions (Sections K–M) [37].
- Section B provides supplies or services and prices/costs, with each item identified by a CLIN [37].
- Section C provides descriptions, specifications, standards, and the SOW; it often references DD Form 1423 Contract Data Requirements List (CDRL) requirements [37].
- Section J lists attachments, including CDRL data requirements [37].
- Section L explains proposal submission requirements, organization, page limits, past performance data, and cost or pricing data [37].
- Section M states evaluation factors and their relative importance (e.g., price, past performance, technical, management, personnel, experience, schedule) [37].

Note

Data deliverables add cost; balance reporting needs and CDRL scope against program value [37].

3.2.28 Big-Picture Flow

- Requirements package
 - rightarrow* contracting officer
 - rightarrow* develop RFP or IFB
 - rightarrow* advertise on System for Award Management (SAM)
 - rightarrow* prospective offers [37].

3.2.29 Summary

- The two primary contract categories are fixed-price and cost-reimbursement.
- Fixed-price contracts transfer cost risk to the contractor.
- An IDIQ contract provides for indefinite quantities within stated limits during a fixed period.
- Pre-solicitation sequence: determination of need, requirements package, and method of contracting.
- IFB is used for sealed bidding when conditions for sealed bidding are met.

[37]

3.3 Source Selection Process

3.3.1 Overview

- Formal source selection is used for high-dollar defense acquisitions to achieve best value in cost, quality, and timeliness [38].
- Source selection participants may be sequestered and required to sign a non-disclosure agreement [38].
- The process is guided by the Source Selection Plan (SSP) and the solicitation (RFP or IFB) [38].

3.3.2 Source Selection Plan

Purpose. The SSP details how the Government will solicit and evaluate proposals and execute source selection [38].

Origins and approval. It originates from the acquisition strategy, is prepared by the KO with the IPT, and is approved by the Source Selection Authority (SSA) [38].

Contents. Description of the procurement, source selection charter, team organization, best-value approach, evaluation factors and rating scheme, and milestone schedule [38].

3.3.3 Basis for Award and Best Value

- Sealed bidding focuses on responsiveness and responsibility [38].
- Negotiated acquisitions select best value, defined as the outcome that provides the greatest overall benefit in response to the requirement [38].
- Best-value policies include Lowest Price Technically Acceptable (LPTA) and tradeoff processes [38].

3.3.4 Lowest Price Technically Acceptable

- Best value results from the technically acceptable proposal with the lowest evaluated cost or price [38].
- Once technical acceptability is established, proposals are ranked on cost or price only [38].
- Tradeoffs are not permitted [38].

3.3.5 Tradeoff Process

- Best value is a balance of technical merit, performance risk, management capability, and price factors [38].
- Used when requirements are less defined, significant development work is needed, or performance risk is high [38].
- The solicitation must state evaluation factors and their relative importance, and the rationale for selection must be documented [38].

3.3.6 Source Selection Steps

Common start. Compare each proposal to the RFP requirements [38].

Tradeoff path. Perform comparative analysis, determine whether prices are fair and reasonable, and select the source for award [38].

LPTA path. Identify technically acceptable sources, then select the lowest-priced acceptable offer for award [38].

3.3.7 Source Selection Organization

- The SSA is the decision authority; the Source Selection Advisory Council (SSAC) and advisors compare proposals and provide recommendations [38].
- The Source Selection Evaluation Board (SSEB) evaluates proposals and is typically organized into technical, management, past performance, cost/pricing, and small business teams as needed [38].

3.3.8 Roles and Responsibilities

PCO/KO. Ensures compliance with procurement laws, reviews proposal completeness, manages communications, and awards the contract [38].

SSA. Oversees integrity of the process, appoints qualified personnel, and selects the best-value proposal [38].

SSAC. Reviews proposal analyses after SSEB evaluation and recommends the best-value source; functions may be assigned to the SSEB when a separate council is not used [38].

SSEB. Evaluates proposals against Section M criteria and rating standards, identifies strengths and weaknesses, documents deficiencies, and drafts discussion questions [38].

3.3.9 Interactions with Contractors

Deficiencies. Material failures to meet minimum requirements or combinations of significant weaknesses that increase performance risk; must be corrected, and correction requires proposal revision [38].

Competitive range. The most highly rated offerors selected for further discussions [38].

Clarifications. Used when awarding without discussions; limited to minor or clerical errors and adverse past performance issues [38].

Communications. Used when inclusion in the competitive range is uncertain, to enhance Government understanding without proposal revision [38].

Discussions. Conducted after establishing the competitive range; offerors may revise proposals and negotiations may occur [38].

3.3.10 Guidance on Exchanges

- Do not favor one offeror over another or reveal another offeror's technical solution or price [38].
- Conduct meaningful discussions with all offerors in the competitive range, addressing all deficiencies and significant weaknesses [38].
- Allow reasonable time for proposal revision and document all discussions (oral or written) [38].

3.3.11 Fact-Finding and Analysis

- Fact-finding prepares the Government's pre-negotiation position and relies on Government research and controlled interactions that do not permit proposal revision [38].
- Typical analyses include technical analysis, cost analysis, price analysis, and cost-realism analysis (required for cost-reimbursement contracts) [38].

- External support can include Defense Contract Management Agency (DCMA), Defense Contract Audit Agency (DCAA), and field activities [38].

3.3.12 Preparing for Fact-Finding

1. Review the contracting situation and relevant legal and contractual terms [38].
2. Identify team members who will support analysis and negotiations [38].
3. List open issues, conduct research through evaluation teams, and develop the pre-negotiation position using cost and price techniques [38].
4. Draft questions and submit them in writing to the KO, who forwards them to offerors [38].

3.3.13 Negotiation Preparation and Objectives

- Be familiar with the solicitation and proposals, submit questions in advance, and align the team on acceptable trade-offs [38].
- Handle administrative details early (agenda, assignments, facilities) [38].
- The KO establishes pre-negotiation objectives using field pricing reports, DCAA audits, technical analysis, Independent Government Cost Estimate (IGCE) data, and price histories, with management review per policy [38].

3.3.14 Negotiation Skills

Do. Identify and prioritize discussion items, verify contractor authority, listen and probe for detail, draw estimate bases into the open, document action items, and keep thorough notes [38].

Do not. Reveal Government findings or specific numbers, coach the contractor, negotiate how to perform tasks, or let issues go unresolved [38].

3.3.15 Keep the End Goal in Mind

- The goal of negotiations is an agreement that enhances the quality of the product or service delivered to the Government [38].
- Ensure negotiation activities support that end state [38].

3.3.16 Contract Award and Protests

- The SSA signs the source selection decision document; the KO incorporates negotiated changes, obtains legal review, and signs the contract [38].
- Only the KO can award; the contract is binding only after signature and distribution, and the KO must ensure price reasonableness and protection of Government interests [38].

- Unsuccessful offerors are notified and may request a debriefing on strengths and weaknesses [38].
- Protests are written objections to award, cancellation, or termination; agency protests are governed by Executive Order 12979, with Alternative Dispute Resolution preferred and escalation to the COFC if needed [38].
- Protests generally suspend contract performance unless an urgent need exists [38].

3.3.17 Summary

- Guiding documents: SSP and the RFP or IFB [38].
- Formal steps: compare proposals to the RFP, perform comparative analysis, determine fair and reasonable price, and select the source [38].
- SSEB responsibilities: evaluate against Section M factors, document strengths and weaknesses, and draft discussion questions [38].
- Fact-finding questions are communicated in writing through the KO [38].
- Successful negotiation steps: prepare, conduct fact-finding and analysis, set pre-negotiation objectives, ensure negotiating skills, and keep the end goal in mind [38].

3.4 Cost and Price Evaluation

3.4.1 Summary

Fair and reasonable price. The KO determines fair and reasonable price using price, cost, technical, field-pricing, and risk analyses along with sound business judgment [39].

Financial health signals. Balance sheets and income statements enable Return on Sales (ROS) and Return on Assets (ROA) calculations that inform responsibility and financial capacity decisions [39].

Direct v.s. indirect. Direct costs tie to a single cost objective; indirect costs (overhead and G&A) support multiple objectives and must be allocated through defined bases [39].

Allowability tests. Billable costs must be reasonable, allocable, compliant with Cost Accounting Standards (CAS)/ Generally Accepted Accounting Principles (GAAP), within contract terms, and within FAR 31.205 limitations [40, § 31.201-2] [39].

Rate discipline. Indirect rates, fully burdened rates, and forward pricing rate agreements sharpen negotiation positions and protect the prenegotiation objective [40, § 15.407-3] [39].

3.4.2 Fair and Reasonable Price Determination

KO responsibility. The KO evaluates price reasonableness using price, cost, technical, field-pricing support, and risk analysis inputs to reach a fair and reasonable determination [40, § 15.404-1(a)] [39].

Analysis toolkit. Price and cost analysis are primary techniques, supported by technical evaluations, field pricing support, and risk analysis as needed [39].

3.4.3 Cost or Pricing Data Requirements

Threshold and exceptions. The coursebook threshold is \$2M; certified cost or pricing data are generally required above the threshold unless a FAR exception applies [40, § 15.403-1] [39].

Solicitation request. When required, the Government must request cost or pricing data in the solicitation and typically seeks a technical analysis of labor, material, and other proposal elements [39].

3.4.4 Cost and Price Analysis

Price analysis. Examination of the total proposed price without evaluating separate cost elements, using competition, historical prices, or market indicators [40, § 15.404-1(b)].

Cost analysis. Evaluation of individual cost elements and profit/fee to determine how well proposed costs represent what the contract should cost under reasonable economy and efficiency [40, § 15.404-1(c)] [39].

Cost v.s. price lens. Cost analysis looks at direct labor, indirect rates, materials, and ODCs; price analysis looks at total proposed price with profit/fee embedded [39].

3.4.5 Field Pricing Support

Specialist support. Field pricing support includes audits and specialist assessments (accountants, auditors, cost/price analysts, negotiators, engineers, production specialists, and small and disadvantaged business utilization specialists) to assist the KO in determining reasonableness [39].

DCAA/DCMA thresholds. DCMA provides field assistance and DCAA supports audits for fixed-price proposals over \$10M and cost-type proposals over \$100M per the coursebook [39].

3.4.6 Contractor Financial Health

Balance sheet and income statement. Balance sheets show financial condition at a point in time; income statements summarize revenues and expenses over a period and enable profitability ratios [39].

ROS and ROA. ROS and ROA gauge profitability and efficiency; compare ratios to industry averages and investigate sustained shortfalls [39].

Responsibility risk. Debt, cash-on-hand, and cash-flow trends complement ratio checks to determine offeror responsibility [39].

3.4.7 Direct and Indirect Costs

Direct costs. Costs traceable to a single cost objective (direct labor, direct material, and ODCs) with clear identification to a specific requirement [39].

Indirect costs. Costs that benefit more than one objective and are allocated through overhead and G&A pools, such as management, legal, travel, utilities, and facility security [39].

The breakdown of the proposed price is shown in Figure 3.4.

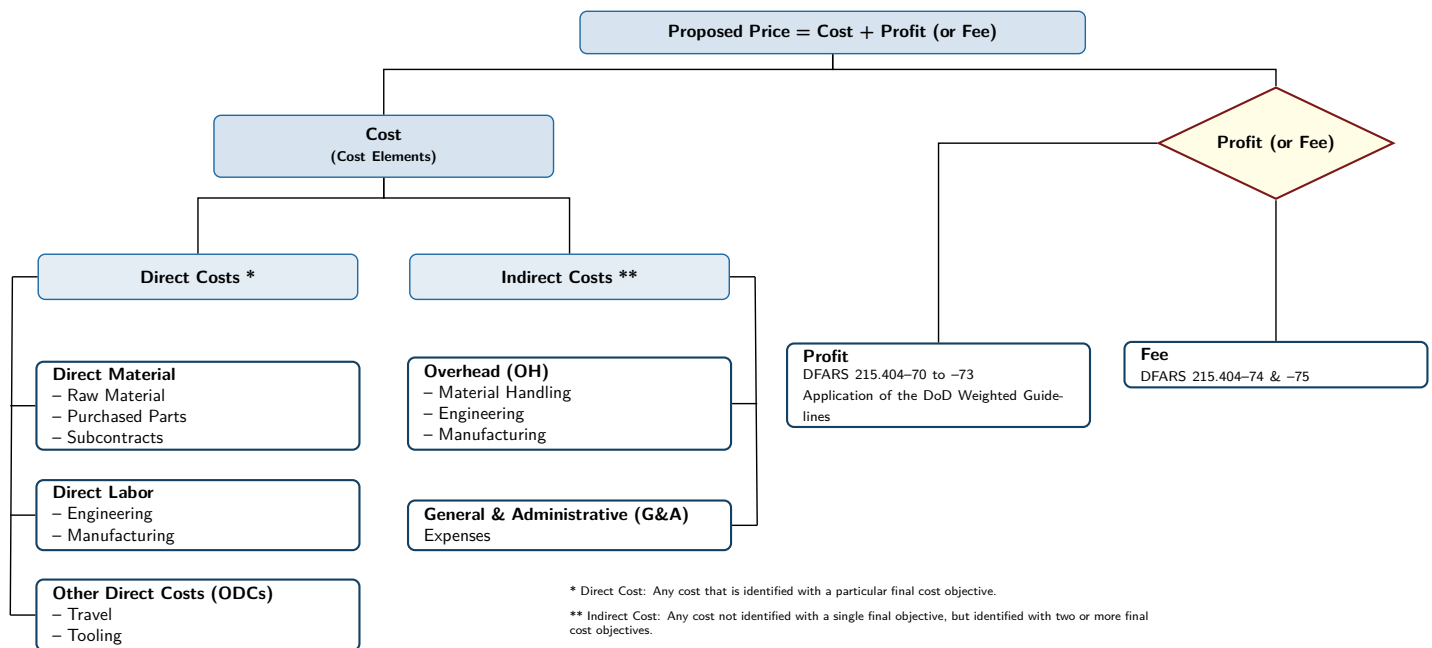


Figure 3.4. Mapping direct v.s. indirect contractor cost elements. Source: 3.2.4. Cost and Price Evaluation, 2025 [39]

3.4.8 Indirect Cost Pools, Bases, and Rates

Cost pools. Indirect cost pools group similar indirect costs (e.g., material handling, design support, building maintenance) that are allocated to cost objectives using a logical, causal-beneficial relationship [39].

Allocation bases. Bases include direct labor dollars or hours, material dollars, machine hours, or units produced and are used to compute indirect rates [39].

Apply the standard relationships from the coursebook when validating proposals; they are board favorites for quick-turn computations covering indirect pools, Total Cost Input (TCI), G&A, and profitability metrics such as ROS and ROA [39].

$$\begin{aligned}\text{Indirect Cost Rate} &= \frac{\text{Indirect Cost Pool}}{\text{Allocation Base}} \\ \text{TCI} &= \text{Direct Cost} + \text{Overhead Cost} \\ \text{G\&A Cost} &= \text{G\&A Rate} \times \text{TCI} \\ \text{Fully Burdened Labor Rate} &= \frac{\text{Direct Labor Cost} + \text{Indirect Costs} + \text{Profit/Fee}}{\text{Direct Labor Hours}} \\ \text{ROS} &= \frac{\text{Operating Profit}}{\text{Net Sales}} \\ \text{ROA} &= \frac{\text{Net Income}}{\text{Total Assets}}\end{aligned}$$

3.4.9 Cost Allowability

Five bases. Reasonableness, allocability, compliance with CAS/GAAP, contract terms, and FAR 31.205 limitations govern allowability [40, § 31.201-2] [39].

Unallowable examples. Bad debts, contributions/donations, entertainment, and alcoholic beverages are unallowable [39].

Note

Slides may refer to “cash allowability”; FAR terminology is *cost* allowability.

3.4.10 Fully Burdened Rate

Definition. Fully burdened rates combine direct labor, indirect costs, and profit/fee to support comparisons across skill mixes and estimate labor-heavy work packages [39].

Example. A contractor with \$1.0M direct labor, \$0.5M manufacturing overhead, and \$0.2M other costs across 50,000 labor hours has a fully burdened rate of \$34 per hour [39].

3.4.11 Forward Pricing Rates

Purpose. Forward Pricing Rate Agreements (FPRAs) establish agreed indirect rates (typically one to three years) to speed negotiations and reduce repetitive audits by anchoring the prenegotiation objective [40, § 15.407-3] [39].

Process. Contractors submit a Forward Pricing Rate Proposal (FPRP); the Government reviews and negotiates rates into an FPRA, and the ACO monitors performance against the agreed rates [39].

3.4.12 Practitioner Steps

1. Confirm whether certified cost or pricing data are required and document the applicable exception if not; ensure the solicitation includes any required data requests [40, § 15.403-1] [39].

2. Execute price analysis first, then cost analysis when price analysis alone cannot support reasonableness; integrate technical analysis and field pricing support as needed [40, § 15.404-1] [39].
3. Validate direct and indirect cost elements, confirm allocation bases, and apply the five allowability tests to each significant cost element [40, § 31.201-2].
4. Analyze financial health using balance sheet and income statement ratios and note any responsibility concerns in the prenegotiation objective [39].
5. Capture DCAA and DCMA inputs, forward pricing rate agreements, and fully burdened rate calculations in the contract file to justify the final determination [39].

3.4.13 Checklist

- File price and cost analysis results (with technical inputs) showing how the fair-and-reasonable price determination was reached [40, § 15.404-1].
 - Verify each significant cost element passes the five allowability tests and that allocation bases match current practice [40, § 31.201-2].
 - Document any FPRA/FPRP used in the prenegotiation objective, or explain why legacy rates remain valid [40, § 15.407-3].
 - Record ROS/ROA trends, cash flow, and DCAA/DCMA inputs that influenced the responsibility determination [39].
-

3.5 Source Selection Practical

3.5.1 Summary

SSP development. As an IPT member, build portions of the SSP that rank factors and subfactors and translate them into evaluation criteria that support best-value decisions [41].

Evaluation criteria. Criteria must discriminate among offerors, be tailored to the acquisition, and be communicated in RFP Section M with clear statements of relative importance [41].

Team roles. The SSA, SSAC, and SSEB execute a team-based source selection using standards defined in the SSP [41].

Best value trade-off. Apply evaluation standards to proposals and test results to select the best value contractor and compare outcomes to LPTA logic [41].

3.5.2 Request for Proposal Format

TABLE XXVIII: STANDARD RFP ORGANIZATION (PARTS I–IV, SECTIONS A–M).

Part	Section(s)	Purpose
Part I – Schedule	A–H	Solicitation/contract form; supplies or services and prices/costs; description/specifications/work statement; packaging/marketing; inspection/acceptance; deliveries/performance; contract administration; special contract requirements.
Part II – Contract Clauses	I	Contract clauses.
Part III – List of Documents, Exhibits, and Attachments	J	Attachments.
Part IV – Representations and Instructions	K–M	Representations/certifications; instructions/conditions/notices to offerors; evaluation factors for award.

Source: 3.2.5. Source Selection Practical, 2025 [41]

3.5.3 DoW Source Selection Process

Uniform procedures. DoW source selection procedures standardize rating criteria for technical and past performance factors and streamline DoW-wide reviews [41].

SSAC threshold. An SSAC is required for source selections valued over \$100M under the DoW procedures cited in the coursebook [41].

3.5.4 Source Selection Plan

Purpose and content. The SSP defines team structure, the conduct of source selection, and proposal evaluation criteria to ensure a structured, fair, and impartial evaluation that supports competition and best-value selection [41].

Ownership. Prepared by the KO/IPT and approved by the SSA [41].

3.5.5 Program Manager Roles

- Ensure technical requirements are approved and stable.
- Establish technical specifications and develop the SOW, SOO, or PWS.
- Allocate resources to support the SSP and help form the source selection team.
- Assist in development of evaluation criteria and standards [41].

3.5.6 Evaluation Factors, Subfactors, and Standards

Good factors. Factors should discriminate among offerors, reflect the relative importance of the program's needs, and be tailored to the acquisition (examples: cost, technical, past performance, small business participation) [41].

Section M requirement. The RFP must state the relative importance of all factors and significant subfactors, and specify how non-cost factors compare to cost/price (significantly more important, approximately equal, or significantly less important) [41].

3.5.7 Evaluation Standards and Rating Scales

Standards. Standards are developed for each factor/subfactor, use words/numbers/colors, and must be clearly defined for the SSEB; they are not included in the RFP [41].

Sample factor. Reliability can be evaluated with metrics such as mean time between critical failure (Mean Time Between Critical Failure (MTBCF)); the course exercise applies a color scale (Blue, Purple, Green, Yellow, Red) to defined standards [41].

3.5.8 Exercise: CGW(X) Source Selection

PART 1: BACKGROUND

- Scenario: CGW(X) ship program preparing for Milestone (MS) A approval.
- The team has developed trade-off opportunities, a Government preliminary contract design, and an RFP draft.
- A team is writing the SSP for full and open competition for the Detailed Design and Construction (DD&C) contract [41].

PART 1A: SUBFACTOR RANKING

Rank the following technical subfactors by relative importance (use terms such as “significantly more important than” or “approximately equal to”):

- Sprint speed.
- Mission payload.
- Troop delivery.
- Aviation capability.
- Endurance (unrefueled range at 20 kts).
- Energy efficiency (fuel consumption at endurance speed) [41].

PART 1B: THRESHOLDS AND OBJECTIVES**TABLE XXIX:** SUBFACTOR THRESHOLDS AND OBJECTIVES FOR THE CGW(X) EXERCISE.

Subfactor	Threshold	Objective
Sprint speed at 90 percent max continuous rating in sea state 3	30 kts	40 kts
Mission payload	600 ST	1000 ST
Troop delivery	Offload in 5 hours	Offload in 1 hour
Aviation capability	Deck and hangar for 1 SH-60 (rotors folded)	Deck and hangar for 2 SH-60s (rotors folded)
Endurance (unrefueled range at endurance speed)	2500 NM	3500 NM
Energy efficiency (fuel consumption at endurance speed)	600 gallons/hour	400 gallons/hour

Source: 3.2.5. Source Selection Practical, 2025 [41]

PART 2: DOWN-SELECT

- Shipyard A proposal: sprint speed 35 kts; mission payload 850 tons; troop delivery 4 hours; aviation capability deck for 2 SH-60s/hangar for 1 SH-60; endurance 3000 NM at 20 kts; efficiency 450 gallons/hour at 20 kts.
- Shipyard B proposal: sprint speed 42 kts; mission payload 600 tons; troop delivery 2 hours; aviation capability deck for 1 SH-60/hangar for 2 SH-60s; endurance 2500 NM at 20 kts; efficiency 500 gallons/hour at 20 kts.
- As the SSEB, rate each shipyard against the standards and develop an overall rating based on the relative importance of the subfactors.
- As the SSAC, recommend a contractor to the SSA using a best-value trade-off; note whether the decision would change under LPTA [41].

3.6 Contract Administration

3.6.1 Summary

Role in the process. Contract administration is a post-award function that protects Government interests, monitors contractor performance, manages changes, resolves disputes, and closes out contracts [42].

Key organizations. DCMA, DCAA, and Defense Finance and Accounting Service (DFAS) provide contract management, audit, and payment support to keep contracts compliant and funded [42].

- Key personnel.** The PCO, ACO, Contracting Officer’s Representative (COR), and TCO coordinate with the PMO and program integrator to manage contract execution [42].
- Changes and commitments.** Distinguish change orders from supplemental agreements, track NECP/ECP actions, and avoid constructive changes and unauthorized commitments [42].
- Disputes and termination.** Use Alternative Dispute Resolution (ADR) and the disputes process, and apply termination for convenience, cause, or default based on commercial/noncommercial context [42].

3.6.2 Role in the Contracting Process

- Manage Government interests and monitor contractor quality, cost, and performance.
- Ensure contractor payment, administer contract modifications, and verify compliance with terms.
- Resolve disputes and execute contract close-out activities [42].

3.6.3 Administration Organizations

- DCMA.** Provides worldwide contract administration for non-shipbuilding contracts; functions include contract management, quality assurance, engineering/production oversight, property management, and program support [40, § 42.302] [42].
- DCAA.** Performs contract audit services and financial advisory support before and after award to inform negotiation, administration, and close-out actions [42].
- DFAS.** Executes contract payments and must meet Prompt Payment Act timelines to protect contractor cash flow, especially for small businesses [42].

TABLE XXX: CONTRACT ADMINISTRATION ORGANIZATIONS AND SERVICES.			
Organization	Program contract support	Financial support	Relationship to program
DCMA	Full spectrum of contract support	Transaction processing	Assistance
DCAA	Contract audit	Transaction processing	Audit
DFAS	Contract payments	Transaction processing	Functional

Source: 3.2.6. Contract Administration, 2025 [42]

3.6.4 Key Personnel and Relationships

- ACO and Contract Administration Office (CAO).** ACOs perform contract administration functions assigned by the PCO and operate within the CAO; SUPSHIP and Regional Maintenance Center (RMC) equivalents perform ACO roles for shipbuilding and overhaul work [40, § 42.302] [42].
- Program integrator.** The program integrator serves as the CAO focal point for the program, leads the program support team, and provides status updates to the PMO and DCMA chain of command [42].

COR. The CO appoints qualified personnel as CORs with written authority; unauthorized acts can create personal liability [42].

TCO. After a termination notice, the TCO negotiates an equitable settlement with the contractor [42].

3.6.5 PMO and CAO Coordination

- Involve the CAO early, establish a Memorandum of Agreement (MOA), and conduct a combined post-award conference.
- Inform the CAO of program developments, reviews (e.g., Defense Acquisition Board (DAB)), and funding issues; notify the CAO of planned visits [40, § 42.402] [42].

3.6.6 Cash Flow

Timely Government payments drive contractor cash flow needed for materials, payroll, and subcontractor bills; late payments increase financing costs and can degrade performance, especially for small businesses [42].

3.6.7 Contract Changes and Modifications

Change proposals. Non-Engineering Change Proposal (NECP) and Engineering Change Proposal (ECP) proposals modify scope, cost, or configuration; value engineering changes save money and share savings with the contractor [42].

Deviations and waivers. Deviations authorize pre-manufacture nonconformance; waivers accept nonconformance during or after manufacture as suitable-as-is, often with reduced cost [42].

Modification requests. Field Modification Requests (FMRs) and Headquarters Modification Requests (HMRs) authorize ACO-approved contract modifications based on supporting NECP/ECP packages [42].

Contract changes. Supplemental agreements are bilateral modifications with equitable adjustments; change orders are unilateral and increase Government risk (undefinitized liabilities) while performance continues [42].

3.6.8 NECP/ECP Approval Levels

Level 1 (OPNAV). Changes to military characteristics, technical specifications exceeding the CNO ship cost adjustment, schedule slips beyond contract delivery, and changes with reclaims by the SPM or Configuration Control Board (CCB) sponsor.

Level 2 (SYSCOM). Changes affecting multiple program managers where a common decision cannot be reached.

Level 3 (SPM). Field-activity or contractor changes affecting dates, guarantees, incentives, hull strength or safety, interfaces, or significant cost impacts.

Level 4 (Field Activity). Changes not requiring higher approval [42].

3.6.9 Constructive Changes and Unauthorized Commitments

Constructive change. An authorized Government act (or failure to act) interpreted as a change order, requiring ratification and equitable adjustment when performance goes beyond minimum requirements [42].

Unauthorized commitment. An agreement made by a Government representative without authority; only the KO can bind the Government, and ratification is required [40, § 1.602-3] [42].

3.6.10 Privity of Contract

The Government has a direct contractual relationship with the prime contractor, not subcontractors; administration actions must respect this privity [42].

3.6.11 Disputes and Alternative Dispute Resolution

ADR. ADR promotes early, principled settlement of disputes and is preferred before formal processes [40, § 33.204] [42].

Disputes process. If unresolved at the contracting officer level, contractors may use the disputes process under the Contract Disputes Act [40, § 33.202] [42].

3.6.12 Termination Types and Notices

Convenience. Used when requirements change, funds are insufficient, quantities shrink, or Government needs evolve; it is a unique Government right [42].

Cause v.s. default. Termination for cause applies to commercial contracts; termination for default applies to noncommercial contracts when performance fails [40, § 52.212-4] [42].

Notices. Cure notices provide 10 days to remedy failures; show-cause notices apply when time is insufficient or cure fails; termination notices explain consequences [42].

3.6.13 Commercial Item Definitions

Commercial products and services. FAR 2.101 definitions cover products, services, and non-developmental items available in the commercial marketplace, including customary or minor modifications [40, § 2.101] [42].

Commercial Off-the-Shelf (COTS). COTS items are sold in substantial quantities in the commercial marketplace and offered to the Government without modification [40, § 2.101] [42].

3.6.14 Government Obligation to Pay

For cost-reimbursement contracts, the Government pays allowable costs incurred before termination, costs necessary after termination for default, approved subcontractor settlements, and prorated fees; excusable delays include epidemics, strikes, floods, Government actions, freight embargoes, fire, and unusually severe weather [42].

3.7 Earned Value Management (EVM)

3.7.1 What EVM is

EVM integrates scope, schedule, and cost to quantify performance by comparing planned work to completed work and associated costs; it is widely used in government and defense programs to keep delivery on time and within budget.

3.7.2 Key Components of EVM

Core cost and schedule metrics establish the earned value performance baseline [43, 44].

Planned Value (PV) / Budgeted Cost of Work Scheduled (BCWS): The budgeted cost for the work scheduled to be completed by a specific date.

Earned Value (EV) / Budgeted Cost of Work Performed (BCWP): The budgeted cost for the work actually completed by a specific date.

Actual Cost (AC) / Actual Cost of Work Performed (ACWP): The actual cost incurred for the work completed by a specific date.

Budget at Completion (BAC): The total budget allocated for the project.

Estimate at Completion (EAC): The forecasted total cost of the project based on current performance.

Cost Performance Index (CPI): A measure of cost efficiency, calculated as $CPI = EV/AC$. A CPI less than 1 indicates a cost overrun.

Schedule Performance Index (SPI): A measure of schedule efficiency, calculated as $SPI = EV/PV$. A SPI less than 1 indicates a schedule delay.

Schedule Variance (SV): The difference between the earned value and the planned value, calculated as $SV = EV - PV$. A negative SV indicates a schedule delay.

Cost Variance (CV): The difference between the earned value and the actual cost, calculated as $CV = EV - AC$. A negative CV indicates a cost overrun.

Info

The first three are equivalent terms; this guide uses the PV, EV, AC forms.

3.7.3 When to Use EVM

EVM is mandated on cost or incentive contracts (and applicable subcontracts) when the program meets the policy thresholds and the effort is discretely measurable [43, 45]. Key decision points for the PM include:

\$100 million and above: Implement the full American National Standards Institute (ANSI)/ Electronic Industries Alliance (EIA)-748 standard and ensure the contractor's system is formally validated by DCMA.

\$20 million to \$99.9 million: Implement ANSI/EIA-748 guidelines, with validation required when performance indicates risk.

Additional policy considerations follow [43, 46].

- Applicability determinations must confirm the work scope can be discretely measured before mandating EVM.
- The Milestone Decision Authority may approve EVM on FFP, time-and-materials, or LOE contracts, but such use is discouraged absent clear benefit.
- For efforts below \$20 million, the PM conducts a risk-based cost-benefit analysis to decide whether EVM adds value.
- Contracts that require EVM must also deliver Integrated Program Manager's Data Analysis Report (IPMDAR) data and complete an Integrated Baseline Review (IBR) within six months of award.

3.7.4 EVM Compliance

EVM clauses are flowed in the solicitation and award package (DFARS 252.234-7001 and 252.234-7002) alongside the Contractor Business Systems clause (DFARS 252.242-7005) to anchor validation and surveillance requirements [45]. Compliance expectations follow [43, 46].

- The program office integrates EVM planning into the WBS, maintains the Performance Measurement Baseline, and ensures timely receipt and analysis of IPMDAR submissions.
- DCMA leads EVM system acceptance, validation, and ongoing surveillance against ANSI/EIA-748 and the DoW EVM Implementation Guide; DCAA supports with accounting system audits.
- Service focal points such as Acquisition Data and Analytics and the DON Center for EVM adjudicate applicability determinations and coordinate policy updates.
- SUPSHIP can execute validation and surveillance responsibilities for shipbuilding programs on behalf of DCMA (*Appendix C.2: Rear Admiral (Lower Half) (RDML) Jonathan J. Jett-Parmer leads SUPSHIP; RDML Robert J. Dodson (United States Navy Reserve (USNR)) is the reserve deputy*).

3.7.5 EVM Principal Players

Programmatic, contracting, and oversight roles synchronize to sustain disciplined performance management [43].

PMO: Implements EVM on the contract, ensures solicitations and awards contain the required clauses, and works with the contracting activity to tailor reporting and Integrated Master Schedule (IMS) requirements.

DCMA: Serves as the DoW EVM Executive Agent by validating, accepting, and surveilling contractor systems, maintaining the official acceptance roster, and analyzing IPMDAR and schedule submissions (including the 14-point IMS review) to focus government attention on emerging issues.

DCAA: Conducts accounting system audits, corroborates cost data, and supports DCMA during surveillance events and reviews.

Acquisition Data and Analytics (ADA): Acts as the department-wide focal point for EVM policy, guidance, and competency management; issues interpretations to maintain consistent application across programs.

DON Center for EVM: Coordinates applicability determinations with Deputy Assistant Secretary of the Navy (Acquisition Policy and Budget) (DASN (APB)) and OSW, and serves as the Navy's central point of contact for EVM matters.

SUPSHIP: Performs many DCMA/DCAA surveillance roles for shipbuilding contracts when delegated by the cognizant program office. (*Appendix C.2: See Appendix C.2 for current SUPSHIP flag billet holders*)

3.7.6 PMB

Figure 3.5 shows the characteristic S-curve depicting cumulative PV/BCWS, while Figure 3.6 summarizes the progression from defining the SOW to final PMB adjustments. PMBs are:

- Scoped, scheduled, and budgeted plans for the authorized work
- Time-phased budgets that align to the master schedule
- The basis for cost and schedule performance management
- Effectively the PV for the entire project

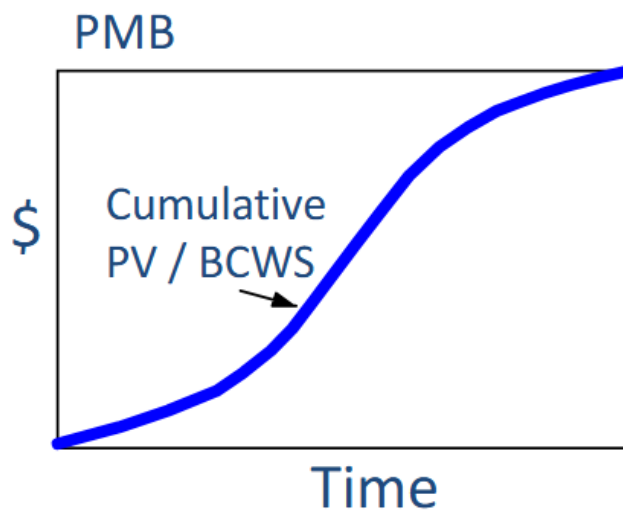


Figure 3.5. PMB cost v.s. time chart showing the “S”-curve. Source: 3.6.1. Introduction to EVM, 2025 [43].



Figure 3.6. The development flow for PMB. Source: 3.6.1. Introduction to EVM, 2025 [43].

PMB DEVELOPMENT

- Step 1: *Define all work*. Decompose the effort using the WBS and align it with the organizational structure. Control accounts are the natural management points where Control Account Managers (CAMs) are assigned, and each control account contains work packages and (if needed) planning packages.
- Step 2: *Schedule the work*. Develop the integrated schedule (often visualized with Gantt charts) that sequences the WBS elements, includes key milestones, and forms the backbone of the time-phased budget.
- Step 3: *Budget the work*. Assign time-phased budgets to each work package, establish management reserve for in-scope known unknowns, and confirm that the sum of the control accounts equals the contract budget base.

Changes to the PMB must be formally controlled and documented. Reasons for changes include:

- Contract changes
- Internal replanning
- Formal reprogramming

3.7.7 EVM Reviews and Reports

Formal reviews validate the integrity of EVM data products before and after system acceptance [43].

POST-ACCEPTANCE REVIEW

- Objective: ensure performance data remain accurate after system acceptance and identify any corrective actions required to reaffirm compliance.
- Timing: conducted as needed following system acceptance and prior to the next IBR.
- Led by the Review Director (typically DCMA) with membership tailored to the purpose of the review.
- Culminates in a formal report prepared by the Review Director.

INITIAL COMPLIANCE EVALUATION

- Objective: validate that the Contractor's EVM system description matches actual practice and satisfies the Earned Value Management System (EVMS) criteria.
- Timing: executed prior to the initial IBR (and subsequently only if needed).
- Led by the DCMA Review Director with cross-functional support as required.
- Results documented in a report signed by the Review Director.

INTEGRATED BASELINE REVIEW

- Participants: the contractor, PM and deputy, DCMA/DCAA/SUPSHIP personnel, and relevant technical staff.
- Purpose: joint assessment to verify the realism and accuracy of the PMB, confirm the entire technical scope is captured, and ensure resources and schedules are achievable.
- Timing: conducted within six months of contract award (or major replanning event) in accordance with the DoW EVM Implementation Guide and service policy [43].

INTEGRATED PROGRAM MANAGEMENT DATA ANALYSIS REPORT

This contractually required report delivers cost, schedule, and technical status derived from the Contractor's EVM system, enabling the PMO to identify performance problem areas and emerging risks. It is required on every contract that mandates EVM and must be delivered at least monthly. The data set is tailored for each contract based on risk, size, and integration considerations, but the canonical formats are:

1. WBS (most common)
2. Organizational categories
3. Program Management Baseline
4. Staffing
5. Explanation and Problem Analysis
6. IMS

A Contract Funds Status Report (CSFR) complements the IPMDAR by providing funding (price) information that reconciles to the cost-focused earned value data [43].

PROBLEMS

When using EVM, the following are indications that a problem exists [44].

- Use of management reserves
- Significant revisions to the PMB
- Zero variance
- Sudden change in trends
- Unreasonable Total Cost Performance Index (TCPI)

3.7.8 EVM Data Analysis

Figure 3.7 shows the S-curve representation of the EVM variables; the gaps between the curves are the cost and schedule variances that drive performance assessments [44].

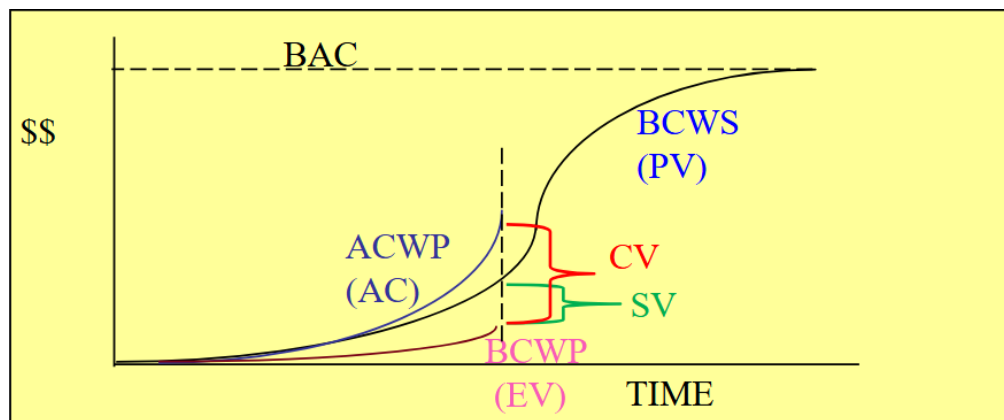


Figure 3.7. EVM chart showing the independent variables and variances. Source: 3.6.2. EVM Data Analysis, 2025 [44]

DATA ANALYSIS STEPS

1. **Get current status:** capture the latest cost and schedule performance using CPI, SPI, and narrative explanations.
2. **Identify trends:** analyze indices and variance trajectories over time to highlight emerging risks and opportunities.
3. **Predict completion:** develop independent EAC and Variance at Complete (VAC) assessments to forecast final outcomes.
4. **Determine management actions:** decide where to apply resources, contract changes, or risk mitigations to recover performance [44].

PERFORMANCE MEASUREMENT TECHNIQUES

Percent Complete: Applies to long-duration tasks lacking interim milestones; progress is reported as the earned value fraction of total budget.

Weighted Milestones: Uses milestone weights for long-duration tasks with clear waypoints, crediting earned value as milestones are completed.

Percent Start/Percent Finish: Suitable for short-duration tasks (less than two reporting periods) with credit apportioned at start and finish.

0/100 Method: Provides earned value only when the task is complete, offering a conservative measure for discrete, short tasks [44].

EQUATIONS

Standard cost and schedule performance calculations include [44].

$$\begin{aligned}
 CV &= EV - AC \\
 SV &= EV - PV \\
 CPI &= \frac{EV}{AC} \\
 SPI &= \frac{EV}{PV} \\
 CV\% &= \left(\frac{CV}{EV} \right) \times 100 \\
 SV\% &= \left(\frac{SV}{PV} \right) \times 100 \\
 \% \text{ Complete} &= \left(\frac{EV}{BAC} \right) \times 100 \\
 \% \text{ Spent} &= \left(\frac{AC}{BAC} \right) \times 100 \\
 EAC &= \frac{BAC}{CPI} \\
 EAC &= AC + \frac{BAC - EV}{\left(\frac{EV}{AC} \right)_{3 \text{ months}}} \\
 EAC &= AC + \frac{BAC - EV}{CPI \times SPI} \\
 EAC &= AC + \frac{BAC - EV}{0.8 \text{ CPI} + 0.2 \text{ SPI}} \\
 VAC &= BAC - EAC \\
 TCPI &= \frac{\text{Work remaining}}{\text{Budget remaining}} \\
 TCPI_{EAC} &= \frac{BAC - EV}{EAC - AC} \\
 TCPI_{BAC} &= \frac{BAC - EV}{BAC - AC}
 \end{aligned}$$

3.8 EVM Exercise

3.8.1 Summary

Purpose. Apply earned value calculations to a two-period data set to diagnose cost and schedule status [47].

Focus. Compute performance indicators, interpret trends, and project cost outcomes [47].

3.8.2 Exercise Inputs

- Two-period summary data for planned value, earned value, and actual cost [47].
- Program budget targets and any stated profit or funding assumptions [47].

3.8.3 Calculation Checklist

- SV and SPI, period and cumulative [47].
- CV and CPI, period and cumulative [47].
- TCPI to budget [47].
- EAC forecast and estimated overrun/underrun [47].
- Estimated contractor profit, government cost, and POM request impact [47].

3.8.4 Interpretation Prompts

Status. Explain the program's cost and schedule health using SV/CV and SPI/CPI trends [47].

Drivers. Identify the likely sources of variance and whether corrective action is required [47].

Projection. Describe the likely end-state cost using EAC and resulting profit or funding impacts [47].

4 Defense Acquisitions

4.1 Acquisition Policy and Players

4.1.1 Summary

Rules and regulations. Acquisition authority flows from acquisition-related law, Federal regulations (FAR, DFARS, and component supplements), and DoW/DON policy documents in the 5000 series and Secretary of the Navy Instruction (SECNAVINST) guidance [48].

Decision support systems. JCIDS defines requirements, PPBE provides resources, and the DAS delivers materiel; effective program management aligns all three [48].

Risk and affordability. Cost, schedule, and performance risks define the trade space, while affordability keeps life-cycle cost within disciplined bounds [48].

Key acquisition players. Acquisition Program, Defense Acquisition Executive (DAE), CAE, MDA, PEO, and PM definitions establish who owns decisions and reporting [48].

Oversight and reporting. Acquisition Category (ACAT) categories scale oversight by cost and special interest; reporting relies on Research, Development, and Acquisition Information System (RDAIS), Defense Acquisition Executive Summary (DAES), Selected Acquisition Report (SAR), Unit Cost Report (UCR), and Defense Acquisition Visibility Environment (DAVE) [48].

4.1.2 Rules and Regulations

1. Acquisition-related laws.
2. Federal Government regulations.
3. DoW and DON acquisition policy documents [48].

4.1.3 Acquisition-Related Law

Statutory authority from Congress provides the legal basis for systems acquisition. Title 10, U.S.C. governs the organization, structure, and operation of the Armed Forces, and the annual NDAA is a primary mechanism for modifying acquisition authorities and reporting requirements [48].

- Armed Services Procurement Act (1947), as amended.

- Small Business Act (1963), as amended.
- Office of Federal Procurement Policy Act (1983), as amended.
- Competition in Contracting Act (1984).
- Department of War Procurement Reform Act (1985).
- Department of War Reorganization Act (Goldwater-Nichols) (1986).
- Defense Acquisition Workforce Improvement Act (1990).
- Federal Acquisition Streamlining Act (1994).
- Clinger-Cohen Act (1996).
- Weapon Systems Acquisition Reform Act (2009) [48].

4.1.4 Federal Government Regulations

- The FAR is the primary regulation for all Federal agencies acquiring supplies and services with appropriated funds; it guides acquisition planning, competition, contract award, and warranty policy.
- The DFARS supplements the FAR with DoW-specific procedures.
- Component-unique supplements (for example, NMCARS for the Navy) tailor policy at the Service level.

The FAR is the highest-level acquisition regulation [48].

4.1.5 Acquisition Policy Documents

- Department of War Directive (DoWD) 5000.01 (Defense Acquisition System) sets policy and assigns senior acquisition responsibilities.
- DoWI 5000.02 (Operation of the Adaptive Acquisition Framework) establishes six pathways to tailor acquisition strategies.
- Acquisition Guidebooks provide non-mandatory guidance, lessons learned, and best practices.
- SECNAVINST 5000.2 and the SECNAV M 5000.2 DoN Acquisition and Capabilities Guidebook provide DON-specific policy and tailoring guidance [48].

4.1.6 Adaptive Acquisition Framework

The Adaptive Acquisition Framework (AAF) supports the National Defense Strategy by providing tailored pathways for delivering capability. Pathway instructions include:

- Major Capability Acquisition (MCA) – DoWI 5000.85.

- Urgent Capability Acquisition – DoWI 5000.81.
- Middle Tier of Acquisition (Middle Tier of Acquisition (MTA)) – DoWI 5000.80.
- Software Acquisition – DoWI 5000.87.
- Defense Business Systems – DoWI 5000.75.
- Defense Acquisition of Services – DoWI 5000.74.

Functional area guidance includes engineering, test and evaluation, cybersecurity, Analysis of Alternatives (AoA), cost estimating, intellectual property, protection, human systems integration, intelligence, and information technology [48].

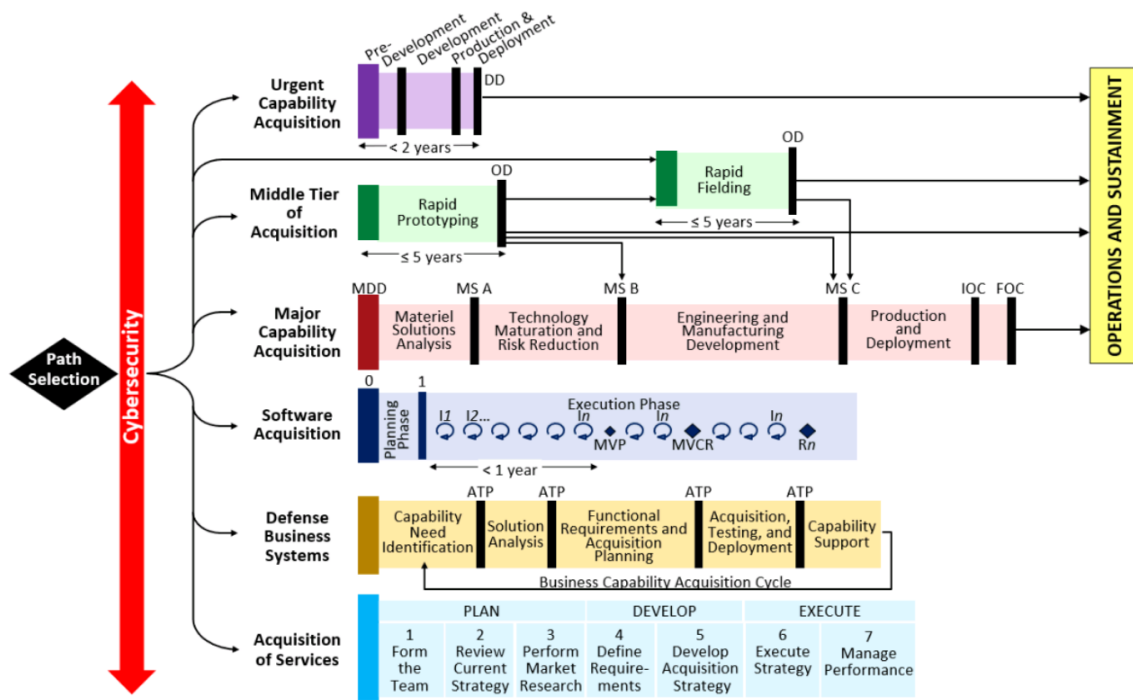


Figure 4.1. Adaptive Acquisition Framework. Source: 3.3.1. Acquisition Policy and Players, 2025 [48].

4.1.7 Defense Acquisition System Focus

The DAS manages the acquisition of weapon systems and other materiel. Major Capability Acquisition is the primary pathway for this course and is event-driven with five phases, four major decision points, and three milestones [48].

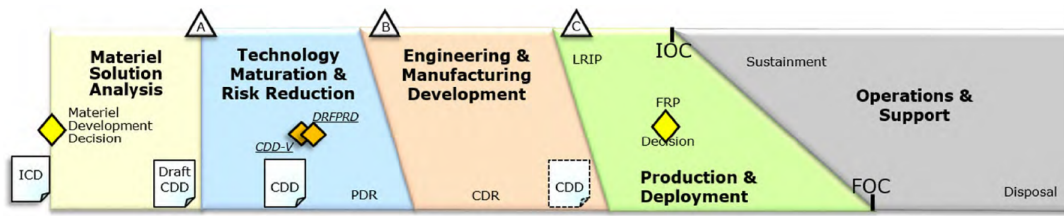


Figure 4.2. Major Capability Acquisition phases, milestones, and decision points. Source: 3.3.1. Acquisition Policy and Players, 2025 [48].

4.1.8 Key Acquisition Reform Initiatives

- Streamlined FAR/DFARS updates and continued modernization of the 5000 series.
- Mil-Spec review for cost effectiveness and open standards.
- Advanced Concept Technology Demonstrations (Advanced Concept Technology Demonstration (ACTD)) to reduce technical risk.
- Control of TOC in addition to procurement cost.
- Integrated Product and Process Development (IPPD) and IPT structures to integrate disciplines early.
- Cost as an Independent Variable (CAIV) to trade performance and cost.
- Single Process Initiative to reduce process duplication.
- Open Systems Architecture (Open Systems Architecture (OSA)) and simulation-based acquisition to shorten time and cost.
- Better Buying Power (Better Buying Power (BBP)) and Back to Basics (Back to Basics (BtB)) workforce initiatives [48].

4.1.9 Risk Factor Impact

Cost. Drivers include material price changes, labor rates, and regulatory compliance such as Environmental, Safety, and Occupational Health (ESOH) requirements.

Schedule. Late deliveries, political pressure, and changing capability needs can drive schedule risk, as can late compliance planning.

Performance. New materials or technologies and unproven operational concepts can increase performance risk.

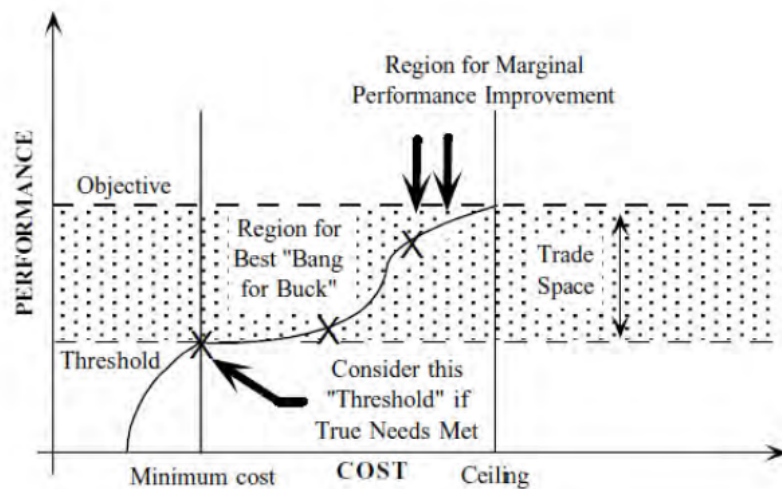
Managing risk by balancing cost, schedule, and performance is central to successful acquisition [48].



Figure 4.3. Cost, schedule, and performance trade space. Source: 3.3.1. Acquisition Policy and Players, 2025 [48].

4.1.10 Affordability and Trade Space

Affordability keeps life-cycle cost within an established range while using schedule and performance as the trade space. It informs AoA work, requirements, and engineering decisions throughout the life cycle [48].



Graphic from Selected Topics in Assurance Related Technologies (START)
Volume 5, Number 2

*The “knee of the curve” helps answer this question:
“Is the additional performance worth the additional investment?”*

3.3.1 Acquisition Policy and Players

Figure 4.4. Trade space of performance v.s. cost showing the knee of the curve. Source: 3.3.1. Acquisition Policy and Players, 2025 [48].

4.1.11 Decision Support Systems

Three decision support systems must work together for acquisition success [48].

JCIDS. Requirements generation system that identifies, assesses, and prioritizes warfighter capability needs.

PPBE. Resource allocation process that builds the DoW budget for acquisitions.

DAS. Management process for developing and buying weapon systems; implemented via the AAF.

Program Managers must understand all three systems and synchronize them [48].

4.1.12 Major Institutions of Defense Acquisition

At the national level, defense acquisition is shaped by the Executive Branch, Congress, and defense industry. Program Managers execute day-to-day coordination and reporting across these institutions [48].

4.1.13 Defense Industry Landscape

Public vs. private companies. Public companies issue shares and disclose financial results; private companies are closely held and generally have fewer reporting obligations.

Large/medium businesses. Establish divisions, team with other large firms, and pursue large RDT&E contracts to gain experience.

Small businesses. Often centralize staff functions, outsource support services, and rely on relationships with KOs, the SBA, and the DoW Office of Small Business Programs; the coursebook threshold is 500 employees or \$7.5M in revenue.

Commercial vs. government markets. Commercial markets set prices freely; government markets are regulated by the FAR and profit caps but are generally less risky [48].

4.1.14 Organizational Structures

Common organizational models include functional, divisional, and matrix structures. Small firms typically centralize functions, while large firms create multiple divisions aligned to product lines or markets. A sound structure clarifies authority and enables coordination; a poor structure blurs accountability and slows decision-making [48].

4.1.15 Defense Trends

Vulnerabilities. Economic downturns, technology breakthroughs, workforce availability, energy issues, raw materials, and wartime demand can stress suppliers and schedules.

Opportunities. Shifting threats create opportunities in cyber, counter-terrorism, missile defense, space, and science and technology; creative partnerships can leverage commercial markets [48].

4.1.16 Acquisition Players (DoWD 5000.01 Definitions)

Acquisition Program. A directed, funded effort to deliver a new, improved, or continuing materiel, weapon, information system, or service capability in response to an approved need.

DAE. The top-level official for defense acquisitions; acts as MDA for designated MDAPs and MAISs and may delegate authority to Component leaders.

CAE. Senior official responsible for acquisition functions within a DoW Component; authority may be re-delegated.

MDA. Designated official with overall program responsibility; approves phase entry and is accountable for cost, schedule, and performance reporting to higher authority.

PEO. Directs multiple acquisition programs and may be delegated MDA for ACAT II/III/IV programs.

PM. Responsible for achieving program objectives and accountable for cost, schedule, and performance reporting to the MDA [48].

4.1.17 Office of the Secretary of War Decision Makers

Key decision makers within OSW include Under Secretary of War for Acquisition and Sustainment (USW(A&S)), Under Secretary of War for Research and Engineering (USW(R&E)), the DoW Chief Information Officer (CIO), and Director, Operational Test and Evaluation (DOT&E). CAPE provides cost and program evaluation support [48].

Under Secretary of War (Comptroller) (USW(C)). Controls the budget and release of funds; aligned to PPBE budgeting and execution.

USW(P). Aligns DoW plans with national security objectives and supports the planning phase of PPBE.

USW(A&S). Principal advisor to SECWAR and Deputy Secretary on acquisition and sustainment; sets workforce policy and makes milestone decisions for designated MDAPs.

DOT&E. Provides independent operational test oversight, approves operational test plans and live fire strategies, and reports directly to SECWAR and Congress.

CAPE. Oversees AoA guidance and evaluates program costs, schedules, and impacts across the DoW portfolio.

USW(R&E). Chief technology officer for DoW; provides technical risk assessments and oversees innovation organizations such as () and Defense Advanced Research Projects Agency (DARPA).

DoW CIO. Oversees IT and cyber acquisition and may serve as MDA for MAIS programs.

The DAB is the senior forum advising USW(A&S) on critical acquisition decisions and includes senior DoW leadership from policy, financial management, test, intelligence, and Service Secretaries [48].

4.1.18 Intelligence Community Touchpoints

Service and national intelligence organizations provide threat assessments and updated intelligence throughout the acquisition life cycle. Program review involvement typically includes Service intelligence, Defense Intelligence Agency (DIA), and Director of National Intelligence (DNI) depending on program impact [48].

4.1.19 Department of the Navy Decision Makers

ASN(RD&A) serves as the DON CAE and oversees SYSCOM commanders, PEOs, and DASNs. ASN(RD&A) represents the DON to USW(A&S) and Congress on acquisition policy and program execution [48].

4.1.20 Acquisition Categories

Programs are grouped into ACAT categories primarily by cost and level of interest to scale oversight and statutory compliance. Factors include cost, location in the acquisition framework, and special interest [48].

ACAT I

ACAT I programs are MDAPs requiring expenditure of at least \$525M RDT&E or \$3.065B procurement (FY 2020 constant dollars), or those designated by USW(A&S). ACAT ID programs are managed at the DAE level; ACAT IC programs are managed by the CAE. Examples include DDG-1000 and the Navy Multiband Terminal [48].

ACAT II

ACAT II major systems do not meet ACAT I criteria and are estimated to exceed \$200M RDT&E or \$920M procurement (FY 2020 constant dollars). The CAE (or designee) is the MDA. Automated information systems do not use ACAT II [48].

ACAT III AND ACAT IV

ACAT III programs do not meet ACAT I, ACAT IA, or ACAT II criteria and are assigned the lowest appropriate MDA. ACAT IIIA covers less-than-major automated information systems. ACAT IV programs are DON-unique categories for efforts not designated ACAT III, and are split into IVT (test) and IVM (monitor) depending on operational test requirements [48].

4.1.21 Program Reporting Requirements

RDAIS. Authoritative DON database tracking program cost, schedule, and performance with monthly and quarterly updates.

DAES. Early warning reports from DON to USW(A&S) for ACAT I programs between milestones, using RDAIS inputs.

DAVE. Tracks MTA efforts with status, issues, cost, and performance updates.

SAR. Annual report from SECWAR to Congress for ACAT I programs; quarterly reporting is required for schedule slips of six months or more or unit cost increases of 15% over the current APB objective (or 30% over the original baseline).

UCR. Quarterly report for ACAT I programs submitting SAR to ensure unit costs are visible and not masked by quantity changes [48].

4.1.22 Current Navy Acquisition Issues

- China, culture, climate change, and supply chain issues.
- “More than 350” fleet objective from Force Design 2045 (2022) for manned and unmanned platforms.

- Make cybersecurity part of program DNA from requirements through sustainment.
- “Get Real, Get Better” as a leadership imperative for continuous improvement.
- Ongoing acquisition reform [48].

4.1.23 Summary Highlights

- Decision support systems: JCIDS, PPBE, and DAS.
- Rules and regulations: FAR, DoWI 5000.02, and SECNAVINST 5000.2.
- Risk focus: cost, schedule, and performance.
- Key players: DAE, CAE, MDA, PEO, and PM.
- ACAT categories exist to scale oversight and tailor reviews [48].

4.2 Acquisition Milestones and Phases

4.2.1 Summary

DAS structure. The DAS uses Milestones A/B/C, five phases, and decision points (Materiel Development Decision (MDD), Capabilities Development Document Validation (CDD-V), Development Request for Proposal Release Decision (DRFPRD), Full-Rate Production (FRP)) to pace major capability acquisitions [49].

Baseline discipline. The APB sets cost, schedule, and performance thresholds/objectives that define the program trade space and trigger deviation actions [49].

Pre-systems acquisition. The MDD, Materiel Solution Analysis (MSA), and AoA converge on a validated materiel solution, initial acquisition strategy, and draft requirements [49].

Systems acquisition. Technology Maturation and Risk Reduction (TMRR) and Engineering and Manufacturing Development (EMD) reduce risk and mature designs before Production and Deployment Phase (P&D); MS B/C decisions commit the program to development and production [49].

Navy overlays. Ships, SCN timing, and the Navy 2-pass/7-gate review shape milestone execution and resourcing expectations [49].

4.2.2 Introduction: DAS and Urgent Needs

The DAS supports the National Defense Strategy through the AAF, tailoring acquisition to program urgency and risk [49].

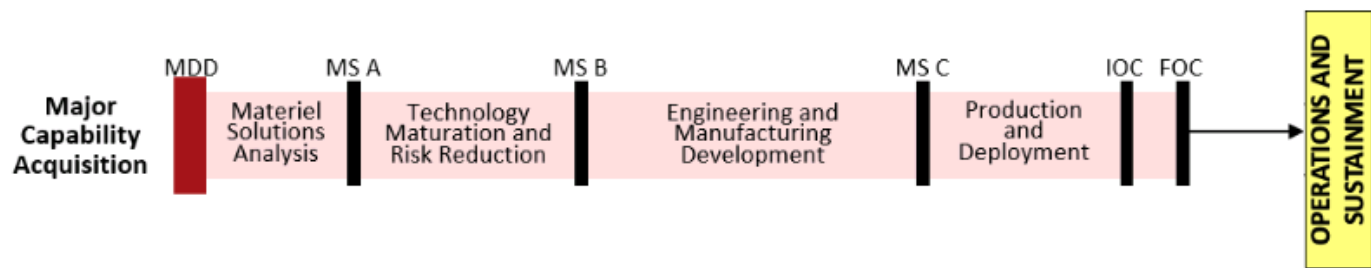
UON. Urgent Operational Need (UON) addresses capability gaps impacting ongoing or anticipated contingency operations; when validated by a single DoW Component it is a Component UON [49].

JEON. Joint Emergent Operational Need (JEON) is a joint requirement identified by CCMD, CJCS, or Vice-Chairman of the Joint Chiefs of Staff (VCJCS) for an anticipated contingency [49].

JUON. Joint Urgent Operational Need (JUON) is a joint requirement identified by CCMD, CJCS, or VCJCS for an ongoing contingency [49].

4.2.3 DAS Structure: Milestones, Phases, Decision Points

- Milestones: Milestone A initiates technology maturation and risk reduction; Milestone B initiates engineering and manufacturing development; Milestone C initiates production and deployment [49].
- Phases: MSA, TMRR, EMD, P&D, and O&S [49].
- Decision points: MDD, CDD-V, DRFPRD, and FRP [49].



Lifecycle View of Major Capability Acquisition

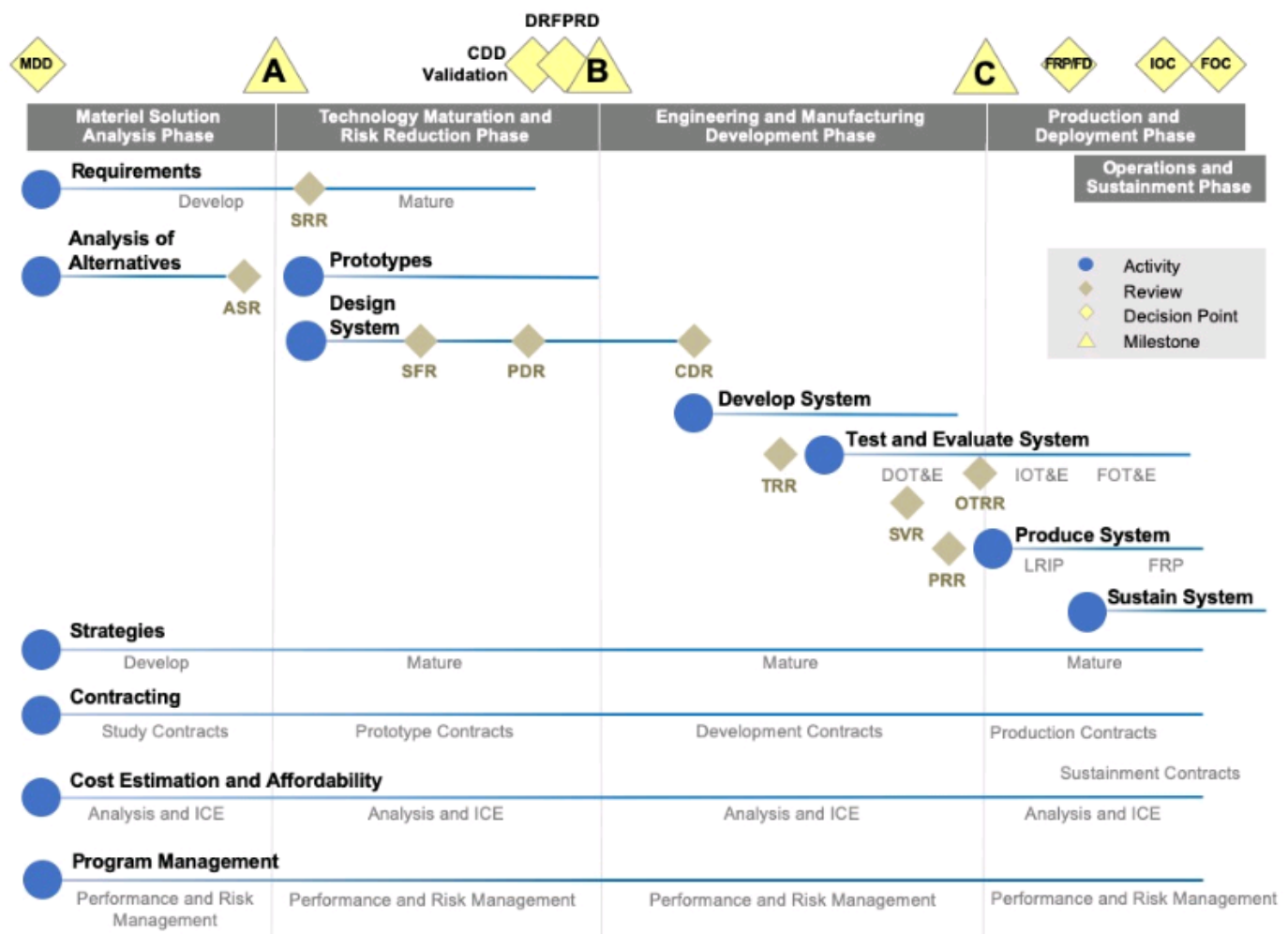


Figure 4.5. Major Capability Acquisition phases and decision points. Source: 3.3.2. Acquisition Milestones and Phases, 2025 [49].

4.2.4 Milestone Review Information Requirements

Information for milestone reviews is tailored by the MDA and must align with DoWI 5000.85 requirements; it should cover program progress/risk, affordability, trade-offs, acquisition strategy updates, and exit criteria for the next phase [49].

4.2.5 Entrance and Exit Criteria

Entrance criteria. Minimum accomplishments required before entering a phase; documented in DoWI 5000.85 and required for all programs [49].

Exit criteria. Program-specific technical, schedule, or management risk areas proposed by the PM and approved by the MDA; recorded in the Acquisition Decision Memorandum (ADM) and must be specific and demonstrable [49].

Risk linkage. Programs must meet exit criteria for the current phase and entrance criteria for the next phase before transition; the MDA uses exit criteria to confirm risk reduction [49].

4.2.6 Acquisition Program Baseline (APB) and Trade Space

Purpose. The APB documents cost, schedule, and performance thresholds/objectives and defines the trade space for the program [49].

Thresholds. Minimum acceptable values; exceeding schedule, cost, or performance thresholds constitutes a deviation and requires MDA involvement [49].

Objectives. Desired values that represent meaningful improvements beyond thresholds and guide PM trade decisions [49].

Default thresholds. Unless specified, performance threshold equals objective, cost threshold equals objective plus 10%, and schedule threshold equals objective plus 6 months [49].

4.2.7 Program Deviations

Deviation definition. A program deviation occurs when the current estimate exceeds APB thresholds for cost, schedule, or performance; early indicators are set by the MDA (e.g., 10% schedule slip) [49].

Nunn-McCurdy. Significant breaches are 15% growth from the current baseline or 30% from the original baseline; critical breaches are 25% current or 50% original, and are subject to termination review; significant breaches require congressional notification within 45 days after the Program Deviation Report [49].

4.2.8 Program Deviation Actions

- Immediately notify the MDA through appropriate management channels [49].
- Within 30 days, submit a Program Deviation Report describing the cause and corrective actions [49].
- Within 90 days, either return the program within APB parameters or submit information to the Overarching IPT for an MDA decision on APB revision [49].

4.2.9 JCIDS Relationship to the DAS

JCIDS is the requirements generation process that identifies warfighter capability gaps, develops joint concepts, and produces a validated Initial Capabilities Document (ICD) through the Capability Based Assessment that feeds the acquisition framework [49].

4.2.10 Materiel Development Decision (MDD)

Purpose. Confirms a materiel solution is required and triggers the AoA [49].

MDA inputs. Validated ICD, evidence of technical foundation, AoA study guidance and plan, and a Capstone Threat Assessment [49].

MDA decisions. Designate the lead DoW Component and the phase entry point; entry may occur at any point that meets entrance criteria and statutory requirements [49].

4.2.11 Materiel Solution Analysis (MSA)

Purpose. Assess candidate materiel solutions and prepare for Milestone A [49].

Guided by. Validated ICD, AoA study guidance, and AoA plan [49].

Major activities. Establish PM/PMO, conduct AoA, develop initial Acquisition Strategy, Test and Evaluation Master Plan (TEMP), Systems Engineering Plan (SEP), Life-Cycle Sustainment Plan (LCSP), and cybersecurity strategy; the user writes a draft Capabilities Development Document (CDD) [49].

Minimum funding. Funding supports all phase activities and the Milestone A decision [49].

Exit. MDA approves the materiel solution and Acquisition Strategy [49].

4.2.12 Analysis of Alternatives (AoA)

Focus. Materiel solution, mission effectiveness, key cost/capability trades, schedule, Concept of Operations (CONOPS), risk, producibility, and total life-cycle cost [49].

Innovation/competition. Emphasizes competition and encourages industry to surface candidate solutions to sponsors and stakeholders [49].

Hierarchy of alternatives. Commercial solutions first, then existing U.S./allied systems, international cooperative development, joint/government agency development, and finally DoW-unique development [49].

Approval. CAPE approves the AoA; results inform the Acquisition Strategy and industry competition [49].

4.2.13 Acquisition Strategy

Requirement. The PM prepares and the MDA approves an Acquisition Strategy at Milestone A [49].

What it does. Tailors the acquisition framework, sets the master schedule, and provides the basis for plans such as TEMP, contract awards, and SEP [49].

Affordability. The strategy must maximize affordability from initiation through post-production support [49].

4.2.14 International Acquisition and Exportability

Drivers. U.S. strategy and DoWI 5000.02 require international cooperation, sales, and exportability to be considered in acquisition strategies [49].

IA&E objectives. Operational interoperability, economic cost-sharing, technical access, political alliance strength, and industrial base health; additional considerations include security risk and foreign dependency [49].

Common forms. International cooperative programs, FMS, building partner capacity initiatives, and Direct Commercial Sales (DCS) arrangements (do not confuse with program ownership and contract privity roles) [49].

4.2.15 Evolutionary v.s. Single-Step Acquisition

Evolutionary. Time-phased increments that define the current increment and subsequent evolutions to meet full capability needs [49].

Single-step. Full capability delivered in one step before Milestone C; major modifications of sufficient cost/complexity are managed as separate efforts [49].

Preference. Evolutionary acquisition is preferred when rapidly fielding mature technology [49].

4.2.16 Key Performance Parameters

Definition. Key Performance Parameters (KPPs) are system attributes critical to delivering effective capability and are documented in the CDD and APB [49].

Validation. JROC validates KPPs for major defense programs; the Joint Capabilities Board or DoW Components validate for others [49].

Mandatory. Force Protection, System Survivability, Sustainment, and Energy; Net-Ready remains required but can be treated as a KPP or performance attribute [49].

4.2.17 Milestone A

PM inputs. Proposed materiel solution, Acquisition Strategy, SEP/TEMP, CDD/CONOPS, LCSP/ICE, risk assessment, and should-cost targets [49].

Component inputs. Affordability analysis, cost estimate, and evidence the program is fully funded in the FYDP [49].

MDA decisions. Approves materiel solution, authorizes TMRR RFP release, and sets TMRR exit criteria in the ADM [49].

Certification. 10 U.S.C. 2366a requires ICD alignment, AoA-validated solution, cost estimate with CAPE concurrence, JROC priority, and DIA-validated Validated Online Life-cycle Threat (VOLT) report [49].

4.2.18 Technology Maturation and Risk Reduction (TMRR)

Purpose. Reduce technology, engineering, integration, and life-cycle cost risks; demonstrate critical technologies; complete preliminary design [49].

Guided by. ICD, Acquisition Strategy, draft CDD, and SEP [49].

Basis for entry. MDA-approved materiel solution and Acquisition Strategy [49].

Activities. Competitive prototyping, Preliminary Design Review (PDR), CDD-V, sustainment planning, DRFPRD, Technology Readiness Assessment (TRA), and Reliability, Availability, and Maintainability Cost Rationale (RAM-C) report [49].

Exit criteria. Affordable increment identified, technology demonstrated in relevant environment (Technology Readiness Level (TRL) 6), PDR completed before Milestone B (unless waived), validated requirements, full FYDP funding, and affordability compliance for production/sustainment [49].

4.2.19 Capability Development Document Validation

Authority. The validation authority (JROC for MDAPs) validates the CDD [49].

Focus. Confirms cost-performance trades, affordability, testability, and alignment with user priorities; KPPs/ Key System Attributes (KSAs) guide PDR and DRFPRD [49].

4.2.20 Configuration Steering Boards

Authority. Chaired by the CAE with USW(A&S) and Joint Staff participation; formed after CDD-V [49].

Responsibilities. Review requirement changes for ACAT I/IA programs, propose adjustments to meet affordability, and evaluate cost/schedule impacts; changes require identified funds and mitigated schedule impacts [49].

Cadence. Meets at least annually and recommends de-scope options to the MDA [49].

4.2.21 Development RFP Release Decision

The DRFPRD authorizes release of the RFP for EMD (often with Low-Rate Initial Production (LRIP) options), confirms affordability/executability, and is the last point for major changes without program disruption; the MDA determines preliminary LRIP quantities [49].

4.2.22 Milestone B

Purpose. Development decision authorizing entry into EMD and formal program initiation [49].

MDA approvals. EMD entry, Acquisition Strategy, APB, LRIP quantities, contract type, exit criteria, and Milestone B certification/determination with ADM issuance [49].

Shipbuilding. Milestone B triggers SCN funding for shipbuilding programs [49].

4.2.23 Engineering and Manufacturing Development

Purpose. Develop, build, and test the product to verify all requirements and support production decisions [49].

Guided by. Acquisition Strategy, CDD, TEMP, and SEP [49].

Activities. Complete design, retire risks, build/test prototypes, establish product baselines, conduct Critical Design Review (CDR), and perform operational assessments [49].

Exit. Design stability, requirements met via DT and early Operational Test (OT), and all EMD exit criteria met before Milestone C [49].

4.2.24 Milestone C

At Milestone C the MDA reviews cost estimates, validated life-cycle threat reporting, environmental issues, design stability, Operational Assessment (OA) results, software maturity, manufacturing risk, validated CDD, supportability, interoperability, affordability, and phased production ramp-up before committing to production [49].

4.2.25 Production and Deployment

Purpose. Produce and deliver requirements-compliant systems [49].

Guided by. Acquisition Strategy, TEMP, CDD, SEP, and LCSP [49].

Activities. LRIP, OT in realistic threat conditions, Beyond LRIP report, Full-Rate Production Decision Review (FRPDR), fielding, Initial Operational Capability (IOC), and Full Operational Capability (FOC) [49].

Exit. IOC achieved and deployment in full swing [49].

4.2.26 Operations and Support

Purpose. Execute the support strategy, sustain readiness, and plan disposal [49].

Guided by. Product Support Strategy and Programmatic Environmental, Safety, and Occupational Health Evaluation (PESHE) [49].

Activities. Life-cycle sustainment resourcing, technical data/tooling planning, and disposal in accordance with safety, security, and environmental requirements; phase completes when assets are disposed [49].

4.2.27 Ships Are Different

- The PM is designated as early as possible, often before the MDD [49].
- Initial Acquisition Strategy and TEMP set the long-term context and gain early leadership alignment [49].
- Between Milestone A and Milestone B/C, RFP and specification development is for the ship, not an engineering development model [49].

4.2.28 Navy 2-Pass / 7-Gate Review

Gates 1–4 (requirements). Led by the CNO or Commandant of the Marine Corps (CMC); starts before MDD and leads to approved ICD, AoA guidance, a selected AoA alternative, approved CDD, CONOPS, and a System Design Specification development plan [49].

Gates 5–7 (acquisition/sustainment). Led by ASN(RD&A); starts after Gate 4 and continues through Milestone B; approves System Design Specification, RFP release, and production readiness (including EVMS and IBR checks), with Gate 6 pre/post Milestone C and FRPDR follow-on [49].

4.2.29 Scenario Drills (Entry-Point Decisions)

Use the following vignettes to select the most appropriate entry point into the acquisition framework [49].

1. **Situation 1.** Joint mid-course interceptor capability; validated ICD; multiple materiel approaches; AoA guidance and plan approved; MDA wants a lead DoW Component and an evolutionary strategy. *Question:* best entry point?
2. **Situation 2.** Validated CDD for a new side-arm with proven commercial options; field evaluations meet thresholds; full procurement funding. *Question:* best entry point?
3. **Situation 3.** Validated ICD; AoA and Acquisition Strategy complete; promising but immature technology; significant performance risk; draft CDD. *Question:* best entry point?
4. **Situation 4.** Mature lab eye-protection technology; validated ICD/CDD; full funding offsets identified; technology not yet tested outside the lab and not integrated with helmet systems. *Question:* best entry point?

4.2.30 Quick Review

- Which entry point requires a validated ICD, AoA study guidance, and AoA plan [49]?
 - Which milestone authorizes entry into P&D [49]?
 - Which milestone requires all sources of program risk to be adequately mitigated [49]?
 - In MSA, which two artifacts are approved by the MDA [49]?
-

5 Requirements

5.1 Joint Capabilities Integration & Development System

5.1.1 Summary

Decision support triad. JCIDS (requirements), PPBE (funding), and the DAS (materiel) operate continuously and must stay aligned to enable timely decisions [50].

Purpose. JCIDS ensures the joint warfighter receives required capabilities, institutionalizes joint needs, and initiates the acquisition management process [50].

CBA foundation. Capability-Based Assessments (CBAs) identify capability gaps and recommend materiel or non-materiel solutions based on operational risk and feasibility [50].

Capability documents. ICD and CDD (with CDD updates) align to acquisition phases and provide validated requirements for program execution [50].

Key players. CJCS, JROC, Joint Capabilities Board (JCB), Functional Capabilities Boards (FCBs), the Joint Staff Gatekeeper (J-8), and Joint Staff J-6 drive validation, prioritization, and interoperability decisions [50].

5.1.2 Decision Support Systems

Requirements. JCIDS captures warfighter capability needs and requirements [50].

Funding. PPBE provides the resource decisions to execute validated priorities [50].

Materiel. The DAS executes acquisition strategies that deliver validated capabilities [50].

Synchronization. These systems must interface continuously to keep requirements, funding, and execution aligned [50].

5.1.3 Capabilities-Based Assessment (CBA)

Objective. A CBA analyzes mission needs and capability gaps, assesses risk, and recommends materiel and non-materiel solutions [50].

Initiation. A CBA can start from any DoW organization, a joint concept, a CONOPS, or an operational need [50].

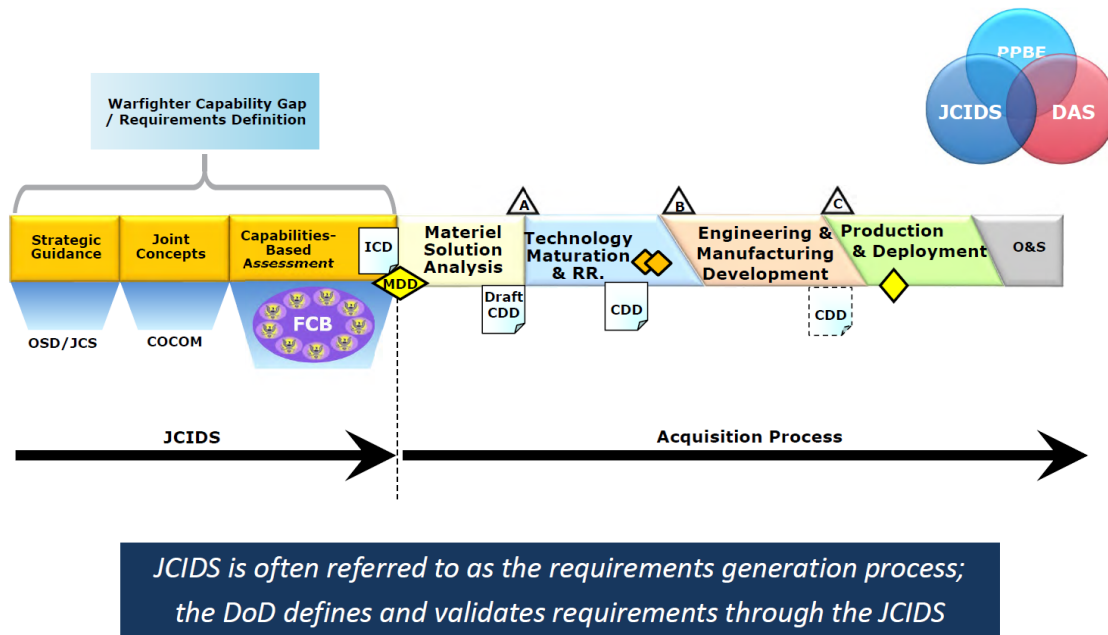


Figure 5.1. Relationship between JCIDS and the DAS. Source: 3.3.3. Joint Capabilities Integration Development System, 2025 [50].

Outputs. The CBA identifies mission and capability needs, gaps and risks, validates non-materiel feasibility, and recommends a path forward [50].

5.1.4 CBA Phases

Study definition. What does the mission require [50]?

Needs assessment. How well do current capabilities meet those needs; where are the gaps [50]?

Solutions recommendation. What materiel or non-materiel options should close the gaps [50]?

5.1.5 CBA Recommended Solutions

Materiel. New or modified systems acquired through the DAS; guided by validated JCIDS documents [50].

Non-materiel. Changes in doctrine, organization, training, leadership, personnel, facilities, or policy; often faster and less costly than new systems [50].

Document path. Non-materiel solutions lead to a DOTMLPF-P Change Recommendation (DCR); materiel solutions lead to an ICD [50].

5.1.6 DOTMLPF-P Elements

Doctrine. Fundamental guiding principles [50].

Organization. How the DoW organizes to fight [50].

Training. How the force prepares to fight tactically [50].

Materiel. Existing equipment and systems [50].

Leadership and education. Leader development requirements [50].

Personnel. People required to accomplish the mission [50].

Facilities. Property, installations, and industrial facilities supporting forces [50].

Policy. Policies that impact military operations [50].

5.1.7 Capability Documents

Purpose. Capability documents communicate operator needs to acquisition, test, and resourcing communities [50].

Primary documents. ICD (approved prior to MDD) and CDD (approved prior to Milestone B); CDD updates support production [50].

AoA support. AoA is performed during the MSA phase as part of the requirements-to-acquisition handoff [50].

5.1.8 Initial Capabilities Document (ICD)

Purpose. Summarizes the CBA and justifies requirements to resolve capability gaps within a timeframe, including possible solutions for MSA and TMRR [50].

Inputs. Summarizes Doctrine, Organization, Training, Materiel, Leadership and Education, Personnel, Facilities, and Policy (DOTMLPF-P) analysis and capability gaps [50].

Supports. MDD, AoA, Acquisition Strategy, and Milestone A [50].

5.1.9 Capability Development Document (CDD)

Purpose. Defines authoritative, measurable, and testable capabilities for EMD and the program technical baseline [50].

Affordability. Captures information needed to deliver an affordable and supportable capability across increments [50].

Performance. Specifies performance attributes, including KPPs, needed to design systems that close the gaps in the ICD [50].

Updates. Can be updated near end of development to refine production attributes, quantities, and subsequent increments [50].

5.1.10 CDD Update and Legacy CPD

Policy change. The 2018 JCIDS manual removed the requirement for a separate Capability Production Document (CPD); a CDD update supports production needs [50].

Legacy CPD intent. Defined capabilities for Production and Deployment, refined CDD thresholds/objectives, and was approved before Milestone C after CDR [50].

5.1.11 JCIDS Within the Acquisition Framework

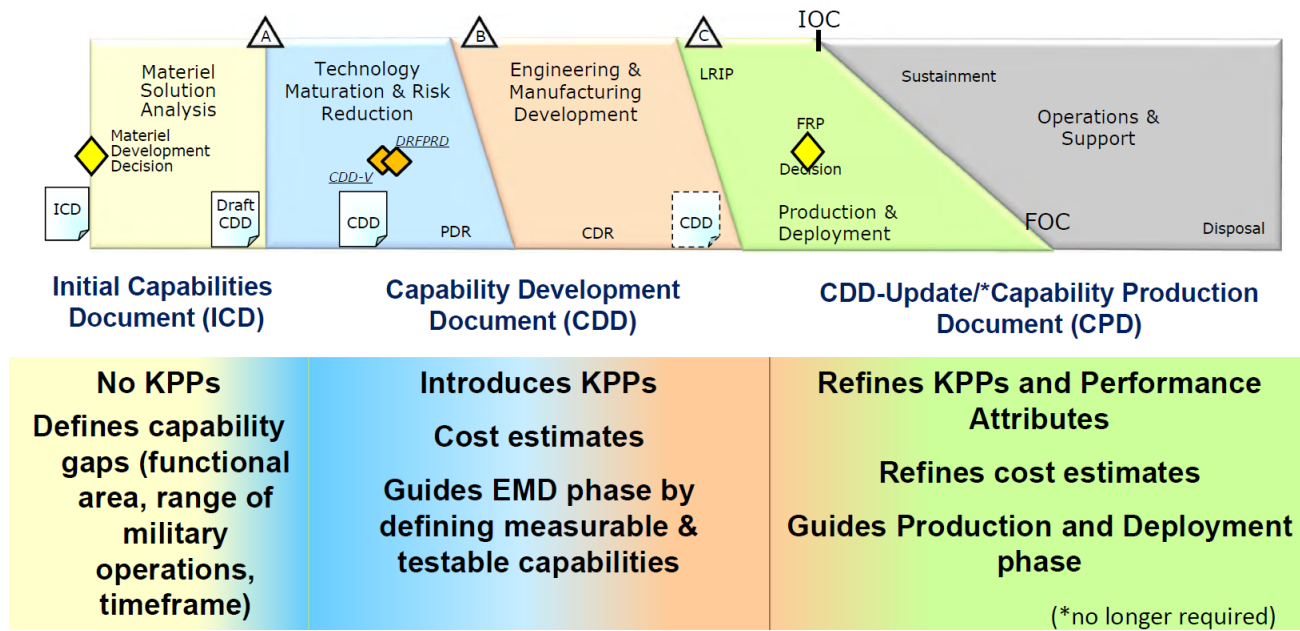


Figure 5.2. Placement of JCIDS documents within MCA phases. Source: 3.3.3. Joint Capabilities Integration Development System, 2025 [50].

ICD. Defines capability gaps and supports MDD, MSA, and TMRR (no KPPs) [50].

CDD. Introduces KPPs, provides cost estimates, and guides EMD with measurable, testable capability definitions [50].

CDD update. Refines KPPs and performance attributes, updates cost estimates, and guides Production and Deployment [50].

Team effort. Requirements development must involve the warfighter and all stakeholders to produce executable technical requirements [50].

5.1.12 Key Players

Gatekeeper (J-8/DDR). Manages document flow, assigns Joint Staffing Designator (JSD), and designates lead/supporting FCBs for staffing and validation [50].

Chairman of the Joint Chiefs of Staff. The CJCS is the principal military adviser to the President, SECWAR, and the National Security Council (NSC); sets the agenda and presides over the Joint Chiefs of Staff [50].

Joint Requirements Oversight Council. The JROC is the process owner; validates requirements, prioritizes joint capabilities, and validates KPPs unless delegated [50].

Joint Capabilities Board. The JCB supports the JROC, reviews documents, adjudicates issues, and validates KPPs for JCB-interest documents [50].

Functional Capabilities Boards. The FCBs are permanent bodies that analyze, prioritize, and integrate stakeholder views across functional areas; include CCMD participation [50].

5.1.13 Joint Staff J-6 (C4/Cyber)

Net-ready validation. Validates the Net-Ready performance attribute (KPP or KSA) for JROC/JCB-interest documents [50].

Interoperability certification. Performs IT and national security system interoperability and supportability certifications; Joint Interoperability Test Command (JITC) issues certification before full-rate production [50].

5.1.14 Importance of Interoperability

Definition. Ability of systems, units, or forces to provide and accept services and operate effectively with U.S. and coalition partners [50].

Operational risk. Poor interoperability increases risk to people and equipment and reduces operational effectiveness [50].

Cost discipline. Stovepiped systems are costly and hinder joint operations; interoperability is a core JCIDS validation priority [50].

5.1.15 IT Acquisition Requirements

Net-Ready attribute. Documented as a KPP or KSA to ensure IT supports operations, is manageable on networks, and exchanges information effectively [50].

Architecture compliance. Systems must align to Department of War Architecture Framework (DoWAF); architecture views are mandatory parts of the CDD and must be consistent with Department of War Information Technology Standards Registry (DISR) standards [50].

5.1.16 Validation Authority

Joint Requirements Oversight Council. The JROC validates all ACAT I and IA programs [50].

Joint Capabilities Board. The JCB validates other ACAT II/III programs with significant joint or interoperability impact [50].

Component sponsor. Component or sponsor validates all other requirements documents [50].

5.1.17 Document Review and Staffing

Submission. Sponsors submit documents to Joint Staff J-8 for review and staffing [50].

JSD assignment. J-8 determines the document's joint impact and assigns a JSD that drives staffing level and validation authority [50].

FCB review. Lead FCB reviews staffing results and recommends validation action [50].

Validation. Confirms operational need, verifies non-materiel infeasibility, and ensures threat and certification requirements are met [50].

5.1.18 Quick Review

- What system institutionalizes a joint capability need and sponsors further evaluation of a materiel solution [50]? **Answer:** JCIDS.
- Which acquisition phases use the ICD and CDD [50]? **Answer:** MSA/TMRR, EMD, and Production and Deployment.
- Which document defines capabilities and is transformed into a program start [50]? **Answer:** CDD, with Milestone B approval by the MDA.
- JROC and the Joint Staff ensure new capabilities are conceived and developed in what context [50]? **Answer:** Joint warfighting context.
- Warfighter gap identification is driven by Combatant Commander participation in what body [50]? **Answer:** FCBs.

5.2 Research & Development

5.2.1 Summary

Technology posture. The U.S. relies heavily on industry research and commercial technologies while Navy labs retain a strong Science and Technology (S&T) role in acquisition decisions [51].

S&T role. S&T reduces integration risk by maturing technologies, conducting assessments, and advising requirements and acquisition communities [51].

Continuum and readiness. The S&T continuum runs from basic research to advanced technology; TRL maturity is central to insertion timing and risk [51].

Transition mechanisms. Advanced Technology Demonstration (ATD) and Joint Concept Technology Demonstration (JCTD) accelerate technology transition with distinct objectives, oversight, and user involvement [51].

Support partners. Federally Funded Research and Development Centers (FFRDCs) and University Affiliated Research Centers (UARC)s provide objective, long-term research and systems acquisition support [51].

5.2.2 R&D Perspective and Posture

Near term (today's Navy). Focused on current readiness and fleet needs led by the CNO, CMC, CCMDs, Fleet, and the United States Marine Corps (USMC) [51].

Mid term (next Navy). Programs and resources shaped by PEOs, SYSCOMs, NRO, and OPNAV [51].

Long term (Navy the Nation needs). DON S&T, the Naval War College, and research centers such as NIWC, Naval Surface Warfare Center (NSWC), the Naval Air Warfare Center, Naval Undersea Warfare Center (NUWC), Naval Research Laboratory (NRL), Office of Naval Research (ONR), , and DARPA [51].

5.2.3 Using Commercial Technology

Industry leverage. DoW S&T budgets drive greater reliance on commercial investments while Navy labs retain an advisory role [51].

Common pathways. OSA, Dual Use Applications Program (DUAP), Independent Research and Development (IR&D), Manufacturing Technology (ManTech), Technology Transfer (T2), and S&T affordability initiatives bring commercial technologies into defense systems [51].

5.2.4 R&D in the Acquisition Framework

Technology opportunities. State-of-the-art assessments, experiments, and demonstrations inform program decisions [51].

Insertion timing. New technology can enter in any phase, but is most likely inserted prior to Milestone B [51].

5.2.5 Role of Science & Technology

Component S&T executives. Evaluate battlefield deficiencies, establish S&T projects, mature technologies, conduct independent assessments, and advise requirements and acquisition communities [51].

Transition mechanisms. ATD, JCTD, experiments, and projects with explicit transition requirements move technology toward acquisition [51].

5.2.6 FFRDCs and UARCs

FFRDCs. Government-sponsored centers that perform and manage basic/applied research and development; provide innovation, systems acquisition support, and policy guidance (e.g., JPL, LLNL, LANL, CNA, NDRI, RAND) [51].

UARCs. A specialized FFRDC model leveraging university capabilities; valued for adaptability, objectivity, conflict-free advice, rapid response, and continuity (e.g., USC, Georgia Tech, MIT, JHU, Penn State) [51].

5.2.7 Technology Readiness Levels

- TRL 1: Basic principles observed and reported [51].
- TRL 2: Technology concept or application formulated [51].
- TRL 3: Analytical and experimental proof of concept [51].
- TRL 4: Component or breadboard validation in laboratory environment [51].

- TRL 5: Component or breadboard validation in relevant environment [51].
- TRL 6: System/subsystem model or prototype demonstrated in relevant environment (desired for Milestone B) [51].
- TRL 7: System prototype demonstrated in operational environment (desired for Milestone C) [51].
- TRL 8: Actual system completed and qualified through test and demonstration [51].
- TRL 9: Actual system proven through successful mission operations [51].

5.2.8 RDT&E Budget Activities (0601–0607)

6.1 Basic research. Foundational scientific study and experimentation [51].

6.2 Applied research. Translating basic research into potential solutions [51].

6.3 Advanced technology development. Demonstrations and prototypes to mature technologies [51].

6.4 Advanced component development and prototypes. Integrating and evaluating prototype components [51].

6.5 System development and demonstration. System-level development and risk reduction [51].

6.6 RDT&E management support. Test ranges, support activities, and infrastructure [51].

6.7 Operational system development. Upgrades and development of fielded systems [51].

5.2.9 IRL and SRL

Integration maturity. Integration Readiness Level (IRL) and System Readiness Level (SRL) complement TRL by measuring how well technologies integrate across interfaces [51].

Nine-level scale. Like TRL, IRL/SRL use a 1–9 scale to communicate integration readiness and mission support maturity [51].

5.2.10 Advanced Technology Demonstrations (ATDs)

Purpose. Hardware/software prototypes that refine basic or applied research and demonstrate feasibility at relatively low cost [51].

Funding and timing. Often ONR-funded (0603) and usually pre-Milestone B [51].

User involvement. Limited or no user involvement; no leave-behind capability objective [51].

5.2.11 Joint Concept Technology Demonstrations (JCTDs)

Purpose. Evaluate military utility, develop CONOPS and doctrine, and establish realistic requirements [51].

MUA. Produces a Military Utility Assessment (MUA); can substitute for an ICD for Milestone A [51].

Transition focus. Aims for early transition to acquisition or sustainment; may leave a go-to-war interim capability when appropriate [51].

5.2.12 Small Business Innovation Research

Purpose. SBIR stimulates innovation, meets federal R&D needs, expands participation, and commercializes federally funded innovations [51].

Phase I. Proof of concept (6–12 months, roughly \$50K–\$275K) [51].

Phase II. Technology development (about 24 months, roughly \$750K–\$1.8M) [51].

Phase III. Commercialization with no SBIR funding [51].

5.2.13 Quick Review

- What is the U.S. technology posture in defense acquisition [51]? **Answer:** Heavy reliance on industry research and commercial technology.
- What is the role of S&T in defense acquisition [51]? **Answer:** Mature technology and reduce integration risk through research and assessment.
- When are new technologies most likely introduced in the life cycle [51]? **Answer:** Prior to Milestone B.
- What are key characteristics of ATD [51]? **Answer:** Feasibility/maturity demonstrations and risk reduction.
- What are key characteristics of JCTD [51]? **Answer:** Military utility evaluation, CONOPS/doctrine development, and potential go-to-war capability.

5.3 Risk Management & Problem Solving

5.3.1 Summary

Definition. Acquisition risk is the inability to achieve cost, schedule, and performance objectives; risk is defined by probability, consequence, and root cause [52].

Sources. Risks arise from external drivers (threat, funding, contractor, politics) and internal drivers (technology, design, manufacturing, support, management) [52].

APB linkage. The APB sets the baseline used to plan, control, and manage risk across cost, schedule, and performance goals [52].

Process. Risk management is a continuous cycle: plan, identify, analyze, handle, and monitor [52].

Problem solving. Trade studies, Multi-Attribute Utility Theory (MAUT), fishbone diagrams, the 5 Whys, and multi-voting support objective decisions and root-cause discovery [52].

5.3.2 What Is Acquisition Risk?

Risk management. Identifies, evaluates, and prioritizes risks, then applies resources to minimize, monitor, and control probability or impact [52].

Program management. Risk management is integral to program management and systems engineering [52].

Risk components. Probability of occurrence, consequence (impact), and root cause define each risk [52].

5.3.3 General Sources of Acquisition Risk

External. Threat and requirements, funding, contractor capability, and politics [52].

Internal. Technology, design/engineering, manufacturing, support/logistics, cost/schedule, and management [52].

5.3.4 APB and Risk Management

Baseline. The APB documents cost, schedule, and performance thresholds/objectives agreed by the PM and MDA [52].

Planning anchor. The APB provides the baseline used to plan, control, and manage risk to attain program goals [52].

Ground rules. Analyze risks with realistic timeframes, consider event timing, and identify risks at the lowest feasible WBS level [52].

5.3.5 Risk Management Model

Planning. Define the program approach, roles, resources, and battle rhythm; document in SEP and Acquisition Strategy; often combined in a Risk, Issue, and Opportunity (RIO) plan or Risk and Opportunity Management Board (ROMB) [52].

Identification. Determine what can go wrong and document root causes using program data, test results, and trends [52].

Analysis. Size risk by probability and consequence, use risk matrices, and isolate root causes (the 5 Whys) [52].

Handling. Define responses, resources, ownership, and reporting requirements [52].

Monitoring. Track burn-down plans, update risk status, and adjust actions based on performance metrics [52].

5.3.6 Risk Identification Inputs

- Current/proposed staffing, resources and dependencies, test failures, negative data trends, and performance shortfalls [52].
- Technical Performance Measure (TPM), life-cycle cost information, WBS, IMS, EVM, and technical baseline maturity [52].

5.3.7 Risk Mitigation Techniques

- Prototyping, modeling and simulation, and technology demonstrations with decision points [52].
- Intelligence analyses, data dependencies, and threat projections [52].
- Multiple design approaches, alternative designs, and phased activities to address high-risk areas early [52].
- Manufacturability, industrial base availability, supply-chain analysis, and independent risk assessments [52].
- Schedule and funding margins sized to identified risks [52].

5.3.8 Risk Handling Options

Control. Reduce probability/impact (Pre-Planned Product Improvement (P3I), reuse software, parallel design, additional testing) [52].

Avoid. Change course to eliminate the risk (redesign, reduce scope, extend schedule, use COTS) [52].

Accept. Continue the plan while identifying resources or schedule to respond to consequences [52].

Transfer. Shift responsibility to another entity (warranties, fixed-price contracts, more capable organization, or safety reviews through Weapons Safety and Explosives Review Board (WSERB)/ Naval Ordnance Safety and Security Activity (NOSSA)) [52].

5.3.9 Risk Monitoring

Status and communication. Share risk status with stakeholders and review burn-down plans through periodic IPT meetings and IBRs [52].

Tracking. Update the risk matrix, alert leadership when plans need adjustment, and evaluate impacts across milestones [52].

5.3.10 Risk Management Terminology

Concern. A newly identified item before Risk Management Working Group (RMWG) review [52].

Candidate. A concern accepted for analysis or a segment risk elevated to program level and presented to the Enterprise Risk Management Board (ERMB) [52].

Active. Risk managed under a formal handling plan in planning or tracking sub-phases [52].

Watch. Low-level risk monitored without a handling plan; elevated if risk increases [52].

Retired/Rejected. Retired risks are mitigated or no longer relevant; rejected risks are removed due to low concern [52].

Issue. A realized risk or problem whose consequence has occurred or is certain [52].

5.3.11 Risk Management Software Tools

Standards. Tools often align to Project Management Institute, National Institute of Standards and Technology, or International Standards Organization guidance [52].

Capabilities. Risk registers, modeling/forecasting, Monte Carlo analysis, Office compatibility, and web access [52].

5.3.12 Opportunity Management

Definition. Opportunities are future uncertainties that can exceed performance, accelerate schedules, or reduce cost [52].

Parallel process. Uses the same organization and process as risk management; handling options are ignore, transfer, or pursue [52].

5.3.13 Issue Management

Definition. Issues are realized risks or problems that already occurred or are certain to occur [52].

Handling. Similar to risk management but without likelihood assessment; options are accept, transfer, or resolve/control [52].

5.3.14 Trade Study Fundamentals

Purpose. Evaluate viable alternatives and justify the preferred choice for requirements, design, or processes [52].

Core trade. Always includes analysis of cost versus performance [52].

5.3.15 Generic Problem Solving Model

1. Define the problem using facts, flowcharts, and cause-effect diagrams [52].
2. Generate alternatives through IPT brainstorming [52].
3. Evaluate and select an alternative [52].
4. Implement the solution and follow up [52].

5.3.16 Cause and Effect (Fishbone) Diagram

Purpose. Identifies root causes using an Ishikawa diagram [52].

Six cause categories. Materials, machines, methods, measurement, manpower, and milieu (environment) [52].

5.3.17 The 5 Whys

Method. Iterative questioning to reach the underlying root cause; the number five is a guideline [52].

Best practices. Use an accurate problem statement, unbiased answers, and focus on root causes not symptoms [52].

5.3.18 Multi-Voting

Purpose. Narrows long lists of options using group judgment and weighted voting [52].

How. Select top items individually, tally votes (weighted if needed), and repeat until priorities are clear [52].

5.3.19 Multi-Attribute Utility Theory (MAUT)

1. Identify alternatives [52].
2. Choose attributes and define a numerical grading scale [52].
3. Apply weights to attributes [52].
4. Score each alternative on each attribute [52].
5. Multiply scores by weights and sum [52].
6. Compare results [52].

5.3.20 Quick Review

- Risk is comprised of which three variables [52]? **Answer:** Root cause, probability of occurrence, and consequence.
- Risk mitigation option described as lowering event probability through multiple tests is which [52]? **Answer:** Control.
- “Use of proven technologies in commercial and non-developmental items eliminates technical risk” [52]? **Answer:** False.

5.4 Environmental Requirements and Responsibilities

5.4.1 Summary

NEPA foundation. National Environmental Policy Act (NEPA) is a procedural statute requiring the DoW to consider environmental impacts for major federal actions, involve the public, and document decisions [53].

2025 update. Executive Order 14154 directed Council on Environmental Quality (CEQ) to rescind 40 CFR 1500; CEQ rescinded its regulations effective April 11, 2025 and the DoW issued new NEPA procedures on June 30, 2025 [53].

Review levels. Categorical Exclusion (CATEX), Environmental Assessment (EA), and Environmental Impact Statement (EIS) drive outcomes such as Finding of No Significant Impact (FONSI) or Record of Decision (ROD), with public involvement when appropriate [53].

OCONUS planning. NEPA does not apply Outside the Continental United States (OCONUS); Executive Order 12114 and 32 CFR 187 require a NEPA-like analysis for significant overseas impacts [53].

ESOH integration. ESOH compliance is embedded in acquisition; PESHE documentation is required for all ACAT milestone reviews and covers compliance, safety, hazards, pollution prevention, and NEPA status [53].

5.4.2 National Environmental Policy Act (NEPA)

Procedural statute. For major federal actions affecting the human environment, NEPA requires the DoW to consider environmental impacts, involve the public, seek less damaging alternatives, and document decisions [53].

PM responsibility. Program managers should design systems to minimize negative impacts on human health and the environment [53].

Compliance schedule. DoW policy requires a NEPA compliance schedule documented in the PESHE and integrated into the program schedule [53].

5.4.3 What Is New with NEPA

Executive Order 14154. Directed CEQ to rescind 40 CFR 1500 and provide new implementation guidance; CEQ rescinded its regulations effective April 11, 2025 [53].

Agency actions. Federal agencies were instructed to repeal existing CFR NEPA rules and develop agency-specific procedures [53].

DoD implementation. The DoW released new NEPA procedures on June 30, 2025 to standardize compliance across components and maintain continuity in the review process [53].

Component rules. As of June 30, 2025, component NEPA regulations in the CFR were repealed and replaced by enterprise procedures; DON will issue supplemental guidance [53].

DON statement. DON reaffirmed its commitment to NEPA compliance, transparency, and stakeholder communication under the new procedures [53].

5.4.4 When NEPA Review Is Not Required

- No final agency action, statutory exemption, or legal conflict with other requirements [53].
- Congress limits DoW discretion by statute or another law satisfies NEPA requirements [53].
- Actions that are not major federal actions or have minimal federal involvement or funding [53].
- Issuance of the DoW NEPA procedures themselves [53].

5.4.5 Determining the Level of NEPA Review

CATEX. Check for existing CATEX and apply DoW or other agency CATEX if applicable; consider revising or creating a CATEX if needed [53].

Environmental Assessment. If reasonably foreseeable effects are not likely significant or are unknown, prepare an EA [53].

Environmental Impact Statement. If impacts are likely significant, prepare an EIS [53].

5.4.6 DoW as a Single Federal Agency for CATEX

DoW and its components are treated as a single federal agency for CATEX purposes, regardless of which component established the exclusion [53].

5.4.7 Other Laws, Statutes, and Executive Orders Integrated with NEPA

- Water and air statutes: Rivers and Harbors Act of 1899, Wild and Scenic Rivers Act, Safe Drinking Water Act, Coastal Zone Management Act, Clean Water Act (CWA), and Clean Air Act (CAA) [53].
- Species and wildlife protections: Magnuson-Stevens Fishery Conservation and Management Act, Endangered Species Act (ESA), Bald and Golden Eagle Protection Act, and Migratory Bird Treaty Act [53].
- Land and agriculture: Executive Order 11990 (Wetlands), Executive Order 11988 (Floodplain Management), and the Farmland Protection Policy Act [53].
- Cultural and tribal resources: National Historic Preservation Act (NHPA), Archaeological Resources Protection Act, Native American Graves Protection and Repatriation Act, and American Indian Religious Freedom Act [53].
- Chemical and hazardous waste: Toxic Substances Control Act (TSCA), Resource Conservation and Recovery Act (RCRA), and Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA) [53].
- Human health: Executive Order 13045 (Protection of Children from Environmental Health and Safety Risks) [53].

5.4.8 NEPA Process Outcomes

CATEX record. A categorical exclusion may produce a record of CATEX [53].

EA outcome. An EA may result in a FONSI when impacts are not significant; public involvement occurs as appropriate [53].

EIS outcome. An EIS requires a notice of intent, scoping, draft and final EIS publication, public and agency comment, and concludes with a ROD and mitigation monitoring [53].

5.4.9 Environmental Planning Outside the United States

OCONUS. NEPA does not apply outside U.S. territories and territorial seas; Executive Order 12114 governs environmental effects abroad [53].

Implementation. DoW implementing regulation is 32 CFR 187; actions require a NEPA-like analysis when significant impacts are possible [53].

5.4.10 Environment, Safety, and Occupational Health (ESOH)

Scope. ESOH integrates environmental compliance, system safety, occupational safety and health, hazardous materials management, and pollution prevention [53].

Acquisition responsibility. Program managers must consider ESOH requirements throughout the life cycle when making design decisions [53].

5.4.11 ESOH Requirements

Compliance process. Poor ESOH planning can lead to civil or criminal penalties and program delays [53].

Execution. Compliance responsibility is assigned primarily to facility and installation managers and maintainers [53].

PM focus. Program managers must integrate ESOH impacts as part of acquisition systems engineering [53].

5.4.12 ESOH Law Summary

- Air pollution control: CAA [53].
- Water pollution control: CWA [53].
- Hazardous waste: RCRA and CERCLA [53].
- Chemical production and tracking: TSCA and Emergency Planning and Community Right-to-Know Act (EPCRA) [53].
- Endangered species and marine mammals: ESA and Marine Mammal Protection Act (MMPA) [53].
- Workplace safety: Occupational Safety and Health Act (OSHA) [53].
- Environmental policy and planning: NEPA [53].
- Cultural resources: NHPA [53].

5.4.13 Clean Air Act (CAA)

Standards. Establishes national air quality standards for public health; amended in 1990 [53].

State implementation. States execute State Implementation Plans with permits, reporting, and operational controls for stationary and mobile sources [53].

Industrial controls. The Environmental Protection Agency (EPA) sets emission standards for aerospace manufacturing and shipbuilding and repair, emphasizing compliant materials and control devices [53].

5.4.14 Clean Water Act (CWA)

Scope. Major federal legislation to control water pollution [53].

Permit program. Requires a National Pollutant Discharge Elimination System permit program for point and non-point sources discharging to waters of the United States [53].

Examples. Point sources include ships and industrial facilities; non-point sources include highways and parking lots, and are the biggest challenge [53].

5.4.15 Clean Water Act Jurisdiction Update

Wetlands test. The Supreme Court limited CWA jurisdiction to wetlands with a continuous surface connection that makes them practically indistinguishable from waters of the United States [53].

5.4.16 Resource Conservation and Recovery Act (RCRA)

Purpose. Major federal legislation on hazardous waste management enacted in 1976 to protect health, conserve resources, reduce waste, and ensure sound disposal [53].

Cradle-to-grave control. Regulates generation, management, storage, transport, and disposal of hazardous waste with manifests and permits; applies to shore activities [53].

Aberdeen Three. Federal employees were convicted for improper storage, treatment, and disposal of hazardous waste under RCRA [53].

5.4.17 Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA)

Cleanup authority. Authorizes federal response to the release or threat of release of hazardous substances and focuses on old or inactive sites; costs are assigned to responsible parties [53].

Reporting. Releases of CERCLA hazardous substances must be reported to the National Response Center [53].

Limitations. Petroleum, oils, and lubricants are covered by other programs, not CERCLA [53].

Common name. CERCLA is commonly known as Superfund [53].

5.4.18 Toxic Substances Control Act (TSCA)

EPA authority. Enables the EPA to track industrial chemicals and require reporting or testing; 2016 amendments streamlined listing and bans based on risk [53].

DoN concerns. Regulates polychlorinated biphenyls, lead-based paint, asbestos, and radon [53].

5.4.19 Endangered Species Act (ESA)

Purpose. Protects threatened and endangered species and prohibits “taking” listed species [53].

Federal duty. Requires federal agencies to consult and affirmatively conserve ecosystems supporting protected species [53].

5.4.20 Marine Mammal Protection Act (MMPA)

Purpose. Maintains the health and stability of the marine ecosystem and limits “take” or harassment of marine mammals [53].

Authorizations. Activities such as sonar, sea trials, and weapons firings may require authorization from the National Oceanic and Atmospheric Administration and NEPA analysis [53].

5.4.21 Cultural Resources

NHPA compliance. NHPA requires federal agencies to assess impacts on historic property and consult with states and Native American tribes when actions affect historic characteristics [53].

5.4.22 Emergency Planning and Community Right-to-Know Act (EPCRA)

Notifications. Requires immediate notification of state and local emergency planners and the facility’s major claimant for releases over threshold levels [53].

Public information. Provides information on hazards associated with toxic chemical releases and encourages local emergency planning [53].

Fence line owner. The base commander files EPCRA reports for the entire facility; releases that expose only personnel within facility boundaries do not require state or local notification [53].

5.4.23 Workplace and Employee Safety

OSH Act. The Occupational Safety and Health Act requires safe and healthful workplaces; OSHA is the common reference [53].

Federal compliance. Federal agencies must comply with OSHA standards unless the Secretary of Labor approves an alternate standard; Executive Order 12196 applies [53].

Scope. Uniquely military equipment and operations are not covered, but DoW workplaces comparable to private industry are covered under 29 CFR 1960 [53].

5.4.24 DoW Policy

DoD 5000 series. Requires acquisition programs to prevent, mitigate, or remediate environmental damage; address issues early; and evaluate alternatives to reduce impacts across design, test, operation, and disposal [53].

Compliance duty. All DoW personnel, tenants, and contractors must comply with applicable federal, state, and local environmental requirements [53].

5.4.25 Defense Acquisition Program Requirements

Lifecycle compliance. Program managers must ensure systems can be produced, tested, fielded, operated, trained, maintained, and disposed of in compliance with ESOH requirements [53].

Outcome focus. The goal is safeguarding the environment, reducing accidents, and protecting human health [53].

5.4.26 Programmatic ESOH Evaluation (PESHE)

PM documentation. The PESHE documents the program process, the schedule for completing NEPA documentation, and ESOH risk status [53].

Requirement. Required for all ACAT programs at milestone review and serves as a management and reporting tool for the PM [53].

Analysis areas. Environmental compliance, system safety and health, hazardous materials management, pollution prevention management, and NEPA [53].

5.4.27 Quick Review

- What environmental-related document must be updated before every milestone review [53]? **Answer:** PESHE.
 - Which environmental law allows for discharge into the waters of the United States [53]? **Answer:** CWA.
 - What procedural law established the review process for major federal actions [53]? **Answer:** NEPA.
-

5.5 Software Acquisition Environment

5.5.1 Summary

Computer fundamentals. A computer receives input, processes data, stores it, and produces outputs; software provides the instructions that make the system operate [54].

Software importance. Software drives risk for many programs, requires continuous updates, and continues to grow in size and complexity across modern weapon systems [54].

Software-intensive systems. A system is software-intensive when software is a major risk driver for development cost, process, time, or functionality [54].

System domains. DoW software domains include weapon systems, C4ISR systems, and Defense Business System (DBS) systems, each with distinct architecture, data latency, and mission focus [54].

Policy environment. The Clinger-Cohen Act and DoWI 5000.02, DoWI 5000.75, and DoWI 5000.87 set expectations for software acquisition, modular delivery, and interoperability [54].

5.5.2 Computer Basics

Computer. A device that receives data through inputs, processes it, stores it, and provides outputs; inputs include sensors such as pressure, temperature, radar, or electronic warfare sensors [54].

Software. Instructions that allow computer components to operate and communicate; includes system software (operating systems) and application software written in programming languages [54].

5.5.3 Programming Language Categories

Machine language. Binary code (0s and 1s) that computers directly execute [54].

Assembly language. Mnemonics translated to machine code by an assembler [54].

Higher-order languages. Languages such as C++ or Java compiled into machine code, enabling programmers to work without detailed hardware knowledge [54].

Fourth-generation languages. Higher-level languages closer to human language (for example, SQL or LabVIEW) [54].

5.5.4 The Importance of Software

Mission dependence. Software is a crucial and growing part of weapon systems and the national security mission [54].

Risk driver. Software challenges drive risk across a large share of acquisition programs [54].

Continuous updates. Software does not end at delivery; it requires continuous updates and sustainment [54].

Growing complexity. Source lines of code have grown dramatically across successive aircraft generations, highlighting the scale of software growth [54].

5.5.5 Software-Intensive System Definition

Definition. A software-intensive system is one where software has essential influence on system design, construction, deployment, and evolution [54].

DoW threshold. In DoW, software is considered intensive when it is a major risk driver for development cost, process, time, or system functionality [54].

5.5.6 Classifications of Software-Intensive Systems

Weapon systems. Purpose-built software, embedded hardware, unique or proprietary architecture, safety as the primary design feature, and real-time data measured in nanoseconds [54].

C4ISR systems. Mix of proprietary and COTS architecture with security as the primary design feature and data lifespans measured in seconds (near real-time) [54].

DBS systems. Routine administrative systems built on COTS architecture with privacy as the primary design feature and data lifespans measured in hours or longer [54].

5.5.7 Software-Intensive System Summary

Weapons. Safety and performance driven, real-time sensor-to-shooter environment [54].

C4ISR. Security and decision support driven, near real-time tactical and strategic command environments [54].

DBS. Privacy and administrative driven, data-intensive business environments with non-real-time data [54].

5.5.8 Software Management Policies and Practices

- Use robust systems engineering, open architectures, and COTS products where practicable [54].
- Exploit software reuse opportunities and select contractors with relevant domain experience and mature development processes [54].
- Plan early for transition to support activities, including documentation, host systems, test beds, and tools needed for life-cycle support [54].

5.5.9 Clinger-Cohen Act (CCA) of 1996

Structure. Combines the Federal Acquisition Reform Act and the Information Technology Management Reform Act [54].

ITMRA focus. Sets DoW policy for software acquisition with life-cycle management and accountability through CIOs [54].

Key themes. Capital planning and investment control via OMB, performance-based management, incremental and modular acquisitions, and COTS preference [54].

National security systems. Defines national security systems as intelligence, cryptologic, command and control systems, or software integral to weapon systems [54].

Overall impact. The Clinger-Cohen Act governs acquisition of software-intensive systems across the federal government [54].

5.5.10 Clinger-Cohen Act Requirements

- Conduct an analysis of alternatives and an economic analysis (or life-cycle cost estimate for non-automated information systems) [54].
- Verify the acquisition supports core DoW functions and no better source exists in the private or public sector [54].
- Establish clear accountability, outcome-based performance measures, and program metrics linked to strategic goals [54].
- Ensure consistency with DoW information enterprise architecture and standards, including a cybersecurity strategy aligned to policy and architecture [54].
- Use modular contracting and phased, successive increments that deliver measurable benefit and redesign processes to maximize COTS use [54].
- Register mission-critical and mission-essential systems with the DoW CIO [54].

5.5.11 Commercial Off-The-Shelf Software

Benefits. Can save design and development cost, reduce risk, enable rapid prototyping, and leverage industry expertise [54].

Tradeoffs. Still requires integration and qualification, has configuration-management challenges, and introduces vendor-driven release schedules and licensing costs [54].

Security. Security characteristics of COTS solutions may be poorly understood and require additional testing [54].

5.5.12 DoW Instruction Provisions

DoWI 5000.02. Covers acquisition categories, systems engineering, program management, test and evaluation, acquisition of IT, human systems integration, and cybersecurity [54].

DoWI 5000.75. Implements Clinger-Cohen requirements for business systems, minimizes COTS customization, and uses a tailorable Business Capability Acquisition Cycle (BCAC) with authority-to-proceed decision points [54].

DoWI 5000.87. Establishes the Software Acquisition Pathway, exempts software programs from MDAP treatment and JCIDS, streamlines requirements and budgeting, and integrates Agile, DevSecOps, Lean, and user-centered design [54].

5.5.13 Business Capability Acquisition Cycle

- Streamlines activities to align with rapid, frequent, and measurable deliveries [54].
- Brings the user closer to the acquisition community [54].
- Delivers meaningful capability early and often [54].

5.5.14 Software Items

Building blocks. Software items are smaller software building blocks used to manage requirements, test qualification, control interfaces, ensure configuration management, and mitigate risk [54].

Decomposition. Software items can be broken into smaller software units for programming, and lack of control increases risk and vulnerability [54].

5.5.15 Interoperability and Architecture

Net-ready. DoW systems must be Net-Ready (NR) and interoperable in compliance with enterprise architecture; net-ready certification follows DoWI 8330.01 [54].

Architecture framework. DoWAF provides the overarching framework for interoperability and architecture descriptions, with tailored views selected by the sponsor [54].

5.5.16 Quick Review

- A software-intensive system is one in which software is a major risk driver for development cost, time, process, or functionality [54].
- Software-intensive system classifications include weapon systems, C4ISR systems, and DBS systems [54].
- Which law drives DoW software acquisition policy [54]? **Answer:** The Clinger-Cohen Act.

5.6 Software Acquisition Management

5.6.1 Summary

Common trouble sources. Software-intensive programs struggle when requirements are weak, users are not engaged, architectures and interfaces are unclear, hardware deficiencies are overlooked, or integrated teams are not maintained [55].

Best practices. Manage risk continuously, estimate cost and schedule empirically, implement strong configuration control, and plan early for life-cycle support [55].

Life-cycle costs. Software costs peak late in the life cycle while early decisions drive those costs, making up-front planning decisive [55].

Execution focus. Execution emphasizes rapid, iterative design, development, testing, and delivery supported by a product roadmap and program backlog [55].

Support share. Post-deployment software support dominates total life-cycle cost and must be planned early [55].

5.6.2 Common Issues in Software-Intensive Systems

Root causes. Poor requirements, limited user involvement, unclear architecture and interfaces, overlooked hardware deficiencies, and weak integrated teams drive software problems [55].

Mission impacts. Software delays can delay ship or boat delivery, and upgrade delays can trigger stop-work when software access is blocked [55].

5.6.3 Best Practices

Risk. Identify and manage risk continuously, use metrics to monitor risk, and address risks from reusing existing software (commercial or non-developmental) [55].

Cost. Estimate cost and schedule empirically and track earned value [55].

Configuration control. Implement configuration management and formally inspect requirements and design products [55].

Life-cycle planning. Plan early for software changes and enhancements; establish support concepts and acquire Post-Deployment Software Support (PDSS) resources [55].

Other focus areas. Trace requirements to the lowest level, ensure data interoperability, conduct continuous testing, and account for end-of-service and licensing considerations [55].

5.6.4 Software Cost Distribution

Software costs peak late in the program life cycle, while early decisions drive those eventual costs [55].

5.6.5 Planning Phase

Purpose. Understand user and system needs and plan the approach to deliver capabilities [55].

Entry information. Requires an ADM and a draft capability needs statement that captures mission deficiencies, interoperability needs, and legacy interfaces [55].

Artifacts before execution. Capability needs statement, user agreement, cost estimates and Cost Analysis Requirements Description (CARD), acquisition strategy, test strategy, cybersecurity strategy, contracting strategy, intellectual property strategy, and program support strategy [55].

5.6.6 Acquisition Strategy Planning

- Address data rights, security, system integration, open systems architecture, software reuse, logistics support, software support and licensing, and software modification for emerging missions [55].
- Intellectual property strategy and information support planning address these issues [55].

5.6.7 Contracting and Solicitation Planning

Software quality. The program office works with end users to generate requirements [55].

Development environment. Require an automated software life-cycle development and support environment for the contractor [55].

Data rights. Determine the amount of data rights to be purchased [55].

Contracting approach. Support small, frequent releases that are responsive to change (modular contracting) [55].

5.6.8 Cost Estimating

Timing and updates. Estimates are required before execution and updated annually [55].

Attributes. Estimates should be timely, iterative, informative, flexible, and credible [55].

Approaches. Analogy, parametric, engineering build-up, and actuals are common methods; teams also select top-down, bottom-up, or Delphi approaches depending on data and program context [55].

5.6.9 Execution Phase

Purpose. Rapidly and iteratively design, develop, integrate, test, deliver, and operate resilient software capabilities that meet user priorities [55].

Artifacts. Periodic updates to planning artifacts, systems architecture, product roadmap, program backlog, value assessment, Clinger-Cohen compliance, test plans, and program metrics [55].

5.6.10 Systems Engineering Linkage

Definition. Systems engineering transforms operational needs into system performance parameters and a preferred system configuration [55].

Policy. DoW policy requires PM use of systems engineering principles in software design and development [55].

5.6.11 Software Development Activities

System requirements and design. Develop top-level specifications and determine which requirements are best performed through software [55].

Requirements analysis. Select Software Items (SIs) and define detailed requirements for each [55].

Software design. Build detailed designs for each SI and verify requirements are met (not applicable to Agile development) [55].

Coding and implementation. Developers code each software unit and test units stand-alone; each SI may include multiple software units [55].

Unit integration and testing. Progressively integrate software units and test internal interfaces [55].

Software item qualification. Qualify each SI as an entity, documented in the Software Requirements Specification (SRS) [55].

Software item integration. Integrate SIs (and hardware items) into subsystems [55].

Subsystem qualification. Integrate, test, and qualify subsystems [55].

5.6.12 Software Development Models

Selection. The model depends on acquisition strategy and system type [55].

Preferred approach. DoW prefers empirical (Agile) development because it supports continuous inspection and adaptation to emerging threats [55].

5.6.13 Agile Overview

Agile definition. Requirements and solutions evolve through collaboration between cross-functional teams and users, enabling adaptive planning, early delivery, and continuous improvement [55].

Agile vs traditional. Empirical Agile emphasizes frequent inspect-adapt points and delivery of priority features; traditional approaches plan and manage to full requirements up front [55].

5.6.14 Project Management Methodologies

Scrum. Framework for complex projects using cross-functional teams and time-boxed sprints (typically 1–4 weeks) [55].

Kanban. Visual workflow management with to-do, in-progress, and completed tasks [55].

Minimum viable product. An Minimum Viable Product (MVP) is an early version of software provided to users for feedback [55].

Minimum viable capability release. An Minimum Viable Capability Release (MVCR) is an initial set of features suitable to be fielded as a completed product [55].

Lean. Tools that help teams improve processes [55].

5.6.15 Software Process and Maturity

Process. Activities, methods, and practices used to develop and maintain software products (requirements, code, test cases, manuals) [55].

Process maturity. The extent a process is documented, managed, measured, controlled, and continually improved [55].

5.6.16 Selecting a Software Developer

Key discriminators. Organization and resource management, software and systems engineering process management, tools and techniques, development expertise, domain experience, and Capability Maturity Model Integration (CMMI) accreditation [55].

CMMI appraisal. Programs can evaluate capability using Standard CMMI Appraisal Method for Process Improvement (SCAMPI) even if a contractor is not CMMI-rated [55].

Common practices. Use measurement to plan and track development, use mature development processes, develop architectures that support open systems, exploit commercial products, and train personnel on tools and environments [55].

5.6.17 CMMI Maturity Levels

- Level 5 (Optimizing): focus on process improvement [55].
- Level 4 (Quantitatively Managed): process measured and controlled [55].
- Level 3 (Defined): process characterized for the organization; projects tailor from organizational standards [55].
- Level 2 (Managed): process characterized for projects and often reactive [55].
- Level 1 (Initial): processes unpredictable, poorly controlled, and reactive [55].

5.6.18 Defense Innovation Board Ten Commandments of Software

1. Make computing, storage, and bandwidth abundant to DoW developers and users [55].
2. Start software procurement programs small, iterate, and build on success or terminate quickly [55].
3. Ensure acquisition processes support the full iterative life cycle of software [55].
4. Adopt a DevSecOps culture for software systems [55].
5. Automate testing to deploy critical updates in days to weeks, not months [55].
6. Include source code as a deliverable for purpose-built DoW software systems [55].
7. Ensure local DoW software experts can modify or extend software through source code or Application Programming Interface (API) access [55].
8. Only run operating systems receiving and using security updates for new vulnerabilities [55].
9. Make security a first-order consideration and encrypt data unless it is part of active computation [55].
10. Store, mine, and make available all data generated by DoW systems for machine learning [55].

5.6.19 Metrics Selection Considerations

- Identify the risks being tracked, required measures, data definitions, collection costs and cadence, and system architecture [55].
- Use a minimal set of metrics that are understandable, economical, field tested, leveraged, useful at multiple levels, and timely [55].
- Tailor metrics to management needs, collect across the life cycle, and use metrics to identify risks, improve process, and evaluate practices [55].
- Use automated collection where possible [55].

5.6.20 Software Measurement Metrics Categories

Process. Maturity and robustness of organizational processes, including productivity, rework, and technology impacts [55].

Quality. Attributes affecting performance, user satisfaction, supportability, and ease of change [55].

Management. Compare actual progress against plans to detect trouble early and adjust plans [55].

5.6.21 Software Support

Definition. Software support includes activities, resources, and infrastructure to keep software performing its intended role and to modify design for new or changed requirements [55].

Maintenance. Modification after delivery to correct faults, improve performance, or adapt to a changed environment [55].

5.6.22 Post-Deployment Software Support

Dominant activities. Improve performance, adapt to new hardware, add features, improve efficiency and reliability, and correct errors [55].

Cost share. PDSS accounts for approximately 67 percent of total software life-cycle cost [55].

5.6.23 PDSS Best Practices

- Plan early for changes and enhancements and account for cost, schedule, and performance [55].
- Establish software support concepts and acquire resources, including support for COTS systems [55].
- Include PDSS planning in program documentation [55].

5.6.24 Quick Review

- The engineering build-up cost estimating approach is used when a detailed analysis of work packages is required [55].
 - The three categories of software metrics are process, quality, and management [55].
 - The preferred software development model is empirical (Agile) [55].
 - PDSS is approximately 67 percent of total software life-cycle cost [55].
-

5.7 Cybersecurity Awareness

5.7.1 Summary

Definition. DoWI 8500.01 defines cybersecurity as preventing, protecting against, and restoring damage to communications and information systems to preserve confidentiality, integrity, availability, non-repudiation, and authentication [56].

Threat evolution. Events from Solar Sunrise through ransomware campaigns and major breaches show escalating sophistication and impact [56].

Acquisition integration. The PM owns cybersecurity across the life cycle; the cybersecurity strategy annex is part of the Program Protection Plan (PPP) starting at Milestone A and updated each milestone [56].

RMF backbone. The Risk Management Framework (RMF) is a six-step process that bakes cybersecurity into acquisition for Information System (IS) and Platform Information Technology (PIT) systems and drives continuous monitoring [56].

Navy frameworks. CYBERSAFE and Defense-in-Depth Functional Implementation Architecture (DFIA) standardize defense-in-depth across the enterprise and prioritize mission assurance [56].

5.7.2 What Is Cybersecurity?

Confidentiality. Protect information from unauthorized disclosure [56].

Integrity. Protect information from unauthorized modification or destruction [56].

Availability. Ensure information and systems are accessible when needed [56].

Non-repudiation. Prevent parties from denying they sent or received information [56].

Authentication. Verify the identity of users or systems [56].

5.7.3 Consequences of Cybersecurity Failure

Loss of confidentiality. Unauthorized disclosure of Personally Identifiable Information (PII) or classified data (for example, exfiltration from Secret Internet Protocol Router Network (SIPRNet)) [56].

Loss of integrity. Unauthorized modification of Global Positioning System (GPS) navigation data or destruction of PII on a DBS [56].

Loss of availability. Denial of Service (DoS) attacks on Nuclear Command, Control, and Communications (NC3) networks, logistics ordering systems, or unmanned system Command and Control (C2) links [56].

5.7.4 Driving Emphasis for Cybersecurity

- 1998: Solar Sunrise network intrusion on DoW networks [56].
- 2006: State Department networks hacked by unknown foreign intruders [56].
- 2008: Agent.btz Universal Serial Bus (USB) intrusion on DoW computers [56].
- 2008: Supply chain attack on China-made credit card readers [56].
- 2009: Conficker worm infects military databases and grounds French naval aircraft [56].
- 2013: Operation Rolling Tide in response to adversary intrusions on Navy networks [56].
- 2015: Office of Personnel Management (OPM) data breach [56].
- 2017: Equifax data breach [56].
- 2018–2020: Ransomware attacks on U.S. cities and hospitals [56].

5.7.5 Cyber-Related Organizations

DoN CIO. Provides policy and guidance, evaluates security of IT systems, and shapes network architecture and interoperability [56].

United States Cyber Command (USCYBERCOM). Combatant command for global cyber operations; sets enterprise policy [56].

Fleet Cyber Command/U.S. 10th Fleet. Navy component commander to USCYBERCOM; responsible for operations, maintenance, and defense of Navy networks [56].

Navy Cyber Defense Operations Command (NCDOC). Cyber Security Service Provider (CSSP) performing defense, incident response, and forensics; threat focused [56].

Naval Network Warfare Command (NAVNETWARCOM). Tactical command and control of Navy networks; directs, operates, maintains, and secures communications and networks [56].

Naval Information Forces Command (NAVIFOR). Cyber TYCOM that organizes, mans, trains, and equips the cyber work-force [56].

NAVWAR. Navy cybersecurity technical authority; sets standards, tools, and protocols and warrants cybersecurity technical warrant holders within SYSCOMs [56].

5.7.6 Intelligence Community Support

Threat inputs. PMs must use cyber threat information from the Intelligence Community to shape cybersecurity strategy and risk assessments [56].

Products. VOLT reports, Capstone Threat Assessment (CTA), and technology targeting risk assessments support acquisition programs [56].

5.7.7 Cybersecurity in the Acquisition Process

PM accountability. The PM is responsible for cybersecurity requirements throughout the program life cycle [56].

Program protection. The cybersecurity strategy annex is documented in the PPP and describes how the system operates in a cyber-contested environment and the consequences of breach [56].

RMF requirement. The RMF is required for all acquisitions containing IT and is updated each milestone starting at Milestone A [56].

5.7.8 Risk Management Framework Overview

Purpose. Integrates security and risk management into the acquisition life cycle and emphasizes continuous monitoring and timely correction [56].

Applicability. Applies to IS, PIT, and DoW partnered systems [56].

Goals. Perform risk assessment throughout the life cycle, bake in cybersecurity, and improve understanding of risks to Navy systems and missions [56].

5.7.9 RMF Step 1: Categorize the System

Categorization. Identify information types, select confidentiality, integrity, and availability objectives, and assign impact levels (low, moderate, high) [56].

Documentation. Record the security category in the PPP, initiate the security plan, register the system with the component cybersecurity program, and assign qualified personnel [56].

5.7.10 RMF Step 2: Select Security Controls

Control selection. Select controls based on categorization and Committee on National Security Systems Instruction (CNSSI) 1253, then tailor or supplement based on system risk [56].

Monitoring plan. Develop the system-level continuous monitoring strategy and approve the security plan [56].

5.7.11 RMF Step 3: Implement Security

Implementation. Implement controls consistent with component cybersecurity architectures and integrate them into system design specifications [56].

Documentation. Record control implementation in the security plan [56].

5.7.12 RMF Step 4: Assess Security Controls

Assessment plan. Develop and approve the security assessment plan and assess controls for proper implementation [56].

Assessment outputs. The Security Control Assessor (SCA) prepares a SAR and recommends cybersecurity risk acceptance or denial; conduct initial remediation [56].

5.7.13 RMF Step 5: Authorize the System

Authorization package. Prepare Plan of Action and Milestones (POA&M) based on vulnerabilities and submit the security plan, SAR, and POA&M to the Authorizing Official (AO) [56].

Decision. The AO issues an Authorization to Operate (ATO), Interim Authorization to Test (IATT), or Denial of Authorization to Operate (DATO) based on risk determination [56].

5.7.14 RMF Step 6: Monitor Security Controls

Continuous monitoring. Assess controls annually, conduct remediation, update the security plan, SAR, and POA&M, and report status to the AO [56].

Lifecycle closeout. Implement a system decommissioning strategy when required [56].

5.7.15 Cyber Hygiene

- Install and maintain firewalls and review logs for signs of intrusion [56].
- Perform routine scans for malware and known vulnerabilities; mitigate findings quickly [56].
- Use whitelisting to allow only authorized programs to run [56].
- Maintain approved baseline images and follow configuration management policies [56].

5.7.16 EDO Role in Cybersecurity

PM responsibility. PMs are responsible for cybersecurity across programs and life-cycle stages [56].

EDO leadership. EDOs must be accountable leaders who embed cybersecurity into programmatic, engineering, and acquisition processes and involve cyber professionals [56].

Workforce duty. Cybersecurity responsibility extends to all members of the acquisition workforce [56].

5.7.17 CYBERSAFE Program

Purpose. Navy Cyber Safety Program (CYBERSAFE) hardens mission-critical systems and components to provide mission assurance and resiliency [56].

Approach. Assesses mission risk across system-of-systems and applies elevated controls to a subset of systems and components [56].

Certifications. System design certification, enclave design certification, and platform certification [56].

5.7.18 Defense-in-Depth Functional Implementation Architecture

Definition. DFIA provides a Navy defense-in-depth Information Assurance (IA) approach across SYSCOM boundaries, enabling inheritance and improving interoperability and cyber situational awareness [56].

Goals. Provide a uniform security framework to support interoperability, reduce cost, improve cybersecurity, and eliminate duplication [56].

Integration. DFIA standardizes implementation of security controls through RMF, CYBERSAFE, and acquisition processes [56].

5.7.19 Quick Review

- The cyber TYCOM is NAVIFOR [56].
- The Navy component commander to USCYBERCOM is Fleet Cyber Command/U.S. 10th Fleet [56].
- The process used to bake cybersecurity into acquisition programs is the RMF [56].

5.8 Systems Engineering Overview

5.8.1 Summary

SE definition. Systems engineering is an interdisciplinary management process that evolves and verifies balanced, integrated system solutions to satisfy customer needs across the life cycle [57].

DoW policy. Defense Acquisition Guidebook (DAG) and DoWI 5000.88 position systems engineering as the technical framework that balances cost, schedule, performance, and risk for delivery of capability [57].

Good design traits. Supportability, mission performance, producibility, testability, cost efficiency, integrated software, and technology transition define good design [57].

SE process model. Eight technical processes and eight technical management processes guide decomposition, realization, and management across the life cycle [57].

SEP anchor. The SEP documents the program's technical approach and is required at each milestone review starting at Milestone A [57].

5.8.2 Introduction to Systems Engineering

Purpose. Systems engineering provides the technical framework for delivering materiel capability to the warfighter and supports program success [57].

Approach. A methodical, disciplined approach to specification, design, development, realization, management, operations, and retirement [57].

Lifecycle relevance. Systems engineering applies continuously and iteratively across the entire product life cycle [57].

5.8.3 DoW Policy on Systems Engineering

Defense Acquisition Guidebook. DAG Chapter 3 frames systems engineering as foundational to balanced cost, schedule, performance, and risk across the program life cycle [57].

DoDI 5000.88. Emphasizes a structured, multidisciplinary approach that balances cost, schedule, and performance while maintaining acceptable risk [57].

Best practices. Military services, PMs, and engineering leaders implement concept exploration, mission engineering, technical baselines, reviews, test and evaluation, risk and configuration management, and secure technical decisions [57].

Documentation. The systems engineering approach and processes are documented in the SEP and updated as programs evolve [57].

5.8.4 Characteristics of Good Design

- Supportability: hardware and software can be sustained across the life cycle [57].
- Mission performance: meets required performance thresholds [57].
- Producibility: can be manufactured efficiently [57].
- Testability: requirements can be verified [57].

- Cost efficiency: reduces total ownership cost [57].
- Integrated software: software and hardware integration is planned and verified [57].
- Technology transition: incorporates technology refresh and transition [57].

5.8.5 Integrated Product and Process Development

Definition. IPPD integrates acquisition activities using multidisciplinary teams to optimize design, manufacturing, business, and supportability [57].

Role of IPTs. IPTs plan, execute, and implement life-cycle decisions [57].

Key tenets. Customer focus, concurrent product and process development, early life-cycle planning, flexible optimization, robust design, event-driven scheduling, multidisciplinary teamwork, empowerment, and proactive risk management [57].

5.8.6 Systems Engineering Disciplines

Core disciplines. Systems engineering, test and evaluation, life-cycle logistics, science and technology, production and manufacturing, hardware/software engineering, and cybersecurity [57].

EDO roles. EDOs perform jobs across all of these disciplines [57].

5.8.7 System Engineering Plan

Purpose. Program office engineers develop the SEP to communicate and manage the technical approach guiding all program technical activities [57].

Content. Describes technical risks, processes, resources, metrics, products, organizations, and design considerations; updated as the program evolves [57].

Scope. Defines the who, what, where, when, why, and how of the systems engineering approach, including review criteria and tools [57].

Approval. Submitted at each milestone review beginning at Milestone A and approved by the MDA [57].

5.8.8 Systems Engineering Process Model

The systems engineering process model includes eight technical management processes and eight technical processes (three decomposition and five realization processes) [57].

5.8.9 Systems Engineering "V" Model

Iterative application. Processes are applied iteratively, recursively, and in parallel across the life cycle [57].

Left side. Decomposition processes translate stakeholder needs into requirements and architecture [57].

Right side. Realization processes build, integrate, verify, validate, and transition the system [57].

5.8.10 Eight Technical Processes

Stakeholder requirements definition. Translate stakeholder needs into technical requirements [57].

Requirements analysis. Decompose user needs into clear, achievable, verifiable requirements and system functions [57].

Architecture design. Develop alternative design solutions and establish candidate architectures [57].

Implementation. Produce detailed designs and fabrication or software build procedures [57].

Integration. Assemble lower-level elements into higher-level system elements [57].

Verification. Provide evidence the system meets performance requirements; involves developmental testing [57].

Validation. Provide evidence the system meets stakeholder performance in the intended environment (effectiveness, suitability, sustainability, survivability) [57].

Transition. Move system elements to the next level; for end-items, field the system to the user [57].

5.8.11 Eight Technical Management Processes

Technical planning. Define scope of technical effort and provide inputs to program planning and life-cycle cost [57].

Decision analysis. Convert decision opportunities into traceable, actionable plans [57].

Technical assessment. Compare results to criteria to assess technical maturity, status, and risk [57].

Requirements management. Maintain traceability from user needs to performance specs and delivered capability [57].

Risk management. Identify, analyze, mitigate, and monitor risks to meet cost, schedule, and performance goals [57].

Configuration management. Establish and control baselines and manage technical change across reviews and audits [57].

Technical data management. Identify and manage technical data and software needed to support the system [57].

Interface management. Ensure interface definition and compliance among system elements and external systems [57].

5.8.12 Systems Engineering Process Inputs and Outputs

Inputs. Customer needs (missions, KPPs, Measures of Effectiveness (MOEs), environments, constraints), technology base, prior SE outputs, program decisions, and commercial standards [57].

Outputs. Decision database, WBS, system and configuration item architectures, operational and technical architectures, and program-unique specifications and baselines [57].

5.8.13 Standards and Specifications

Standard. A description of a process and recommended practices to achieve objectives with sufficient quality [57].

Specification. A technical description of a product or service that documents design and production details [57].

5.8.14 Program-Unique Specifications

System specification. Describes what the entire system will do; derived from CDD KPPs and includes verification approach [57].

Item performance specification. Defines performance requirements for major subsystems (design-to requirements) [57].

Item detail specification. Defines specific design parameters or build-to requirements [57].

Item process specification. Defines fabrication processes such as welding, soldering, or bonding [57].

Item material specification. Defines raw or semi-fabricated materials such as copper pipe or aluminum wire [57].

5.8.15 Government and Contractor Roles

Government. Manage total program, set user requirements, ensure responsible design/testing/manufacturing, manage technical risks, and verify solutions meet customer needs [57].

Contractor. Use SE processes for planning, design, and internal testing to meet contractual requirements [57].

Shared. Translate, define, monitor, ensure quality of, and test the design together [57].

5.8.16 Quick Review

- Systems engineering is a translation and feedback process from operational needs to system requirements [57].
- The SE process includes eight technical processes and eight technical management processes [57].
- The SEP documents the program technical approach and is approved at each milestone review [57].

5.9 SE Analysis & Control: Work Breakdown Structure

5.9.1 Summary

Product-oriented hierarchy. The WBS is a product-oriented hierarchy and a core output of the systems engineering process [58].

Program management tool. The WBS supports planning, scheduling, cost estimating, logistics, progress reporting, and EVM baselines across the life cycle [58].

SE linkage. The WBS supports IPT organization, system specifications, technical reviews, ECPs, and interface and risk management [58].

Standards. MIL-STD-881 provides the DoW format and guidance for standardized WBS development [58].

Types. Program WBS is owned by the PMO; contract WBS is owned by the contractor and extends the program structure to lower levels [58].

5.9.2 Introduction

Purpose. The WBS breaks large projects into manageable parts using a DoW-standard format [58].

Lifecycle use. The WBS is used across life-cycle phases and disciplines including program management, contracting, logistics, finance, and budgeting [58].

5.9.3 Basic Role of the WBS

- Establishes the foundation for program and technical plans through the systems engineering process [58].
- Supports acquisition strategy, contracting documents, schedules, and cost and budget formulation [58].
- Supports logistics planning, progress tracking, and problem analysis [58].
- Enables PMB establishment for EVM [58].

5.9.4 WBS as a Management Tool

PM focus. PMs use the WBS as a roadmap for integrated product and process development [58].

Tradeoffs. The WBS supports monitoring cost, schedule, performance, manufacturing, life-cycle support, testing, and risk [58].

5.9.5 WBS and the SE Process

SE outputs. The WBS is an output of the systems engineering process, alongside decision databases, architectures, and baselines [58].

SE support. The WBS helps organize IPTs, group specifications, structure technical reviews, analyze ECPs, manage interfaces, and focus risk management on high-impact items [58].

5.9.6 WBS Hierarchy

Product orientation. A hierarchical, product-oriented structure that defines the product or service to be developed and relates elements of work to the end product [58].

System elements. Represent product parts of the WBS (subsystems, components, assemblies, parts) and align to Configuration Items (CIs) [58].

Enabling system elements. Common elements that provide the means to realize the product (processes, equipment, facilities), shared across programs [58].

5.9.7 WBS Guidance

MIL-STD-881. Provides the principal guidance and standardized formats for WBS development across system types [58].

System types. Formats include aircraft, electronic, missile, ordnance, sea, space, surface vehicle, unmanned air, unmanned maritime, launch vehicle, and automated information systems [58].

5.9.8 WBS Types

Program WBS. Controlled and maintained by the PMO, encompasses the entire program, and provides the basis for the contract WBS [58].

Contract WBS. Controlled and maintained by the contractor; extends the program WBS to lower levels to manage cost and schedule data [58].

5.9.9 Program WBS

Scope. Encompasses the entire program, including contract WBS and government elements such as operations, manpower, government-furnished equipment, and testing [58].

Ownership. Prepared and maintained by the program office and tailored from MIL-STD-881 [58].

Levels. Typically includes Levels 1–3 and serves as the framework for program objectives, technical reviews, and cost and schedule performance [58].

5.9.10 Contract WBS

Purpose. Defines the portion produced by a contractor and is the basis for collecting contract cost and schedule data [58].

Structure. Extends the program WBS below Level 3 (beginning at Level 4) and includes all elements for hardware, software, data, or services [58].

Responsibility. Prepared by the prime contractor and should include subcontractor inputs [58].

5.9.11 Quick Review

- The WBS is a product-oriented hierarchy and an output of the systems engineering process [58].
 - MIL-STD-881 provides guidance for developing a WBS [58].
 - Program WBS includes Levels 1–3; contract WBS extends the program WBS to Levels 4 and below [58].
 - Program WBS is maintained by the Government; contract WBS is maintained by the contractor [58].
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5.10 SE Analysis & Control: Configuration Management & Technical Reviews

5.10.1 Summary

CM purpose. Configuration management establishes and maintains consistency between requirements, the product, and configuration information across the life cycle [59].

CI control. Designating CIs enables separate control, documentation, reviews, and qualification testing [59].

Baselines. Functional, allocated, and product baselines connect specifications to technical reviews and change control [59].

Interfaces and data. Interface control and technical data management preserve configuration discipline across government and contractor boundaries [59].

Technical reviews. Reviews assess design maturity, readiness, compliance, and risk at key points in the acquisition life cycle [59].

5.10.2 Configuration Management

Definition. A technical and management process that maintains consistency between product requirements, the product, and configuration information across baselines [59].

Implementation. Technical and administrative direction to identify and document CIs, control changes, and record change status to provide an audit trail [59].

5.10.3 Why CM Matters

- Provides measurable performance parameters and a common basis for acquisition and use [59].
- Ensures correct, current information for change decisions and minimizes avoidable cost [59].
- Correlates products with requirements, design, and product information to avoid guesswork [59].
- Verifies configuration against required attributes and increases confidence in product information [59].

5.10.4 Configuration Items

CI definition. A hardware/software aggregation treated as a single entity for configuration management and uniquely identified at a reference point [59].

Designation impacts. Separate control, documentation, formal approval of changes, individual design reviews, and qualification tests [59].

5.10.5 Considerations for Designating CIs

- Qualification level, integration of tested/untested components, and interfaces with other controlled CIs [59].
- Need to know exact configuration during the life cycle, high-risk or safety concerns, and new technology [59].
- Each development contract should designate at least one CI; cost alone is not a valid consideration [59].

5.10.6 CM Functional Components

Identification. Identify and document functional and physical characteristics of CIs [59].

Status accounting. Record and report all configuration changes [59].

Control. Manage CIs and documentation throughout the life cycle [59].

Verification and audits. Verify conformance to requirements, specifications, drawings, and interface documents [59].

5.10.7 IPPD and CM

Baseline linkage. CM ties requirements and specifications to baselines and supports IPPD across disciplines [59].

Cross-discipline impact. Configuration changes affect test and evaluation, manufacturing, logistics, software development, and technical data management [59].

5.10.8 Commercial Item Impacts

Government control limits. Design details and full Technical Data Package (TDP) may not be available, complicating manuals and sustainment [59].

Interfaces and support. Interfaces must be carefully defined and support strategies must address commercial repair and updates [59].

Test strategy. Tests must ensure performance at both item and integrated levels [59].

5.10.9 Configuration Control

Engineering change. Modifies, adds, deletes, or supersedes original parts [59].

Deviation. Written authorization before manufacture to depart from requirements for specific units or time [59].

Waiver. Written authorization during or after manufacture to accept a nonconforming item as-is or after rework [59].

Approved configuration. Approved baseline plus approved changes [59].

5.10.10 Configuration Baselines

Functional baseline. Defines overall system performance and functional characteristics [59].

Allocated baseline. Defines performance requirements for CIs that make up a system [59].

Product baseline. Defines functional and physical characteristics of CIs [59].

5.10.11 Specifications, CM Planning, and Baselines

System specification. Establishes mission performance requirements and interfaces tied to the functional baseline [59].

Performance specification. Defines form, fit, and function of CIs and supports the allocated baseline [59].

Detail/process/material specifications. Define build-to requirements and fabrication processes that support the product baseline [59].

5.10.12 Interface Control

Interfaces. Boundaries between CIs or between contractor and GFE requiring mechanical, electrical, operational, or software alignment [59].

ICWG. The Interface Control Working Group (ICWG) identifies, documents, and controls interface characteristics and produces interface control documents [59].

Government role. Government sets interface standards; contractors design to meet interface specifications [59].

5.10.13 Technical Data Management

Purpose. Processes to plan, acquire, manage, and use technical data to support the system life cycle [59].

Data requirements. Documented in the CDRL; only minimum required data should be procured in contractor format [59].

TDP support. TDPs support technical reviews, including Functional Configuration Audit (FCA) and Physical Configuration Audit (PCA) [59].

5.10.14 Configuration Management Strategy

Government-controlled. Functional baseline, system-level specs, external interfaces, and system or major subsystem reviews [59].

Contractor-controlled. Allocated and product baselines, item performance/detail specs, internal interfaces, and component/vendor reviews [59].

Benefits. Promotes design flexibility, reduces government burden for low-level ECPs, and supports smaller program offices [59].

5.10.15 Technical Reviews Purpose

- Check design maturity and readiness for the next development level [59].
- Assess compliance with requirements and review technical risk [59].
- Provide visibility into contractor implementation of the statement of work [59].

5.10.16 Major Technical Reviews

System Requirements Review (SRR). Confirms system technical requirements and shared understanding [59].

System Functional Review (SFR). Confirms the design can meet requirements and establishes the functional baseline [59].

PDR. Confirms readiness for detailed design and usually establishes the allocated baseline [59].

CDR. Confirms readiness for fabrication/coding, demonstration, and test; establishes the product baseline [59].

Test Readiness Review (TRR). Confirms readiness to enter formal test [59].

Production Readiness Review (PRR). Confirms production readiness and acceptable production risk [59].

FCA. Confirms the system meets functional requirements and supports LRIP/FRP decisions [59].

Operational Test Readiness Review (OTRR). Confirms production configuration readiness for operational test [59].

PCA. Verifies production configuration matches design documentation and manufacturing controls [59].

5.10.17 Specifications, Baselines, and Reviews

System specifications. Link to the functional baseline and SRR/SFR [59].

Performance specifications. Link to the allocated baseline and PDR [59].

Detail/process/material specifications. Link to the product baseline and CDR/FCA/PCA [59].

5.10.18 General Principles for Reviews

Why. Assess design maturity and program risk; not a check-the-box event [59].

When. Driven by the SEP, baseline completion, operational test prep, and upcoming milestone reviews [59].

Who. Led by a Technical Review Board (TRB) with PM representation, engineers, independent reviewers, logistics, cost, legal, contracting, sponsors, and users [59].

5.10.19 Steps to Effective Design Reviews

- Plan the review and scope [59].
- Familiarize participants with data and requirements [59].
- Conduct individual reviews before team review [59].
- Hold team review and resolve issues [59].
- Follow up to close actions [59].

5.10.20 Quick Review

- CM avoids cost, reduces risk, and controls design changes [59].
- CM functions are identification, status accounting, control, and verification/audits [59].
- Baselines are functional, allocated, and product; changes are engineering changes, deviations, and waivers [59].
- Commercial items reduce Government control of design details and TDP access, increasing interface and support planning needs [59].

5.11 Acquisition Logistics

5.11.1 Summary

Discipline. Acquisition logistics is a multi-functional technical management discipline spanning design through sustainment and modernization to ensure supportability across the life cycle [60].

Supportability focus. Acquisition logisticians ensure the system is designed for supportability and that the support infrastructure is ready when the system is fielded [60].

Readiness metrics. Readiness is measured through Reliability, Availability, and Maintainability (RAM) parameters; early RAM focus improves operational effectiveness and reduces cost [60].

Cost impact. Operations and Support (O&S) costs often account for roughly 70–80% of LCC, so early design decisions drive long-term affordability [60].

Product support. Product support strategy, Performance-Based Logistics (PBL), LCSP, and the 12 Integrated Product Support (IPS) elements integrate sustainment across the life cycle [60].

5.11.2 Defining Acquisition Logistics

Scope. A discipline associated with design, development, testing, production, fielding, sustainment, and modernization [60].

Life-cycle lens. Technical and management activities ensure supportability implications are considered early and throughout acquisition [60].

Goal. Field cost-effective systems that achieve peacetime and wartime readiness needs [60].

5.11.3 Role of Acquisition Logistics

- Ensure the system is designed for supportability [60].
- Design the support infrastructure and support structure required at fielding [60].
- Measure supportability using RAM readiness parameters [60].

5.11.4 Acquisition Logistics Policy

PM accountability. DoW policy makes the PM accountable for life-cycle management, including early O&S planning and balancing supportability with cost, schedule, and performance [60].

Design fundamentals. PMs implement design and manufacturing fundamentals that yield reliable and maintainable systems across the service life [60].

Product support strategy. PMs design an enduring, affordable Product Support Strategy (PSS) with metrics and the best mix of public and private capabilities [60].

5.11.5 Policy Implementation: PSM and LCSP

PSM requirement. MDAP programs require a Product Support Manager (PSM) per 10 U.S.C. 4324 [60].

DoW guidance. DoWI 5000.91 states the PM is the single point of accountability and the PSM supports a performance-based PSS for all covered systems [60].

Strategy delivery. The PSM develops, plans, and implements a comprehensive PSS; the LCSP is required to capture it [60].

Business model. The Product Support Business Model (PSBM) and 12-step product support strategy process are operationalized through the LCSP [60].

5.11.6 RAM Definitions

Readiness is measured through RAM parameters [60].

Reliability. Ability to perform the mission without failure, degradation, or demand on the support system [60].

Availability. Degree to which an item is operable and committable at mission start for an unknown time [60].

Maintainability. Ability to retain or restore an item to required condition with specified skills, procedures, and resources at prescribed maintenance levels [60].

5.11.7 Acquisition Logistics and RAM

Early objectives. PMs establish RAM objectives early and treat them as design parameters throughout acquisition [60].

Requirement basis. RAM system requirements are derived from capability documents and TOC considerations, expressed in quantifiable operational terms and measured in test [60].

System-wide scope. RAM requirements include support and training equipment, manuals, spares, and tools [60].

5.11.8 RAM Metrics

Sustainment KPP. For ACAT I programs, the sustainment KPP includes Material Availability (Am) and Operational Availability (Ao) [60].

Supporting KSAs. Reliability (e.g., Mean Time Between Failures (MTBF)), maintainability (e.g., Mean Time To Repair (MTTR)), and TOC are mandatory sustainment KSAs for ACAT I programs [60].

Lower ACAT. For ACAT II and below, the sponsor determines sustainment KPP/KSA applicability [60].

5.11.9 RAM Techniques

- Design for human engineering, accessibility, visibility, testability, standardization, simplicity, and minimized failures [60].
- Consider Naval Supply Systems Command (NAVSUP) support, Reliability-Centered Maintenance (RCM) analysis, skill requirements, maintenance levels, tools, and test equipment [60].

5.11.10 Design to Minimize Failures

- Address mission, environmental, and life-profile demands [60].
- Use stress and worst-case analysis, Failure Mode, Effects and Criticality Analysis (FMECA), and Fault Tree Analysis (FTA) [60].
- Apply allocation, part/material selection, derating, simplification, and design reviews [60].

5.11.11 Support Costs and Life-Cycle Cost

Cost share. O&S costs are about 70–80% of total LCC for typical programs [60].

Ship O&S examples. Cost categories include mission personnel, unit-level consumption, intermediate maintenance, depot maintenance, contractor support, sustaining support, and indirect support [60].

Early influence. Early analyses and decisions lock in most life-cycle cost outcomes [60].

5.11.12 Logistics-Related Concepts

- IPPD/IPTs integration and continuous LCC consideration [60].
- COTS/ Non-Developmental Item (NDI) reduce development risk but can increase long-term support risk [60].
- Maintain organic core depot capability and avoid overuse of Contractor Logistics Support (CLS) [60].
- RAM as a force effectiveness multiplier and open systems to enable upgrades [60].
- Cradle-to-grave program management for sustainment outcomes [60].

5.11.13 Performance-Based Logistics

Definition. PBL is outcome-based, performance-focused product support through performance-based arrangements [60].

Not transactional. Transactional support purchases parts or repairs as needed; PBL focuses on outcomes across the life cycle [60].

Preferred approach. PBL is the preferred DoW approach for product support [60].

5.11.14 PBL Metrics and Contracting Strategy

Metric design. Metrics should be defined so outcomes can be tracked, measured, and revalidated; they should drive improvement, efficiency, and innovation [60].

Contract attributes. Effective PBL contracts specify requirements, parameters, incentives, and risk mitigation; successful contracts are often fixed-price, multiyear, and align with FAR Part 12 [60].

Funding strategy. Funding stability, time, scope, and appropriation category shape PBL contract funding [60].

5.11.15 Supportability Analysis

Definition. Product Support Analysis (PSA) is a body of procedures used to define system performance and supportability goals [60].

Methods. Common analyses include FMECA, FTA, RCM, Level of Repair Analysis (LORA), and maintenance task analysis [60].

SE integration. Supportability analysis is conducted as part of the systems engineering process to ensure supportability is a system performance requirement [60].

Timing. Must occur early in the life cycle to influence design; assessment continues throughout the life cycle [60].

5.11.16 Product Support Analysis

Requirement. PSA is required to create the product support package and is guided by MIL-HDBK-502A [60].

System-level start. Analysis begins at the system level to shape design and operational concepts [60].

Cost leverage. Early analysis is less costly because it can influence design decisions up front [60].

5.11.17 Supportability and the Acquisition Life Cycle

Milestone A. Ensure support considerations are integral to system design requirements and reduce LCC early [60].

Milestone B. Identify, develop, and acquire infrastructure for initial fielding and operational support [60].

Milestone C. Ensure the system can be cost-effectively supported across its life cycle [60].

5.11.18 Supportability Issues and Impact

- Operating requirements, readiness metrics (Ao, MTBF, MTTR), and manpower/skill requirements including Navy Enlisted Classifications (NECs) [60].
- Maintenance requirements, repair-vs.-discard decisions, self-diagnostics, and battle damage reparability [60].
- Environment, safety, health, and transportability constraints [60].
- Failure to resolve supportability issues increases LCC and degrades readiness; reliability and maintainability must be contract performance parameters [60].

5.11.19 Product Support Business Model

Framework. PSBM defines how product support is accomplished across components, subsystems, and platforms to balance availability and affordability [60].

Roles. Total Life-Cycle Systems Management (TLCSM) responsibility lies with the PM; life-cycle product support management lies with the PSM [60].

Integration. Product Support Providers (PSPs) provide support and are integrated by one or more Product Support Integrators (PSIs) [60].

5.11.20 12-Step Product Support Strategy Process

1. Integrate warfighter requirements and support [60].
2. Form the product support management IPT [60].
3. Baseline the system [60].
4. Identify and refine performance outcomes [60].
5. Conduct business case analysis [60].
6. Perform product support value analysis [60].
7. Determine support acquisition method(s) [60].
8. Designate product support integrator(s) [60].
9. Designate product support provider(s) [60].
10. Identify and refine financial enablers [60].
11. Establish and refine product support agreements [60].
12. Implement and provide oversight [60].

5.11.21 Life-Cycle Sustainment Plan

Purpose. The LCSP documents how the program will implement its product support strategy across the life cycle [60].

Management tool. The LCSP is a living document that communicates the sustainment approach, resources, and roles [60].

Not a checklist. The LCSP is not a static rehash of policy or a milestone-only artifact [60].

5.11.22 LCSP Development by Milestone

Milestone A. Focus on sustainment metrics and actions prior to Milestone B to reduce future O&S costs [60].

DRFPRD and Milestone B. Finalize sustainment metrics, integrate sustainment with design activities, and refine execution plans for acquisition, fielding, and sustainment competition [60].

Milestone C. Ensure operational supportability and include a comprehensive product support package description, competition plan, and fielding plan [60].

5.11.23 12 Integrated Product Support Elements

- Product support management [60].

- Design interface [60].
- Sustaining engineering [60].
- Supply support [60].
- Maintenance planning and management [60].
- Packaging, Handling, Storage, and Transportation (PHS&T) [60].
- Technical data [60].
- Support equipment [60].
- Training and training support [60].
- Manpower and personnel [60].
- Facilities and infrastructure [60].
- Computer resources [60].

5.11.24 IPS Element Highlights

Product support management. Integrates all IPS activities to achieve KPPs and KSAs and begins at Milestone A [60].

Design interface. Ensures RAM parameters are incorporated early and aligned with operational effectiveness and suitability [60].

Sustaining engineering. Minimizes downtime, lowers risk, and drives design and infrastructure changes when needed [60].

Supply support. Establish provisioning and replenishment, including Allowance Parts List (APL) and Coordinated Shipboard Allowance List (COSAL) development [60].

Maintenance planning. Establishes maintenance concept, repair levels, Planned Maintenance System (PMS) interface, tools, and facilities [60].

Packaging and transport. Defines resources and methods for preservation, storage, and shipment, including environmental and PHS&T considerations [60].

Technical data. Identify minimum technical data needs, documented through the CDRL, with special care for software-intensive systems [60].

Support equipment. Identify required test and support equipment and develop the Allowance Equipage List (AEL) [60].

Training. Define individual and crew training, develop the Navy Training Plan (NTP), and select delivery methods [60].

Manpower. Identify military and civilian skills and minimize manning impacts on LCC [60].

Facilities. Identify facility requirements early because major projects have long lead times [60].

Computer resources. Define software life-cycle support plans, configuration management, support agents, and licensing [60].

5.11.25 Logistics and Program Planning

Start point. Supportability planning begins in MSA [60].

Common issues. Training and technical data, manpower, supply support, facilities, and PHS&T gaps can derail fielding [60].

5.11.26 Fielding and Deployment

Deployment planning. Coordinated by the PMO in support of operational commanders; milestones include trained users, deployed teams, spares, and technical data [60].

Materiel release. Certification that logistics deficiencies from OT&E are corrected and initial fielding resources are available [60].

IOC linkage. Initial fielding activities culminate in materiel release and IOC [60].

5.11.27 Post-Production Support

Activities. CLS, component redesign, P3I, data management, multiple sources, open systems, life-of-type buys, spares modernization, training infrastructure, and funded ISEA support [60].

Challenges. Long life spans, uneconomic order quantities, high spares usage, Diminishing Manufacturing Sources and Material Shortages (DMSMS), proprietary technical data, and technology obsolescence [60].

5.11.28 Quick Review

- Acquisition logistics ensures supportability across the life cycle and is measured by RAM readiness parameters [60].
- O&S costs dominate LCC; early analysis and design decisions shape affordability [60].
- PSA, PSBM, PBL, and LCSP integrate product support planning and execution [60].
- Fielding without infrastructure degrades readiness; post-production support requires proactive risk management [60].

5.12 Test & Evaluation

5.12.1 Board Prep Summary

T&E provides the objective evidence that a system can achieve the warfighter outcomes promised in requirements documents before obligating the fleet to fielding, sustainment, and congressional reporting commitments [46, 61]. A test is the controlled

activity (lab, range, digital thread, fleet event) that produces data, while an evaluation is the analytic judgment that compares that data to thresholds, suitability expectations, and risk acceptance criteria [61]. Effective T&E integrates developmental, operational, and live-fire evidence so that each MCA milestone is backed by verified design data and validated mission performance insights rather than optimistic modeling alone [62]. Programs that synchronize T&E with systems engineering and program control expose performance gaps early, recycle fixes through the technical baselines, and enter OTRR with a defensible TEMP, resource plan, and deficiency scrub.

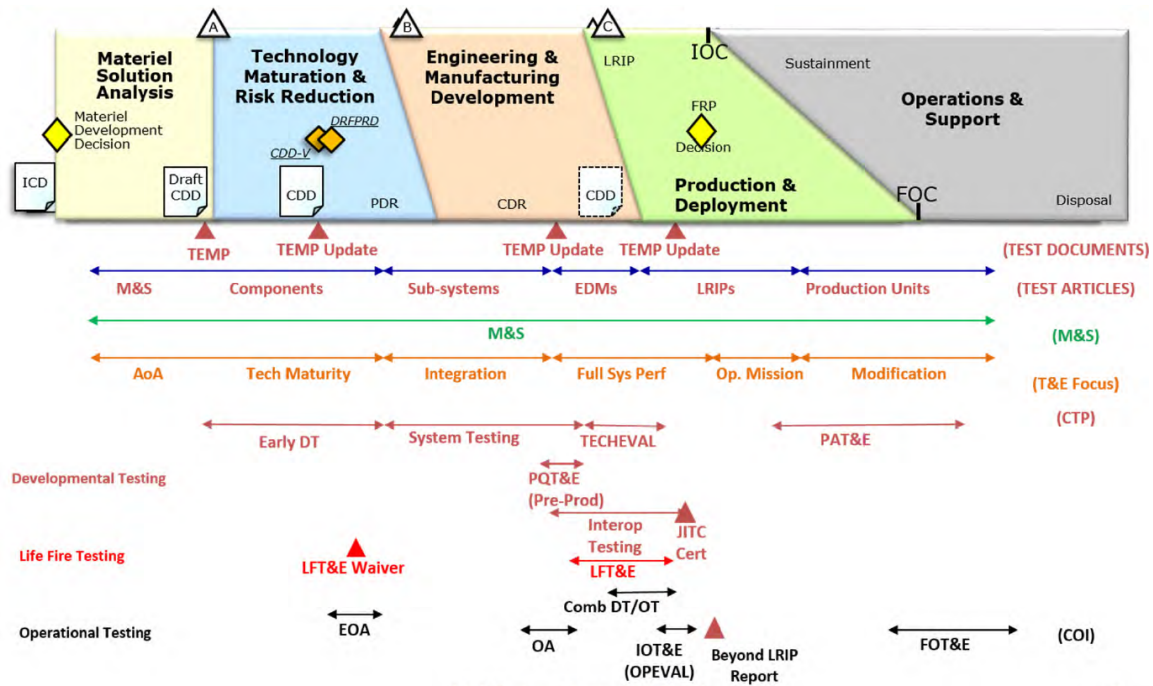


Figure 5.3. Key MCA test and evaluation touchpoints that frame DT, OT, and certification decisions. Source: 3.5.5. Test and Evaluation Part I, 2025 [61].

5.12.2 Definition and Relationship to Verification and Validation

Developmental Test and Evaluation (DT&E) verifies “did we build the system right” by showing the technical baseline meets allocated requirements, standards, and interface controls, while Operational Test and Evaluation (OT&E) validates “did we build the right capability” by proving Sailors and Marines can accomplish missions under representative threat, environment, and sustainment conditions [63]. Verification relies on repeatable measurements (e.g., propulsion plant efficiency in a land-based engineering site) and feeds configuration control; validation uses operational scenarios, tactics, and logistics supportability to demonstrate mission effectiveness and suitability. DoWI 5000.88 further directs programs to execute frequent, iterative end-user validation of features and usability so mission thread owners can accept the delivered capability before major decisions [64]. Verification and Validation (V&V) and Verification, Validation, and Accreditation (VV&A) activities must be planned in the TEMP and SEP so that models, simulations, hardware-in-the-loop facilities, and live events share common data assumptions and confidence levels before milestone reviews [62]. *Verification* therefore proves compliance with the documented specification (analysis, inspection, test, demonstration), whereas *validation* proves the warfighter accepts the delivered capability and can close the mission threads; both sides of the V&V matrix must be satisfied before the MDA can certify readiness for production or fleet release [62].

5.12.3 Statutory Requirements and Key Roles

10 U.S.C. § 139. Establishes the DOT&E as an independent advisor to SECWAR and Congress; DOT&E approves operational test plans, monitors execution, and must issue a public report for covered programs [65].

10 U.S.C. § 2399. Prohibits a program from proceeding beyond LRIP or requesting Full-Rate Production approval until DOT&E and the lead Operational Test Agency submit their independent reports to Congress [66].

10 U.S.C. § 2366. Requires Live Fire Test and Evaluation (LFT&E) or an approved waiver for covered systems (personnel, platform, and munitions lethality/survivability) before beyond-LRIP decisions; it also directs reporting of vulnerability/lethality findings to defense committees [67].

Deputy Assistant Secretary of War for Test and Evaluation (DASW(T&E)). Serves as the OSW focal point for test resources, designates Chief Developmental Testers (CDTs) for ACAT I programs, charters Lead Developmental Test and Evaluation Organizations (LDTOs), and co-chairs Defense-level T&E Working Integrated Product Teams [62].

CDT and LDTO. The CDT orchestrates the integrated test schedule, data requirements, and deficiency resolution cadence, while the LDTO (often a warfare center or system command test directorate) furnishes instrumentation, modeling, and range execution authority for DT&E [62].

Operational Test Agencies. Commander, Operational Test and Evaluation Force (COMOPTEVFOR), Air Force Operational Test and Evaluation Center (AFOTEC), U.S. Army Test and Evaluation Command (ATEC), and Marine Corps Operational Test and Evaluation Activity (MCOTEA) plan and execute OT&E MDA record [68].

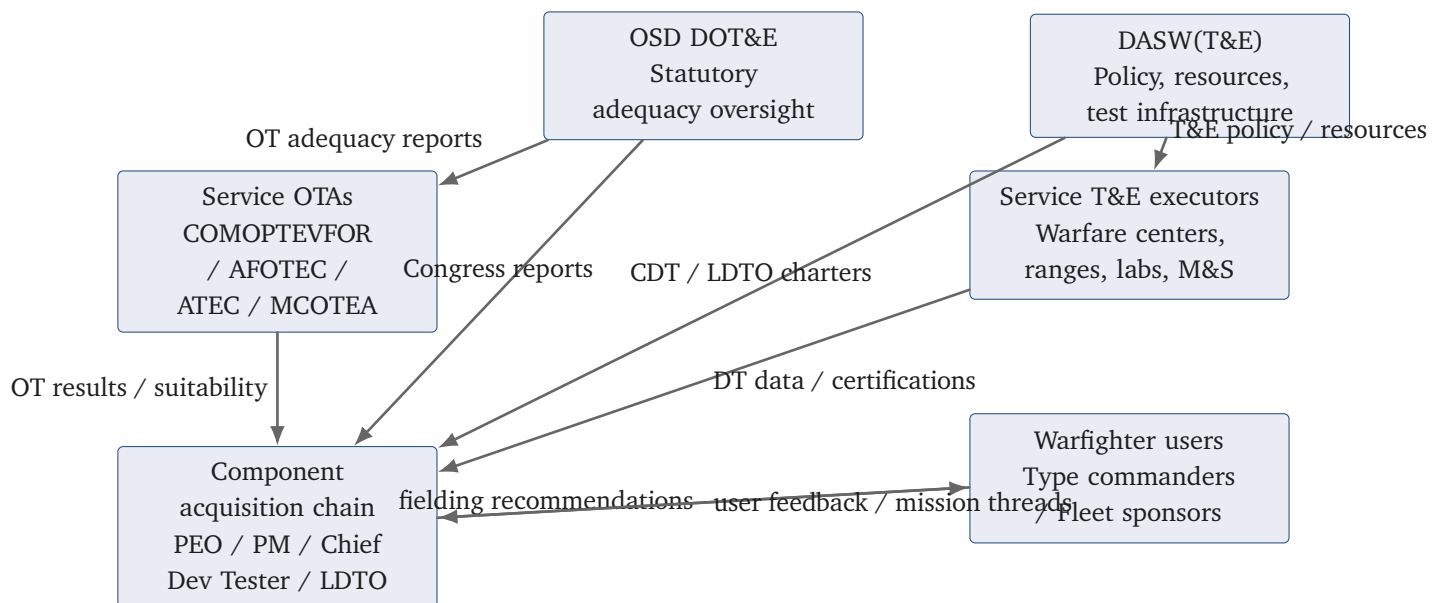


Figure 5.4. DoW test and evaluation governance chain linking OSW oversight, Service Operational Test Agencies, warfare centers/ranges, and program-level test leadership.

5.12.4 Developmental Test Activities

Component and qualification testing. Bench, lab, and land-based engineering site events that verify materials, software builds, cyber hardening, interoperability, and safety factors before integration; data feeds configuration audits and reliability growth curves [61].

Subsystem and integration testing. Hardware-in-the-loop, systems integration labs, and shore-based platform integration tests that expose interface defects and mission thread timing issues before at-sea trials [61].

System-level DT&E. Full-up prototypes or first-of-class hulls execute combined developmental/operational scenarios, cybersecurity assessments, and logistics demonstrations to validate readiness for TRR and Technical Evaluation (TECHEVAL) [46].

Reliability growth and maintainability demonstrations. Planned stress events and failure-mode tracking prove that Mean Time Between Operational Mission Failure (MTBOMF) and corrective maintenance timelines align with sustainment strategies before Operational Test Readiness [62].

Certification testing. Airworthiness, safety, information assurance, weapon certification, and electromagnetic environmental effects tests that deliver statutory certifications needed for fielding [61].

Note

Edge case: Software pathway efforts may collapse TECHEVAL/ Operational Evaluation (OPEVAL) into continuous DevSecOps assessments, but the program must still show how combined testing and user evaluations satisfy Title 10 adequacy requirements before fielding [63].

5.12.5 Live Fire Test and Evaluation

When required.

Title 10 demands LFT&E for every new or significantly upgraded crew-occupied platform, combat vehicle, major munitions program, or missile defense component that will face threat lethality; full-up system-level shots must be realistically stressed prior to requesting Full-Rate Production approval [62, 67].

When waived.

Only the SECWAR can waive full-up LFT&E when the system is unmanned, when destructive testing would be unreasonably expensive or impractical, or when alternative testing (component shots, validated modeling, allied data) provides equivalent insights; Congress must be notified of the rationale and the alternative plan [62, 67].

Execution and use.

Programs plan vulnerability and lethality events in the TEMP, employ full-up articles plus critical subsystems and surrogates, and collect battle damage, crew survivability, and cascading-effect data to inform design hardening, tactics, and survivability equipment upgrades; the results become an annex to the DOT&E report before the FRPDR [46, 62].

5.12.6 Operational Test Phases

Early Operational Assessment (EOA). A qualitative review, often using simulations or limited field events, that informs CDD refinement and acquisition strategy decisions before Milestone B [68].

OA. Focused operational events (sometimes embedded in Fleet Battle Problems or Fleet Exercises) that characterize mission effectiveness, training load, and logistics demands prior to LRIP or dedicated IOT&E [68].

Initial Operational Test and Readiness Evaluation (IOT&RE). Navy programs often combine IOT&E and Readiness Evaluation to prove both mission performance and Fleet introduction readiness; Title 10 requires that the IOT&E portion be adequate, realistic, and reported to Congress before FRP [66].

Follow-on Operational Test and Evaluation (FOT&E). Conducted after FRP or major configuration changes to verify corrective actions, CPD thresholds, cybersecurity resilience, and software drops prior to wide deployment [62].

5.12.7 Fundamental Test and Evaluation Terms

Critical Operational Issue (COI). The mission-outcome questions (“Can the ship defend itself against a raid?”) that structure OT&E plans and reports [68].

MOE & Measure of Suitability (MOS). Measures of Effectiveness and Suitability quantify warfighting value (probability of raid annihilation) and fleet readiness attributes (reliability, maintainability, training burden) tied to COIs [68].

Measure of Performance (MOP). Measures of Performance (e.g., radar detection range) show lower-level technical behaviors that roll up to MOEs/MOS [61].

Deficiency categories. Category I deficiencies are mission-critical failures that could cause death, severe injury, or major mission loss; Category II items are significant but less critical issues requiring tracking and correction [68].

Combined testing. Planned events that collect developmental and operational data simultaneously to save schedule and align datasets for evaluation teams [63].

5.12.8 Critical Technical Parameters and Technical Performance Measures

Critical Technical Parameters (CTPs) are the small subset of design attributes that must be controlled to assure a KPP or KSA remains achievable; they are derived from the ICD/CDD and baselined inside the APB [46]. Each CTP maps to one or more TPMs that engineers track continuously using lab data, digital models, or DT&E results; TPMs trends highlight when technical debt threatens TEMP and SEP assumptions so leadership can adjust scope, schedule, or funding. Programs are expected to show a clean trace from COI → KPP/KSA → CTP → TPM → planned test points in the TEMP, ensuring every test objective underwrites an operational outcome and every requirement has an observable verification method [61, 62].

5.12.9 Test and Evaluation Master Plan

The TEMP captures the integrated T&E strategy, schedule, resources, and data management approach across the lifecycle; it harmonizes the SEP, LCSP, and APB so that every milestone package shows how risk will be retired [69]. Part I summarizes

program context and key performance requirements, Part II defines the integrated test program (DT, OT, certification, modeling, and analysis), Part III outlines resource needs (ranges, threat surrogates, workforce, instrumentation), and annexes address data rights, stats, and cyber accreditation [62]. ACAT I(D) TEMPs require DOT&E approval; other TEMPs are approved by the Component Acquisition Executive. Updates are mandatory when requirements change, critical deficiencies emerge, or significant schedule/funding revisions alter test sequencing [46].

5.12.10 Modeling and Simulation

Modeling and simulation provide the only practical way to explore the mission design space before hardware exists, rehearse high-risk scenarios (e.g., hypersonic raid defense), and extend sparse live-test data across the operational envelope [61]. Programs must document model purpose, pedigree, uncertainty, and VV&A status in the TEMP; accredited models can bound live-test needs, size instrumentation, and support decision-quality evaluations when safety, cost, or treaties limit destructive testing [62]. Mission engineering digital threads (system-of-systems simulations, campaign models) allow combined DT/OT teams to choreograph events, align data management plans, and feed statistical confidence calculations before and after live events.

5.12.11 Navy Overlays and Integration

Office of the Chief of Naval Operations Instruction (OPNAVINST) 3960-series policy (captured in the coursebook) requires Navy programs to plan TECHEVAL (led by the engineering agent) before OPEVAL, to obtain OPNAV OPNAV Warfare Systems (N9) concurrence on test objectives that bear on Fleet introduction risk, and to route OTRR packages through COMOPTEVFOR for certification that logistics, training, and safety enablers are in place [68]. First-of-class ships also execute Builder's and Acceptance Trials, Board of Inspection and Survey (INSURV) events, and dedicated combat system Ship Qualification Trials that integrate with TECHEVAL/OPEVAL data packages. Navy Commander, Operational Test Force (COTF) retains authority to recommend restricted Fleet release if Category I deficiencies remain; those actions feed the Key Roles appendix update for DASW(T&E), CDT, and COTF responsibilities.

5.12.12 Fiscal and PPBE Touchpoints

RDT&E appropriations fund most DT&E events, test articles, range time, and contractor support, while procurement colors such as SCN or Weapons Procurement, Navy buy dedicated OT assets when production-representative hardware is required for statutory adequacy [61, 70]. Operations and Maintenance funds cover Fleet participation, temporary duty, and sustainment of government test ranges. Because OT adequacy is a precondition for FRP and sustainment decisions, Program Objective Memorandum issue papers must protect test range modernization, threat-representative targets, and Modeling & Simulation accreditation costs or risk a PPBE disconnect when COMOPTEVFOR identifies unfunded test objectives.

5.12.13 Assumptions and Uncertainties

- Coursebook Modules 3.5.5 and 3.5.6 (March 2025 editions) remain the latest DON-specific T&E references.
- COMOPTEVFOR manual updates post-2024 were not available offline; Navy-specific terminology (e.g., OPEVAL taxonomy) is based on coursebook guidance.

- Upcoming NDAA changes to Title 10 T&E statutes have not been incorporated pending official publication.
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5.13 Ship Trials

5.13.1 Summary

Purpose. Ship trials verify readiness, safety, and contractual compliance before delivery and Fleet introduction [71].

Major trial types. Surface ship trials include Builder's Dock Trials (BDT), Builder's Sea Trials (BST), Acceptance Trials (AT), Integrated Acceptance Trials (IAT), Post Delivery Test and Trials (PDT&T), Final Contract Trials (FCT), Shock Trials (ST), and post-shakedown availability events [71].

Key players. INSURV, OPNAV, NAVSEA, PEO, TYCOM, SUPSHIP, and ship's force each hold defined roles in trials and acceptance [71].

Submarine emphasis. Submarine trials include fast cruise, ALPHA, BRAVO, INSURV combined trials, and Guarantee Material Inspection (GMI), with SUBSAFE certification and Unrestricted Operations (URO) authorization [71].

Certification. Post-sea trial certification requires completion messages, deficiency tracking, and readiness determinations for Fleet operations [71].

5.13.2 Ship Trial Requirements

Title 10. 10 U.S.C. 7304 directs SECNAV to designate a board of officers to examine Navy vessels and report material condition to CNO [71].

OPNAV policy. OPNAVINST 4700.8 series governs trials, acceptance, commissioning, fitting out, and post-shakedown availability for ships under construction or conversion [71].

Mission capable prior to delivery. Ships should be fully mission capable before delivery, except for crew certification or range requirements not possible until after delivery [71].

5.13.3 Key Terms

Accepting authority. Officer designated by the CNO to accept a vessel for the Navy, normally the cognizant PEO [71].

Presenting authority. Officer designated to present the ship to the trial board and certify readiness for trials [71].

Obligation Work Limiting Date (OWLD). Obligations for construction and post-delivery work must occur before the OWLD, typically 11 months after completion of fitting out [71].

Delivery and guarantee period. Delivery is the date the Navy accepts the ship; the shipbuilder remains responsible for correcting defects during the guarantee period [71].

5.13.4 Key Players and Responsibilities

- INSURV provides independent verification of readiness for acceptance and Fleet introduction [71].
- OPNAV makes final determinations of readiness for service; NAVSEA provides formal delivery recommendations to CNO via ASN(RD&A) [71].
- PEO acts as accepting authority for new construction and conversion ships; SUPSHIP prepares, presents, and documents discrepancies [71].
- TYCOM represents the warfighter; Fleet commanders provide trial services; ship's force executes post-delivery trials [71].
- The Naval Supervising Authority assumes custody of the ship's material condition during industrial periods [71].

5.13.5 Surface Ship Construction Trials

BDT. Pier-side tests to determine readiness to safely conduct sea trials and rehearse the AT schedule of events; presented by shipbuilder to SUPSHIP [71].

BST. Conducted after BDT to demonstrate seaworthiness and readiness for AT; presented by shipbuilder to SUPSHIP with NAVSEA and ship's force observers [71].

AT. Conducted after BST to assess contract compliance and operational readiness; INSURV documents discrepancies and recommends acceptance or additional trials [71].

IAT. Consolidates BST and AT before delivery to accelerate schedules for mature production lines [71].

5.13.6 Post Delivery Test and Trials

When. Conducted prior to the shakedown period [71].

Purpose. Executes warfare-area trials such as acoustic trials, propulsion plant examinations, Combat System Ship Qualification Trial (CSSQT) (surface) or weapons system accuracy trials (submarines), and ASW/weapon accuracy events [71].

Responsibility. Conducted by the ship's commanding officer and ship's force, with special assistance teams as needed [71].

5.13.7 Final Contract Trials

When. After AT deficiency corrections and prior to post-shakedown availability; before guarantee period expiration [71].

Purpose. Final check for shipbuilder-related defects and operational readiness; similar in scope to AT but executed by Navy personnel [71].

Responsibility. Presented by the shipbuilding program manager to INSURV and observed by NAVSEA, SUPSHIP, and the shipbuilder [71].

5.13.8 Shock Trials

When. Conducted prior to post-shakedown availability for first-of-class ships [71].

Purpose. Demonstrate the ability to fight the ship and satisfy Congressional LFT&E requirements [71].

Responsibility. Shipbuilding program manager oversees; NSWC Carderock designs and instruments trials; ship's CO serves as Officer in Tactical Command [71].

5.13.9 Post-Shakedown Availability

When. After shakedown and prior to expiration of SCN funding and the OWLD [71].

Purpose. Correct new construction deficiencies and accomplish authorized improvements [71].

Responsibility. Supervising authority and ship's CO determine test scope; ship's force operates systems and the shipyard remains responsible for completion [71].

5.13.10 Special Trials

NAVSEA trials. Conducted on representative ships after delivery to determine class characteristics or for ship-specific needs [71].

Examples. Standardization, tactical, acoustical, vibration, fuel economy, heat balance, emergency recovery, and stability/control trials [71].

5.13.11 Submarine Trials Timeline (New Construction)

Fast cruise. TYCOM-directed evolutions for 96 hours with required crew rest to support certification [71].

ALPHA trials. Propulsion plant full-power trials, test depth, ship control, and initial tightness checks [71].

BRAVO trials. Combat systems, navigation, communications, and acoustic performance to prepare for INSURV trials [71].

BRAVO work period. Correct discrepancies and conduct post-dive checks and inspections [71].

INSURV trials and delivery. INSURV conducts combined acceptance and final contract trials; delivery is followed by GMI [71].

5.13.12 Post-Industrial Availability Trials

Purpose. Conducted after repairs to verify readiness for service; scope depends on the work package [71].

Full power. Required after each regular overhaul; other repairs use trial scopes agreed by oversight and the ship's CO [71].

5.13.13 Post-Sea Trials Certification

CNO availabilities. Naval supervising authority, lead maintenance activity, and ship's force conduct a departure conference and issue an availability completion message detailing unresolved work and configuration changes [71].

Submarine requirements. NAVSEA certifies SUBSAFE material condition and recommends URO; TYCOM authorizes URO to test depth [71].

5.13.14 Submarine New Construction vs. Repair

NAVSEA certification. New construction certifies SUBSAFE material condition for the entire submarine; repair certifies only the work performed [71].

Testing. New construction uses multiple at-sea trial periods; repair typically uses one trial period to complete all testing [71].

5.13.15 Ship Program OT&E

Dedicated OT phases. Per COMOPTEVFORINST 3980.2, ships use EOA, OA, IOT&RE, VCD, and FOT&E to assess operational suitability and effectiveness [71].

Program coordination. MDA and DOT&E align on test requirements; DT&E and OT&E may be combined with SECNAV concurrence, but TECHEVAL and IOT&E are not combined [71].

Pre-Milestone B testing. DT&E and OT&E before Milestone B address individual systems, land-based testing, or validated modeling and simulation when necessary [71].

5.13.16 Quick Review

- Ship trials are mandated by Title 10 and OPNAVINST policy to certify readiness prior to delivery [71].
 - BDT, BST, AT, and IAT are the core surface-ship construction trials; PDT&T and FCT follow delivery [71].
 - Submarine trials culminate in INSURV combined trials, GMI, and SUBSAFE certification with URO authorization [71].
 - Post-sea trial certification and availability completion messages confirm readiness and track deficiencies [71].
-

6 Maintenance

6.1 Fleet Maintenance Assets

6.1.1 Summary

Levels. Fleet maintenance is organized into organizational (O), intermediate (I), and depot (D) levels, each matched to increasing complexity, equipment, and workforce specialization [72].

Activities. O-level is ship's force; I-level includes tenders and shore intermediate facilities; D-level includes public and private shipyards, regional maintenance centers, and ship repair facilities [72].

SUPSHIP and RMCs. SUPSHIPS administer new construction and modernization contracts, while RMCs manage depot projects and provide I-level support and training [72].

Chains and funding. Reporting chains and funding streams differ across organizations and must be aligned for effective maintenance execution [72].

Workforce. Maintenance activities rely on blended military, civilian, and contractor workforces with structured training pipelines and significant early-career demographics at shipyards [72].

6.1.2 Organizational (O) Level Maintenance

Definition. Planned maintenance from the PMS and limited repair performed by ship's force [72].

Typical work. Tasks range from simple lubrication to modular change-outs and valve overhauls [72].

Purpose. Leverages operator experience to keep the ship as self-sufficient as possible [72].

6.1.3 Intermediate (I) Level Maintenance

Definition. Planned and corrective maintenance on shipboard hull, mechanical, and electrical systems and components [72].

Typical work. Routine calibration, gas turbine change-outs, pump and engine overhauls, corrosion control, and rigging/weight testing [72].

Workforce. Sailors and civilians at Intermediate Maintenance Activity (IMA)/ Intermediate Maintenance Facility (IMF) sites gain NEC qualifications through OJT-driven repair work [72].

6.1.4 Depot (D) Level Maintenance

Definition. Major industrial work requiring specialized equipment, machinery, and skill sets [72].

Typical work. Docking and underwater hull work, shaft repairs, engine rebuilds, modernization and ship alteration installation, and array resurfacing [72].

Workforce. Executes with skilled civilian and private-sector workforces beyond I-level capability or capacity [72].

6.1.5 Maintenance Trends

- O-level tasking shifted ashore for some platforms (e.g., LCS and DDG-1000), with crews regaining some checks over time [72].
- Regional consolidation of I- and D-level work led to integrated shipyard and intermediate facilities at Puget Sound and Pearl Harbor [72].
- A 2020 GAO review highlighted workforce capacity, unplanned work, planning adherence, facility condition, and IT constraints in surface maintenance [72].

6.1.6 Maintenance Organizations

O-level. Ship's force [72].

I-level. Submarine tenders, Strike Force Intermediate Maintenance Activity (SFIMA), Naval Submarine Support Facility (NSSF), and Trident Refit Facility (TRF) [72].

D/I-level. Naval shipyards and IMFs, U.S. Naval Ship Repair Facility, RMCs, SUPSHIP (minor repair role), private shipyards, and some warfare center divisions [72].

6.1.7 Afloat Maintenance Activities

Submarine tenders. Provide deployable I-level maintenance to submarines, conduct casualty repair, and support Indo-Asia-Pacific sustainment (e.g., USS Emory S. Land and USS Frank Cable in Guam) [72].

SFIMA. Afloat IMA capability using carrier and amphibious platforms to maximize battle force self-sustainment while deployed [72].

6.1.8 Tender Repair Organization (Typical)

Repair officer. Leads the tender repair organization; an EDO O-5 billet in many organizations [72].

Divisions. Hull (R-1), Mechanical (R-2), Electrical (R-3), Electronic (R-4), Radiological Controls (R-5), Repair Services (R-6), Planning (R-7), Outside Machinery (R-8), Quality Assurance (R-9), and Tender Maintenance (R-T) [72].

Support. Repair administration, ship superintendent, and technical library functions align under repair leadership [72].

6.1.9 Submarine Support Facilities

NSSF. Provides I-level maintenance to fast-attack submarines and support craft; works closely with Regional Support Group (RSG) and Nuclear Regional Maintenance Department (NRMD); based in Groton, CT [72].

TRF. Provides industrial support for incremental overhaul and refits of ballistic- and guided-missile submarines; conducts I-level maintenance during refit cycles in Kings Bay, GA and Bangor, WA [72].

Trident Planned Equipment Replacement (TRIPER). TRF supports equipment replacement using a rotatable pool concept under TRIPER [72].

6.1.10 Naval Shipyards

Mission. Provide affordable, timely, and quality depot-level maintenance, modernization, inactivation, disposal, and emergency repair of carriers and submarines [72].

Capabilities. Maintain dry docks, piers, and production shops; sustain a skilled workforce; provide organic nuclear and conventional repair capacity [72].

Product lines. Submarine availabilities/defueling/refueling; CVN availabilities; and combined inactivation, reactor compartment disposal, and hull recycling at specific yards [72].

6.1.11 Ship Repair Facility (Japan)

Ship Repair Facility (SRF)/ Japan Regional Maintenance Center (JRMCC). A non-nuclear depot facility that executes I- and D-level availabilities and provides fleet technical assistance and assessments for Seventh Fleet support [72].

Services. Planning/execution of availabilities by organic workforce (Yokosuka) and contract oversight (Sasebo), plus dive locker and underwater husbandry services [72].

Product lines. Homeported ship support in Yokosuka and Sasebo, plus emergent repair brokered by TYCOM [72].

6.1.12 Supervisor of Shipbuilding (SUPSHIP)

Primary mission. Administer Navy new construction, nuclear repair, and modernization contracts [72].

Key roles. Acts as ACO for shipbuilding/conversion contracts, manages schedules, conducts technical oversight, administers funds, and coordinates logistics support [72].

RCOH. Conducts CVN RCOH at Newport News Shipbuilding and is expanding repair responsibilities at nuclear SUPSHIPS [72].

6.1.13 Major Platform Private Shipyards

- Huntington Ingalls Industries (Newport News Shipbuilding, Ingalls Shipbuilding) [72].
- General Dynamics (NASSCO, Bath Iron Works, Electric Boat) [72].

- Fincantieri Marinette Marine, Austal USA [72].

6.1.14 Regional Maintenance Centers

Mission. Provide D-level project/contract management, I-level repairs and training, fleet technical assistance, Total Ship Readiness Assessment (TSRA), underwater ship husbandry, regional calibration, and logistics support [72].

Organization. RMCs organize around contracts, logistics, financial, corporate operations, environmental safety, engineering and planning, waterfront operations, quality assurance, and production resources [72].

6.1.15 Funding and Reporting Chains

Modernization funds. Maintenance and modernization use separate funding streams, including D-Alt and K-Alt modernization accounts; an OPN pilot supports some private contracted availabilities [72].

Operational chain. CNO delegates readiness through fleet commanders and TYCOMs who authorize work and manage maintenance budgets [72].

Technical chain. NAVSEA provides engineering standards and technical authority for maintenance execution at RMCs and NSYs [72].

6.1.16 Responsibilities by Organization

OPNAV N83B. Establishes ship maintenance policy and procedures, allocates shipyard man-days, and publishes depot availability schedules [72].

Fleet commanders. Assess material readiness and resource maintenance funding through Fleet Maintenance Officers [72].

TYCOM. Acts as fleet commander agent for assigned platforms; authorizes work and screens maintenance requirements to RMCs and depots [72].

NAVSEA 04/05. Develop technical requirements and engineering standards, approve maintenance strategies, and set industrial activity policy [72].

SEA 21 and Commander, Navy Regional Maintenance Center (CNRMC). Integrate maintenance strategies, modernization plans, training, and in-service life-cycle management for surface ships [72].

6.1.17 Workforce Composition and Training

Workforce mix. Maintenance activities employ military, civilian, and contractor workforces, with IMA and IMF pipelines providing OJT-based skill development [72].

Shipyard demographics. FY17 Q1 data show a large early-career workforce: Portsmouth 40.7%, Norfolk 46.2%, Puget Sound 43.3%, and Pearl Harbor 35.8% with five years or less experience [72].

6.1.18 Quick Review

- Maintenance levels are O, I, and D; each level increases in complexity and industrial capability [72].
 - I-level activities include tenders, SFIMA, NSSF, and TRF; D-level includes shipyards, SRF, RMCs, and private yards [72].
 - SUPSHIPS administer new construction and modernization contracts and hold a minor repair role [72].
-

6.2 Navy Modernization Program

6.2.1 Summary

Purpose. Navy Modernization Program (NMP) manages ship modernization so alterations are properly engineered, approved, funded, and installed with configuration control and logistics support [73].

Goals. Modernization improves capability, safety, reliability, and fleet readiness; maintenance sustains current performance; repair returns equipment to baseline performance [73].

Governance. NMP provides the authoritative process and data environment for ship change approval, prioritization, and scheduling [73].

Documentation. The Ship Change Document is the single authorized record for ship changes under the NDE entitled process [73].

Policy. Public Law 102-396 limits modernization for ships scheduled for retirement within five years, with national security waiver provisions [73].

6.2.2 Background and Need for Modernization

- NMP began in 2002 to transform maintenance and modernization planning into a more efficient, enterprise-aligned process [73].
- The program addresses emerging threats and new technology while ensuring engineering rigor, configuration control, interoperability, and logistics support [73].
- NMP supports an Optimized Fleet Response Plan (OFRP)-ready fleet by aligning modernization with regional maintenance integration [73].

6.2.3 Goals of Modernization and Definitions

Modernization goals. Improve capability and material condition through approved alterations; improve safety, reliability, maintainability, habitability, and environmental compliance; and increase fleet readiness through timely warfighting support [73].

Modernization. Improves capability above the initial configuration [73].

Maintenance. Allows a ship to continue operating to its current design reliability and performance characteristics [73].

Repair. Returns a ship to its current design reliability and performance characteristics [73].

6.2.4 Goals and Attributes of the NMP

Program goals. Maintain modernization policy and guidance, provide SME support, enable ship change review and approval, and ensure authoritative alteration scheduling [73].

Process discipline. NMP structures identification, planning, design, approval, funding, and installation while maintaining configuration control and supportability [73].

Risk control. Prevents unauthorized, non-supported ship changes and selects funded changes based on technical, readiness, and cost benefits [73].

6.2.5 Modernization Funding

- Modernization funding is divided into D-Alt and K-Alt accounts [73].
- A pilot program allows limited OPN use for ship maintenance, repair, and modernization in private contracted availabilities (started FY20) [73].

6.2.6 Legacy Alterations and SHIPALT

Legacy alteration types. Ship Alteration (SHIPALT) titles, Alteration Equivalent to Repair (AER), equipment alterations (ordnance, machinery, engineering changes, software deliveries, field changes, nuclear alterations, Trident alterations, stand-alone removals, crossdeck alterations), and temporary alterations [73].

Temporary alterations. Temporary ship and equipment alterations require a corresponding removal alteration [73].

SHIPALT definition. Any change in hull, machinery, equipment, or fittings that changes design, materials, number, location, or relationships of component parts; modernization is any change from approved class plans or configuration [73].

6.2.7 Legacy SHIPALT Funding (FMP)

K- and KP-alt. Funded by SYSCOM; require centrally procured material; installed at depot or by ship/AIT depending on title [73].

D- and F-alt. Funded by TYCOMs; D-alt may require centrally procured material and depot or IMA installation; F-alt are installed by ship or IMA without centrally procured material [73].

6.2.8 Alteration Equivalent to Repair (AER)

Approval. Technical alteration approved by NAVSEA [73].

Characteristics. Uses improved materials from standard stock, replaces obsolete or damaged parts with efficient designs, strengthens parts to improve reliability, or implements minor modifications to prevent recurrence of deficiencies [73].

6.2.9 Legacy Documentation

Justification/Cost Form. Prepared by NAVSEA 05 or SYSCOM engineering; approved by the SPM; defines purpose, applicable ships, design/installation/integrated logistics support requirements, and cost [73].

SHIPALT Record. Typically prepared by the planning yard and approved by the SPM; provides detailed materials, test equipment, design/installation/ILS requirements, and cost [73].

6.2.10 Planning Yards

Role. Provide engineering for alteration development, conduct ship checks, prepare drawings and installation data, validate alteration packages, and provide on-site availability support [73].

Relationship. Responsible to the program manager for development engineering and to the installing activity during execution [73].

Examples. Planning yards include Bath Iron Works (DDG-51/1000), Electric Boat (SSBN/SSGN/SSN classes), Huntington Ingalls (LCS, amphibious classes), Newport News (CVN/SSN classes), Naval Shipyards, MSC, and MARAD for specific hull families [73].

6.2.11 NMP Enhancements

Two change categories. Program (K-Alt) and Fleet (D-Alt) alterations replace dozens of legacy types; funding source determines category [73].

Single database. Navy Data Environment (NDE) provides the authoritative ship change database with prioritized change lists [73].

Decision hierarchy. O-6, 1–2 star, and 3-star boards approve changes by threshold and priority [73].

Installation alignment. Installation activities are determined by complexity and assigned to O-, I-, or D-level organizations [73].

6.2.12 NDE Entitled Process and Ship Change Document

NDE-EP. The entitled process supports NMP by collapsing alteration categories, providing a workflow, and enforcing hierarchical decision-making [73].

SCD purpose. The Ship Change Document (SCD) replaces the Justification/Cost Form, SHIPALT Record, and ECP; it is the single authorized document for ship changes in NDE [73].

Authorization. An SCD becomes a ship change after procurement and installation authorization at Decision Point 3 [73].

6.2.13 SCD Initiation and Submission

Initiators. Any user with an NDE account may initiate an idea, including program offices, port engineers, ISEAs, group staffs, TYCOMs, RMCs, and government planning yards [73].

Authorized submitters. Only authorized submitters can forward ideas for board review (about 130 submitters), designated across stakeholder organizations and trained in NMP/SCD processes [73].

6.2.14 Approval Thresholds

Program alterations. Approved based on ACAT designation and monetary thresholds [73].

Fleet alterations. O-6 board approves changes under \$50M; 1–2 star board approves \$50M–\$200M; 3-star board sets priorities, approves Surface Ship Modernization Plan POM submissions, and approves changes over \$200M [73].

6.2.15 NDE-NM Capabilities

- Tracks alteration development by category, ship class, and hull; planning and budgeting for programmed alterations; and estimated/actual man-days and costs [73].
- Tracks logistics status, alteration maturity, Ship Installation Drawing status, execution schedules, and which ships have which alterations [73].
- Serves as the authoritative source for all CNO availability dates [73].

6.2.16 Public Law 102-396

Restriction. Prohibits modernization funding for ships planned for retirement within five years of the scheduled completion of the modification [73].

Exceptions. Safety modifications are exempt; SECNAV may waive in the national security interest with written notification to congressional defense committees [73].

6.2.17 Quick Review

- Modernization improves capability and readiness; maintenance sustains baseline performance; repair returns to baseline performance [73].
- Legacy FMP funding: SYSCOM funds K/KP; TYCOMs fund D/F; NMP uses Program vs Fleet categories [73].

- The SCD replaces JCF, SHIPALT Record, and ECP as the single authorized ship change document [73].
-

6.3 Fleet Maintenance Policy and Implementation

6.3.1 Summary

Policy baseline. OPNAVINST 4700.7 sets ship maintenance policy and requires RCM for new ships, systems, and equipment [74].

Maintenance strategies. RCM underpins Condition-Based Maintenance (CBM) and Time Directed Maintenance (TDM) strategies; the Navy uses CBM to the maximum extent available [74].

Key documents. Class Maintenance Plan (CMP), Integrated Class Maintenance Plan (ICMP), Office of the Chief of Naval Operations Notice (OPNAVNOTE) 4700, and Navy Data Environment - Navy Modernization (NDE-NM) define requirements, intervals, and schedules for depot maintenance [74].

Scheduling governance. Fleet Availability Scheduling Team (FAST) integrates operational requirements with OPNAVNOTE 4700 and recommends schedules to the Fleet Maintenance Board of Directors (FMBOD) for approval [74].

Availability types. CNO scheduled and Fleet scheduled availabilities, plus class-specific maintenance strategies, structure depot maintenance execution across the fleet [74].

6.3.2 Fleet Maintenance Policy

Readiness and service life. Ships are maintained to the highest practical readiness, to meet required operational availability, in a safe material condition, to meet habitability standards, and to achieve expected service life [74].

Right level of maintenance. Work is performed by the maintenance level best suited to accomplish the task, balancing law, urgency, capability, capacity, crew impact, and total cost [74].

RCM requirement. New ships and systems use RCM methodology to define maintenance requirements [74].

6.3.3 Influences on Maintenance Policy

- Force structure: size of fleet and mix of ship classes [74].
- Operational transformation: surge and pulse demands, minimal manning approaches, and increased forward presence [74].
- OFRP alignment, industrial capacity, and the balance of public and private sector capability [74].
- Proprietary and Original Equipment Manufacturer (OEM) information, available funding, and readiness drivers such as continuous maintenance and CBM [74].

6.3.4 Maintenance Principles

- RCM.** An engineering discipline that determines maintenance requirements based on likely functional failures and their impact on safety, operations, and life-cycle cost [74].
- CBM.** Uses objective evidence of need (e.g., sensors, inspections, diagnostics) to schedule maintenance and sustain safety, reliability, availability, and cost targets [74].
- TDM.** Time-directed tasks restore resistance to failure on a fixed interval regardless of condition when no effective condition-directed task exists [74].
- Failure-finding tasks.** Tests identify hidden failures in protective devices, such as smoke detectors, to ensure readiness [74].
- Task effectiveness.** Tasks must be applicable and effective to preserve inherent reliability at minimum cost [74].

6.3.5 Maintenance Philosophy

- RCM is the core maintenance philosophy; CBM and TDM are the primary strategies derived from its analysis [74].
- Navy maintenance policy applies CBM to the maximum extent available using RCM rules [74].

6.3.6 Depot Maintenance Framework

- OPNAVINST 4700.7.** Establishes overall policy, broad O/I/D maintenance concepts, CMP requirements, and organizational responsibilities [74].
- CMP.** Defines maintenance strategy, availability cycle, and tasks by scope, level, and periodicity; developed by the SPM and technical community based on Technical Foundation Paper (TFP) guidance [74].
- TFP.** Captures notional class maintenance requirements across expected service life and informs programming and budgeting [74].
- Ship sheets.** Detail maintenance requirements by hull across the FYDP and support the annual POM process [74].
- ICMP.** Transitions class plans to a CBM-based, equipment-oriented approach with standard tasks and consistent planning data [74].
- OPNAVNOTE 4700.** Consolidates class maintenance schedules and publishes notional intervals, durations, and man-days by ship class [74].
- NDE-NM.** Provides the current and future schedule of depot maintenance by hull and balances operational schedules with industrial workload [74].

6.3.7 CNO Availability Scheduling and Approval

- FAST.** Integrates OPNAVNOTE 4700 with operational requirements and proposes workload allocations by shipyard capacity, homeport, and private sector availability for FMBOD approval [74].

FAST membership. Includes OPNAV N83, N2/N6, N95, N96, fleet N43 representatives, CNRMC/SEA 04, TYCOMs, NAVWAR, and other PMOs as required [74].

FMBOD. Fleet Maintenance Officers chair the board with NAVSEA 04/08, OPNAV N43, TYCOM N43, and CNRMC/SEA 21 membership [74].

Scheduling artifacts. Workload and Resource Report (WARR) products from naval shipyards and port loading charts from RMCs inform workload and resource decisions [74].

6.3.8 Public-Private Split and Assignment Considerations

50/50 rule. Title 10 U.S.C. Section 2466 requires at least 50 percent of DoW depot maintenance funding to be executed in public depots; no more than 50 percent may go to private industry [74].

Exclusions. CVN refueling and contracted elements of public shipyard work packages are excluded from the 50/50 calculation [74].

NSY assignments. Nuclear ship work, urgent operational commitments, homeport skills, workload capacity, and drydock availability drive public shipyard assignments [74].

Private competition. Conventional surface ships and large deck dry-docking are competed with homeport or coast-wide bids based on availability length and contractor capacity [74].

6.3.9 Budget and Special Cases

- Availabilities often have multiple customers; each contributes maintenance and modernization funding as appropriate [74].
- FYDP maintenance estimates include notional work and emergent growth, while modernization estimates are based on planned alterations [74].
- President's Budget updates refine estimates as execution dates approach [74].
- Urgent repair, emergent dry docking, and collision or battle damage follow the same approval process, with stakeholders informed on scheduling impacts [74].

6.3.10 Types of Availabilities

CNO scheduled. Regular Overhaul (ROH), Complex Overhaul (COH), Engineered Refueling Overhaul (ERO), Phased Maintenance Availability (PMA), Depot Modernization Period (DMP), Planned Incremental Availability (PIA), Docking Planned Incremental Availability (DPIA), Selected Restricted Availability (SRA), Docking Selected Restricted Availability (DSRA), and Continuous Incremental Availability (CIA) are among the scheduled depot availability categories [74].

Fleet scheduled. Technical Availability (TAV), Restricted Availability (RAV), Fleet Maintenance Availability (FMAV), Continuous Maintenance Period (CMAV), and Voyage Repair (VR) are Fleet-scheduled availability types [74].

6.3.11 Maintenance Strategies

Engineered Operating Cycle (EOC). A structured approach to sustain or increase operational availability through periodic inspections, planned maintenance, scheduled availabilities, and modernization; submarine examples include DMP at 120 months and Engineered Overhaul (EOH) at 240 months for 688-class boats [74].

Progressive Maintenance (PROG). Supports reduced manning ship classes with limited organizational maintenance, forward deployment, major modernization every 10 years, a rotatable pool, and a dedicated repair facility [74].

Phased maintenance. Depot work is executed through short, frequent PMAs, with repairs authorized by port engineers or maintenance managers and performed in homeport [74].

Incremental Maintenance Plan (IMP). Keeps CVN 68 and 78 classes in acceptable material condition using CIAs, PIAs, and DPIAs, with mid-life RCOH still required [74].

Continuous maintenance. Depot-level work flows continuously outside scheduled CNO availabilities, shifting to a decentralized, condition-based process that validates Current Ship's Maintenance Project (CSMP) and maintenance cost knowledge in real time [74].

6.3.12 Optimized Fleet Response Plan

O-FRP objectives. OFRP aligns maintenance, training, evaluations, and a single eight-month deployment within a 36-month cycle to increase readiness and predictability [74].

Availability alignment. O-FRP integrates maintenance and modernization planning for carrier strike groups, amphibious ready groups, and submarines, supporting surge readiness and port loading adjustments [74].

Modernization integration. Modernization improvements are synchronized with integrated maintenance, including Shipboard Operational Verification Test (SOVT) and supporting system verification [74].

6.3.13 Quick Review

- Overall ship maintenance policy is defined by OPNAVINST 4700.7 [74].
 - CMP defines maintenance policy for a ship class and is developed by the SPM [74].
 - PROG is the maintenance philosophy centered on major modernization every 10 years and dedicated repair facilities [74].
 - IMP applies to CVN 68 and 78 classes [74].
-

6.4 AIT Fundamentals and Lessons Learned

6.4.1 Summary

Definition. An Alteration Installation Team (AIT) is a trained team under an AIT manager responsible for installing and completing ship changes and alterations on specified ships [75].

Why use AITs. AITs apply specialized skills, leverage lessons learned across installations, and execute large numbers of ship changes efficiently [75].

Governance. AIT alteration development and execution follow the Navy Modernization Process Management and Operations Manual and TS9090-310 procedures aligned with the Joint Fleet Maintenance Manual (JFMM) [75].

Key roles. Sponsors, Regional Maintenance and Modernization Coordination Office (RMMCO), AIT managers, On-Site Installation Coordinator (OSIC), Lead Maintenance Activity (LMA), and Naval Supervising Activity (NSA) coordinate planning, execution, and certification during availabilities [75].

MOA discipline. A MOA is required to align stakeholder expectations and support services before installation begins [75].

6.4.2 Alteration Installation Team

Definition. An AIT is a unit (military, government activity, and/or contractor) trained and equipped to accomplish specific ship changes or alterations on specified ships [75].

Responsibility. AITs are responsible for the installation, performance, and completion of the assigned ship change or alteration [75].

Composition. Teams may be government-led, contractor-led, or a combination of government and contractor personnel [75].

6.4.3 Purpose and Advantages

- Use AITs when technical complexity or specialized oversight is required [75].
- Reuse the same team to capture lessons learned and improve installation quality [75].
- Apply AITs to large numbers of ships when repeatable alterations are required [75].
- Example AIT alterations include Consolidated Afloat Networks and Enterprise Services (CANES), Aegis Weapon System (AWS), and GPS-based Positioning, Navigation, and Timing Service (GPNTS) [75].

6.4.4 Roles and Responsibilities

AIT sponsor. Assigns tasks and funding to the AIT manager; sponsors may include SYSCOM, PEO, PARM, SPM, fleet commanders, TYCOM, or CNO organizations [75].

AIT manager. Assigns and manages the AIT, designates the OSIC, and plans and oversees alteration accomplishment in accordance with modernization policy and procedures [75].

AIT OSIC. Acts with the authority of the AIT manager, manages installation conduct, coordinates with the NSA, and resolves issues and quality discrepancies [75].

AIT. Executes the alteration under the direction of the AIT manager or designated agent [75].

NSA. Integrates and verifies work accomplished during an availability, controls AIT access, ensures authorized work and compliance with technical specifications, and executes quality assurance monitoring [75].

LMA. Integrates all maintenance and modernization activities, coordinates testing controls, and reports work status to the NSA [75].

RMMCO. Serves as the initial point of entry and gatekeeper for waterfront AIT installations, ensuring compliance with TS9090-310 requirements and delivery of logistics products for fleet self-sufficiency [75].

6.4.5 Need for RMMCO

- Rapid 1990s installation of command, control, communications, computers, intelligence, combat system, and hull, mechanical, and electrical improvements created coordination, interoperability, configuration control, and supportability challenges [75].
- Many alterations lacked approved drawings and adequate integrated logistics support products [75].
- Fleet leadership halted uncoordinated installations in 1998 and established RMMCOs in 1999 to enforce integration [75].

6.4.6 Requirements

AIT. The OSIC coordinates with the NSA, installs on a not-to-interfere basis, allows Ship's Force quality monitoring under the JFMM, and follows an approved quality plan [75].

NSA. Certifies all work in the availability, integrates AIT work with other activity work, and coordinates with the LMA for quality monitoring [75].

Ship's Force. Maintains overall responsibility for the safety and security of AIT work [75].

6.4.7 Planning

- Generate the alteration list using ship program manager letters of authorization, TYCOM authorizations, and inputs from PARM, NAVWAR, and NAVSEA 08 as required [75].
- Review alteration scope using the SCD and validate impact on sequencing and availability integration [75].
- Validate AIT quality systems; NAVSEA maintains the list of approved contractor and government quality systems [75].

- The AIT manager coordinates early with the NSA and provides production and test schedules before the availability starts [75].
- AIT managers submit detailed support service requirements to the NSA to integrate work, especially during private availabilities [75].
- RMMCO check-in occurs 30 days prior to installation and requires authorization, integrated logistics support certification or risk assessment, test procedures, approved installation drawings, SCDs, and NDE-NM scheduling confirmation [75].
- Conduct an AIT in-brief to reiterate requirements, deconflict support services, and confirm MOA expectations [75].

6.4.8 Memorandum of Agreement

Purpose. AITs are not fully self-sufficient; the MOA aligns LMA, AIT managers, Ship's Force, and NSA expectations and responsibilities [75].

Required content. Occupational safety, work control and tag-out, work hours, configuration management, quality assurance, cleanliness, support services, clearances, training, and fire safety protocols [75].

Timing. The MOA is signed out by A-1 to confirm stakeholder alignment before availability execution [75].

6.4.9 Execution

Workmanship. The OSIC enforces NAVSEA standard items and maintenance standards; planning yards provide oversight when tasked; housekeeping is required [75].

Testing. SOVT demonstrates operational capability and is included in integrated test plans, including SUBSAFE and security requirements [75].

Logistics turnover. Training, documentation, drawings, and allowance parts lists are turned over to the ship, along with spares and special test equipment [75].

Out-brief. The AIT conducts an out-brief with Ship's Force, NSA, RMMCO, and TYCOM; the completion report records status, deficiencies, and command comments [75].

6.4.10 Lessons Learned

- Integration issues arise when AITs, Ship's Force, and industrial activities compete for the same space, systems, or services [75].
- Validate the AIT quality system, ensure authorization is complete, and keep support service requirements current throughout execution [75].
- Provide AIT production schedules early, sign the MOA before the availability, and conduct in-brief and out-brief sessions [75].

6.4.11 Quick Review

- AITs are used when specialized work warrants, installations must be repeated, or many ships require the same change [75].
 - AIT installations may be performed by government teams, contractors, or a combination [75].
 - RMMCO serves as the gatekeeper for waterfront alteration installations [75].
 - The MOA promotes stakeholder discussion and alignment during planning [75].
-

6.5 Waterfront Organizations, Work Controls, and Safety

6.5.1 Summary

Waterfront focus. Most SYSCOM products are installed during new construction or overhaul periods, so program managers must understand waterfront safety and work control rules [76].

Key nuclear players. Naval Nuclear Propulsion Program (Naval Reactors), Naval Reactors Representative Office (NRRO), Reactor Plant Contractor's Office (RPCO), and Joint Test Groups enforce nuclear safety and testing discipline at public shipyards [76].

Safety programs. The loss of United States Ship (USS) THRESHER drove SUBSAFE requirements, and the loss of USS GRAYBACK established the Deep Submergence Systems (DSS) program [76].

Industrial safety manuals. The GUITARRO accident drove the 6010 manual for submarine ship safety, while the MIAMI fire drove the 8010 manual for fire prevention and response [76].

Work control. All work requires a valid Technical Work Document (TWD) and authorization, with tag-out requirements defined by the Tag-out Users Manual (TUM) [76].

6.5.2 Waterfront Context

- SYSCOM products are installed at the waterfront during new construction, overhaul, and repair periods [76].
- Waterfront culture emphasizes safety of people, equipment, and facilities; program managers may be held accountable for compliance [76].

6.5.3 Naval Nuclear Propulsion Program

Program basis. The Atomic Energy Act of 1954 established the Naval Nuclear Propulsion Program as a joint Department of Energy and Navy effort, with Executive Order 12344 and Public Law 98-525 defining responsibilities, and the FY2000 NDAA relocating Naval Reactors under the National Nuclear Security Administration [76].

NRRO. Ensures reactor safeguards are not compromised by enforcing standards, providing independent assessment, and keeping Naval Reactors informed [76].

RPCO. Represents prime reactor contractors, supports joint test and refueling groups, and can stop work or testing if unsafe conditions exist [76].

Joint Test Groups. Coordinate nuclear and non-nuclear testing with the NSA chief test engineer, NRRO oversight, Ship's Force participation, and reactor contractor technical advice [76].

6.5.4 SUBSAFE and Deep Submergence Systems

Origins. The loss of USS THRESHER led to the SUBSAFE program, and the loss of USS GRAYBACK led to the DSS program [76].

SUBSAFE purpose. The SUBSAFE program provides maximum reasonable assurance of hull integrity and operability of critical systems needed to control and recover from flooding casualties [76].

Fundamentals. Work discipline, material control, documentation (design products and Objective Quality Evidence (OQE)), and compliance verification through inspections, reviews, audits, and certification [76].

General requirements. SUBSAFE certification is maintained through life via re-entry control, the URO program, and certification and functional audits; initial certification is coordinated through the cognizant SUPSHIP [76].

Level I material. Level I material requires testing, traceability to original test reports, and receipt inspection by NAVSEA-approved certifying activities [76].

DSS scope. Covers manned noncombatant submersibles, submarine-oriented DSS including diving systems, and man-rated handling systems, applicable when Navy personnel use any DSS or any personnel use a Navy-owned DSS [76].

Fly-by-wire program. Provides maximum reasonable assurance that submarine fly-by-wire controls will not cause or impede recovery from a jam dive casualty; requires re-entry controls within the flight critical boundary with ISEA support [76].

6.5.5 Industrial Ship Safety Manuals

6010 manual (GUITARRO). The USS GUITARRO sinking led to the 6010 manual, which controls work and testing that affect ship conditions during construction and availabilities, especially for buoyancy, list, trim, watertight integrity, and stability [76].

6010 requirements. Establishes ship safety and ship test organizations, controlling documents (safety plan of the day, daily test schedule, and prerequisite lists), and flooding and fire prevention procedures [76].

8010 manual (MIAMI). The USS MIAMI fire led to the 8010 manual for fire prevention and response in the industrial environment and highlighted the need for early detection, rapid response, and extended response capability [76].

8010 applicability. Applies to all ship repair and construction activities and ship availabilities, requiring MOA agreements on fire prevention, detection, and response roles [76].

Fire safety governance. Fire safety councils coordinate local approvals for hull cuts, fire zones, access routes, alarms, and firefighting systems, and oversee compliance and risk mitigations [76].

6.5.6 Work Authorization and Control

Work control triangle. Training, procedures, supervision, and audit or OQE scale with the complexity and criticality of the work [76].

Unplanned events. Team learning sessions (submarines) or critiques (surface) drive root cause analysis, corrective actions, and adjustment of controls when severity is unacceptable [76].

Minimum requirements. All work requires a valid TWD and authorization to perform work [76].

TWD types. Maintenance procedures, formal work packages, and controlled work packages are selected based on task complexity, worker knowledge, and the need for OQE [76].

Authorization process. All outside activity work requires formal authorization via the Work Authorization Form (WAF) to ensure safety standards in public and private availabilities [76].

6.5.7 Tag-Outs in Maintenance

TUM guidance. The TUM covers repair activity responsibilities, barrier criteria, divers' tags, and maintenance-period tag-out situations, with specific appendices for amplifications and shift operations [76].

New construction. Contractors use occupational safety and health isolation processes until the pre-commissioning crew embarks or, for nuclear work, when the crew takes control of a system [76].

Repair activity responsibilities. Ensure qualified personnel, verify tag-out accuracy, sign tag-outs as the repair activity representative, and remove tags when no longer needed [76].

Divers' tags. Diving activity representatives review tags, brief supervisors on isolations, and coordinate with WAFs when multiple tag-out logs are affected [76].

Double barrier protection. Required for high temperature, high pressure, sea-connected systems, hull penetrations below the waterline, low flash point fluids, oxygen, and hazardous or toxic vapors [76].

6.5.8 Quick Review

- Naval Reactors' primary mission is reactor safety; RPCO reports to Department of Energy Naval Reactors [76].
 - THRESHER led to SUBSAFE requirements, while DSS protects occupants of deep submergence systems [76].
 - GUITARRO drove the 6010 manual; MIAMI drove the 8010 manual for industrial fire safety [76].
 - Minimum work requirements are a valid TWD and authorization; double-barrier conditions follow TUM guidance [76].
-

6.6 Battle Damage Assessment and Repair

6.6.1 Summary

Why it matters. Battle Damage Assessment and Repair (BDAR) familiarization is critical for EDO career development and wartime readiness [77].

Repair continuum. Phases span damage control, afloat salvage, damage assessment, expeditionary repair, and repair at dedicated facilities [77].

Key enablers. Military Sealift Command (MSC), Mobile Diving and Salvage Unit (MDSU), and Supervisor of Salvage and Diving (SUPSALV) enable salvage; RMC and NSY teams support assessment; Forward Deployed Ship Repair Team (FDSRT), Expeditionary Maintenance and Repair Facility (EMRF), and Shop-in-a-Box (SIB) enable expeditionary repair [77].

Command and control. C2 architecture aligns supported and supporting commands to move, task, and integrate repair forces [77].

Contracting and funding. Contingency acquisition flexibilities and emergent maintenance funding enable rapid response, with fleet commanders responsible for budgeting and salvage [77].

6.6.2 Need for BDA/R

- Renewed great power competition with the People's Republic of China (PRC) and Russia, plus Democratic People's Republic of Korea (DPRK) provocations, increases the likelihood of battle damage and contested logistics [77].
- BDAR planning supports readiness for high-end conflict and distributed operations [77].

6.6.3 Guiding Documents and WARP

Guidance. Strategic and operational guidance includes national security and defense strategy, ?? sustainment frameworks, ??SECNAV policy, ??CNO maritime sustainment strategy, and fleet planning orders [77].

??Wartime Acquisition Response Plan (WARP). The Wartime Acquisition Response Plan calls on every ??SYSCOM and ??PEO to establish capacity, capability, data-driven actions, contingency execution, and workforce training for wartime pivot [77].

6.6.4 BDA/R Continuum

Damage control. Ship's Force combats fires, flooding, and casualties to keep the ship operable until disposition is determined [77].

Afloat salvage. Rescue and assistance, towing, emergency repair, and cleanup are provided by MSC, MDSU, and SUPSALV resources [77].

Damage assessment. Ship's Force, salvage forces, and ashore teams (RMC, NSY, NAVSEA) assess integrity and capability to recommend disposition [77].

Expeditionary repair. Forward teams such as FDSRT execute in-theater repairs to restore partial or full mission capability without returning to a depot [77].

Repair. Major repairs occur at public or private shipyards under NSA oversight, with options for complete repair, partial repair, or dismantling for parts [77].

6.6.5 Disposition Factors

- Threat level and danger to rescue and repair personnel [77].
- Operational timelines and the minimum capabilities required to return to the fight [77].
- Extent of damage, mission-critical impacts, and availability of nearby facilities, escorts, and resources [77].

6.6.6 Maritime Support Plan Force Packages

MSP. Maritime Support Plan (MSP) directs NAVSEA to provide maintenance and repair force packages across the spectrum of conflict and serve as lead integrator [77].

Force packages. Afloat augmentation, afloat independent, ashore robust, ashore lean, and ashore austere packages combine personnel and equipment to meet repair requirements [77].

6.6.7 Expeditionary Repair Capabilities

FDSRT. Provides expeditionary repair, BDAR teams, contract management oversight, and fleet technical assist using broad-skill teams sourced from shipyards, RMCs, and warfare centers [77].

SIB. Tiered SIB containers provide tools and materiel for afloat salvage and damage assessment (Tier 1), expeditionary repair (Tier 2), and major expeditionary repair (Tier 3) [77].

EMRF. Mobile expeditionary repair facilities provide containerized capabilities for hull, structural, piping, and combat system repairs [77].

6.6.8 Command and Control

Supported command. Fleet or task force commanders provide movement, lay-down, and tasking for repair forces [77].

Supporting command. NAVSEA provides force packages and maintenance capabilities and retains administrative control while operational tasking flows through the supported commander [77].

Exercises. Ship wartime repair and maintenance exercises, BDAR exercises, expeditionary repair availabilities, salvage exercises, and voyage repair events rehearse repair integration [77].

6.6.9 Contracting and Funding

Contracting. Contingency contracting uses FAR/DFARS emergency flexibilities; letter contracts authorize immediate performance as UCAs when definitive contracts cannot be negotiated in time [77].

Ship repair restrictions. U.S.-based ships must be repaired by U.S. companies, with foreign voyage repair limited to restoring return capability; forward deployed naval forces are the exception [77].

Funding. Fleet commanders budget and execute maintenance and modernization, fund emergent repairs under restricted or technical availability programs with OMN, and finance salvage or recovery for assets under their cognizance [77].

6.6.10 Quick Review

- BDAR spans damage control, salvage, assessment, expeditionary repair, and depot repair [77].
- MSP force packages and FDSRT/EMRF capabilities enable forward repair options [77].
- Contingency contracting and emergent funding sources enable rapid repair action in wartime [77].

6.7 CNO Availability Planning

6.7.1 Balancing Requirements, Resources, and Readiness

Customers. Fleet commanders and TYCOMs drive capability requirements and availability length based on the Optimized Fleet Response Plan and readiness gaps [78, 79].

Planners. Shipyards, RMCs, and planning activities must sequence work, tooling, infrastructure, and Long-Lead Time Material (LLTM) so the schedule is executable [79].

Resources. Budgets (Operations and Maintenance, Fleet (OC&MF), OPN, Fleet Modernization Design (engineering) funding (FUNDS-D)/ Fleet Modernization Procurement funding (FUNDS-K)), workforce, and pier/dock capacity must align with CNO-directed Repair Days [80].

EDOs should articulate how they reconcile conflicting demands—for example, deferring a lower-criticality modernization so mandatory SUBSAFE work fits within the allotted man-days.

6.7.2 Availability Work Package Development

1. **Baseline (A-36 to A-24).** SURFMEPP/SUBMEPP derive the Baseline Availability Work Package (BAWP) from the CMP, TYCOMs repairs, and modernization candidates; Ship Checks, Condition Found Reports, and TSRA results refine the package [79, 81].

2. **Initial Planning (A-21).** Planning Activities (Carrier Planning Activity, Submarine Planning Activity, RMCs) reconcile the BAWP with Class Plan priorities and issue the Initial Availability Work Package (Availability Work Package (AWP)) [79].
3. **Final Planning (A-12 to A-3).** Results of pre-availability tests (Pre-Availability Test (PATs)/ Pre-Overhaul Test (POTS)), Departure from Specifications (DFSs), Temporary Standing Orders (TSOs), and new modernization approvals are adjudicated; the final AWP is issued no later than three months before A-0 [79, 80].
4. **Contracting.** For surface private-yard availabilities, Multiple Award Contract, Multi-Order (MAC-MO) constructs increase competition and flexibility; public yards rely on Advanced Industrial Management (AIM) processes [79].

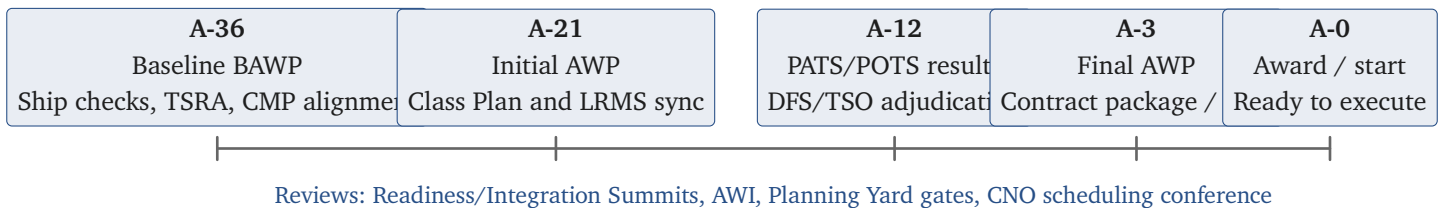


Figure 6.1. CNO availability planning timeline (A-36 through A-0) with key reviews and deliverables.

6.7.3 Planning Teams and Integration Forums

- **Carrier Team One.** Aligns NAVSEA 08/04/21, NAVAIR, Newport News Shipbuilding, and Fleet stakeholders to drive aircraft carrier availability excellence [79].
- **Surface Team One.** Unites SEA 21, SEA 05, SURFMEPP, TYCOMs, and PEOs to tackle systemic issues (e.g., late drawings, material delays) across destroyer/cruiser/amphibious availabilities [79].
- **Submarine Team One.** Led by Program Manager, Ships (PMS) 392/SUBMEPP, integrates CNRMC, NAVSEA 08/21, and public yards to sustain Attack Submarine, Nuclears (SSNs)/SSBNs availabilities and implement Naval Sustainment System—Shipyards (NSS-SY) initiatives (*Appendix C.2: RDML Dan L. Lannamann holds the CNRMC billet*) [79].
- **Planning summits.** Readiness Summits, Availability Work Integration (Availability Work Integration (AWI)) events, and Integrated Production Planning (Integrated Production Planning (IPP)) meetings synchronize modernization, maintenance, logistics, and testing products [79].

6.7.4 Risk Controls and Board-Ready Talking Points

Critical path management. Identify the top three critical path evolutions (e.g., tank blasting/coating, propulsion plant maintenance, combat system rip-outs) and ensure early start requirements—barge services, LLTM, training—are executable before A-0 [79].

Material readiness. Demand 100% receipt of LLTM and government-furnished material before award; highlight mitigation plans for supply-chain risk (dual sources, cannibalization, additive manufacturing) [79].

Growth vs. new work. Explain how your team budgets anticipated growth work (historical allowances) versus truly new work (unique casualty), as well as the screening process for adding either to the contract [81].

Metrics. Use NSS-SY dashboards (Earned Value, manday burn, schedule adherence) and weekly risk reviews to show how you keep leadership informed and trigger help early [79].

6.8 CNO Availability Execution

6.8.1 Project Teams and Responsibilities

Shipyard team. The Project Superintendent (overall cost/schedule/safety owner), Project Manager (budget, earned value, planning integration), Assistant Project Superintendents (zone leads), Engineering & Planning (technical work documents, boundaries), and Business & Planning (funding, schedule coordination) form the core team [82].

RMC/private-yard team. The Port Engineer, Ship's Maintenance Manager (Ship's Maintenance Manager (SMM)), Ship's Force Maintenance Officer, TYCOM representative, Contracting Officer, and contractor Project Manager manage planning yard availabilities [82].

Ship's Force. CO/ Executive Officer (XO)/ Chief Engineer (CHENG) maintain safety, tag-out, and configuration control; Combat Systems and Supply Officers coordinate tests, SOVTs, and material receipt [81].

Specialists. Integrated Test Engineers, Project Support Engineers, Quality Assurance Specialists, Alteration Coordinators, and Administrative Contract Specialists provide focused oversight on testing, configuration, QA, and change management [82].

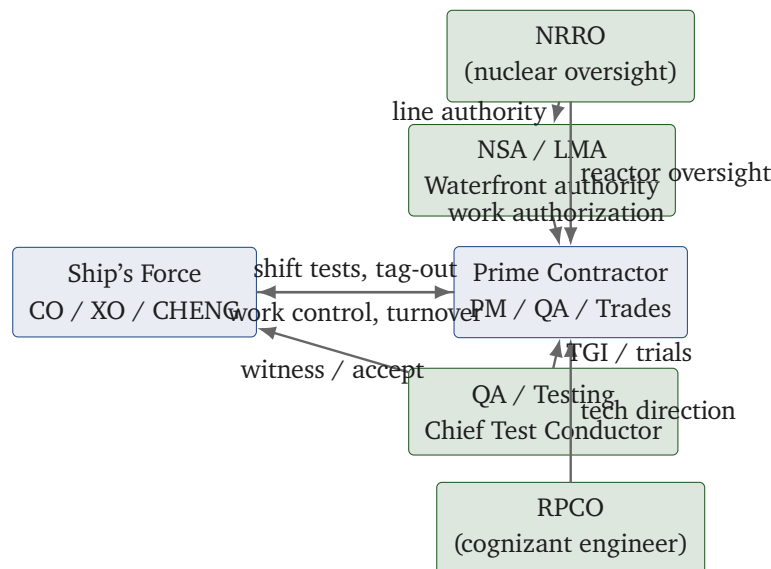


Figure 6.2. Nuclear waterfront project-team interactions across NRRO, RPCO, NSA/LMA, Ship's Force, and the prime contractor.

6.8.2 Execution Phases

1. **Nesting / Arrival.** Establish temporary services, fire watches, habitability, industrial hygiene controls, and turnover from Ship's Force to the Maintenance Activity; complete mandatory briefings (JFMM Chapter 2, Tag-out Users Manual) [82].

2. **Rip-out & Access.** Remove interferences, open systems, and conduct initial WAF reviews; late identification of hazardous material and access conflicts is a top schedule killer [81].
3. **Open & Inspect.** Execute inspections (tank, structural, piping) and document growth work; per NAVSEA Standard Item 009-01, inspections should be 100% complete by A+20% to preserve schedule margin [82].
4. **Repair & Production.** Complete component tasks, manage new vs. growth work approvals, and track critical path milestones using Task Group Instruction (TGI) [82].
5. **Testing, Trials, Certification.** Execute compartment turnover, Light-Off Assessment (LOA), SOVT, CSSQT, Builder's/Acceptance Trials, and Sea Trials before Production Completion Date (PCD) [81].

TABLE XXXI: CNO AVAILABILITY EXECUTION PHASES

Phase	Key Deliverables	Controlling Documents	Responsible Leads
Nesting / Arrival	Temporary services, fire watch plan, habitability, turnover briefs, tag-out baseline	JFMM Chapter 2; Tag-out Users Manual; local safety manuals	Project Superintendent, Safety Officer, Ship's Force Department Heads
Rip-out & Access	Interference removal, WAF approvals, confined space/hazardous material plans	WAF/Tag-out procedures; hot work and gas-free engineering instructions	Zone Assistant Project Managers, Production Shop Leads, Gas Free Engineer
Open & Inspect	Inspection reports, growth work candidates, material condition snapshots	Standard Item 009-01; QA/inspection instructions; class maintenance plans	Engineering & Planning, Quality Assurance, Class Maintenance Planner
Repair & Production	Completed work items, change control (JSNs/contract mods), schedule metrics, resource leveling	Contract/SOW; work package and change control processes; integrated master schedule standards	Project Manager, Port Engineer/KO, Business & Planning, Contractor PM
Testing, Trials, Certification	Test agendas, TGI alignment, LOA/SOVT/CSSQT completion, sea trial cards, turnover certificates	JFMM testing chapters; platform test manuals; INSURV/Builder's trial requirements	Chief Test Conductor, Ship's Force Test Coordinator, NSA/LMA witnesses

6.8.3 Governance, Quality, and Work Control

- **NSA / LMA.** Certifies that work is authorized, technically compliant, and properly tested before acceptance; reviews OQE prior to signing completion certificates [81].
- **Work control.** WAFs, TGI sequencing, and boundary tags must remain synchronized; growth work requires screening panels (Ship's Force, TYCOM, KO) to verify funding, schedule, and technical impacts [82].

- **New vs. growth work.** New work is undiscovered scope added post-award; growth work expands existing items. Both demand TYCOM approval, funding source identification, and contract mods (or Job Sequence Number (JSN) adjustments for public yards) [81].
- **Testing governance.** Chief Test Conductors manage test agendas; engineering agents and Ship's Force witness tests, and discrepancies must be adjudicated before certification events (e.g., LOA, CSSQT) [82].

6.8.4 Lessons Learned

- **Momentum matters.** Availability performance often collapses after undocking; maintain daily production meetings, emphasize housekeeping/safety, and enforce material staging to avoid second-half slumps [82].
 - **Communication is a weapon system.** Cross-functional representatives (yard, Ship's Force, TYCOM, QA, Supply) must keep each other informed about configuration, testing, and material risks; unresolved disconnects manifest as trial failures [82].
 - **Document everything.** Capture change incorporation, OQE, and lessons in the NDE immediately—waiting until the end invites errors and delays closeout [81].
-

7 Civilian Personnel

7.1 Civilian Personnel Fundamentals

7.1.1 Why CIVPERS management matters

Workforce weight. Civilian Personnel (CIVPERS) form the majority of the engineering and logistics talent at SYSCOMs and NWCs; how you engage and develop them directly sets Fleet readiness outcomes [83].

Human Resources Office (HRO) lanes. Core services are staffing, classification/compensation, employee relations, and labor relations; pull them in early for hiring plans, performance actions, and workplace changes [83].

Guidance stack. Primary references flow from Title 5, OPM guidance, Department of the Navy policy, and local agreements; document assumptions and keep counsel/HRO informed to avoid missteps [83].

7.1.2 Workforce shaping and classification

Pay systems. Know the differences between General Schedule (GS), Wage Grade (WG), pay-band systems, and Senior Executive Service (SES) tiers; align the billet to the right system before recruiting [84].

Classification and Fair Labor Standards Act (FLSA). The Position Description (PD) drives pay plan, series, and grade/band; verify FLSA exempt/non-exempt status and ensure duties match the description to avoid backpay claims [84].

Filling vacancies. Compare reassignment/merit promotion, Direct Hire Authority (DHA), or competitive hiring; honor mandatory placement programs and capture recruiting timelines up front [84].

Downsizing levers. Sequence Reduction in Force (RIF), Separation Incentive Program (SIP), Voluntary Early Retirement Authority (VERA), and furlough options carefully; pair with workforce development to retain critical skills while meeting budget constraints [84].

7.1.3 Equal Employment Opportunity anchors

Bases and theories. The ten protected bases (race, color, religion, retaliation, sex, national origin, equal pay, age, disability, genetic information) and theories (disparate treatment, disparate impact, harassment, reprisal) frame every EEO review [85].

Process discipline. Preserve timelines: timely contact with a EEO counselor, alternative dispute resolution where appropriate, investigation, and decision/hearing; supervisors must avoid reprisal and secure records [85].

Harassment prevention. Distinguish hostile environment from quid pro quo scenarios, act on any notice (verbal or written), and coordinate with HRO/ Equal Employment Opportunity Commission (EEOC) liaisons for training and documentation [85].

7.1.4 Employee relations essentials

Work schedules and leave. Use standard, flexible, or Compressed Work Schedule (CWS) structures thoughtfully; apply annual/sick leave and leave without pay rules consistently and reinforce timekeeping discipline to avoid Absent Without Leave (AWOL) issues [86].

Performance cycle. Set clear standards early, conduct midpoint feedback, and close out on time; tailor awards (time-off, cash, quality step increases) to reinforce desired behaviors [86].

Conduct v.s. performance. Separate misconduct (e.g., AWOL, falsification) from poor performance; use counseling and a documented Performance Improvement Plan (PIP) before escalating to adverse action, and keep counsel/HRO informed [86].

7.1.5 Within-grade increases and GS step timing

Acceptable performance gates. Within-Grade Increases (WGIs) require an “acceptable level of competence” determination (typically a “Fully Successful” rating); maintain clear standards and timely appraisals so eligibility decisions are defensible [87].

TABLE XXXII: GS WITHIN-GRADE INCREASE WAITING PERIODS

Advancement to steps	Required waiting period at previous step
Steps 2, 3, and 4	52 weeks (1 year)
Steps 5, 6, and 7	104 weeks (2 years)
Steps 8, 9, and 10	156 weeks (3 years)

Assuming sustained acceptable performance, advancing from Step 1 to Step 10 takes 18 years (three years for Steps 1–4, six for Steps 4–7, and nine for Steps 7–10) [87, 88]. Exceptional performers may receive a Quality Step Increase (QSI), which moves them one step ahead of the normal schedule [87].

7.1.6 Performance v.s. conduct pathways

Supervisor baseline. Set and communicate standards, evaluate against them, and partner with HRO early; use coaching to reinforce desired behaviors [86].

TABLE XXXIII: DIFFERENTIATING PERFORMANCE AND CONDUCT ISSUES

Aspect	Unacceptable performance	Misconduct
Definition	Failure to perform assigned duties at an acceptable level	Violation of a rule, law, or regulation (e.g., policy violations, absence without leave (AWOL), insubordination, security breaches)
Focus of action	Improve performance; not intended to punish	Correct behavior; penalties may be more severe depending on the offense
Standard of proof	Substantial evidence	Preponderance of the evidence (higher standard than performance)
Guiding principles	Often involves a structured performance improvement plan (PIP)	Penalties must be just and reasonable; apply the Douglas Factors when selecting a penalty

HANDLING UNACCEPTABLE PERFORMANCE. Start with counseling and training, then use denial of a scheduled WGI if performance remains below standard. A formal PIP (often about 90 days) documents required improvements; persistent failure can lead to change to lower grade or removal, with HRO coordination at each step [86, 88].

ADDRESSING MISCONDUCT. Apply progressive discipline calibrated to the offense: verbal or written counseling, reprimand, suspension, change to lower grade, or removal. The chosen penalty must be reasonable in light of the Douglas Factors (offense severity, job level, record, consistency, rehabilitation potential, and mission impact) [86, 88].

EMPLOYEE RIGHTS AND DOCUMENTATION. Honor the Weingarten right to union representation during investigatory interviews that could lead to discipline; if representation is requested, either provide it, postpone, or end the interview [89]. Keep actions non-discriminatory, coordinate on any EEO complaints, and document counseling, training, and decisions to support subsequent actions [85, 86].

7.1.7 Labor relations touchpoints

Bargaining unit scope. Confirm who is in the bargaining unit (non-supervisory, non-confidential employees) and what the collective bargaining agreement covers; track official time and steward access obligations [89].

Management rights v.s. bargaining. Management retains the right to assign work, direct employees, and determine budget; bargain procedures and impact when changing conditions of employment and document notice-to-union steps [89].

Past practice and change-of-command. There is no grace period for a new Officer in Charge (OIC); changes to established bargaining-unit conditions must satisfy the Federal Labor Relations Authority (FLRA) past-practice test (clear, consistent, long-standing, mutually accepted) and trigger notice-and-bargain steps before implementation. Use the required within-90-day Command Climate Assessment (CCA) to surface desired changes early with counsel/HRO to avoid implied acceptance of prior practices [90, 91].

Meetings and disputes. Provide the union a chance to attend formal discussions and Weingarten meetings; log official time and resolve Unfair Labor Practices (ULPs) through grievance procedures or FLRA channels [89].

Appendices

A Platinum Card

The *Platinum Card* is a primary study tool that will have most of the information required for your boards. Sources: EDO Coursebook Modules 3.1.1, 3.1.3, 3.1.4, and 3.1.6. Be able to draw and talk through Figures A.1–A.9.

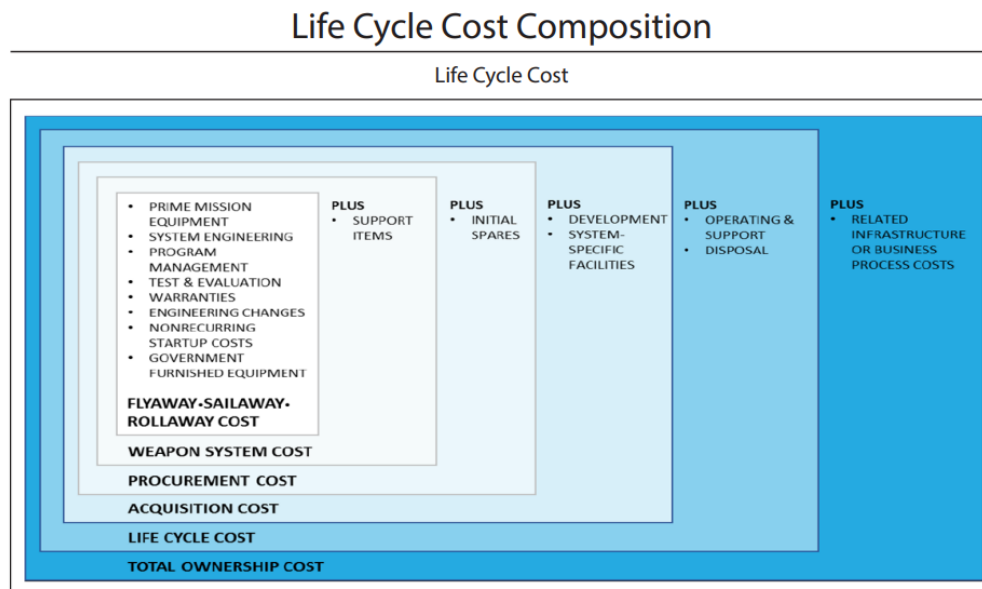


Figure A.1. Platinum Card: Life Cycle Cost Composition

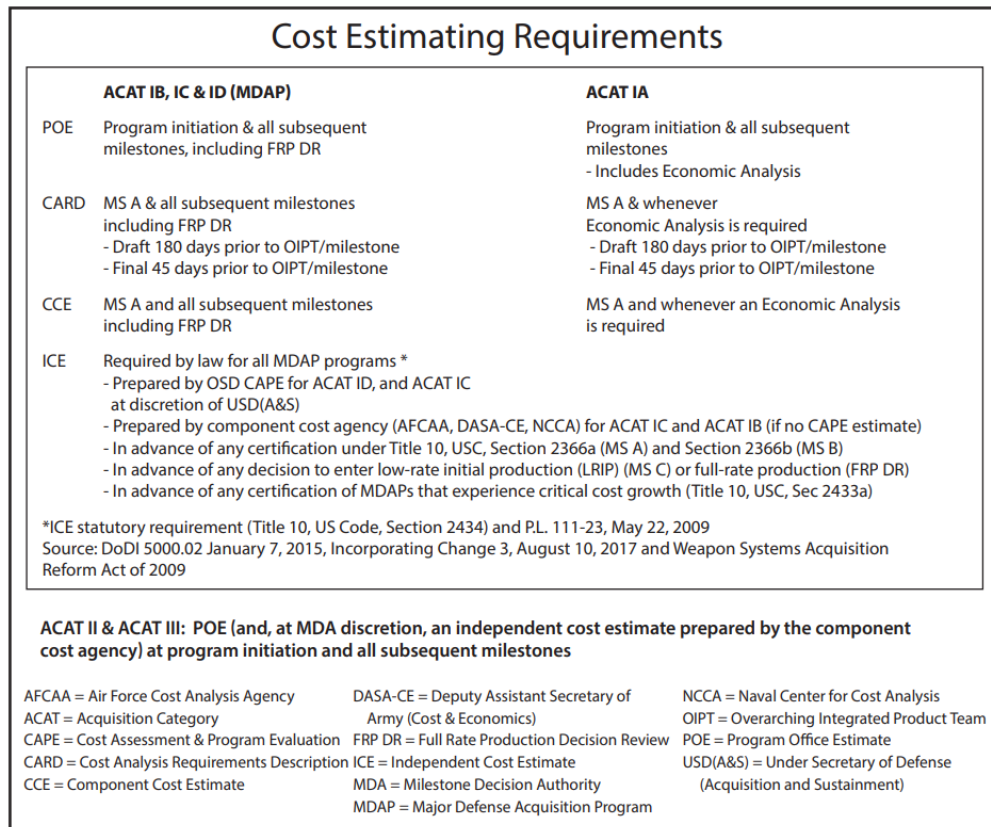


Figure A.2. Platinum Card: Cost Estimating Requirements

PPBE - PLANNING - LED BY USD (P)

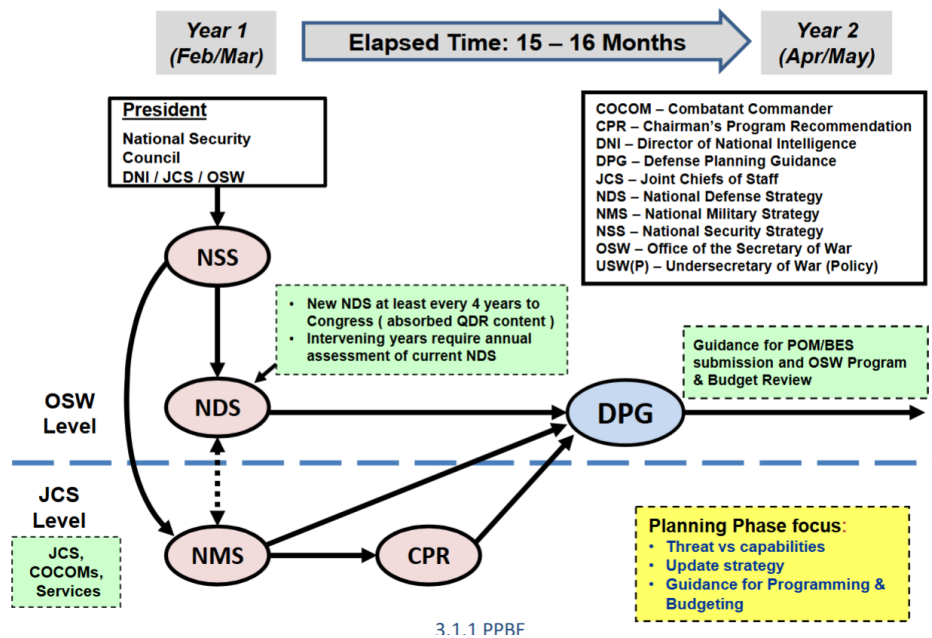


Figure A.3. Platinum Card: PPBE Planning Phase (led by USW(P))

PPBE - CONCURRENT PROGRAM/BUDGET REVIEW

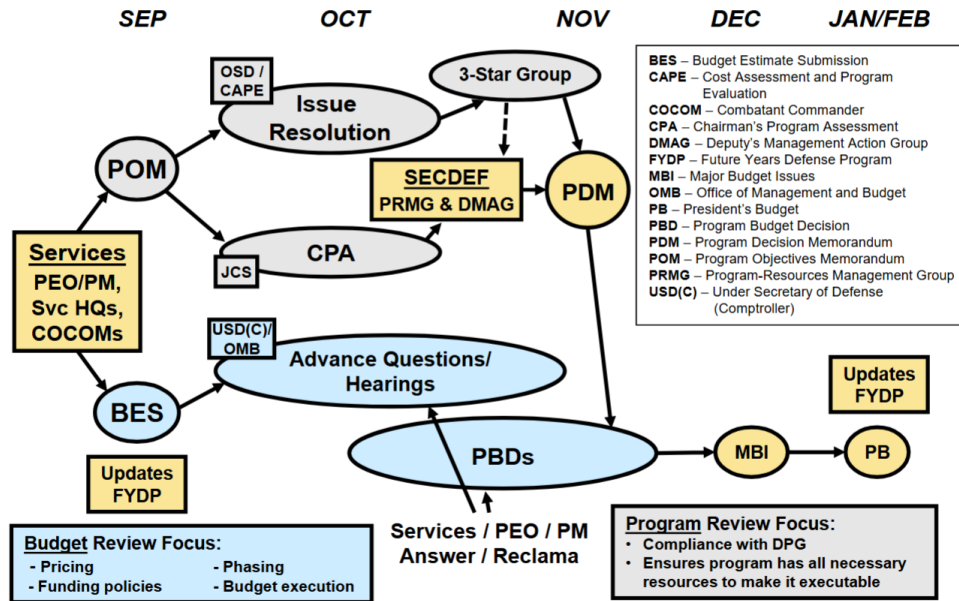


Figure A.4. Platinum Card: Concurrent Program/Budget Review

Below Threshold Reprogramming

Amounts are cumulative over Entire Period of Obligation Availability

APPRN	MAX INTO	MAX OUT	LEVEL OF CONTROL	OBL AVAIL
RDT&E	Lesser of +\$15M or + 20%	Lesser of - \$15M or - 20%	Program Element	2 Years
PROC	Lesser of + 15 M or + 20%	Lesser of - \$15M or - 20%	Line Item	3 years SCN: 5 Years
O&M	+ \$15M	- \$15M	Budget Activity (or Defense Agency) Some Sub-Activity Limitations on Decreases (see reference below)	1 Year
MILPERS	+ \$15M	- \$15M	Budget Activity	1 Year
MILCON	Lesser of +\$2M or + 25%	No Specific Congressional Restriction	Project	5 Years

Reference Sources: DoDFMR 7000.14-R, Volume 3, Chapter 6 (Sept 2015) and Chapter 7 (Mar 2011) Joint Explanatory Statement of Congress Making Appropriations for the Department of Defense for Fiscal Year 2024

Figure A.5. Platinum Card: Below Threshold Reprogramming

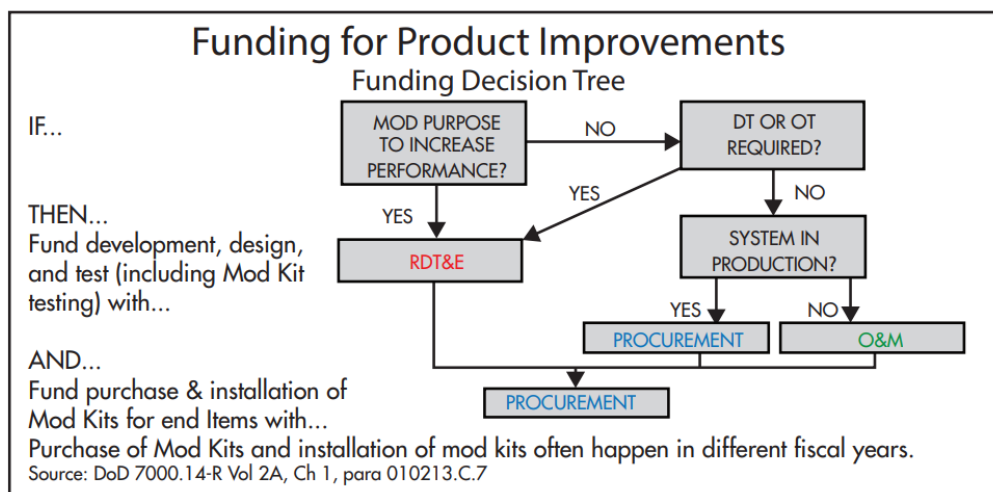


Figure A.8. Platinum Card: Funding for Product Improvements

RDT&E. Engineering changes requiring development/test.

Procurement. Production/installation of approved mods/end-items.

O&M. Minor mods/installation labor when authorized and not creating a new end-item.

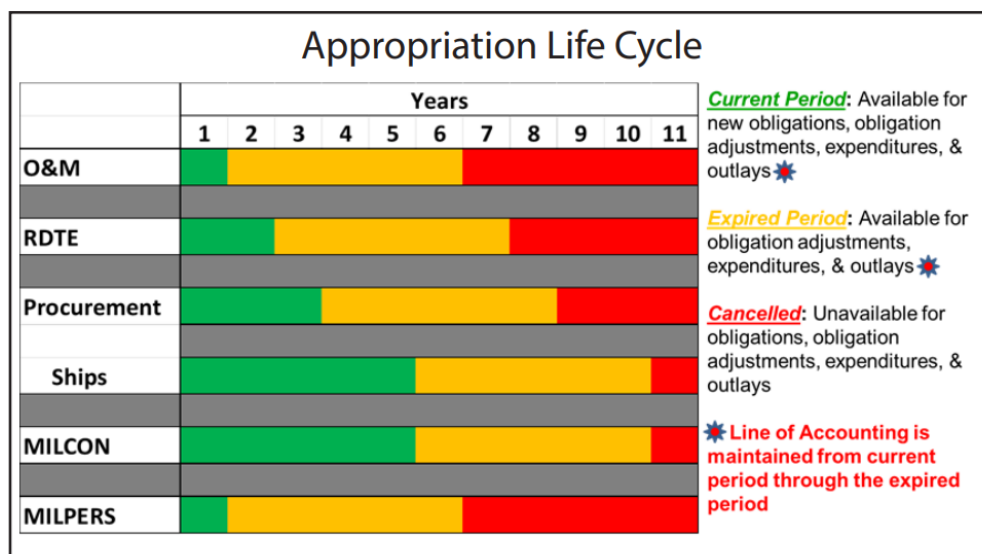


Figure A.9. Platinum Card: Appropriation Life Cycle

B Key Roles in Acquisition and Modernization

B.1 Key Roles in Acquisition and Modernization

Department acquisition governance.

Sources: SECNAVINST 5400.15D; SECNAVINST 5000.2G; DoWI 5000.85.

- ASN(RD&A), the SAE and CAE for the DON, sets acquisition policy, charters PEOs / DRPMs, and adjudicates milestone decisions when delegated by the Milestone Decision Authority.
- PEOs and DRPMs hold delegated program authority, establish baselines, and are accountable for translating capability needs into executable acquisition strategies.
- SYSCOM Commanders provide the workforce, infrastructure, and TA warrants that underpin PEO execution inside the Navy matrix construct.

Joint requirements governance.

Sources [92, 93].

- **JROC:** Validates joint capability requirements, prioritizes gaps, and issues Joint Requirements Oversight Council Memorandum (JROCM) direction that becomes binding input to Gate 2 and milestone documentation.
- **Joint Staff Gatekeeper/JCB:** Controls the Knowledge Management and Decision Support (KM/DS) queue, assigns Joint Staffing Designators, and routes most Navy submissions for JCB-level validation to keep JROC time focused on the highest-risk issues.
- **FCBs:** Chair certification working groups (Net-Ready, Force Protection, System Survivability), monitor DOTMLPF-P implementation, and elevate Configuration Steering Board actions when requirement trades alter program baselines.
- **Portfolio Acquisition Executives (PAEs) and Capability Trade Councils (CTCs):** The 2025 Acquisition Transformation Strategy empowers PAEs to convene Capability Trade Councils that record requirement/cost/schedule trades in real time so PEO teams keep the DAS synchronized with evolving demand signals.

Combatant command sponsors.

Sources [1, 92].

- **CCDRs** own warfighting problems, sign JUONs/JEONs, and direct lead Services or agencies to prosecute capability gaps that demand rapid solutions.

- **CCMD staffs** conduct mission-thread analysis and architecture sprints with Fleets, labs, and industry to translate operational risk into measurable capability requirements before the Gatekeeper accepts a package.
- Commanders remain voting participants during validation reviews and oversee fielding to ensure delivered capability solves the theater problem that generated the requirement.

Joint Chiefs leadership.

Sources [1, 92, 94].

- **CJCS:** Principal military adviser to the President/SECWAR, co-chairs the JROC, and leads joint concept and readiness development that frames every Capability-Based Assessment.
- **VCJCS:** Chairs the JCB, co-leads the Deputy's Management Action Group (DMAG), and arbitrates cross-Service requirement or resourcing disputes before they escalate to the Deputies or Secretary level.

OPNAV corporate leadership.

Source [1].

- **CNO:** Serves as Service Chief, chairs the Navy corporate board, and approves Navy positions for Gate 0/1 decisions before submissions move to the Joint Staff.
- **OPNAV resource sponsors (N8, OPNAV Fiscal Management Division (N82), N9, Warfare Integration Directorate (N91)):** Translate Fleet priorities into the POM/FYDP, enforce two-pass/seven-gate rigor, and synchronize requirements, budgets, and PEO execution.

Acquisition decision authorities.

Sources [9, 46, 95].

- **DAE / USW(A&S):** Issues acquisition policy, chairs the Defense Acquisition Board, and retains MDA for ACAT ID/ Major Automated Information System (legacy ACAT I equivalent) (IAM) programs unless delegated.
- **SAE/ASN(RD&A):** Assigns Navy MDA for ACAT II and below, approves Service-tailored governance (e.g., two-pass/seven-gate), and charters PEOs/DRPMs.
- **Delegated MDA (PEO/DRPM):** Signs Acquisition Decision Memoranda, manages Configuration Steering Boards, and keeps KPP/APB trades synchronized with requirements direction and statutory certifications.

Program Authority chain.

Sources: SECNAVINST 5000.2G; DoWI 5000.85.

- **PEO/PA:** Owns program outcomes, charters PMs, approves acquisition strategies and baselines.
- **DRPM:** Direct-report program leads for special access or priority portfolios with the same milestone authority as PEOs.
- **SPM/PM:** Accountable for cost/schedule/performance, leads risk management, orchestrates IPTs.

- **SHAPM:** Delivers new hulls; coordinates design/build/activation sequencing.
- **SLM:** Drives sustainment and modernization packages for in-service assets.
- **PARM/SPD:** Sponsors platform-level upgrades and alteration packages.

Technical Authority chain.

Source: SECNAVINST 5400.15D.

- **Ultimate Technical Authority (UTA) / CHENG:** Issues enterprise technical policy, owns warrants.
- **TWHs:** Certifies design compliance, adjudicates departures/concurrence packages.
- **Engineering Agents (ISEA, DA, AEA, SIA, TDA):** Execute lifecycle engineering; provide in-service engineering decisions under delegated authority.

Operational test oversight.

Sources [46, 69].

- **DOT&E:** Independent OSW authority that concurs on TEMP, monitors operational test realism, and reports suitability/effectiveness outcomes to Congress.
- **Service Operational Test Agencies.** COMOPTEVFOR (COTF), AFOTEC, ATEC, and MCOTEA plan and execute IOT&E/FOT&E, render the OTRR recommendation, and provide Service suitability findings to the MDA.

Operational test readiness and fleet release.

Sources [62, 68].

- **COTF/COMOPTEVFOR:** Chairs OTRR events, certifies whether OT&E adequacy and logistics/training enablers support Fleet introduction, and can recommend restricted Fleet release when Cat I deficiencies remain.
- **MDA/PEO:** Disposition Cat I/II findings, resource fixes, and may defer FRPDR until OT&E adequacy and deficiency burn-downs meet Title 10 standards.
- **TYCOM:** Accepts Fleet risk, sets operating restrictions, and updates tactics and training based on OT&E and LFT&E findings.

Developmental test governance.

Sources [62].

- **DASW(T&E):** Designates Chief Developmental Testers and Lead Developmental Test and Evaluation Organizations for ACAT I programs, adjudicates test resource shortfalls, and co-chairs the Defense T&E Working-level Integrated Product Team (WIPT).
- **CDT:** Synchronizes the integrated test schedule, deficiency management cadence, and readiness evidence required for each TRR/milestone.

- **LDTO:** Provides instrumentation, modeling & simulation accreditation, range execution, and authoritative data packages for developmental tests.

Live-fire statutory leads.

Sources [62, 67].

- **DOT&E Live Fire Test Director:** Approves plans, monitors execution realism, and delivers the statutory lethality/vulnerability report to Congress.
- **Program Manager/CHENG:** Funds threat-representative articles, integrates survivability design fixes, and aligns LFT&E data with the Acquisition Program Baseline and sustainment plans.
- **Service Safety Centers and Warfare Centers:** Provide casualty data, threat surrogates, and post-test forensic analysis that feed both live-fire reports and Fleet tactics updates.

NAVSEA headquarters roles.

Source: EDO Coursebook Module 2.1.2 (NAVSEA Organization, 2025 edition).

- **SEA 01 Comptroller:** BSO lead for NAVSEA financial governance and funds control.
- **SEA 02 Contracts:** Enterprise contracting authority, policy, and warrant management.
- **SEA 03 Cyber Engineering and Digital:** Drives cyber resiliency, digital engineering, and data transformation initiatives.
- **SEA 04 Industrial Operations:** Oversees public shipyards, maintenance execution, and quality assurance.
- **SEA 05 CHENG:** Chief TA; issues warrants, certifies designs, and maintains technical standards.
- **SEA 06 Sustainment:** Manages product support strategies and lifecycle logistics integration.
- **SEA 07 Undersea Warfare:** Dual-hatted as PEO UWS; oversees undersea combat systems sustainment.
- **SEA 08 Nuclear Propulsion:** Three-hatted nuclear propulsion authority across DON and Department of Energy (DOE) roles.
- **SEA 09 Safety and Regulatory Compliance:** Aligns enterprise safety governance and reporting.
- **SEA 10 Total Force and Corporate Ops:** Manages workforce planning, corporate services, and governance.
- **SEA 21 In-Service Ships/CNRMC:** Leads surface-ship sustainment and modernization (PMS 321/326/339/421/443/451, SEA 21I, SURFMEPP).

NAVWAR enterprise directorates.

Source: EDO Coursebook Module 2.1.3 (NAVWAR Enterprise, 2024 edition).

- **Code 1.0 Comptroller:** Budget formulation/execution, BSO duties, and funds certification.

- **2.0 Contracts:** Contracting policy, strategy reviews, and award/administration oversight.
- **3.0 Counsel:** Acquisition law, ethics, protests, and claim resolution.
- **4.0 Logistics and Fleet Support:** Lifecycle logistics, technical data, and fleet distance support integration.
- **5.0 CHENG/TA:** Enterprise architectures, interoperability, and cyber certification authority.
- **6.0 Program Management:** Portfolio governance, milestone preparation, and PEO integration.
- **7.0 Science and Technology:** S&T portfolio management, prototyping, and technology transition.
- **8.0 Corporate Operations:** Workforce, CIO services, facilities, security, and public affairs.
- **Fleet Readiness Directorate (FRD)-100 Fleet Support:** Deployed engineering assistance and sustainment response.
- **FRD-200 Installations:** Shore/afloat C4I installation planning and cutover execution.

Program Executive Offices (Navy portfolios).

Sources: SECNAVINST 5400.15D; EDO Coursebook Modules 2.1.4 and 3.1.5.

- **PEO CVN:** Designs, builds, and sustains nuclear-powered aircraft carriers (e.g., PMS 312/378/379).
- **PEO IWS:** Develops and sustains ship/submarine combat systems; mission-aligned Integrated Warfare Systems (IWS) directorates cover sensors, weapons, C2, and allied integration.
- **PEO Ships:** Oversees surface combatant and amphibious ship construction and modernization.
- **PEO USC:** Leads LCS, Guided-Missile Frigate (FFG) 62, expeditionary, and unmanned surface/undersea portfolios.
- **Team Submarines (PEO SSN, PEO SSBN, Program Executive Office, Columbia-Class Submarines (PEO Columbia), PEO UWS):** Manages attack/strategic submarine acquisition, in-service support, and undersea combat systems.
- **PEO C4I:** Delivers fleet C4I; PMW 1XX focus on capability development, PMW 7XX on platform integration.
- **PEO Digital:** Provides enterprise digital services (e.g., Flank Speed) across the DON.
- **PEO MLB:** Modernizes manpower, logistics, and business IT systems.

Contracting authority (KO family).

Sources: FAR; DFARS; NMCARS; EDO Coursebook Module 3.2.1.

- **PCO:** Plans the acquisition, synchs with PMs before solicitation, awards and signs contracts/mods.
- **ACO:** Oversees post-award performance, surveillance, and payment/contract administration (often DCMA / NAVSEA field activities).
- **TCO:** Leads partial/full terminations, settlement negotiations, and equitable adjustments.

- **KO warrant:** Defines the dollar/authority limits; only the warranted KO can bind or obligate the Government.
- **COR / assistant PM / engineering support:** Provide technical surveillance and acceptance recommendations; cannot direct work or obligate funds (FAR Parts 1 and 42).
- **HCA:** Approves actions such as letter contracts and high-value single-award IDIQs; may delegate no lower than flag/Senior Executive levels within the DON per FAR 1.601 and DFARS/NMCARS supplements.
- **SAE, ASN(RD&A):** Signs D&Fs for multiyear contracting, extraordinary relief, and other actions reserved to the Service Acquisition Executive under FAR Subparts 1.7 and 17.1.

Program Manager / KO partnership.

Sources: DoWI 5000.85; EDO Coursebook Module 3.2.1.

- PM integrates warfighter need, technical baseline, and budget; KO Competition in Contracting Act (CICA), incentives, and change management before RFP release or modification execution.

Source selection governance.

Sources: FAR Parts 1, 5, and 15; NAVSEA Source Selection Guide (2022); EDO Coursebook Module 3.2.2.

- **SSA:** Senior official who approves the Source Selection Plan, receives SSAC/SSEB recommendations, and signs the best-value decision memorandum.
- **SSAC:** Advisory council that synthesizes SSEB findings, compares proposals across factors, and briefs the SSA on trade-offs.
- **SSEB:** Multi-disciplinary evaluators (technical, management, past performance, cost/price) who rate proposals against Section M factors.
- **Small Business Professional / Competition Advocate:** Confirms set-aside decisions, reviews subcontracting plans, and endorses synopsis waivers.
- **Cost/Price Analyst & Legal Counsel:** Validate reasonableness determinations, alignment of Sections L/M, and clause sufficiency before release.
- **Award Fee Determining Official & Award Fee Board:** Plans award-fee periods, chairs performance reviews, and signs the determination memo authorizing or withholding fee payments (FAR Part 16; NAVSEA Source Selection Guide).

Fiscal control & certification.

Source: Department of War Financial Management Regulation (DoW FMR) 7000.14-R Volume 3.

- **Funds Certifying Official/Comptroller:** Verifies purpose/time/amount before obligation; Anti-Deficiency Act (ADA) safeguard.
- **Program/Budget Analyst:** Tracks execution, monitors reprogramming thresholds, prepares obligation/expenditure burn-down.

- **Resource allocation chain:** Office of the Under Secretary of War (Comptroller) (OUSW(C)) apportions to the Navy; OPNAV (N82/FMB) allocates to BSOs; SYSCOM comptrollers (e.g., SEA 01) issue suballocations to executing activities.

PPBE resource sponsors.

Source: EDO Coursebook Module 3.1.1 (PPBE, 2025 edition).

- **CAPE:** Independent analytic staff supporting Program Review decisions and ICE/ Program Office Estimate (POE) for major programs [30, 96].
- **N8:** Navy resource integrator (“checkbook”): builds a balanced Navy POM across portfolios.
- **OPNAV Programming Division (N80):** Runs the POM build and integration; adjudicates sponsor submissions.
- **OPNAV Assessment Division (N81):** Provides force-structure and analytic assessments supporting POM trades.
- **N82:** Budget formulation/execution chain (FMB); manages allocation, execution controls, and reprogramming posture.
- **OPNAV Campaign Analysis and Future Force Design (N83):** Campaign analysis and future force design; anchors wargames and mission-level analytics that frame POM decisions.
- **OPNAV Capability Integration and Resources (N84):** Capability integration and resources; aligns PEO execution phasing, offsets, and two-pass/seven-gate products with budget marks.
- **OPNAV Advanced Concepts and Wargaming (N89):** Advanced concepts and future force design cross-checks; wargaming and architecture integration to keep sponsor asks coherent with POM topline.
- **N9:** Requirements sponsor (“demand signal”): validates/advocates warfare requirements.
- **N91:** Cross-domain integration; mission-level issue resolution (often labeled N9I).
- **Expeditionary Warfare Directorate (N95)/ Surface Warfare Directorate (N96)/ Undersea Warfare Directorate (N97)/ Air Warfare Directorate (N98):** Expeditionary/surface/undersea/air warfare sponsors under N9.
- **Unmanned Warfare Systems (N99):** Unmanned warfare systems sponsor; integrates unmanned air/surface/undersea capability portfolios and defends their investments in PPBE.
- **Resources and Requirements Review Board (R3B)/ Naval Capabilities Board (NCB):** Navy governance boards that align requirements and resourcing decisions feeding the POM.

Congressional resource chain.

Source: EDO Coursebook Module 3.1.2 (Congressional Enactment, 2025 edition).

- **HASC / SASC:** Authorize defense programs and policy in the annual NDAA.
- **HAC / SAC:** Produce appropriations bills that provide BA to execute Navy programs.
- **HBC / SBC:** Set topline guidance and 302 allocations through the budget resolution process.

- **Congressional Budget Office (CBO), Congressional Research Service (CRS), GAO:** Supply independent scoring, research, and oversight that shape committee deliberations.

Cyber/Authorizations (when IT/C2 in scope).

Source: SECNAVINST 5000.2G.

- **AO:** Grants Authority to Operate; enforces RMF controls that drive design and integration requirements.
-

B.2 Combatant Commands (Reference)

AOR: The geographic (or astrographic) area assigned to a CCDR for missions and forces. (Title 10)

Geographic (7):

- United States Africa Command (USAFRICOM)
- United States Central Command (USCENTCOM)
- United States European Command (USEUCOM)
- United States Indo-Pacific Command (USINDOPACOM)
- United States Northern Command (USNORTHCOM)
- United States Southern Command (USSOUTHCOM)
- United States Space Command (USSPACECOM)¹

Functional (4):

- USCYBERCOM
 - United States Special Operations Command (USSOCOM)
 - United States Strategic Command (USSTRATCOM)
 - United States Transportation Command (USTRANSCOM)
-

¹USSPACECOM is treated by DoW as a **geographic (astrographic)** command with an AOR beginning at the Kármán line (~100 km)

C EDO Distribution

C.1 EDO Billet Distribution (Nov 2025 Main Slate)

Purpose.

Quick reference to where EDOs have billets on the November 2025 main slate, grouped by community and sorted by location with billet counts by rank. Current as of 2025-11-01.

Method.

Parsed the “SLATE_EDO_MAIN” worksheet in *EDO Main Slate November 2025.xlsx* by mentor group (community), location (AHPORT), and billet rank (BRANK); rank order follows flag to junior officer seniority (VADM, RADM, RDML, CAPT, CDR, LCDR, LT, LTJG).

Location expansions.

Location codes were expanded best-effort based on billet context (e.g., ANNAP → Annapolis, MD; MONTEY → Monterey, CA). Confirmations are appreciated for potentially ambiguous codes listed after the table.

TABLE XXXIV: EDO BILLET DISTRIBUTION BY COMMUNITY, LOCATION, AND BILLET RANK (NOVEMBER 2025 MAIN SLATE)

Community	Location	Billet ranks (count)
ANY	Annapolis, MD	CAPT 1 / CDR 1 / LCDR 2 / LT 4
ANY	Cambridge, MA	CAPT 1 / LCDR 1
ANY	Crane, IN	CAPT 1
ANY	MacDill AFB (Tampa, FL)	CAPT 1 / CDR 1
ANY	Millington, TN	CAPT 1 / LCDR 3
ANY	Monterey, CA	CDR 1
ANY	Port Hueneme, CA	CAPT 1 / CDR 1 / LCDR 2
CC	Adelaide, Australia	CDR 1
CC	Arlington, VA	CDR 1
CC	Bath, ME	LCDR 1
CC	China Lake, CA	LCDR 1

Continued on next page

TABLE XXXIV: EDO BILLET DISTRIBUTION BY COMMUNITY, LOCATION, AND BILLET RANK (NOVEMBER 2025 MAIN SLATE) (Continued)

Community	Location	Billet ranks (count)
CC	Dahlgren, VA	CAPT 4 / CDR 6 / LCDR 7
CC	Dam Neck, VA	CDR 1
CC	Fort McNair, DC	CDR 1
CC	Moorestown, NJ	CAPT 2
CC	Norfolk, VA	CDR 3 / LCDR 2 / LT 3
CC	Pascagoula, MS	LCDR 1
CC	Pearl Harbor, HI	CDR 1
CC	Point Mugu, CA	CAPT 1 / CDR 2
CC	Port Hueneme, CA	CAPT 1 / CDR 4 / LCDR 3 / LT 2
CC	San Diego, CA	LCDR 1
CC	Tucson, AZ	CDR 1 / LCDR 1 / LT 1
CC	Wallops Island, VA	CAPT 2
CC	Washington Navy Yard, DC	LCDR 2
CC	Washington, DC	CAPT 12 / CDR 8 / LCDR 9 / LT 1
CC	White Sands, NM	CDR 1
CVN-C	NAS North Island (San Diego, CA)	CAPT 1 / CDR 3 / LCDR 1
CVN-C	Newport News, VA	CAPT 1 / CDR 4 / LCDR 5 / LT 5
CVN-C	Norfolk, VA	CAPT 1 / CDR 3 / LCDR 3
CVN-C	Point Mugu, CA	CAPT 1 / CDR 1
CVN-C	Portsmouth, VA	CAPT 1
CVN-C	San Diego, CA	CAPT 2 / CDR 5 / LCDR 3
CVN-C	Washington, DC	CAPT 4 / CDR 4 / LCDR 3
CVN-C	Yokosuka, Japan	LCDR 1
DIVER	Little Creek, VA	LCDR 1
DIVER	Manama, Bahrain	CDR 1 / LT 1
DIVER	NAS North Island (San Diego, CA)	LCDR 1
DIVER	Panama City, FL	CDR 1 / LT 1
DIVER	Pearl Harbor, HI	CDR 1 / LCDR 1
DIVER	Rota, Spain	LT 1

Continued on next page

TABLE XXXIV: EDO BILLET DISTRIBUTION BY COMMUNITY, LOCATION, AND BILLET RANK (NOVEMBER 2025 MAIN SLATE) (Continued)

Community	Location	Billet ranks (count)
DIVER	Washington, DC	CAPT 1 / LCDR 4 / LT 1
FLAG	Pearl Harbor, HI	RDML 1
FLAG	San Diego, CA	RDML 1
FLAG	Washington Navy Yard, DC	VADM 1
FLAG	Washington, DC	VADM 1 / RADM 2 / RDML 5 / LCDR 1
IMG	Agana Heights, Guam	CDR 3
IMG	Apra Harbor, Guam	CDR 1
IMG	Bangor, WA	CDR 1
IMG	Bremerton, WA	CAPT 4 / CDR 5 / LCDR 6 / LT 13
IMG	Fort Monroe, VA	CAPT 1
IMG	Groton, CT	CDR 1
IMG	Kaneohe Bay, HI	CDR 2
IMG	Keyport, WA	CAPT 1
IMG	Norfolk, VA	RADM 1 / CAPT 2 / CDR 3 / LCDR 2 / LT 1
IMG	Pearl Harbor, HI	CAPT 6 / CDR 5 / LCDR 6 / LT 10
IMG	Perth, Australia	LCDR 1
IMG	Point Loma, CA	CDR 1
IMG	Point Mugu, CA	CAPT 1 / CDR 1
IMG	Portsmouth, NH	CAPT 4 / CDR 3 / LCDR 8 / LT 8
IMG	Portsmouth, VA	CAPT 4 / CDR 5 / LCDR 5 / LT 11
IMG	Washington, DC	CAPT 3 / CDR 2 / LCDR 1
IWE	Agana Heights, Guam	LCDR 1
IWE	Bremerton, WA	LCDR 1
IWE	Chantilly, VA	CDR 1 / LCDR 6 / LT 7
IWE	Charleston, SC	CAPT 1 / CDR 1 / LCDR 1 / LT 3
IWE	Coronado, CA	LCDR 1
IWE	Falls Church, VA	CAPT 1
IWE	Fort Meade, MD	LT 1
IWE	Manama, Bahrain	LCDR 1

Continued on next page

TABLE XXXIV: EDO BILLET DISTRIBUTION BY COMMUNITY, LOCATION, AND BILLET RANK (NOVEMBER 2025 MAIN SLATE) (Continued)

Community	Location	Billet ranks (count)
IWE	Naples, Italy	CDR 1
IWE	New Orleans, LA	CDR 1
IWE	Norfolk, VA	CAPT 1 / CDR 1 / LCDR 2
IWE	Pearl Harbor, HI	CAPT 1
IWE	Point Mugu, CA	LCDR 1
IWE	Portsmouth, VA	LCDR 4 / LT 2
IWE	San Diego, CA	RADM 1 / CAPT 7 / CDR 14 / LCDR 21 / LT 5
IWE	Suffolk, VA	LT 1
IWE	Washington Navy Yard, DC	CDR 1
IWE	Washington, DC	CDR 2 / LCDR 3
IWE	Yokosuka, Japan	CDR 1 / LCDR 2
NR	Arlington, VA	CAPT 4 / CDR 4 / LCDR 9 / LT 9 / LTJG 1
NR	Bremerton, WA	LT 1
NR	Groton, CT	LCDR 1
NR	Pearl Harbor, HI	LCDR 2
NR	Washington, DC	CDR 1
NR	Yokosuka, Japan	LCDR 1
RESERVE	Bremerton, WA	LCDR 1
RESERVE	Pearl Harbor, HI	LCDR 1
RESERVE	Portsmouth, VA	LT 1
RESERVE	Washington, DC	CAPT 1 / LT 1
SMMR	Al Jubayl, Saudi Arabia	LCDR 1
SMMR	Arlington, VA	CAPT 1
SMMR	Coronado, CA	CAPT 1 / CDR 2 / LCDR 6 / LT 2
SMMR	Everett, WA	CAPT 1 / CDR 1 / LT 3
SMMR	Little Creek, VA	LCDR 1
SMMR	Manama, Bahrain	CDR 2 / LCDR 1 / LT 1
SMMR	Mayport, FL	CAPT 2 / CDR 2 / LCDR 6 / LT 2
SMMR	Naples, Italy	CAPT 2

Continued on next page

TABLE XXXIV: EDO BILLET DISTRIBUTION BY COMMUNITY, LOCATION, AND BILLET RANK (NOVEMBER 2025 MAIN SLATE) (Continued)

Community	Location	Billet ranks (count)
SMMR	Norfolk, VA	CAPT 6 / CDR 9 / LCDR 10 / LT 9
SMMR	Pearl Harbor, HI	CAPT 1 / LCDR 2
SMMR	Point Mugu, CA	CDR 1
SMMR	Riyadh, Saudi Arabia	CDR 1
SMMR	Rota, Spain	CDR 1 / LT 1
SMMR	San Diego, CA	CAPT 4 / CDR 5 / LCDR 5 / LT 6
SMMR	Sasebo, Japan	CDR 2 / LCDR 1 / LT 3
SMMR	Singapore	CDR 1
SMMR	Washington, DC	LCDR 3
SMMR	Yokosuka, Japan	CAPT 1 / CDR 3 / LCDR 4 / LT 5 / LTJG 1
SSP	Cape Canaveral, FL	CDR 1
SSP	Kaneohe Bay, HI	CAPT 1 / CDR 1 / LCDR 1 / LT 1
SSP	Little Rock, AR	CAPT 1 / CDR 1 / LCDR 2 / LT 1
SSP	Magna, UT	CDR 1
SSP	Pittsfield, MA	CAPT 1 / LCDR 1
SSP	Silverdale, WA	CAPT 1 / CDR 1 / LCDR 1 / LT 1
SSP	Sunnyvale, CA	LCDR 1
SSP	Titusville, FL	LCDR 1
SSP	Uniondale, NY	LT 1
SSP	Washington Navy Yard, DC	CAPT 5 / CDR 8 / LCDR 7 / LT 2
SURFPK	Bath, ME	CAPT 1 / CDR 1 / LCDR 1
SURFPK	Bethesda, MD	CAPT 1
SURFPK	Marine Corps Base Camp Lejeune, NC	CDR 2 / LCDR 3 / LT 2
SURFPK	Mobile, AL	CDR 1 / LCDR 2
SURFPK	New Orleans, LA	CDR 2 / LCDR 1 / LT 1
SURFPK	Norfolk, VA	LCDR 2
SURFPK	Pascagoula, MS	CAPT 2 / CDR 6 / LCDR 4 / LT 4
SURFPK	Philadelphia, PA	CAPT 1 / LCDR 1
SURFPK	Point Mugu, CA	CDR 1 / LCDR 1

Continued on next page

TABLE XXXIV: EDO BILLET DISTRIBUTION BY COMMUNITY, LOCATION, AND BILLET RANK (NOVEMBER 2025 MAIN SLATE) (Continued)

Community	Location	Billet ranks (count)
SURFPK	San Diego, CA	CDR 1 / LCDR 1 / LT 1
SURFPK	Washington, DC	CAPT 10 / CDR 22 / LCDR 7
UEDO	Arlington, VA	LCDR 1
UEDO	Groton, CT	CAPT 1 / CDR 4 / LCDR 10 / LT 4
UEDO	Newport News, VA	CDR 2 / LCDR 3 / LT 5
UEDO	Norfolk, VA	LCDR 1
UEDO	Point Mugu, CA	CDR 1
UEDO	Portsmouth, NH	CAPT 1
UEDO	San Diego, CA	LCDR 1
UEDO	Washington, DC	CAPT 7 / CDR 9 / LCDR 18

C.2 EDO Flag Officers (snapshot)

Verify names/billets the week of your board. Current as of: 05 Dec 2025 (sourced from Navy flag officer biographies).

NON-EDO BILLETS (FOR AWARENESS ONLY). The NAVSEA December 2025 org chart shows several key billets led by non-EDO officers: NAVSEA 08 (ADM William J. Houston, Submarine officer), PEO IWS (RDML Thomas J. Dickinson, Surface Warfare AP), PEO MLB (RDML Kevin P. Biehn, Surface Warfare AP), NAVSEA 05 (RDML Jay A. Seif, Submarine AP), PEO UWS (RDML Douglas J. Adams), PEO SSBN/SEA 07 (RDML Todd Weeks), and PEO USC (currently SES; RDML Kevin R. Smith was relieved in May 2025) [15].

VICE ADMIRALS

VADM Seiko Okano.
PMILDEP to ASN(RD&A); former COMNAVWAR and PEO C4I / Project Overmatch lead [10].

REAR ADMIRALS (UPPER HALF)

RADM Brian A. Metcalf.
PEO Ships; delivers surface combatants, auxiliaries, and amphibious ships [12].

RADM Casey J. Moton.
PEO CVN; leads CVN new construction and in-service nuclear availability portfolios [13].

RADM Jonathan E. Rucker.

PEO SSN; oversees attack submarine acquisition and lifecycle support [14].

RADM J. Kurt Rothenhaus.

COMNAVWAR; commands NAVWAR and its PMWs delivering C4I/cyber capabilities [11].

RADM Douglas L. Williams.

Director for Test, MDA; synchronizes joint missile defense test campaigns [97].

REAR ADMIRALS (LOWER HALF)

RDML Peter D. Small.

NAVSEA CHENG and Deputy Commander for Naval Systems Engineering; Commander, NSWC/NUWC [98].

RDML Dan L. Lannamann.

CNRMC; oversees regional maintenance centers and depot availabilities [99].

RDML Dianna Wolfson.

Director, Fleet Maintenance, USFF; integrates TYCOMs readiness and ship maintenance execution [100].

RDML Daniel W. Ettlich.

Director, Fleet Maintenance (N43), U.S. Pacific Fleet (PACFLT); leads west-coast and forward-deployed maintenance readiness [101].

RDML Scott M. Brown.

Deputy Commander, Industrial Operations, NAVSEA; oversees shipyard and industrial base sustainment [102].

RDML Huan Nguyen.

Deputy Commander for Cyber Engineering, NAVSEA; integrates cybersecurity and digital engineering into ship programs [103].

RDML Jonathan J. Jett-Parmer.

Deputy Commander, Supervisor of Shipbuilding, Conversion and Repair (NAVSEA); leads SUPSHIP technical authority for new construction and overhauls [104].

RESERVE EDO FLAGS

RDML Robert J. Dodson (USNR).

Deputy Commander, Supervision of Shipbuilding (NAVSEA); aligns reserve expertise to construction oversight [105].

RDML Michael S. Richman (USNR).

Deputy Director, Regional Strike Systems, Strategic Systems Program (SSP); supports strategic weapons sustainment [106].

D Community Rosters and Job Pyramids

Distribute responsibly: rosters may contain sensitive personal information.

D.1 Cannon Cocker

D.2 IWE

D.2.1 Roster (IWE Round-Up, 12 Sep 2025)

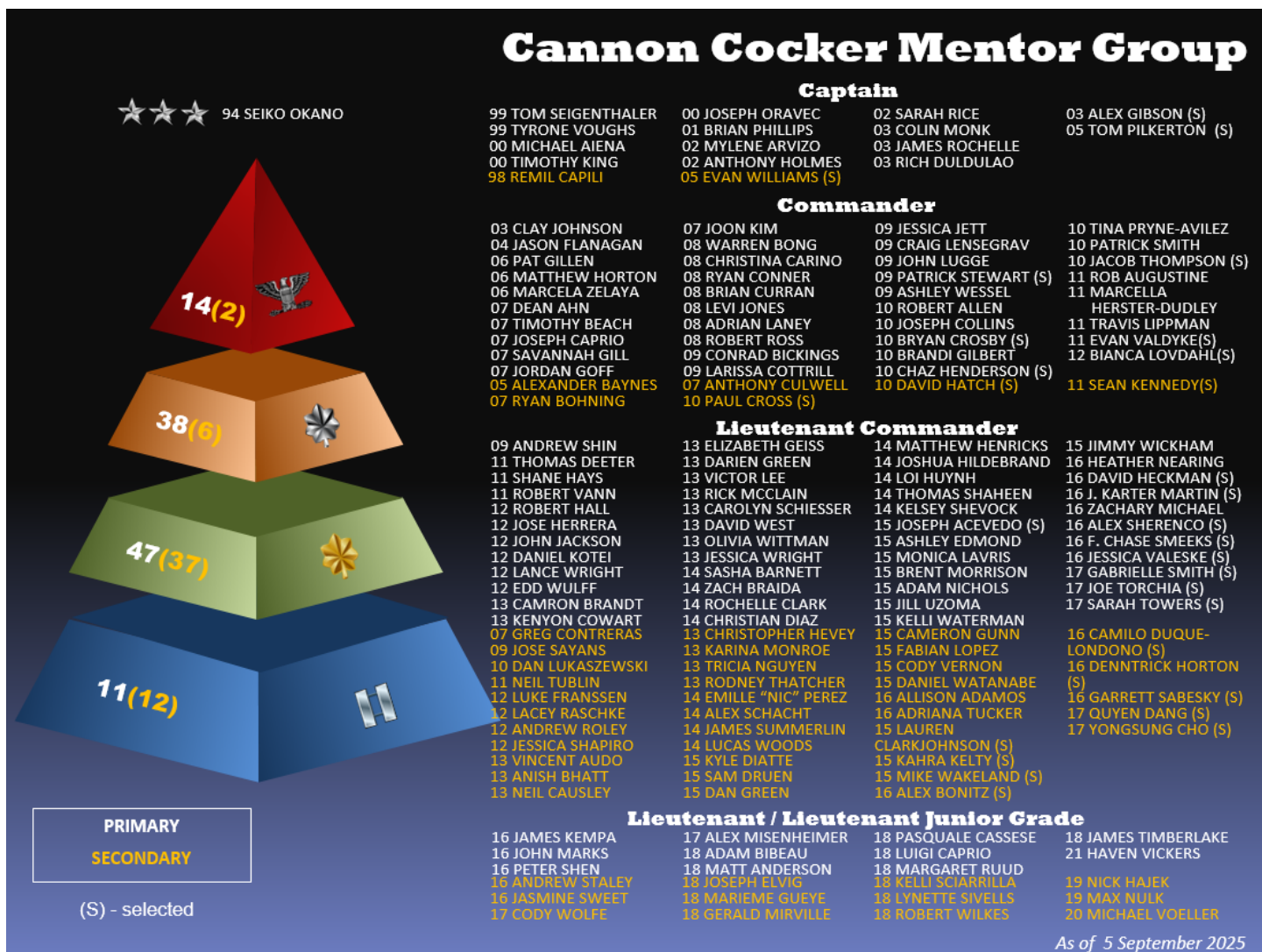


Figure D.1. Cannon Cocker roster.

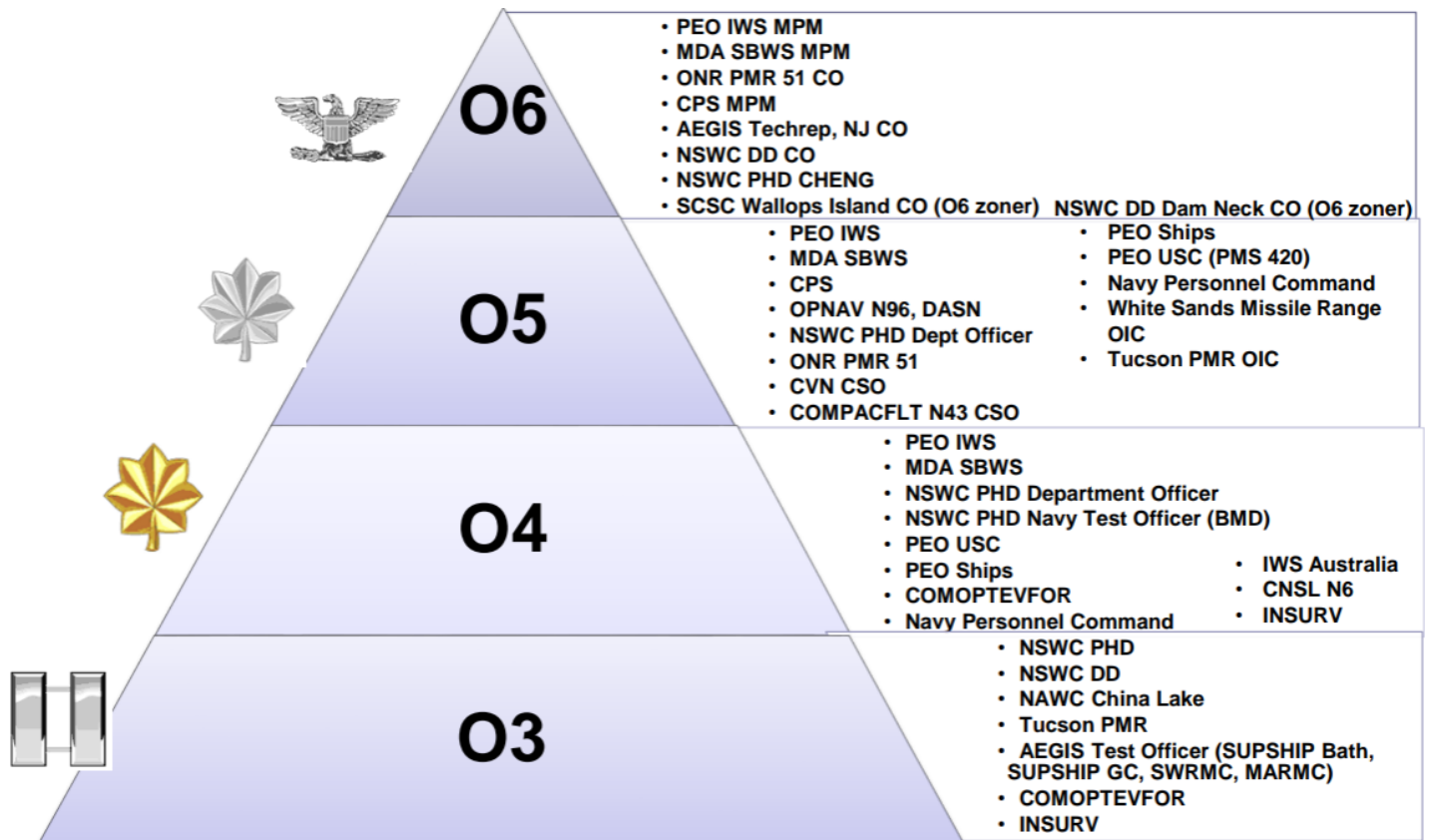


Figure D.2. Cannon Cocker pyramid.

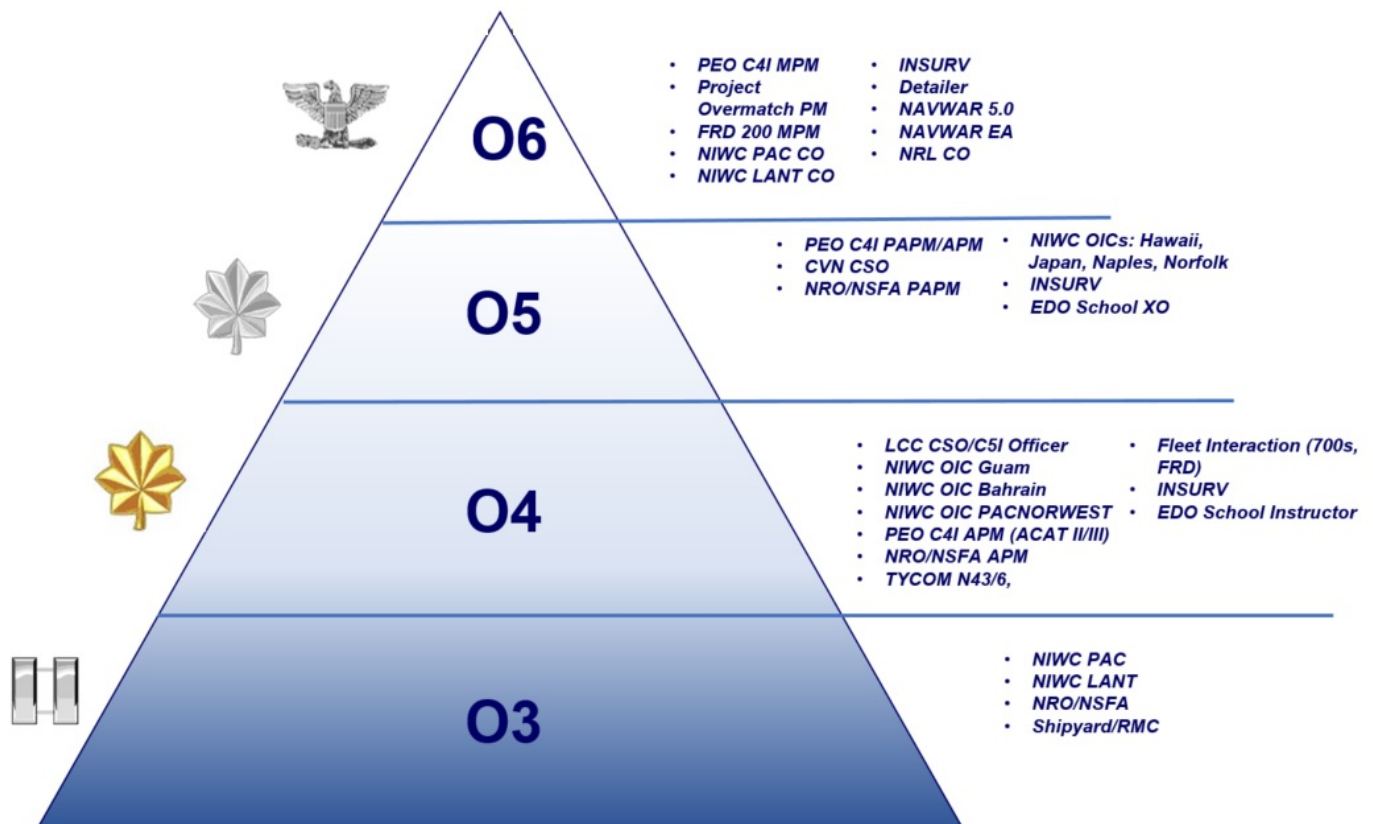


Figure D.3. IWE job pyramid.



NIWC Pacific EDOs

Distribute Responsibly - May Contain Sensitive Personnel Info

– CDR Jarrod Ozereko

- FIO Military Lead Manager
- Military Group Head for Code 4.0
- EDQP Counseling Officer

– LT Marieme Gueye

- FIO Project Officer
 - USS CAPE ST. GEORGE, USS CHARLESTON, USS COMSTOCK, USS HARPERS FERRY, USS J.P.MURTHA, USS MOBILE, USS OAKLAND, USS MOBILE, USS SAVANNAH

– LT Gerard Mirville

- FIO Project Officer
 - USS CHOSIN, USS MAKIN ISLAND, USS BOXER, USS LAKE ERIE, USS ESSEX, USS TRIPOLI, USS GREEN BAY, USS AMERICA, USS PRINCETON, USS PEARL HARBOR

– LT Se-hoon Kim

- FIO Project Officer
 - USS MOMSEN, USS PAUL HAMILTON, USS SOMERSET, USS CURTIS WILBUR, USS FITZGERALD, USS LENA H SUTCLIFF-HIGBEE, USS MICHAEL MONSOOR

– LT Quyen Dang

- Automated Digital Network Systems (ADNS) Tactical Transport Engineering (ATTE)
- Deputy Integrated Product Team Lead for Software Define Network Engineering Evolution (SDNE2)

– LT Lynette Sivells

- FIO Project Officer
 - USS STETHEM, USS ASHLAND, USS MANCHESTER, USS ANCHORAGE, USS CHUNG HOON, USS O'KANE, USS OMAHA

– LT Cody Wolfe

- FIO Project Officer
 - USS CHAFEE, USS HALSEY, USS PINCKNEY, USS RUSSELL, USS SPRUANCE, USS STERETT, USS STOCKDALE

Figure D.4. IWE roster (NIWC Pacific EDOs) from IWE Round-Up (12 Sep 2025).



NSFA EDOs

Distribute Responsibly - May Contain Sensitive Personnel Info

- **CAPT Steve Werner**
 - Program Manager, SIGINT
- **CDR Patrick Gillen**
 - Mission Services, GEOINT
- **CDR Sade Jurgensen**
 - Branch Chief, GEOINT
- **CDR Alex Williams**
 - Branch Chief, SIGINT
- **CDR(Sel) Mark Mueller**
 - Systems Engineer
- **LCDR Neil Causley**
 - COTR, COMM
- **LCDR Neil Tublin**
 - IPT Lead, COMM
- **LCDR Anna Peterson**
 - Project Officer
- **LCDR Daniel Green**
 - Branch Chief, GEOINT
- **LCDR Victor Lee**
 - Project Officer, GEOINT
- **LT Alexandra Sherenco**
 - Space Systems COTR, SIGINT
- **LT Margaret Ruud**
 - Project Officer, COMM
- **LT Kelli Sciallia**
 - Project Officer, GEOINT
- **LT Robert Wilkes**
 - Project Officer, SIGINT
- **LT Alex Misenheimer**
 - Project Officer, SIGINT
- **LT Zachary Michael**
 - Project Officer, SIGINT

AS&T – Advanced Systems and Technology Directorate	RSPO – Radar Systems Program Office
COMM – Communications Systems Directorate	SAO – Survivability Assurance Office
GED – Ground Enterprise Directorate	SED – Systems Engineering Directorate
GEOINT – Geospatial Intelligence Systems Acquisition Office	SIGINT – Signals Intelligence Systems Acquisition Office

Figure D.5. IWE roster (NSFA EDOs) from IWE Round-Up (12 Sep 2025).

E CNO Strategic Messaging

E.1 CNO 34 Day One Message (Foundry–Fleet–Fight)

NAVADMIN 180/25; issued upon assuming duties as the 34th CNO [107].

Mission.

The Navy shall be organized, trained, and equipped to deliver peace through strength, securing our national interests and prosperity. We exist for prompt and sustained combat at sea, preserving freedom of navigation, safeguarding global commerce, and deterring those who would challenge America's values and sovereignty.

Vision.

We stand at an inflection point—an era marked by great power competition, proliferating threats, rapid technological convergence, and an increasingly contested maritime domain. To prevail, we must build and sustain a Navy that is ready to fight and win—today, tomorrow, and well into the future. At the center of this vision is the Sailor. Our men and women are the Navy's main weapon system—their skill, resilience, and courage remain our greatest asymmetric advantage. We will put them first by relentlessly pursuing full-spectrum readiness, deepening cross-domain integration, harnessing innovation at speed, and strengthening our warrior ethos. Our Navy must be resilient, agile, globally present, and combat credible. We will align tightly with national defense priorities, expand our ability to integrate with Joint Force and Allied partners, and preserve our enduring advantage at sea. In doing so, we will guarantee freedom of navigation, deter aggression, and project power where and when it matters most.

Priorities.

We will view everything we do through an operational lens focused on the Foundry, the Fleet, and the way we Fight.

Foundry.

The Foundry represents the enduring sum of our total force, shore infrastructure, maintenance depots, schoolhouses, industrial base, and intellectual capital required to generate, sustain, and modernize naval power. Every ounce of sea power we wield originates in the Foundry; it is the bedrock of our Navy. We will not neglect the global network of infrastructure and capacity that enables our Sailors to excel. From new ship construction to depot-level repair, from weapons production to the training pipelines that develop warfighters, the Foundry underwrites combat credibility. To remain the world's most formidable fighting force, we will operationalize readiness, accelerate shipbuilding and repair at scale, and modernize our force-generation model. This means strengthening public-private partnerships, investing in resilient supply chains, expanding workforce development, and ensuring our training systems deliver Sailors fully prepared for the high-end fight. Simply put—without a strong Foundry, there is no Fleet.

Fleet.

The Fleet is forged in the Foundry and is our Nation’s decisive instrument of maritime power. Comprised of people, platforms, and payloads, it is designed to deter aggression, project power, and secure our national interests on and from the sea. No image symbolizes American resolve more than a U.S. Navy ship on the horizon—lethal, resilient, and ready to fight. The Fleet’s unique mobility, persistence, and global reach enable us to impose costs on adversaries, reassure allies, and guarantee the free flow of commerce. Tempered by our resolve, our Fleet is world-class, battle-ready, and second to none. With our Sailors at the helm, supported by strong Navy families, there is no challenge we cannot overcome. We will continue to build an integrated, all-domain Fleet—one that fuses maritime (surface, air, and undersea), cyber, space, and strategic capabilities while leveraging Joint Force and Allied partners to dominate across the competition continuum. Interoperability and interchangeability with allies and partners will be our force multiplier. By enhancing collective maritime security, we will magnify our forward presence and strengthen deterrence worldwide.

Fight.

Fighting is our ultimate honor and sacred responsibility—delivering violence on behalf of the Nation when called. For nearly 250 years, the U.S. Navy has honed its toughness, tenacity, and ingenuity to secure victory. Those who challenge us in combat will be met with overwhelming force and sent to the bottom. But we must fight differently in the future. In today’s rapidly evolving landscape, we will innovate, adapt, and integrate cutting-edge technologies at the speed of relevance. We will deliver and refine the Navy Warfighting Concept and develop a new Navy Deterrence Concept, both anchored in peace through strength. We will accelerate the integration of artificial intelligence, robotic and autonomous systems, resilient Command, Control, and Communications (C3) architectures, and synchronized effects—ensuring decision advantage, survivability, and combat overmatch. We will ruthlessly pursue a Future Fleet Design—comprised of unmatched conventionally manned ships, deeply integrated with asymmetric hedge forces that expand our reach and impose costs more effectively across every domain. Our charge is clear: To ensure the Navy remains the most lethal, survivable, and globally dominant maritime force.

Theory of victory.

At the end of my tenure as CNO, success will be measured by results:

- Platforms delivered and repaired on time.
- Fully manned and combat-ready ships.
- Ordnance production meeting contracted demand.
- Backlogs in repair parts eliminated.
- Sailors trained to the highest levels of mastery.

Through disciplined execution, we will increase our lethality and preserve our sustained advantage. To achieve this, we are calibrating our sights, refining our course, and transforming our approach of solving our Navy’s toughest problems. Guided by the Navy Warfighting and Deterrence Concepts, we will develop and execute a holistic Campaign Plan that delivers the warfighting capability and capacity necessary to win in the 21st century. To maintain transparency and unity of effort, I will release a series of “CNO Notes”—or “C-Notes”—providing guidance and direction to the Fleet. These will be grounded

in my vision, informed by your feedback, and driven by operational necessity. They will require your trust, ownership, and commitment to be successful. I am proud to serve alongside you—America’s Sailors—as we embark on this next chapter in our Navy’s history. Built in the Foundry—Tempered in the Fleet—Forged to Fight.

Daryl L. Caudle
Admiral, United States Navy
34th Chief of Naval Operations

E.2 CNO 34 C-Notes and Charge of Command

NAVADMINs 186/25, 203/25, 241/25, and 225/25 [108, 109, 110, 111].

E.2.1 Executive summary of priorities

Overview.

ADM Caudle’s initial set of C-Notes and his Charge of Command reinforce the Foundry–Fleet–Fight construct: care for Sailors, strengthen the Navy–industrial team, and deliver a combat-credible fleet that can deter and win. Leaders are directed to build trust, enforce standards, and maintain a visible warfighting mindset across every command.

Overview.

ADM Caudle’s initial set of C-Notes and his Charge of Command reinforce the Foundry–Fleet–Fight construct: care for Sailors, strengthen the Navy–industrial team, and deliver a combat-credible fleet that can deter and win. Leaders are directed to build trust, enforce standards, and maintain a visible warfighting mindset across every command.

C-Note #1: Sailors First.

The Fleet’s advantage is a trained, supported Total Force. Priorities include modern housing and galley upgrades, streamlined uniform requirements, resilient digital connectivity ashore, and pay/benefits accuracy so every Sailor can focus on the fight [108].

C-Note #2: Foundry Always.

The Foundry—people, infrastructure, and materiel—forges naval power. Caudle calls for relentless training (Career Training Continuum), expanded live-virtual-constructive integration, stronger shipyard shifts, revitalized intermediate maintenance activities, and modernized shore platforms and supply chains to deliver ready forces at scale [109].

C-Note #3: World Class Fleet.

The Fleet is the decisive instrument of national power, integrating people, platforms, and payloads across all domains. The note introduces a Hedge Strategy (tailored offsets and tailored forces) to outpace threats, modular payload investments, resilient C2/AI/unmanned integration, clarified administrative/operational control, and undersea C2 realignments (Commander, Task Force (CTF)-54/74) [110].

Charge of Command.

Command is an action and a privilege. Commanding Officers are accountable for warfighting readiness, disciplined risk management, mission command, continuous learning, and visible ownership of their Sailors' welfare and performance. Immediate superiors will review the Charge with subordinate COs to ensure shared understanding and mentorship [111].

E.2.2 Message texts

C-NOTE #1: SAILORS FIRST (NAVADMIN 186/25).

CLASSIFICATION: UNCLASSIFIED/

ROUTINE

R 031453Z SEP 25 MID180002011151U

FM CNO WASHINGTON DC

TO NAVADMIN

INFO CNO WASHINGTON DC

BT

UNCLAS

NAVADMIN 186/25

MSGID/NAVADMIN/CNO WASHINGTON DC/CNO/SEP//

SUBJ/C-Note #1: Sailors First//

RMKS/1. The lifeblood of our Navy is the Sailor: well-trained, connected, supported and fit to fight. In every ocean around the world, our national security interests are challenged by increasingly complex threats. Underpinned by our warrior ethos, we will rise to that challenge. For 250 years, we have been a world-class fighting Navy, and our strength lies in our Sailors. Our teamwork and esprit de corps are strengthened by our core values and devotion to our mission.

2. We must resource the Navy our Nation Needs. I am committed to the well-being of our Sailors and their families - providing them with state-of-the-art platforms, world-class facilities and dependable support through our Total Sailor and Family Action Plan.

We will leverage the insights and lessons learned from the past to improve and rebrand our Culture of Excellence initiative to its new focus - Total Sailor: Fit to Fight.

3. Today, I have directed your Navy leadership to take the steps necessary to ensure that No Sailor Will Live Afloat. We will invest in unaccompanied and family housing in addition to optimizing our new BAH authority to ensure every Sailor resides in housing that is clean, comfortable and safe.

4. During my term, we will transform our galley facilities to ensure they are designed to meet the nutritional needs and choices of our Sailor's modern-day lifestyle. It is paramount that we modernize food service to deliver healthy and flexible options.

5. Effective immediately, the Secretary of the Navy has directed we convene a focused assessment of your uniforms and seabag. We will streamline uniform requirements to ensure you have affordable, available and durable service clothing that you are proud to wear.

The goal will be to reduce the number of uniforms while respecting our hard-

earned traditions that makes our Navy so special.

6. You have grown up in a digitally connected world where disconnection means isolation. Therefore, I have mandated efforts to improve cell service on our installations and bring free Wi-Fi to all of our barracks.

7. I have also ordered changes to the NAVADMIN process ensuring our Sailors are able to find clear and correct information in one singular location. We will not use NAVADMINS to work around the effort required to properly change the base instructions any longer.

8. Additionally, I've directed Navy leadership to revisit prior efforts such as Sailor pay to ensure our previous corrective actions are still working so that each Sailor is receiving the correct amount of pay and entitlements in a timely manner.

9. You are my priority and I need you focused on the fight. This is the first of many efforts to improve your Quality of Life - so, stand by for what's coming next.

10. Built in the Foundry - Tempered in the Fleet - Forged to Fight.

11. ADM Daryl Caudle, 34th Chief of Naval Operations sends.

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CLASSIFICATION: UNCLASSIFIED/

C-NOTE #2: FOUNDRY ALWAYS (NAVADMIN 203/25).

CLASSIFICATION: UNCLASSIFIED/

ROUTINE

R 222218Z SEP 25 MID120012080004U

FM CNO WASHINGTON DC

TO NAVADMIN

INFO CNO WASHINGTON DC

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NAVADMIN 203/25

MSGID/NAVADMIN/CNO WASHINGTON DC/CNO/SEP//

SUBJ/C-NOTE #2: Foundry Always//

RMKS/1. The Foundry is the engine that drives our warfighting advantage. It transforms raw inputs and forges them into lethal outputs: ready warfighters, platforms and sustained readiness, at the speed and scale necessary to win.

2. The Foundry builds, generates, sustains and modernizes naval power through three critical components: PEOPLE, INFRASTRUCTURE and MATERIEL.

3. People: Our Total Force, comprised of Sailors, civilians and the industrial workforce, is our most decisive warfighting advantage.

To prevail in conflict, we must recruit, train, educate and retain a technically proficient and resilient team. Investing in our people's

development and well-being is not separate from combat power, it is the very foundation of our Warrior Ethos, which is not exclusive to those in uniform. It's a mindset marked by honor, integrity, resilience and a relentless commitment to excellence and service.

That ethos must live across the spectrum: from our schoolhouses and combat centers to the workforce that lays our keels and develops our intellectual property. Every role our Total Force fills is vital by design.

4. To keep pace with the proliferation of technology and the global evolution of threats, we are enhancing the quality of our curricula. Relentless improvement, technical competence and tactical mastery are all tenets demanded of a confident warfighter. Empowered by timely action and responses from our Navy's top leaders, we will inculcate a culture of continuous learning that delivers world-class, modernized and battle-ready Sailors. Therefore, we will rename Ready Relevant Learning to "Career Training Continuum" (CTC), the Navy's enterprise program of record for individual training and career-long learning.

5. Through a series of sprints, we will also expand the Military Learning Continuum and Civilian Workforce Development. With built-in feedback loops and mechanisms in place, we will rapidly identify, assess, respond to and correct gaps in our Sailor's training journey.

I have also directed that our Live-Virtual-Constructive (LVC) efforts be expanded past the current use cases (e.g., integrated C2X training, Fallon airwing events, etc.) to include a more generalized view of LVC that spans from unit level training to schoolhouse utilization to tailored wargaming.

6. Battle effectiveness is not achieved by only afloat platforms or commands. Simply put, without a strong Foundry, there is no effective Fleet. Therefore, I am working to rewrite the Battle "E"

instruction to recognize shore installations with exceptional readiness and performance.

7. Infrastructure: Shore platforms generate naval power. Our global network of infrastructure, shipyards, airfields, barracks, electrical grids and piers are foundational to projecting that power. Modernization ensures our readiness can scale across the spectrum of conflict. We will prioritize and strengthen our shore platforms to support Fleet-wide operations and ensure our People take pride and ownership in the places that they work in and live.

8. Expanding the Fleet's deployable platforms is a whole-of-Navy evolution, and while we are not short on ideas to get there, our execution has not met expectations. The levers: innovation, oversight, optimization and recapitalization are known, but the fastest gains in production will come from our People and their elbow-grease. To meet operational timelines, we must prioritize workforce development, labor capacity and world-class project management to increase our efficiency.

9. Accordingly, we will strengthen second and third shifts in our public shipyards to increase throughput and on-time delivery. Only by improving

shipyard training, workplace conditions and organizational support can we reduce attrition, accelerate experience and retain the workforce, both private and public, responsible for delivering our Fleet.

10. I will release a future C-NOTE on Esprit de Corps Ashore, emphasizing the critical role our infrastructure plays in forging warfighting readiness.

11. Materiel: Reliable supply chains, accurate Coordinated Shipboard Allowance Lists (COSALs), comprehensive maintenance capabilities and coordinated logistics are instrumental to keeping our Fleet in the fight. Winning in conflict demands a strong Navy-Industrial Base partnership, grounded in transparency, common understanding and intellectual honesty.

12. Our current maintenance structure lacks the right balance of Sailors, civilians, artisans and engineers. Years of depot and activity level consolidation have reduced opportunities for our Sailors to master the skill sets needed to repair and sustain at sea.

13. For these reasons, I am pursuing the stand-up of Shore Intermediate Maintenance Activities (SIMA) in Norfolk and San Diego.

These facilities will provide our Sailors with hands-on training in advanced ship repair and expose them to modern capabilities such as AI/ML, advanced manufacturing (e.g., 3-D printing, CAD/CAM, etc.), workflow monitoring technologies and robotic systems.

14. We are also reviewing Class Maintenance Plans. To maintain a combat surge-ready posture, our maintenance models must evolve.

Introducing shorter, more frequent and efficient availabilities will increase our readiness, improve on-time completion and reduce risk at a comparable cost.

15. Foundry is more than a metaphor; it is the process, standard and discipline that underpins our Navy's ability to deliver ready, lethal and resilient forces, on time, on cost and at scale.

16. Built in the Foundry - Tempered in the Fleet - Forged to Fight.

17. ADM Daryl Caudle, 34th Chief of Naval Operations sends.//

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CLASSIFICATION: UNCLASSIFIED/

C-NOTE #3: WORLD CLASS FLEET (NAVADMIN 241/25).

CLASSIFICATION: UNCLASSIFIED/

ROUTINE

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NAVADMIN 241/25

MSGID/NAVADMIN/CNO WASHINGTON DC/CNO/DEC//

SUBJ/C-Note #3: World-Class Fleet//

RMKS/1. History proves that great nations are built on the strength of great navies. And today, our Fleet stands as the world's premier warfighting force - ready, capable, and unmatched. But we are more than ships, aircraft, and weapons. Our Sailors - battle ready, trained, resilient, and forged in the Foundry are the engine that empowers our Fleet. Through their strength, we command the seas, deter aggression, defend our homeland, and when called, deliver decisive combat power. This is what makes us a world-class Navy - second to none.

2. The Fleet is our most decisive instrument of national power and serves as the differentiated value our Navy brings to the Joint Force: expeditionary reach, unmatched mobility, and persistent presence that promotes our vital interests, protects the global commons, and wins our Nation's wars.

Comprised of People, Platforms, and Payloads, the Fleet spans across all domains. To our Allies, it serves to reassure. To our Adversaries, it deters and shapes behavior. To all, it is a signal that freedom of the seas is non-negotiable and will never be surrendered.

3. As threats evolve and the world grows more complex, we will continue to build an integrated, all-domain Fleet - capable of conducting sea denial and, when needed, sea control within the battlespace and at decisive global chokepoints. This means fusing maritime, cyber, space, and undersea capabilities, and integrating Joint and combined forces to dominate across the spectrum of conflict. In short, we will not only design our forces to fight and win, but to outpace emerging threats through smart and cost-effective "hedges" to lower the risks faced by our general purposes forces while increasing survivability and lethality.

4. To that end, building a Fleet to cover every possible threat is too expensive, unrealistic, and sub-optimized. Instead, I have directed the development of a new Navy Strategy. Built on the fundamentals from our Navy Warfighting and Deterrence Concepts, this new effort introduces an enduring "Hedge Strategy" - designed as an approach that reduces operational risk by investing in Tailored Offsets and Tailored Forces as a way to amplify and synergize our general purposes forces to more effectively address low probability-high consequence contingencies.

5. At its core, our Navy is already a collection of "hedge" forces and concepts: risk-informed decisions about where to invest and how to fight while weighing the probability of occurrence in terms of severity and loss. For example, "Hellscape" is a use case of the generalized Hedge Strategy. Naval Special Warfare is our hedge against low intensity and irregular warfare threats. SSBNs and E-6Bs are our hedge that deters strategic attack with less than eight percent of the Navy. And our Navy-Marine Corps team itself, has and will continue to serve as the Joint Force's global hedge - forward deployed, postured, and ready to respond to a variety of threats at a

time and place of our choosing.

6. Tailored Forces are logical groupings of tailored offsets that strengthen our general purpose forces. The Global Maritime Response Plan (GMRP) and associated Readiness Conditions (RESCON) provide tailored force packages that are Combat Surge Ready (CSR) in support of our Combatant Commanders through tailored certifications to execute specific missions. This is in run today as we continue to work to achieve our 80 percent CSR goals for all platforms.

7. Further, we will also invest in platforms, sensors, and weapon systems built with modularity that are scalable and ready for rapid upgrade. We will accelerate the delivery of integrated, networked capabilities - including unmanned systems, Artificial Intelligence, and resilient Command and Control (C2) architectures to ensure decision advantage and guarantee our overmatch in contested environments around the world.

8. Many of our Navy's toughest challenges cannot be solved in one year or even across one five-year Future Years Defense Program (FYDP) budgeting cycle. These types of longer-range problems (e.g., spare parts, critical munitions, foundry improvements, shipbuilding, and depot repair enhancements) require time horizons and funding profiles with trajectories that balance fiscal realities to operational risk.

Therefore, I have directed the development and use of multi-year/multi-FYDP "funding curves" to ensure sustained investment in the capabilities at the required capacity our warfighters need.

With clear "commitment to the curve" - I will prioritize the required sustained investments necessary to solve many of the problems that have hampered our Navy for decades.

9. The Administrative Chain of Command (ADCON) is comprised of subject matter experts who form the best force generators in the Navy. Over time we have drifted into commingling force generation and force employment with overlapping C2 structures that lack clear accountability. Therefore, we will review existing C2 structures from an operational task perspective and align C2 to the risk owner.

Additionally, we will review and align force generation responsibilities to ensure we are following the "Standard Model" of excellence. This will ensure that we clearly delineate the role of the appropriate Type Commander (TYCOM) to the Fleet Commander with clean and accountable hand-offs between force generation and force employment of their forces.

10. Additionally, to most effectively counter the pacing threat that the People's Republic of China presents, CTF-54 will be separated from CTF-74 allowing each to hone their focus on specific undersea mission sets, particularly in our most challenging threat environments. CTF-54 will be dual-hatted as Commander, Submarine Squadron 21 in Bahrain. To support the new CTF-54, primary broadcast control authority and submarine operating authority duties (e.g., waterspace management) will be shifted to Commander, Submarine Group 8 and CTF-69 in Naples, Italy. To support CTF-74 more fully across the Western Pacific Area of Responsibility, we will be assessing the

establishment of Task Groups to enable clear and unambiguous C2 lines of operational accountability.

11. Fleet Improvement Offices (FIOs) are driving a culture of continuous improvement, intellectually honest assessments, disciplined execution, as well as improved operational risk management and accountability. We are codifying this through a new instruction, under the Office of Warfighting Advantage (OWA), to scale FIO practices across our Foundry, Fleet, and Fight priorities.

12. Built in the Foundry - Tempered in the Fleet - Forged to Fight.

13. ADM Daryl Caudle, 34th Chief of Naval Operations sends.//

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CLASSIFICATION: UNCLASSIFIED/

CHARGE OF COMMAND (NAVADMIN 225/25).

CLASSIFICATION: UNCLASSIFIED/

ROUTINE

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FM CNO WASHINGTON DC

TO NAVADMIN

INFO CNO WASHINGTON DC

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NAVADMIN 225/25

MSGID/NAVADMIN/CNO WASHINGTON DC/CNO/OCT//

SUBJ/CHARGE OF COMMAND - ANNOUNCEMENT TO THE FLEET//

RMKS/1. As the 34th Chief of Naval Operations (CNO), I've released my Charge of Command for officers selected for command, emphasizing the unique responsibilities and privileges inherent in leading warfighters at a strategic inflection point. Commanding Officers (COs) hold the highest operational and moral accountability for their units, and their leadership directly shapes combat readiness, culture, and mission success.

2. In the Charge of Command, I characterize command as "an action, not a position," highlighting the essential attributes of integrity, courage, humility, and ownership. The Charge emphasizes that the Navy's decisive advantage is its Sailors, and COs must invest in their people with the same intensity as operational readiness, fostering trust, accountability, and a warfighting culture that thrives under pressure.

3. Command inherently involves risk. The Charge directs COs to manage operational risk deliberately, provide clear Commander's intent, and empower teams under Mission Command principles.

Disciplined risk-taking, sound judgment, and adaptability are required to ensure mission success while cultivating initiative and learning throughout

the command.

4. The Charge further stresses the importance of preparation, assessment, and continuous learning. COs are expected to plan, rehearse, test assumptions, and innovate faster than potential adversaries. Excellence is achieved through initiative, critical thinking, disciplined failure as a learning pathway, and fostering a culture of resilience and innovation.

5. COs are the single accountable officer for their units and are expected to lead decisively, mentor future leaders, and uphold the Navy's enduring values and warfighting mindset. COs and their commands must always be ready to Fight Tonight. As Fleet Admiral Chester Nimitz once said, "When you're in command, command."

6. Immediate Superior in Command commanders are expected to review the charge with their subordinate COs, ensuring they understand, internalize, and apply its principles. This review supports mentorship, reinforces accountability, and strengthens unit readiness across the fleet.

7. The full Charge of Command letter, including detailed guidance and reference materials are available at: <https://www.navy.mil/>

All personnel are encouraged to read, understand, and support the principles outlined to strengthen their commands and the Navy as a whole.

8. Built in the Foundry - Tempered in the Fleet - Forged to Fight!

9. ADM Daryl Caudle, 34th Chief of Naval Operations sends.//

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CLASSIFICATION: UNCLASSIFIED/

F Current Events

F.1 Current Events Relevant to EDOs and Acquisition

F.1.1 Project Overmatch and Digital Modernization

Five Eyes Project Arrangement.

In Oct 2024 Project Overmatch signed a Project Arrangement with Australia, Canada, New Zealand, and the United Kingdom, embedding Cooperative Project Personnel in San Diego to co-develop resilient coalition kill-chain networks ahead of Rim of the Pacific Exercise (RIMPAC) 26; Capt. Remil Capili (PM), VADM Seiko Okano (steering chair/PMILDEP), Shayna Bond (international deputy), and David Flowers (international lead) direct the effort while a coalition lab stands up to support continuous testing [112].

Open Data and Applications Government-owned Interoperable Repositories (DAGIR) pilot.

By 18 Jun 2025 Project Overmatch, NAVWAR, the Chief Digital and Artificial Intelligence Office, and were onboarding commercial AI/ML applications through the Open DAGIR pipeline so Fleet commanders could visualize readiness data (“Maven Smart Systems”) across the hybrid fleet in weeks instead of years [113].

Leadership signal.

VADM Seiko Okano continues to serve as the direct reporting program manager and steering committee chair while serving as PMILDEP to ASN(RD&A), keeping Overmatch digital architecture tied to Program Decision Meetings and coalition governance [9, 112].

F.1.2 EDO Community Updates

NAVWAR change of command.

Rear Adm. (now VADM) Seiko Okano relieved Rear Adm. Doug Small on 9 Aug 2024, assuming command of NAVWAR and direct oversight of Project Overmatch; she emphasized information warfare dominance and continued alliance engagement with industry and academia [114].

Role of the PMILDEP.

As PMILDEP to ASN(RD&A), Okano now chairs Program Decision Meetings when delegated and synchronizes PAEs and SYSCOM technical authority, a critical linkage as Capability Trade Councils and portfolio scorecards begin replacing JCIDS artifacts [9, 93].

Tycom maintenance focus.

USFF and PACFLT maintenance flag officers continue to drive execution of regional maintenance center reforms and the Naval Sustainment System–Shipyards initiatives highlighted in the 2025 coursebook; these billets remain key board discussion topics because they link EDO leadership to depot performance [48].

F.1.3 Acquisition Policy and Industrial Base Highlights

Warfighting Acquisition System (WAS).

The Acquisition Transformation Strategy replaces JCIDS with Capability Portfolio Management and Capability Trade Councils, empowering PAEs to adjudicate cost/schedule/performance trades in real time and document decisions in portfolio scorecards [93].

Industrial base actions.

SECWAR directed the Department to expand multi-year procurements, establish an Industrial Base Consortium, and reform bid protest incentives so the Munitions Acceleration Council and similar bodies can stabilize demand and attract private capital [93].

PPBE integration.

USW(C) and USW(A&S) are piloting portfolio budgets and flexible execution authorities so PAEs can move funds inside approved controls while maintaining transparency with OMB and Congress—a major shift boards will expect candidates to explain [93].

Security cooperation realignment.

Defense Security Cooperation Agency (DSCA) and Defense Technology Security Administration (DTSA) now fall under USW(A&S), aligning exportability, Foreign Military Sales, and industrial-base planning so allied orders and U.S. production trades can be brokered inside Capability Trade Councils [115].

National Security Capital Forum.

Section 1092 of the FY 2025 NDAA created the National Security Capital Forum (NSCF), chaired by the Office of Strategic Capital, to coordinate public/private financing decisions that affect defense materiel transactions—EDOs should highlight how their programs leverage or are scrutinized by the forum [116].

F.2 Shipbuilding and Sustainment Updates

F.2.1 Columbia-Class (SSBN) Delays

The Columbia-class ballistic missile submarine program, the Navy’s highest acquisition priority, experienced significant schedule pressure in 2025. Navy officials reported an estimated 12- to 17-month delay in the delivery of the lead boat, USS *District of Columbia* (SSBN-826), pushing its first planned patrol into 2030 [117]. The delays were attributed to a combination of factors, including shipyard workforce shortages, supply chain disruptions for critical components like the bow dome and main turbine generators, and the inherent complexities of a first-of-class build [117, 118]. By late 2025, General Dynamics Electric Boat reported the lead vessel was approximately 60% complete, but the tight schedule margins remain a significant concern for maintaining the nation’s continuous strategic deterrent capability [119].

F.2.2 Amphibious Warship Block Buy (LPD-17)

In a significant move to stabilize the amphibious ship industrial base, the Navy executed a multi-ship “block buy” procurement for four amphibious warships from Huntington Ingalls Industries (HII) Ingalls in late 2024 and early 2025 [120]. This procurement, valued at nearly \$1 billion in savings, includes three San Antonio-class amphibious transport docks (LPD-33, 34, and 35) and one America-class amphibious assault ship (LHA-10) to be built between FY25 and FY29 [120]. The block buy provides workload stability for the shipyard and its suppliers, enabling more efficient production and ensuring the Navy meets the legally mandated 31-ship amphibious force structure [121]. This decision followed congressional pressure and signals a commitment to the amphibious fleet after a period of debate over future requirements.

F.2.3 Shipyard Infrastructure Optimization Program (SIOP) Status

The Shipyard Infrastructure Optimization Program (Shipyard Infrastructure Optimization Program (SIOP)), a 20-year, \$21 billion effort to modernize the Navy’s four public shipyards, reached a critical phase in 2025. A key milestone was the award of a \$377.7 million contract for seismic upgrades to Dry Dock #4 at Puget Sound Naval Shipyard, which is essential for servicing nuclear submarines, including the future Columbia-class SSBNs [122]. However, the program faces significant cost growth due to inflation and unforeseen construction complexities, with annual construction cost escalation exceeding 6% [123]. In July 2025, program officials announced a comprehensive review to revise cost and schedule estimates for the entire SIOP portfolio [123]. Despite these challenges, the Navy continues to invest approximately \$2.7 billion annually, with the goal of reducing submarine maintenance periods by up to 15% and returning ships to the fleet faster [123].

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List of Acronyms

Acronym	Definition
AAF	Adaptive Acquisition Framework
AC	Actual Cost
ACAT	Acquisition Category
ACO	Administrative Contracting Officer
ACTD	Advanced Concept Technology Demonstration
ACWP	Actual Cost of Work Performed
ADA	Anti-Deficiency Act
ADA	Acquisition Data and Analytics
ADCON	Administrative Control
ADM	Acquisition Decision Memorandum
ADR	Alternative Dispute Resolution
AEA	Alteration Engineering Agent
AEL	Allowance Equipage List
AER	Alteration Equivalent to Repair
AFOTEC	Air Force Operational Test and Evaluation Center
AI	Artificial Intelligence
AI/ML	Artificial Intelligence and Machine Learning
AIM	Advanced Industrial Management
AIT	Alteration Installation Team
Am	Material Availability
ANSI	American National Standards Institute
AO	Authorizing Official
Ao	Operational Availability
AoA	Analysis of Alternatives
AOR	Accumulated Operating Result
APB	Acquisition Program Baseline
API	Application Programming Interface
APL	Allowance Parts List
ASN(FM&C)	Assistant Secretary of the Navy (Financial Management and Comptroller)
ASN(RD&A)	Assistant Secretary of the Navy for Research, Development and Acquisition

Acronym	Definition
AT	Acceptance Trials
ATD	Advanced Technology Demonstration
ATEC	U.S. Army Test and Evaluation Command
ATO	Authorization to Operate
AUKUS	Australia, United Kingdom, and United States security partnership
AWI	Availability Work Integration
AWOL	Absent Without Leave
AWP	Availability Work Package
AWS	Aegis Weapon System
BA	Budget Authority
BAC	Budget at Completion
BAWP	Baseline Availability Work Package
BB	Block Buy
BBP	Better Buying Power
BCAC	Business Capability Acquisition Cycle
BCWP	Budgeted Cost of Work Performed
BCWS	Budgeted Cost of Work Scheduled
BDAR	Battle Damage Assessment and Repair
BDT	Builder's Dock Trials
BES	Budget Estimate Submission
BSO	Budget Submitting Office
BST	Builder's Sea Trials
BtB	Back to Basics
BTR	Below-Threshold Reprogramming
C2	Command and Control
C3	Command, Control, and Communications
C4I	Command, Control, Communications, Computers, and Intelligence
C4ISR	Command, Control, Communications, Computers, Intelligence, Surveillance, and Reconnaissance
CAA	Clean Air Act
CAE	Component Acquisition Executive
CAIV	Cost as an Independent Variable
CAM	Control Account Manager
CANES	Consolidated Afloat Networks and Enterprise Services
CAO	Contract Administration Office
CAPE	Cost Assessment and Program Evaluation
CARD	Cost Analysis Requirements Description
CAS	Cost Accounting Standards

Acronym	Definition
CATEX	Categorical Exclusion
CBA	Capability-Based Assessment
CBM	Condition-Based Maintenance
CBO	Congressional Budget Office
CCA	Command Climate Assessment
CCB	Configuration Control Board
CCDR	Combatant Commander
CCE	Component Cost Estimate
CCMD	Combatant Command
CDD	Capabilities Development Document
CDD-V	Capabilities Development Document Validation
CDR	Critical Design Review
CDRL	Contract Data Requirements List
CDT	Chief Developmental Tester
CEQ	Council on Environmental Quality
CER	Cost Estimating Relationship
CERCLA	Comprehensive Environmental Response, Compensation, and Liability Act
CHENG	Chief Engineer
CI	Configuration Item
CIA	Continuous Incremental Availability
CICA	Competition in Contracting Act
CIO	Chief Information Officer
CIVPERS	Civilian Personnel
CJCS	Chairman of the Joint Chiefs of Staff
CLIN	Contract Line Item Number
CLS	Contractor Logistics Support
CMAV	Continuous Maintenance Period
CMC	Commandant of the Marine Corps
CMMI	Capability Maturity Model Integration
CMP	Class Maintenance Plan
CNO	Chief of Naval Operations
CNRMC	Commander, Navy Regional Maintenance Center
CNSSI	Committee on National Security Systems Instruction
CO	Commanding Officer
COFC	Court of Federal Claims
COH	Complex Overhaul
COI	Critical Operational Issue
COMNAVSEA	Commander, Naval Sea Systems Command

Acronym	Definition
COMNAVWAR	Commander, Naval Information Warfare Systems Command
COMOPTEVFOR	Commander, Operational Test and Evaluation Force
CONOPS	Concept of Operations
COR	Contracting Officer's Representative
COSAL	Coordinated Shipboard Allowance List
COTF	Commander, Operational Test Force
COTS	Commercial Off-the-Shelf
CPA	Chairman's Program Assessment
CPAF	Cost-Plus-Award-Fee
CPD	Capability Production Document
CPFF	Cost-Plus-Fixed-Fee
CPI	Cost Performance Index
CPIF	Cost-Plus-Incentive-Fee
CPR	Chairman's Program Recommendation
CRS	Congressional Research Service
CSFR	Contract Funds Status Report
CSMP	Current Ship's Maintenance Project
CSSP	Cyber Security Service Provider
CSSQT	Combat System Ship Qualification Trial
CTA	Capstone Threat Assessment
CTC	Capability Trade Council
CTF	Commander, Task Force
CTP	Critical Technical Parameter
CV	Cost Variance
CVN	Nuclear-Powered Aircraft Carrier
CWA	Clean Water Act
CWS	Compressed Work Schedule
CYBERSAFE	Navy Cyber Safety Program
D&F	Determination and Findings
DA	Design Agent
DAB	Defense Acquisition Board
DAE	Defense Acquisition Executive
DAES	Defense Acquisition Executive Summary
DAG	Defense Acquisition Guidebook
DAGIR	Data and Applications Government-owned Interoperable Repositories
DARPA	Defense Advanced Research Projects Agency
DASN	Deputy Assistant Secretary of the Navy
DASN (APB)	Deputy Assistant Secretary of the Navy (Acquisition Policy and Budget)

Acronym	Definition
DASW(T&E)	Deputy Assistant Secretary of War for Test and Evaluation
DATO	Denial of Authorization to Operate
DAVE	Defense Acquisition Visibility Environment
DBS	Defense Business System
DCAA	Defense Contract Audit Agency
DCMA	Defense Contract Management Agency
DCR	DOTMLPF-P Change Recommendation
DCS	Direct Commercial Sales
DD&C	Detailed Design and Construction
DevSecOps	Development, Security, and Operations
DFARS	Defense Federal Acquisition Regulation Supplement
DFAS	Defense Finance and Accounting Service
DFIA	Defense-in-Depth Functional Implementation Architecture
DFS	Departure from Specification
DHA	Direct Hire Authority
DIA	Defense Intelligence Agency
DISR	Department of War Information Technology Standards Registry
DIU	Defense Innovation Unit
DMAG	Deputy's Management Action Group
DMP	Depot Modernization Period
DMSMS	Diminishing Manufacturing Sources and Material Shortages
DNI	Director of National Intelligence
DOE	Department of Energy
DON	Department of the Navy
DoS	Denial of Service
DOT&E	Director, Operational Test and Evaluation
DOTMLPF-P	Doctrine, Organization, Training, Materiel, Leadership and Education, Personnel, Facilities, and Policy
DoW FMR	Department of War Financial Management Regulation
DoWAF	Department of War Architecture Framework
DoWD	Department of War Directive
DoWI	Department of War Instruction
DPG	Defense Planning Guidance
DPIA	Docking Planned Incremental Availability
DPRK	Democratic People's Republic of Korea
DRFPRD	Development Request for Proposal Release Decision
DRPM	Direct Reporting Program Manager
DSCA	Defense Security Cooperation Agency

Acronym	Definition
DSRA	Docking Selected Restricted Availability
DSS	Deep Submergence Systems
DT	Developmental Test
DT&E	Developmental Test and Evaluation
DTSA	Defense Technology Security Administration
DUAP	Dual Use Applications Program
EA	Engineering Agent
EA	Environmental Assessment
EAC	Estimate at Completion
ECP	Engineering Change Proposal
EDO	Engineering Duty Officer
EEO	Equal Employment Opportunity
EEOC	Equal Employment Opportunity Commission
EIA	Electronic Industries Alliance
EIS	Environmental Impact Statement
EMD	Engineering and Manufacturing Development
EMRF	Expeditionary Maintenance and Repair Facility
EOA	Early Operational Assessment
EOB	Expense Operating Budget
EOC	Engineered Operating Cycle
EOD	Explosive Ordnance Disposal
EOH	Engineered Overhaul
EOQ	Economic Order Quantity
EPA	Environmental Protection Agency
EPCRA	Emergency Planning and Community Right-to-Know Act
ERMB	Enterprise Risk Management Board
ERO	Engineered Refueling Overhaul
ESA	Endangered Species Act
ESOH	Environmental, Safety, and Occupational Health
EV	Earned Value
EVMS	Earned Value Management System
FAR	Federal Acquisition Regulation
FAST	Fleet Availability Scheduling Team
FCA	Functional Configuration Audit
FCB	Functional Capabilities Board
FCT	Final Contract Trials
FDSRT	Forward Deployed Ship Repair Team
FFG	Guided-Missile Frigate

Acronym	Definition
FFP	Firm-Fixed-Price
FFRDC	Federally Funded Research and Development Center
FLRA	Federal Labor Relations Authority
FLSA	Fair Labor Standards Act
FMAV	Fleet Maintenance Availability
FMB	Financial Management Budget (OPNAV)
FMBOD	Fleet Maintenance Board of Directors
FMECA	Failure Mode, Effects and Criticality Analysis
FMR	Field Modification Request
FMS	Foreign Military Sales
FOC	Full Operational Capability
FONSI	Finding of No Significant Impact
FOT&E	Follow-on Operational Test and Evaluation
FPEPA	Fixed-Price with Economic Price Adjustment
FPIF	Fixed-Price Incentive (Firm Target)
FPRA	Forward Pricing Rate Agreement
FPRP	Forward Pricing Rate Proposal
FRD	Fleet Readiness Directorate
FRP	Full-Rate Production
FRPDR	Full-Rate Production Decision Review
FTA	Fault Tree Analysis
FUNDS-D	Fleet Modernization Design (engineering) funding
FUNDS-K	Fleet Modernization Procurement funding
FY	Fiscal Year
FYDP	Future Years Defense Program
G&A	General and Administrative
GAAP	Generally Accepted Accounting Principles
GAO	Government Accountability Office
GFE	Government-Furnished Equipment
GMI	Guarantee Material Inspection
GPNTS	GPS-based Positioning, Navigation, and Timing Service
GPS	Global Positioning System
GS	General Schedule
HAC	House Appropriations Committee
HASC	House Armed Services Committee
HBC	House Budget Committee
HCA	Head Contracting Activity
HII	Huntington Ingalls Industries

Acronym	Definition
HM&E	Hull, Mechanical, and Electrical
HMR	Headquarters Modification Request
HRO	Human Resources Office
HUBZone	Historically Underutilized Business Zone
IA	Information Assurance
IAM	Major Automated Information System (legacy ACAT I equivalent)
IAT	Integrated Acceptance Trials
IATT	Interim Authorization to Test
IBR	Integrated Baseline Review
ICD	Initial Capabilities Document
ICE	Independent Cost Estimate
ICMP	Integrated Class Maintenance Plan
ICWG	Interface Control Working Group
IDDQ	Indefinite-Delivery, Definite-Quantity
IDIQ	Indefinite-Delivery, Indefinite-Quantity
IFB	Invitation for Bids
IGCE	Independent Government Cost Estimate
IGT	Intragovernmental Transaction
IMA	Intermediate Maintenance Activity
IMF	Intermediate Maintenance Facility
IMP	Incremental Maintenance Plan
IMS	Integrated Master Schedule
INSURV	Board of Inspection and Survey
IOC	Initial Operational Capability
IOT&E	Initial Operational Test and Evaluation
IOT&RE	Initial Operational Test and Readiness Evaluation
IPMDAR	Integrated Program Manager's Data Analysis Report
IPP	Integrated Production Planning
IPPD	Integrated Product and Process Development
IPR	Interdepartmental Purchase Request
IPS	Integrated Product Support
IPT	Integrated Product Team
IR&D	Independent Research and Development
IRL	Integration Readiness Level
IS	Information System
ISEA	In-Service Engineering Agent
IT	Information Technology
IWS	Integrated Warfare Systems

Acronym	Definition
J&A	Justification and Approval
JCB	Joint Capabilities Board
JCTD	Joint Concept Technology Demonstration
JEON	Joint Emergent Operational Need
JFMM	Joint Fleet Maintenance Manual
JITC	Joint Interoperability Test Command
JRMC	Japan Regional Maintenance Center
JROC	Joint Requirements Oversight Council
JROCM	Joint Requirements Oversight Council Memorandum
JSD	Joint Staffing Designator
JSN	Job Sequence Number
JUON	Joint Urgent Operational Need
KM/DS	Knowledge Management and Decision Support
KO	Contracting Officer
KPP	Key Performance Parameter
KSA	Key System Attribute
LCC	Life-Cycle Cost
LCS	Littoral Combat Ship
LCSP	Life-Cycle Sustainment Plan
LDTO	Lead Developmental Test and Evaluation Organization
LFT&E	Live Fire Test and Evaluation
LH	Labor-Hour
LHA	Landing Helicopter Assault
LHD	Landing Helicopter Dock
LLTM	Long-Lead Time Material
LMA	Lead Maintenance Activity
LOA	Light-Off Assessment
LOE	Level of Effort
LORA	Level of Repair Analysis
LPD	Landing Platform Dock
LPTA	Lowest Price Technically Acceptable
LRIP	Low-Rate Initial Production
MAC-MO	Multiple Award Contract, Multi-Order
MAIS	Major Automated Information System
ManTech	Manufacturing Technology
MAUT	Multi-Attribute Utility Theory
MBI	Major Budget Issue
MCOTEA	Marine Corps Operational Test and Evaluation Activity

Acronym	Definition
MDA	Missile Defense Agency
MDA	Milestone Decision Authority
MDAP	Major Defense Acquisition Program
MDD	Materiel Development Decision
MDSU	Mobile Diving and Salvage Unit
MFP	Major Force Program
MILCON	Military Construction
MILPERS	Military Personnel
MIPR	Military Interdepartmental Purchase Request
MMPA	Marine Mammal Protection Act
MOA	Memorandum of Agreement
MOE	Measure of Effectiveness
MOP	Measure of Performance
MOS	Measure of Suitability
MS	Milestone
MSA	Materiel Solution Analysis
MSC	Military Sealift Command
MSP	Maritime Support Plan
MTA	Middle Tier of Acquisition
MTBCF	Mean Time Between Critical Failure
MTBF	Mean Time Between Failures
MTBOMF	Mean Time Between Operational Mission Failure
MTTR	Mean Time To Repair
MUA	Military Utility Assessment
MVCR	Minimum Viable Capability Release
MVP	Minimum Viable Product
MYP	Multiyear Procurement
N8	OPNAV Integration of Capabilities and Resources
N80	OPNAV Programming Division
N81	OPNAV Assessment Division
N82	OPNAV Fiscal Management Division
N83	OPNAV Campaign Analysis and Future Force Design
N84	OPNAV Capability Integration and Resources
N89	OPNAV Advanced Concepts and Wargaming
N9	OPNAV Warfare Systems
N91	Warfare Integration Directorate
N95	Expeditionary Warfare Directorate
N96	Surface Warfare Directorate

Acronym	Definition
N97	Undersea Warfare Directorate
N98	Air Warfare Directorate
N99	Unmanned Warfare Systems
NAVAIR	Naval Air Systems Command
Naval Reactors	Naval Nuclear Propulsion Program
NAVIFOR	Naval Information Forces Command
NAVNETWARCOM	Naval Network Warfare Command
NAVSEA	Naval Sea Systems Command
NAVSUP	Naval Supply Systems Command
NAVWAR	Naval Information Warfare Systems Command
NC3	Nuclear Command, Control, and Communications
NCB	Naval Capabilities Board
NCDOC	Navy Cyber Defense Operations Command
NDAA	National Defense Authorization Act
NDE	Navy Data Environment
NDE-NM	Navy Data Environment - Navy Modernization
NDI	Non-Developmental Item
NDS	National Defense Strategy
NEC	Navy Enlisted Classification
NECP	Non-Engineering Change Proposal
NEPA	National Environmental Policy Act
NHPA	National Historic Preservation Act
NIWC	Naval Information Warfare Center
NIWC LANT	Naval Information Warfare Center Atlantic
NIWC PAC	Naval Information Warfare Center Pacific
NMCARS	Navy Marine Corps Acquisition Regulation Supplement
NMP	Navy Modernization Program
NOR	Net Operating Result
NOSSA	Naval Ordnance Safety and Security Activity
NR	Net-Ready
NRL	Naval Research Laboratory
NRMD	Nuclear Regional Maintenance Department
NRO	National Reconnaissance Office
NRRO	Naval Reactors Representative Office
NSA	Naval Supervising Activity
NSC	National Security Council
NSCF	National Security Capital Forum
NSFA	NAVWAR Space Field Activity

Acronym	Definition
NSS	National Security Strategy
NSS-SY	Naval Sustainment System—Shipyards
NSSF	Naval Submarine Support Facility
NSWC	Naval Surface Warfare Center
NSY	Naval Shipyard
NTP	Navy Training Plan
NUWC	Naval Undersea Warfare Center
NWC	Naval Warfare Center
NWCF	Navy Working Capital Fund
O&S	Operations and Support
O&S	Operations and Support Phase
OA	Operational Assessment
OC&MF	Operations and Maintenance, Fleet
OCONUS	Outside the Continental United States
ODC	Other Direct Cost
OEM	Original Equipment Manufacturer
OFRP	Optimized Fleet Response Plan
OIC	Officer in Charge
OMB	Office of Management and Budget
OMN	Operation and Maintenance, Navy
ONR	Office of Naval Research
OPCON	Operational Control
OPEVAL	Operational Evaluation
OPM	Office of Personnel Management
OPN	Other Procurement, Navy
OPNAV	Office of the Chief of Naval Operations
OPNAVINST	Office of the Chief of Naval Operations Instruction
OPNAVNOTE	Office of the Chief of Naval Operations Notice
OPTAR	Operating Target
OQE	Objective Quality Evidence
OSA	Open Systems Architecture
OSHA	Occupational Safety and Health Act
OSIC	On-Site Installation Coordinator
OSW	Office of the Secretary of War
OT	Operational Test
OT	Other Transaction
OT&E	Operational Test and Evaluation
OTRR	Operational Test Readiness Review

Acronym	Definition
OUSW(C)	Office of the Under Secretary of War (Comptroller)
OWLD	Obligation Work Limiting Date
P&D	Production and Deployment Phase
P3I	Pre-Planned Product Improvement
PA	Program Authority
PACFLT	U.S. Pacific Fleet
PAE	Portfolio Acquisition Executive
PARM	Participating Acquisition Resource Manager
PATS	Pre-Availability Test
PB	President's Budget
PBD	Program Budget Decision
PBIS	Program Budget Information System
PBL	Performance-Based Logistics
PCA	Physical Configuration Audit
PCD	Production Completion Date
PCO	Procuring Contracting Officer
PD	Position Description
PDM	Program Decision Memorandum
PDR	Preliminary Design Review
PDSS	Post-Deployment Software Support
PDT&T	Post Delivery Test and Trials
PE	Program Element
PEO	Program Executive Office
PEO C4I	Program Executive Office, Command, Control, Communications, Computers, and Intelligence
PEO Columbia	Program Executive Office, Columbia-Class Submarines
PEO CVN	Program Executive Office, Aircraft Carriers
PEO Digital	Program Executive Office, Digital and Enterprise Services
PEO IWS	Program Executive Office, Integrated Warfare Systems
PEO MLB	Program Executive Office, Manpower, Logistics and Business IT
PEO Ships	Program Executive Office, Ships
PEO SSBN	Program Executive Office, SSBN
PEO SSN	Program Executive Office, Attack Submarines
PEO USC	Program Executive Office, Unmanned and Small Combatants
PEO UWS	Program Executive Office, Undersea Warfare Systems
PESHE	Programmatic Environmental, Safety, and Occupational Health Evaluation
PHS&T	Packaging, Handling, Storage, and Transportation
PIA	Planned Incremental Availability

Acronym	Definition
PII	Personally Identifiable Information
PIP	Performance Improvement Plan
PIT	Platform Information Technology
PM	Program Manager
PMA	Phased Maintenance Availability
PMILDEP	Principal Military Deputy
PMO	Program Management Office
PMS	Program Manager, Ships
PMS	Planned Maintenance System
PMW	Program Management Warfare (NAVWAR PEO C4I/NAVAIR PMS series)
PO	Project Order
POA&M	Plan of Action and Milestones
POE	Program Office Estimate
POM	Program Objective Memorandum
POTS	Pre-Overhaul Test
PPBE	Planning, Programming, Budgeting and Execution
PPP	Program Protection Plan
PRC	People's Republic of China
PROG	Progressive Maintenance
PRR	Production Readiness Review
PSA	Product Support Analysis
PSBM	Product Support Business Model
PSI	Product Support Integrator
PSM	Product Support Manager
PSP	Product Support Provider
PSS	Product Support Strategy
PTA	Point of Total Assumption
PV	Planned Value
PWS	Performance Work Statement
QSI	Quality Step Increase
R3B	Resources and Requirements Review Board
RADM	Rear Admiral (Upper Half)
RAM	Reliability, Availability, and Maintainability
RAM-C	Reliability, Availability, and Maintainability Cost Rationale
RAV	Restricted Availability
RCM	Reliability-Centered Maintenance
RCOH	Refueling and Complex Overhaul
RCRA	Resource Conservation and Recovery Act

Acronym	Definition
RDAIS	Research, Development, and Acquisition Information System
RDML	Rear Admiral (Lower Half)
RDT&E	Research, Development, Test, and Evaluation
RFI	Request for Information
RFP	Request for Proposal
RIF	Reduction in Force
RIMPAC	Rim of the Pacific Exercise
RIO	Risk, Issue, and Opportunity
RMC	Regional Maintenance Center
RMF	Risk Management Framework
RMMCO	Regional Maintenance and Modernization Coordination Office
RMWG	Risk Management Working Group
ROA	Return on Assets
ROD	Record of Decision
ROH	Regular Overhaul
ROMB	Risk and Opportunity Management Board
ROS	Return on Sales
RPCO	Reactor Plant Contractor's Office
RSG	Regional Support Group
S&T	Science and Technology
SAC	Senate Appropriations Committee
SAE	Service Acquisition Executive
SAM	System for Award Management
SAR	Selected Acquisition Report
SASC	Senate Armed Services Committee
SBA	Small Business Administration
SBC	Senate Budget Committee
SBIR	Small Business Innovation Research
SCA	Security Control Assessor
SCAMPI	Standard CMMI Appraisal Method for Process Improvement
SCD	Ship Change Document
SCN	Shipbuilding and Conversion, Navy
SEA	NAVSEA headquarters staff code
SECNAV	Secretary of the Navy
SECNAVINST	Secretary of the Navy Instruction
SECWAR	Secretary of War
SEP	Systems Engineering Plan
SES	Senior Executive Service

Acronym	Definition
SFIMA	Strike Force Intermediate Maintenance Activity
SFR	System Functional Review
SHAPM	Ship Acquisition Program Manager
SHIPALT	Ship Alteration
SI	Software Item
SIA	Systems Integration Agent
SIB	Shop-in-a-Box
SIOP	Shipyards Infrastructure Optimization Program
SIP	Separation Incentive Program
SIPRNet	Secret Internet Protocol Router Network
SLM	Ship Lifecycle Manager
SLR	Stabilized Labor Rate
SMM	Ship's Maintenance Manager
SOM	SUPSHIP Operation Manual
SOO	Statement of Objectives
SOVT	Shipboard Operational Verification Test
SOW	Statement of Work
SPD	Ship Project Directive
SPI	Schedule Performance Index
SPM	Ship Program Manager
SRA	Selected Restricted Availability
SRF	Ship Repair Facility
SRL	System Readiness Level
SRR	System Requirements Review
SRS	Software Requirements Specification
SSA	Source Selection Authority
SSAC	Source Selection Advisory Council
SSBN	Ballistic Missile Submarine, Nuclear
SSEB	Source Selection Evaluation Board
SSN	Attack Submarine, Nuclear
SSP	Strategic Systems Program
SSP	Source Selection Plan
ST	Shock Trials
SUBMEPP	Submarine Maintenance Engineering Planning Program
SUBSAFE	Submarine Safety Program
SUPSALV	Supervisor of Salvage and Diving
SUPSHIP	Supervisor of Shipbuilding
SURFMEPP	Surface Maintenance Engineering Planning Program

Acronym	Definition
SV	Schedule Variance
SYSCOM	Systems Command
T&M	Time-and-Materials
T2	Technology Transfer
TA	Technical Authority
TAV	Technical Availability
TCI	Total Cost Input
TCO	Termination Contracting Officer
TCPI	Total Cost Performance Index
TDA	Technical Direction Agent
TDM	Time Directed Maintenance
TDP	Technical Data Package
TECHEVAL	Technical Evaluation
TEMP	Test and Evaluation Master Plan
TFP	Technical Foundation Paper
TGI	Task Group Instruction
TLCSM	Total Life-Cycle Systems Management
TMRR	Technology Maturation and Risk Reduction
TOA	Total Obligational Authority
TOC	Total Ownership Cost
TPM	Technical Performance Measure
TRA	Technology Readiness Assessment
TRB	Technical Review Board
TRF	Trident Refit Facility
TRIPER	Trident Planned Equipment Replacement
TRL	Technology Readiness Level
TRR	Test Readiness Review
TSCA	Toxic Substances Control Act
TSO	Temporary Standing Order
TSRA	Total Ship Readiness Assessment
TUM	Tag-out Users Manual
TWD	Technical Work Document
TWH	Technical Warrant Holder
TYCOM	Type Commander
U.S.	United States
UARC	University Affiliated Research Center
UCA	Undefinitized Contract Action
UCF	Uniform Contract Format

Acronym	Definition
UCR	Unit Cost Report
ULP	Unfair Labor Practice
UON	Urgent Operational Need
URO	Unrestricted Operations
USAFRICOM	United States Africa Command
USB	Universal Serial Bus
USCENTCOM	United States Central Command
USCYBERCOM	United States Cyber Command
USEUCOM	United States European Command
USFF	U.S. Fleet Forces
USINDOPACOM	United States Indo-Pacific Command
USMC	United States Marine Corps
USNORTHCOM	United States Northern Command
USNR	United States Navy Reserve
USS	United States Ship
USSOCOM	United States Special Operations Command
USSOUTHCOM	United States Southern Command
USSPACECOM	United States Space Command
USSTRATCOM	United States Strategic Command
USTRANSCOM	United States Transportation Command
USW(A&S)	Under Secretary of War for Acquisition and Sustainment
USW(C)	Under Secretary of War (Comptroller)
USW(P)	Under Secretary of War for Policy
USW(R&E)	Under Secretary of War for Research and Engineering
UTA	Ultimate Technical Authority
V&V	Verification and Validation
VAC	Variance at Complete
VADM	Vice Admiral
VCJCS	Vice-Chairman of the Joint Chiefs of Staff
VERA	Voluntary Early Retirement Authority
VOLT	Validated Online Life-cycle Threat
VR	Voyage Repair
VV&A	Verification, Validation, and Accreditation
WAF	Work Authorization Form
WARP	Wartime Acquisition Response Plan
WARR	Workload and Resource Report
WAS	Warfighting Acquisition System
WBS	Work Breakdown Structure

Acronym	Definition
WG	Wage Grade
WGI	Within-Grade Increase
WIPT	Working-level Integrated Product Team
WPN	Weapons Procurement, Navy
WSERB	Weapons Safety and Explosives Review Board
XO	Executive Officer